Solved by ABr & Chanda Rehman
Final MCQs

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► **Rs. 4,000 correct**
► Rs. 1,600
► Rs. 2, 400

Explanation:
40,000 x 10%= 4000
NOTE: 1600 are already declared as ACTUAL BAD DEBTS. only DOUBTFUL debts are required

If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what will be the rate of depreciation?

10%
22%
42%
52%

Rate = 1 □ n√ RV / C

Where:

□RV□ = Residual Value

□C□ = Cost

□n□ = Life of Asset

Calculate the rate if:

Cost = 100,000

Residual Value (RV) = 20,000

Life = 3 years

Rate = 1 □ 3 √20000/100000

= 42%

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89, 700
- ► Rs.94, 700
- ► **Rs.95, 300**
- ► Rs.100, 300

profit 95000

less capital interest 2500
add drawing interest 2800
95300

Question No: 27 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► **Rs.44,150**
- ► Rs.41,600
- ► Rs.40,850

Profit = 85000
Add markup on drawings = 1500 + 1800 = 3300
Total net profit = 88300
Profit share of B = 88300/2 = 44150

Question No: 28 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.40,000
- ► **Rs.43,000**
- ► Rs.130,000
- ► Rs.133,000

Net Profit = 85000
Add markup on Drawings = 3000
Less markup on Capital = 2000
Total Profit of the firm = 85000 + 3000 - 2000 = 86000
Profit of B = 86000 / 2 = 43000

Question No: 23 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► **Contra asset**
- ► Liability

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

- ► It is helpful for decision making by management
- ► **It is used for reporting the net profit of the period**
- ► It can be used for estimations for cash flows in future
- ► It is used to determine the liquidity of the business

Question No: 30 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► **Cash equivalents**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an example of cash outflow for a company?

- ► Cash collected from customers
- ► **Cash paid for merchandise inventory**
- ► Writing off an uncollectible accounts receivable
- ► Reclassifying accounts payable to notes payable

Question No: 10 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- ► **Individual Partner's Current Account**
- ► Partner's Cash Account
- ► Partner's Bank Account
- ► Partners Capital Account

Question No: 42 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

- ► **Cost of goods sold**
- ► Indirect cost
- ► Selling cost
- ► Factory over head cost

Question No: 41 (Marks: 1) - Please choose one

XYZ Company has paid up capital of 20,000 shares of Rs. 100 each. The company offers to existing shareholders the right to buy 3 shares of Rs. 100 each at Rs. 125 for every 5 shares held. What would be the number of right shares?

- ► 120 right shares
- ► **12,000 right shares**
- ► 15,000 right shares
- ► 25,000 right shares

Total shares = 20000
5 existing shares can buy = 3 new shares
1 existing share can buy = 3/5 new shares
20000 existing shares can buy = 20000 * 3/5 = 12000 new shares = right shares

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an example of Cash flow from operating activities?

- ► Cash payment to acquired fixed assets
- ► Issuing stock
- ► Cash collection as a result of machinery sold
- ► **Cash payment to suppliers for goods and services**

Question No: 9 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- ► Accounts receivable arises when a company buys goods or services from another party on credit
- ► **Accounts receivable is a miscellaneous category that may include loans to employees**
- ► Accounts receivable are more formal than notes receivable
- ► Accounts receivable are often called trade receivables

Question No: 11 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

- ► **The payments for purchases made during the year**
- ► A decrease in trade debtors over the course of an accounting period
- ► Money received as a result of issuing new shares
- ► Money received as result of selling fixed assets

Question No: 13 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

- ► **Net loss of Rs.1, 000**
- ► Net income of Rs. 1,000
- ► Net loss of Rs. 2,000
- ► Net income of Rs. 2,500

Question No: 35 (Marks: 1) - Please choose one

Which one of the following cost is **NOT** attributable to the fixed assets?

- ► Costs of site preparation
- ► **Administration and other general overhead cost**
- ► Initial delivery and handling charges
- ► Installation and assembly costs

Question No: 44 (Marks: 1) - Please choose one

A company is said to have been registered when:

- ► **It gets certificate of incorporation from registrar of Companies**
- ► It gets certificate of commencement of business from registrar of Companies
- ► It actually starts its business
- ► It filed with the Registrar of Companies certain documents, like memorandum and articles of association

Question No: 10 (Marks: 1) - Please choose one

Notes to the accounts explain which of the followings

Nature of business of the company
Accounting Policies of the company
Details and explanation of items given in the Profit and Loss Account and Balance Sheet
All of the given options

Question No: 6 (Marks: 1) - Please choose one

Cash flow from operating activities is generated from:

.

The cash receipts and payments that arise from Fixed and Long Term assets of the organization.

.

Cash generated from daily operations of organization
The cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization
None of the given options

Question No: 47 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50,000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000

What is debt equity ratio ?
15: 20 (or 3:4)

15:24 (or 5: 8)
15:29
15:35 (or 3: 7)

Total Debt = Debentures = 150000
Total Equity = Equity capital + General Reserve + Accumulated profit
= 200000 + 90000 + 60000 = 350000
Debt: Equity
150000: 350000
15: 35
3:7

Question No: 48 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?
In case of death of partner
At the admission of new partner
If any partner resigned from partnership
All of the given options

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► **Physical wear and tear**
- ► All of the given options

Question No: 50 (Marks: 1) - Please choose one

Which one of the following is equal to the carrying cost of an asset?

- ► **Original cost minus Accumulated depreciation**
- ► Original cost plus Accumulated depreciation
- ► Original cost minus Residual value
- ► Written down value minus Accumulated depreciation

\ Question No: 25 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

- ► Purchasing operating equipment
- ► **Purchasing cleaning services**
- ► Purchasing an investment in another company
- ► Purchasing a computer for the accounting office

Question No: 45 (Marks: 1) - Please choose one
The amount of share premium can be utilized EXCEPT**:**

- ► To write off preliminary expenses
- ► **To meet the expenses of issue of shares**
- ► To distribute among the shareholders
- ► To issue bonus shares

Question No: 46 (Marks: 1) - Please choose one
A company pays cash to purchase the stock of another company in an unrelated industry. The cash outflow can be considered as an:

► Operating activity that will appear on the statement of cash flows
► Operating activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry
► **Investing activity that will appear on the statement of cash flows**
► Investing activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry

Question No: 35 (Marks: 1) - Please choose one

Which of the following is TRUE **about capital receipt?**

► It decreases value of property or increases value of liability
► It is shown in the income and expenditure account
► It is recurring in nature
► It is not shown in the statement of financial positions

A private limited company can commence its business:

► Immediately on receiving a certificate of incorporation
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

---

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**
► Shareholders
► Managers
► Directors

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Identify that which of the following particular(s) would **NOT** be shown in the format of a Cash Book?
(1) Cheque number
(2) Date of transaction
(3) Amount of transaction

► **(1) only**
► (1) & (2) only
► (1) & (3) only
► (2) & (3) only

Question No: 50 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called:

► Expenses
► **Assets**
► **Capital**
► Liabilities**Question No: 45 (Marks: 1) - Please choose one**

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 41 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

► Rs. 205,000
► **Rs. 215,000**
► Rs. 220,000
► Rs. 225,000

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000
► Rs. 8,000

► Rs. 4,500
► **Rs. 10,500**

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 34 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 31 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► Credit purchases
► Discount allowed

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** correct about income tax?

► Different companies pay tax on different rates
► It is treated as an expense and debited in Profit & Loss account
► When financial statements are prepared, an estimate of expected tax liability is made
► It is treated as an expense and credited in Profit & Loss account

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► Rs. 5,480

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement
► A retained earnings statement
► **An income statement**
► A balance sheet

Question No: 20 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► **Balance sheet only**
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 11 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► **An increase in trade debtors over the course of the period**
► An increase in the depreciation charge relative to the previous accounting period

Question No: 54 (Marks: 1) - Please choos

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

► Short operating cycle of the company
► Long operating cycle of the company
► Liquidity is not affected by operating cycle
► It is the creditor's choice

Question No: 45 (Marks: 1) - Please choose one

The amount of prepaid insurance that expired in the current accounting period should be reported as _____.

► Prepaid insurance
► Insurance expense
► Insurance payable
► Insurance paid

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

► Net realizable value is understated
► Expenses are understated
► Revenues are understated
► Receivables are understated

Which of the following is not a cause of difference in balances as per pass book and cash book?

► Error in cash book
► Error in pass book
► Direct deposit
► Un credited cheques

Question No: 31 (Marks: 1) - Please choose one

Particulars	
Nominal value of each share	Rs.10
No of shares issued	10,000 shares
Net profit	Rs. 20,000
Divined paid	10%
What is the EPS	**?**

► Rs. 1.00
► Rs. 2.00
► Rs. 3.00
► Rs. 4.00

Question No: 28 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

► None of the given options
► General reserve
► Accumulated profit and loss (credit balance)
► Revaluation reserves

Question No: 10 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► Receipts & Payments account
► Balance Sheet

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000
► Rs.28,000
► **Rs.33,000**
► Some other amount

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It gets certificate of incorporation from registrar of Companies
► It gets certificate of commencement of business from registrar of Companies
► It actually starts its business
► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► **Cost of good sold**
► Indirect cost
► Selling cost
► Factory over head cost

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 23 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- ► Nominal value
- ► All of the given options

Question No: 54 (Marks: 1) - Please choose one

Which of the following is one of the major factors affecting the market value of a company's shares?

- ► Current ratio
- ► Earning per share
- ► Return on investment
- ► Return on asset

Question No: 47 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

- ► Realized
- ► Earned
- ► Incurred
- ► Paid

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

- ► Rs.52,500
- ► Rs.42,500
- ► Rs.41,500
- ► Rs.50,500

Question No: 47 (Marks: 1) - Please choose one

Adjusting costs are reported as:

- ► Revenues
- ► Expenses

► Assets

► Net Income

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also affected when an adjusting entry is passed to accrue an incurred expense?

► Total assets

► Total liabilities

► Current assets

► Total income

Question No: 36 (Marks: 1) - Please choose one

The statement of changes in equity basically shows the movement of:

► share capital during the year

► Capital reserves during the year

► Revenue Reserves during the year

► All of the given options

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, interest payment made on loan from bank is related to:

► Investing activity

► Financing activity

► Operating activity

► Net changes in working capital

Question No: 52 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

► Balance Sheet

► Income Statement

► Statement of cash flows

► Statement of changes in equity

Question No: 32 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► None of the given options

Question No: 27 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► a,b
► b,c
► a,c
► a,b,c

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery
► **Capital invested by the owners**
► Purchase of building for the business use
► Cash received from the disposal of equipment

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700
► **Rs.95,300**
► Rs.100,300

Question No: 44 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► Rs.52,500
► Rs.42,500
► **Rs.43,500**
► Rs.50,500

Question No: 26 (Marks: 1) - Please choose one
Which of the following is an example of operating expense?

► Purchasing operating equipment
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 3 (Marks: 1) - Please choose one
According to the double entry system of accounting, an account that obtains benefit is:

► Debit
► Credit
► Income
► No need to show as accounting record

Question No: 54 (Marks: 1) - Please choose one
Which of the following is a detailed record of an individual account in case of large business?
Control Account
Subsidiary Ledger
Balance Sheet

Trial Balance Question No: 43 (Marks: 1) - Please choose one
A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?
Not paying invoices received from creditors
The sale of fixed assets during the period
An increase in trade debtors over the course of the period
An increase in the depreciation charge relative to the previous accounting Period

Question No: 2 (Marks: 1) - Please choose one
What does a credit balance in a partner's current account represent to a business?

► Current Assets
► Current Liability
► **Long-term liability**
► **Share of profit**

Question No: 3 (Marks: 1) - Please choose one
Which of the following ratio tells about "How a company would repays its loans"

► **Mark up cover ratio**
► Acid test ratio

► Current ratio
► Debt Equity ratio

Question No: 54 (Marks: 1) - Please choose one
Which of the following is NOT based on the concept of double entry book keeping system?

► Subsidiary Ledgers
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 44 (Marks: 1) - Please choose one

Deferred cost is classified as:
► Current liability
► Current asset
► Non-current asset
► Non-current liability

A deferred cost can be a liability or expenditure not recorded as a cost of operation for the period in which it was incurred, but to be written off on a later date. Deferred costs can also be prescribed to assets that cannot be reliably recognized as such, but need to be deferred to be matched with future income in order to avoid a distorted net income.

Question No: 4 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?
► Operating activities
► **Financing activities**
► Investing activities
► None of the given options

Question No: 44 (Marks: 1) - Please choose one
The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:
► Rs. 40,000 cash outflow as investing activity
► **Rs. 30,000 cash outflow as investing activity**
► Rs. 10,000 cash inflow as investing activity
► Rs. 70,000 cash inflow as investing activity

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus
► It may treated as a revenue
► **None of the given options**

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets
► Long-term deposit
► Financial charges paid
► **Dividend paid**

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus
► It may treated as a revenue
► **None of the given options**

Question No: 47 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22, 500
► Rs.25, 500
► Rs.27, 500
► Rs.55, 000

Question No: 40 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan
► Dividend issue in the current year
► **Money received as result of selling fixed assets**
► The difference between the valuations of old and new fixed assets

Question No: 54 (Marks: 1) - Please choose one

Which of the following ratio cannot be computed for a period in which the company incurs a net loss?

- ► Acid-test ratio doubted
- ► Return on investment
- ► Price-earning ratio
- ► None of the given options

Question No: 45 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ► **Revenue Expenditures**
- ► Capital Expenditures
- ► Deferred Expenditures
- ► None of the given options

Question No: 38 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

- ► Provision
- ► **Current liability**
- ► Reserves and surplus
- ► Current assets

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► **Cash equivalents**

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

- ► Rs.81,700
- ► **Rs.88,300**
- ► Rs.131,700
- ► Rs.146,700

Question No: 36 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

Contributed Capital
Retained Purchases returns account and sales account
Sales account, purchase account and A s account
Both of Mr. P's & Mr.Q's Account

http://www.vustudents.net

Paper No:25
Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
The area of accounting concerned with reporting financial information to the interested parties is called:
Cost Accounting
Financial Accounting
Management Accounting
Tax Accounting

Question No: 2 (Marks: 1) - Please choose one
when income exceeds expenses in a specific time period is known as:
Savings
Net profit
Gross profit
Operating profit

Question No: 3 (Marks: 1) - Please choose one
Net Profit =? - Expenses
Liabilities
Assets
Capital
Income

Question No: 4 (Marks: 1) - Please choose one
Economic resources owned by a business and expected to benefit for the future operations are called:
Expenses
Assets
Capital
Liabilities

Question No: 5 (Marks: 1) - Please choose one
Mr. A provided the following information from his books of accounts at the end of the month.
Particulars Rs.Cash 100
Accounts Receivable 500
Accounts Payable 200
Bank Loans 1,000
Based on the information provided, what are Mr. A s total liabilities?
Rs.200
Rs. 900
Rs. 1200
Rs. 1700

Question No: 6 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?
Rs. 5,000
Rs. 25,000
Rs. 55,000
Rs. 60,000

Question No: 7 (Marks: 1) - Please choose one
If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?
Rs. 5,000 Loss
Rs. 5, 000 Profit
Rs.1, 95,000 Profit

www.vustudents.net

Rs.1, 95,000 Loss

Question No: 8 (Marks: 1) - Please choose one
If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?
Rs. 25,000
Rs. 1, 00,000
Rs. 1, 75,000
Rs. 3, 00,000
Question No: 9 (Marks: 1) - Please choose one
Which of the following is
NOT
a type of voucher?
Journal Voucher
Receipt Voucher
Payment Voucher
Drawings Voucher

Question No: 10 (Marks: 1) - Please choose one
What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?
Rs. 5,500
Rs. 8,000
Rs. 4,500
Rs. 8,500

Question No: 11 (Marks: 1) - Please choose one
Which of the following asset is NOT depreciated?
Factory Buildings
Office Equipment
Plant & Machinery
Land

Question No: 12 (Marks: 1) - Please choose one
Accounting is the language of:
Business
School
Proprietor
Management

Question No: 13 (Marks: 1) - Please choose one
Increase in an asset is recorded on the:
Left or credit side of the account
Right or debit side of the account
Left or debit side of the account
Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine Rs. 2,00,000
Cost of new machine purchased during the year Rs. 50,000
Depreciation during the year Rs. 25,000
Closing written down value (WDV) of machines ?
Rs. 2, 25,000
Rs. 2, 50,000
Rs. 2, 75,000
Rs. 75,000
Question No: 15 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 4,00,000

www.vustudents.net

Cost of machine purchased during the year 50,000
Depreciation during the year 20,000
closing written down value (WDV) of the Machines
?
Rs. 4, 30,000
Rs. 4, 50,000
Rs. 4, 70,000
Rs. 70,000

Question No: 16 (Marks: 1) - Please choose one

Which of the following is NOT a function of bank reconciliation statement?

To reconcile the difference between the cash book and the bank statement
To check for errors in balance sheet
To update omitted entries into the cash book
To update omitted entries into the bank statement

Question No: 17 (Marks: 1) - Please choose one

Which of the following account would be credited, when the bad debts are recovered?

Allowance for bad debts a/c
Bad debts recovered a/c
Doubtful debts a/c
Cash a/c

Question No: 18 (Marks: 1) - Please choose one

In which of the following condition(s) DEBT is regarded as BAD

.Bankruptcy of the debtor
Disappearance of debtor s business
Failure of repeated attempt to collect the debt
All of the given options

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars Rs.
Bad debts 3,600
Provision for doubtful debts (old) 6,000
Current year s provision (new) 1,500

Rs. (5,100)
Rs. 5,100
Rs. 900
Rs. (900)

Question No: 20 (Marks: 1) - Please choose one
Bad debts written off (given in adjustment) always affect the:
Debtors account
Creditors account
Cash account
Capital account

Question No: 21 (Marks: 1) - Please choose one
It is supposed that on 31December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the

www.vustudents.net

sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.
Rs. 3,600
Rs. 2,000
Rs. 1,600
Rs. 400

Question No: 22 (Marks: 1) - Please choose one
Consider the following data:
Provision created in 2006
Rs. 2,500
Bad debts in 2007
Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.
Which journal entry is Correct for the provision for doubtful debts for the year 2007.
Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 23 (Marks: 1) - Please choose one
Which of the following is an item of a debtors control account?
Cash sale
Credit sales
Credit purchase
Cash purchases

Question No: 24 (Marks: 1) - Please choose one
Which of the following is NOT included in Debtors Control Account?
Cash sales
Credit sales
Bills receivable
Discount allowed

Question No: 25 (Marks: 1) - Please choose one
If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?
Bade debts (Dr) and Debtors Control A/c (Cr)
Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
Provision for doubtful debts (Dr) and Debtors A/c (Cr)
Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 26 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?
Sales account
Rahim s account
Cash account
Both sales and Rahim s Account

Question No: 27 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:
Error of principle

www.vustudents.net

Error of omission
Error of commission
Error of original entry

Question No: 28 (Marks: 1) - Please choose one
Which of the following is the first phase of the typical operating cycle?
Receive cash from customers
Pay cash to suppliers
Sell goods and services to customers
Purchase goods and services

(In the first phase of the operating cycle a business, unless it is a service business, buys inventory and materials which they will resell to customers.)

Question No: 29 (Marks: 1) - Please choose one
Which of the following is normally treated as the last expense listed in the income statement of a company?

General and administrative expenses
Salaries and wages expense
Income tax expense
Interest expense

Question No: 30 (Marks: 1) - Please choose one
Which of the following would NOT be considered as a component of 'cost' of stock?
Salaries of selling staff
Transportation inward costs
Import duties
Purchase price

Question No: 31 (Marks: 1) - Please choose one
Regardless of how long it takes to produce and sell , inventory is always considered to be a:
current liability
long-term asset
stockholders' equity
current asset

Question No: 32 (Marks: 1) - Please choose one
Which of the following is/are NOT shown in balance sheet of sole proprietor?
Fixed assets
Current liabilities
Profit sharing ratio
Long term assets

Question No: 33 (Marks: 1) - Please choose one
What will the effects on financial statements, if machinery is depreciated @ 10%?
It will be treated as an expense in income statement only
It will be subtracted from concerned asset only
It will be treated as a current asset only
It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 34 (Marks: 1) - Please choose one
Which of the following statement is TRUE about the Accounts receivable?
Accounts receivable arises when a company buys goods or services from another party on credit
Accounts receivable is a miscellaneous category that may include loans to employees
Accounts receivable are more formal than notes receivable
Accounts receivable are often called trade receivables

Question No: 35 (Marks: 1) - Please choose one
Which of the following statement is TRUE about the partnership form of business?
Partners must have to share their profits in equal proportion
Partners are personally liable for the liabilities of the business
Partnerships must make their accounts available to the general public
Partnership agreement in writing is called Partnership deed

Question No: 36 (Marks: 1) - Please choose one
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?
Sole-ownership
Private limited company
Public limited company
Partnership

Question No: 37 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?
Individual Partner s Current Account
Partner s Cash Account
Partner s Bank Account
Partners Capital Account

Question No: 38 (Marks: 1) - Please choose one
Which of the following clause/s are discussed in Memorandum of Association of Companies?
Name of company
Place of registered office of company
Objective of the company
All of the given options

Question No: 39 (Marks: 1) - Please choose one
Preliminary Expenses of the company may write off against:
Share premium account
Share holder account
Debtors control account
Creditor control account

Question No: 40 (Marks: 1) - Please choose one
A _____ business is one in which income is generated by the resale of bought Products.
Manufacturing
Merchandising
Sole Proprietorship
Partnership
Question No: 41 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?
Memorandum of Association
Articles of Association
Prospectus
Statutory Declaration

Question No: 42 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?
It will be deducted in Income Statement only

www.vustudents.net

It will be treated as current liability in balance sheet only
It will be treated as current asset in balance sheet only
Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 43 (Marks: 1) - Please choose one
A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?
Not paying invoices received from creditors
The sale of fixed assets during the period
An increase in trade debtors over the course of the period
An increase in the depreciation charge relative to the previous accounting Period doubted

Question No: 44 (Marks: 1) - Please choose one
Which of the given Asset is Not included in the calculation acid test ratio?
Stock
Cash
Debtors
Bills Receivable

Question No: 45 (Marks: 1) - Please choose one
When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?
Rs. 62,500
Rs. 12,500
Rs. 10,000 (2 * 25000/5 = 10000)
Cannot be calculated with the help of given data

Question No: 46 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.
Rs. 98,000
Rs. 1, 47,000
Rs. 2, 45,000
Rs. 3, 43,000

Question No: 47 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.
Rs. 98,000
Rs. 1, 47,000
Rs. 2, 45,000
Rs. 3, 43,000

Question No: 48 (Marks: 1) - Please choose one
The net income calculated in the income statement for the accounting period is reported on:
Bank Statement
Statement of retained earnings
Statement of cash flows
None of the given options

Question No: 49 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:
Decrease assets and liabilities.
Increase assets and stockholders' equity.

www.vustudents.net

Decrease assets and stockholders' equity.
Increase liabilities and decrease stockholders' equity.

Question No: 50 (Marks: 1) - Please choose one
Which of the following item will be credited in capital account of sole proprietor?
Cash
Drawings
Debtors
Profit

Question No: 51 (Marks: 5)
Describe the following terms.
Error of principle
Error of omission
Error of commission
Error of original entry

Question No: 52 (Marks: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.
1. Balance as per Cash Book (Cr) is Rs. 19,000.
2. Cheque for Rs. 5,000 paid into the bank for collection on 20
th
March, 2008
has not yet been collected.
3. Cheques for Rs. 15,000 Issued on 24
March, 2008, out of which
th
Cheques for Rs. 10,000 presented during March, 2008
4. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4
th
April, 2008.
5. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial s Account.
6. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
7. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.
Required:
Prepare a Bank Reconciliation Statement as on 31
March, 2008
st
Question No: 53 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts during the year are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.
Required:
Show Journal entries and necessary accounts. Also show how the items will appear in Profit and Loss account and Balance sheet

Paper No:26

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)
Marks: 85

www.vustudents.net

Question No: 1 (Marks: 1) - Please choose one
An accounting system is used by a business to:
Analyze transactions
Handle routine book-keeping tasks
Structure information
All of the given options

Question No: 2 (Marks: 1) - Please choose one
We can say that the business is in profit, when:
Assets exceed Expenditure
Assets exceed Liabilities
Income exceeds Expenditure
Income exceeds Liabilities
Question No: 3 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:
Liquid assets
Current assets
Fixed assets
Capital assets
Question No: 4 (Marks: 1) - Please choose one
Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?
Furniture account
Cash account
Business account
Bank account
Question No: 5 (Marks: 1) - Please choose one
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?
Cash account
Sales account
Accounts receivable account
Purchases account
Question No: 6 (Marks: 1) - Please choose one
If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what will be the rate of depreciation?
10%
22%
42%
52% (Rate = 1 – n√ RV / C

Where:

"RV" = Residual Value

"C" = Cost

"n" = Life of Asset

Calculate the rate if:
Cost = 100,000

Residual Value (RV) = 20,000

Life = 3 years

Rate = 1 – 3 √20000/100000

= 42%)
Question No: 7 (Marks: 1) - Please choose one
Consider the following inventory record:
Date Item
Quantity
Cost/Unit
Total
2007Jan. 2
Opening

www.vustudents.net

100 Rs.18.00
Rs.1,800
inventory
Mar. 4
Purchase 400 19.00
7,600
May 8
Purchase 800 20.00
16,000
Nov. 3
Purchase 500 21.00
10,500
Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.
Rs.7, 500
Rs.7, 978
Rs.8, 000
Rs.8, 400

Question No: 8 (Marks: 1) - Please choose one
If you start with cash book favorable balance in Bank Reconciliation Statement, which item will be added?

Cheque deposited but not credited by the bank
Cheques omitted to be deposited into bank
Any amount directly collected by bank on behalf of customer but not recorded in cash book
Debit side of cash book was overcast

Question No: 9 (Marks: 1) - Please choose one
Bank Reconciliation Statement is:
A memorandum statement
A ledger account
A part of cash book
A part of journal
Question No: 10 (Marks: 1) - Please choose one
Accountancy covers which of the following area(s):
Book-keeping
Accounting
Auditing
All of the given options
Question No: 11 (Marks: 1) - Please choose one
Find out the missing value of an Accounting Equation with the help of given data:
Cash at bank Rs. 22,500
Other assets Rs. 1,000
Creditors Rs. 8,385
Other liabilities Rs. 9,000
Rs. 6,115 owner s equity
Rs. 31,885
owner s equity
Rs. 17,385
owner s equity
Rs. 18,385
owner s equity

Question No: 12 (Marks: 1) - Please choose one
Consider the following data:

Particulars Rs.
Assets 8,20,000
Owner's equity 3,80,000
Liabilities ?

www.vustudents.net

Rs. 1, 98,000
Rs. 49,000
Rs. 55,000
Rs. 4, 40,000
Question No: 13 (Marks: 1) - Please choose one
Which of the following is
CORRECT
regarding depreciation?
It is a systematic allocation of depreciable amount of an asset over its estimated useful life
It refers to the end life of an asset
It refers to the increase in value of asset
It is another name of Impairment
Question No: 14 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 3,00,000
Cost of machine purchased during the year 50,000
Depreciation during the year 9,000
closing written down value (WDV) of the Machine ?
Rs. 3, 41,000
Rs. 3, 50,000
Rs. 3, 59,000
Rs. 59,000
Question No: 15 (Marks: 1) - Please choose one
Which one of the following is
NOT
true for Profit & Loss Account?
It shows whether a business has made a profit or loss over a financial year
It shows the financial performance of a business for the period
It shows revenues and expenses for the period
It is used to calculate surplus/deficit for a particular period
Question No: 16 (Marks: 1) - Please choose one
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?
A cheque is drawn but not yet presented at the bank for payment
The bank has not yet notified to Mr. Terry about a dishonoured cheque
A credit transfer into Terry's Bank Account
A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110
Question No: 17 (Marks: 1) - Please choose one
An overdraft will appear as:
a debit balance in the both the bank statement and the cash book.
a credit balance in the bank statement but as a debit balance in the cash book.
a credit balance in the cash book but as a debit balance in the bank statement.
a credit balance in both the bank statement and the cash book.
Question No: 18 (Marks: 1) - Please choose one
Which of the following account would be credited, when the bad debts are recovered?
Allowance for bad debts a/c
Bad debts recovered a/c
Doubtful debts a/c
Cash a/c
Question No: 19 (Marks: 1) - Please choose one
Which of the following option is
TRUE
about the characteristic(s) of Bad Debt?
It is a definite loss to the business
It is not shown in Balance Sheet
No provision is necessary for it
All of the given options
Question No: 20 (Marks: 1) - Please choose one

If the
(New provision + Bad debts) > Amount of old provision
then resulting
figure will be shown at:
Debit side of Profit & Loss Account
Credit side of Profit & Loss Account
Asset side of Balance Sheet
Liability side of Balance Sheet
Question No: 21 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?
Cash account (Dr.) & Bad Debts recovered account (Cr.)
Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
Provision for doubtful debts account (Dr.) & Cash account (Cr.)
Question No: 22 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?
Sales Day Book
Sales Return
Debtors Ledger
All of the given options
Question No: 23 (Marks: 1) - Please choose one
Which of the following is an item of a debtors control account?
Cash sale
Credit sales
Credit purchase
Cash purchases
Question No: 24 (Marks: 1) - Please choose one
Which of the following is a detailed record of an individual account in case of large business?
Control Account
Subsidiary Ledger doubted
Balance Sheet
Trial Balance
Question No: 25 (Marks: 1) - Please choose one
Which of the following entry will be passed to record discount received in control account?
Discount Received (Dr) and Creditors Control A/c (Cr)
Discount Received
(Dr) and Creditors A/c (Cr)
Creditors Control A/c (Dr) and Discount Received (Cr)
Creditors A/c (Dr) and Discount Received
(Cr)
Question No: 26 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?
Plant account
Carriage account
Both plant account and carriage account
Trading account
Question No: 27 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. A recorded in the purchases book?
Sales account
Purchase account
A s account and Sales account
Sales account, purchase account and A s account
Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr. P wrongly credited to Mr. Q s account?
Only Cash Account

www.vustudents.net

Only P s account
Only Q s account
Both of Mr. P's & Mr.Q's Account
Question No: 29 (Marks: 1) - Please choose one
Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?
Bank Account (Dr.) and Debtor's Account (Cr.)
Debtor's Account (Dr.) and Bank Account (Cr.)
Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
Creditor's Account (Dr.) and Bank Account (Cr.)
Question No: 30 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?
Rs. 3,600
Rs. 4,000
Rs. 1,600
Rs. 2, 400
Question No: 31 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,500

Provision for doubtful debts be increases by 5%
What will be the amount of new provision
?
Rs. 2,225
Rs. 2,425
Rs. 1,925
Rs. 3,025
Question No: 32 (Marks: 1) - Please choose one
The main objective of financial reporting is to provide:
Essential information to internal users of financial reports.
Useful economic information about the business to the external parties for sound financial decisions.
Information to internal users about the cash position of the business.
Information to the Securities Exchange Commission (SEC).
Question No: 33 (Marks: 1) - Please choose one
Which of the following is
NOT correct about income tax?

Different companies pay tax on different rates
It is treated as an expense and debited in Profit & Loss account
When financial statements are prepared, an estimate of expected tax liability is made
It is treated as an expense and credited in Profit & Loss account
Question No: 34 (Marks: 1) - Please choose one
An asset is considered to be a current asset if:
It has been bought recently and was bought new and not used
It can be realized in cash or sold or consumed in the business within one year
It is a piece of new machinery that is expected to last for at least ten years
All of the given options
Question No: 35 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of capital account of sole proprietor?
Cash
Drawings
Debtors

www.vustudents.net

Profit
Question No: 36 (Marks: 1) - Please choose one
In which type of a business, the owner and his business are considered same in the eyes of law?
Sole proprietorship
Public companies
Limited companies
Listed companies

Question No: 37 (Marks: 1) - Please choose one
When closing stock is given in trial balance, then it will effect:
Trading account only
Balance sheet only
Owner's equity only
Both Trading account and Balance sheet

Question No: 38 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?
Total assets employed
Total liabilities
Total assets
Current assets

Question No: 39 (Marks: 1) - Please choose one
Which of the following statements is
NOT TRUE about the partnership form of business?

A partnership is a business run by two or more persons
A partnership business is easy to set up
Each partner is liable under the law for the actions of other partners
In the absence of agreement, partners will be paid salaries

Question No: 40 (Marks: 1) - Please choose one
Which of the following statement is
TRUE
about the partnership form of
business?
Partners must have to share their profits in equal proportion
Partners are personally liable for the liabilities of the business
Partnerships must make their accounts available to the general public
Partnership agreement in writing is called Partnership deed
Question No: 41 (Marks: 1) - Please choose one
Which of the following are the owners of a company?
Proprietors
Partners
Shareholders
Managers
Question No: 42 (Marks: 1) - Please choose one
The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:
Subscribers
Shareholders
Managers
Directors
Question No: 43 (Marks: 1) - Please choose one
A _____ business is one in which income is generated by the resale of bought Products.
Manufacturing
Merchandising
Sole Proprietorship
Partnership
Question No: 44 (Marks: 1) - Please choose one

www.vustudents.net

In which of the following auditor s remuneration payable is shown?

In balance sheet under the head of current liabilities only
In balance sheet under the head of current assets only
In income statement under the administrative expense only
In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 45 (Marks: 1) - Please choose one
Which of the following document(s) define the relation of company with outside world?
Prospectus
Statutory Declaration
Memorandum of Association
Articles of Association
Question No: 46 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?
Memorandum of Association
Articles of Association
Prospectus
Annual Report
Question No: 47 (Marks: 1) - Please choose one
What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?
It will be treated in Income Statement only
It will be treated as current liability in balance sheet only
It will be treated in profit and loss appropriation account only
it will be treated in both profit and loss appropriation account and in the balance sheet

Question No: 48 (Marks: 1) - Please choose one
Which of the following ratio tells about How a company would repays its loans
Mark up cover ratio
Acid test ratio
Current ratio
Debt Equity ratio
Question No: 49 (Marks: 1) - Please choose one
If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?
Rs. 98,000
Rs. 147,000
Rs. 245,000
Rs. 343,000
Question No: 50 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:
Decrease assets and liabilities.
Increase assets and stockholders' equity.
Decrease assets and stockholders' equity.
Increase liabilities and decrease stockholders' equity.

Question No: 51 (Marks: 5)
You are required to pass rectifying entries of the following errors:
1. Received cash Rs. 500 from Mr. "B" entered as Rs. 300 in the cash book.
2. A cash sale of Rs. 600 has completely omitted to be recorded in the books.
3. Goods worth Rs. 200 were returned to Mr. Kamran but no entry was passed in the books.

Question No: 52 (Marks: 10)
Prepare profit & loss Appropriation account with the help of given data and show

www.vustudents.net

capital accounts and current account in balance sheet for XY Z & Sons
Particulars Rs.
Net profit for the year 600,000
Opening balance of Capital X:400,000
Y: 250,000
Z: 300,000
Drawings during the year X: 100,000
Y: 150,000
Z: 125,000
Salaries are to be paid X: 12,000
Y:20,000
Z:15,000
Opening Balance of current
X: 50,000
account
Y: 60,000
Z: 45,000
Mark up rate on capital 5%
Mark up rate on drawings 5%
Profit sharing ratio for X:Y:Z 30: 25:45
It is assumed that no capital introduced during the year

Question No: 53 (Marks: 10)
Following information is extracted from the books of Mr. Ali and Mr. Babar for the year 2007.
Particulars Rs.
Fixed Asset at WDV 529,500
Material 31-12-2007 188,000
Work in process 31-12-2007 178,000
Finished Goods 31-12-2007 198,000
Debtors 160,000
Bank 7,000
Creditors 100,000
Expenses payable 15,000
Profit for the year A:80,000
B:70,000
Drawings for the year A:10,000
B:15,000
Capital A:400,000
B: 350,000
Current Account A: 13,000
B:10,000
Long term loans 2,27,500
You are required to prepare Balance Sheet as on 31
December 2007. Show
st
complete working.
Question No: 54 (Marks: 10)
The following errors have been discovered in the book of a Business Concern:
1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.
Required:
Pass the rectifying entries only.

Paper no 27
Solved by Chanda Rehman & ABr

www.vustudents.net

FINALTERM EXAMINATION
fall 2008
MGT101- Financial Accounting (Session - 2)
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:
Separate Entity Concept
Matching Concept
Going Concern Concept
Materiality Concept

Question No: 2 (Marks: 1) - Please choose one
What would be the affect on the components of the accounting equation, if goods are purchased on cash?
Increase in cash and decrease in equity
Increase in cash and increase in goods
Increase in goods and decrease in cash
Increase in equipment and increase in equity

Question No: 3 (Marks: 1) - Please choose one
Which of the following is an example of business liability?
Land
Building
Cash
Capital

Question No: 4 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?
Mr. B / Accounts Receivable account (Dr) and Sales account (Cr)
Cash account (Dr) and sales account (Cr)
Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)
Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

Question No: 5 (Marks: 1) - Please choose one
Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?
Cash account
Mr. Mahood account
Sales account
Purchases account

Question No: 6 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?
Rs. 15,000
Rs. 35,000
Rs. 55,000
Rs. 60,000

Question No: 7 (Marks: 1) - Please choose one
Which one of the following is CORRECT about the closing stock?
It appears in the assets side of a balance sheet
It decreases the value of cost of goods sold
It becomes opening stock of next year
All of the given option

www.vustudents.net

Question No: 8 (Marks: 1) - Please choose one
A decrease in value of a fixed asset due to age, wear and tear is known as:
Depreciation
Accumulated Depreciation
Appreciation
Written Down Value

Question No: 9 (Marks: 1) - Please choose one
Cost of asset Rs. 1,00,000
Life of asset 5 years
Depreciation for the each year Rs. 5,000
Sale price after 5 years Rs.15,000
Written Down Value of Asset on 5th year Rs. 75,000
Profit or loss on disposal of fixed asset?
Rs. 60,000 loss
Rs. 75,000 profit
Rs. 25,000 loss
Rs. 1, 00,000 profit

Question No: 10 (Marks: 1) - Please choose one
Particulars Rs.
Opening stock of raw material 100,000
Closing stock of raw material 80,000
Purchases of raw material during the 200, 000 period
Cost of Material Consumed
?
Rs. 205,000
Rs. 215,000
Rs. 220,000
Rs. 225,000

Question No: 11 (Marks: 1) - Please choose one
If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?
Any cheque drawn to creditor but not paid by bank
Interest credited by the bank in pass book
Cheque deposited but not credited by the bank
Dividend collected by bank on behalf of the customer

Question No: 12 (Marks: 1) - Please choose one
Unfavorable Bank Balance means:
Credit balance in cash book
Credit balance in pass book
Debit balance in cash book
All of the given options

Question No: 13 (Marks: 1) - Please choose one
Stock of Trading concern consists of:
Raw material
Work in process
Merchandise inventory
All of the given options

Question No: 14 (Marks: 1) - Please choose one
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:
Appreciation
Depreciation
Fluctuation
None of the given options

www.vustudents.net

Question No: 15 (Marks: 1) - Please choose one
Depreciable value of an asset is equal to:
Cost + scrap value
Cost + market price
Cost scrap value
None of the given options

Question No: 16 (Marks: 1) - Please choose one
Which of the following is NOT a function of bank reconciliation statement?
To reconcile the difference between the cash book and the bank statement
To check for errors in balance sheet
To update omitted entries into the cash book
To update omitted entries into the bank statement

Question No: 17 (Marks: 1) - Please choose one
Which of the following would be deducted from Sundry Debtors in Balance Sheet?
Bad debts (Trial balance item)
Old provision for doubtful debts
New provision for doubtful debts
Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 18 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?
Sales Day Book
Sales Return
Debtors Ledger
All of the given options

Question No: 19 (Marks: 1) - Please choose one
A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:
Increase the net profit by Rs.200
Decrease the profit by Rs.200
Remains constant and no effect on net profit
There is no relation between debtor and profit

Question No: 20 (Marks: 1) - Please choose one
Goods purchased from Mr. A for Rs. 2,000 passed through the sales book. The rectification of error will result in:
Increase of gross profit
Decrease of gross profit
Remains constant and no effect on net profit
There is no relation between goods purchased and gross profit

Question No: 21 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of Carriage paid Rs.50 for the newly purchased machinery mistakenly debited to carriage account?
Only machinery account
Only carriage account
Both carriage and machinery account
Only cash account

Question No: 22 (Marks: 1) - Please choose one
Which of the following rectifying entry will be recorded, if sales to Mr. A of Rs.336 have been debited to Mr. B account?
A s account (Dr.) and B s account (Cr.)
B s account (Dr.) and A s account (Cr.)
Sales account (Dr.) and B s account (cr.)
B s account (Dr.) and Sales account (Cr.)

Question No: 23 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?
Cash Account
Sales Account
Purchase Account
Office Equipment Account

Question No: 24 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.
Particulars Rs.
Bad debts (from trial balance) 1,600
Provision for doubtful debts (old) 2,000
Current year s provision (new) 1,000
Rs. 600
Rs. 1,000
Rs. 2,000
Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.
Particulars Rs.
Bad debts 3,500
Provision for doubtful debts (old) 6,000
Current year s provision (new) 1,500
Rs. (1,000)
Rs. 1,000
Rs. (5,000)
Rs. 5,000

Question No: 26 (Marks: 1) - Please choose one
Which of the following is the first phase of the typical operating cycle?
Sell goods and services to customers
Purchase goods and services
Receive cash from customers
Pay cash to suppliers

Question No: 27 (Marks: 1) - Please choose one
Which of the following is normally treated as the last expense listed in the income statement of a company?
General and administrative expenses
Salaries and wages expense
Income tax expense
Interest expense

Question No: 28 (Marks: 1) - Please choose one
Wages paid to laborers working in the manufacturing department is treated as an expense of:
Cost of goods sold
Administrative expenses
Selling expenses
Marketing expenses

Question No: 29 (Marks: 1) - Please choose one
The Balance Sheet item that represents the resources invested by the owner is known as:
Accounts Receivable
Cash
Note Payable
Owner's Equity

www.vustudents.net

Question No: 30 (Marks: 1) - Please choose one
Which of the following will be debited, if cash is drawn by Proprietor?
Proprietor s drawings
Proprietor s cash
Proprietor s capital
Proprietor s income

Question No: 31 (Marks: 1) - Please choose one
When closing stock is given in trial balance, then it will effect:
Trading account only
Balance sheet only
Owner's equity only
Both Trading account and Balance sheet

Question No: 32 (Marks: 1) - Please choose one
Which of the following account will be credited when interest on capital is charged against the distribution of profit?
Interest account
Partner s capital account
Profit and Loss account
Profit and loss appropriation account

Question No: 33 (Marks: 1) - Please choose one
Which of the following is(are) type(s) of capital account in partnership?
Fixed Capital
Current Capital
Fluctuating Capital
Both Fixed Capital and Fluctuating Capital

Question No: 34 (Marks: 1) - Please choose one
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?
Sole-ownership
Private limited company
Public limited company
Partnership

Question No: 35 (Marks: 1) - Please choose one
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.
Fixed Capital Account
Current Account
Fluctuating Capital Account
Floating Capital Account

Question No: 36 (Marks: 1) - Please choose one
The Joint Stock Company is formed under the Companies Ordinance:
1984
I884
1948
1965

Question No: 37 (Marks: 1) - Please choose one
The maximum amount with which the company is registered is called:
Authorized Share Capital
Issued Share Capital
Paid up capital
Called up capital

Question No: 38 (Marks: 1) - Please choose one

www.vustudents.net

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.
Companies ordinance 1984
Contract act 1872
Sales of Goods act 1930
None of the given options

Question No: 39 (Marks: 1) - Please choose one
Which of the following account will be debited if shares issued against cash?
Share premium account
Cash account
Share capital account
Profit and loss account

(entry is :

Cash account Dr
Share premium (if any) Cr
Share capital account Cr)

Question No: 40 (Marks: 1) - Please choose one
Which of the following option(s) is TRUE about the Sales returns?
Sales returns reduce the Gross sales of the firm
Sales returns affect the Net income of the firm
Sales returns affect the flow of cash
All of the given options

Question No: 41 (Marks: 1) - Please choose one
Merchandise on hand at either the beginning or end of the reporting period is called_____.
Raw material
Cost of good sold
Work in process
Inventory

Question No: 42 (Marks: 1) - Please choose one
Which of the following is (are) shown as notes to the accounts.
Nature of the business of the company
Accounting polices of the business
Details and explanations of items given in Balance Sheet
All of the given options

Question No: 43 (Marks: 1) - Please choose one
If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:
Capital Reserve
Authorized share capital
Paid up share capital
Share premium

Question No: 44 (Marks: 1) - Please choose one
Which of the following documents contains rules and regulations for internal management of the company?
Memorandum of Association
Articles of Association
Prospectus
Statutory Declaration

Question No: 45 (Marks: 1) - Please choose one
Mark up cover ratio = operating profit before financial charges ÷?
Selling expenses
Administrative expenses

www.vustudents.net

Financial charges
Direct expenses

Question No: 46 (Marks: 1) - Please choose one
Which of the following ratio tells about How a company would repays its loans
Mark up cover ratio
Acid test ratio
Current ratio
Debt Equity ratio

Question No: 47 (Marks: 1) - Please choose one
Particulars Rs.
Debentures 1, 50, 000
Equity Capital 2, 00,000
General Reserve 90, 000
Accumulated profit 60,000
What is debt equity ratio ?
15: 20 (or 3:4)
15:24 (or 5: 8)
15:29
15:35 (or 3: 7)

Question No: 48 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?
In case of death of partner
At the admission of new partner
If any partner resigned from partnership
All of the given options

Question No: 49 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.
Rs. 98,000
Rs. 1, 47,000
Rs. 2, 45,000
Rs. 3, 43,000

Question No: 50 (Marks: 1) - Please choose one
Which of the following item will be credited in capital account of sole proprietor?
Cash
Drawings
Debtors
Profit

Paper no 28
Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 1)

Ref No: 1195859
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one
Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

► Partnership

www.vustudents.net

► Company

► Sole proprietorship

► None of the given options

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

► Receiving of benefits
► It has no effect on business
► **Providing of benefits**
► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity
► Increase in cash and increase in goods
► **Increase in goods and decrease in cash**
► Increase in equipment and increase in equity

Question No: 4 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account
► **Left or debit side of the account**
► Left or credit side of the account
► Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► **Current assets**
► Fixed assets
► Capital assets

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

► **Bank Overdraft**
► Accounts Receivable
► Notes Receivable
► Prepaid Expenses

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true about the Journal voucher?

www.vustudents.net

► **Financial data is picked only from Journal vouchers to Journal**
► These are used to record all transaction other than cash & bank
► These are used to make corrections or adjustments to previous Receipts
► Format of Journal voucher is different from other vouchers

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is **CORRECT** about the closing stock?

► It appears in the assets side of a balance sheet
► It decreases the value of cost of goods sold
► It becomes opening stock of next year
► **All of the given option**

Question No: 10 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► Conversion cost
► **Prime cost**
► Total factory cost
► Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► **Rs. 965**
► Rs. 992

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► **Rs.260**
► Rs.232
► Rs.284
► Rs.268

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► **They improve the financial position of the business**
► They reduce the profit of the concern

www.vustudents.net

► They do not appear in the balance sheet

Question No: 14 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

► **A memorandum statement**
► A ledger account
► A part of cash book
► A part of journal

Question No: 15 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

► Current assets
► Liquid assets
► Floating assets
► **Fixed assets**

Question No: 16 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
► **Capital account**

Question No: 17 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► **All of the given options**

Question No: 18 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 19 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► **Subsidiary Ledgers** **doubted**
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► **All of the given options**

www.vustudents.net

Question No: 21 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 22 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 3,080
- ► **Rs. 5,480**

Question No: 24 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

- ► **Debtor's Control Account**
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a selling expense?

- ► Interest on deposits
- ► Any tax/freight is paid on purchases
- ► General salaries paid to laborers
- ► **Tax & freight paid on sale**

Question No: 26 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

- ► Cash
- ► **Drawings**
- ► Debtors
- ► Profit

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.

Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► **Rs. 1, 08,000**

Question No: 28 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► **Memorandum of Association**
► Articles of Association
► Prospectus
► Annual Report

Question No: 30 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

► None of the given options
► General reserve
► **Accumulated profit and loss (credit balance)**
► Revaluation reserves

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a common way to evaluate a company's performance?

► Compare this year's performance of the company to a prior year's performance of the company.
► Compare the company's performance to the industry's performance.
► Compare the company's performance to the performance of a competing company.
► **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets**
► Overstating current Liabilities
► Understating current Assets
► Understating current assets and overstating current liabilities

Question No: 33 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► **Rs. 1, 47,000**
► Rs. 2, 45,000
► Rs. 3, 43,000

Question No: 34 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

www.vustudents.net

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

► Rs.200
► **Rs. 600**
► Rs. 800
► Rs. 1,700

Question No: 35 (Marks: 1) - Please choose one

An overdraft will appear as:

► A debit balance in both the bank statement and the cash book
► A credit balance in the bank statement but as a debit balance in the cash book
► **A credit balance in the cash book but as a debit balance in the bank statement**
► A credit balance in both the bank statement and the cash book

Question No: 36 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

► Profit and loss account
► Bad debt account
► Debtor account
► Creditor account

Question No: 37 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

► Debit stock account and credit creditors account
► **Debit creditors account and credit cash account**
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 38 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

► Rs. 2,000
► Rs. 3,000
► **Rs. 30,000**
► Rs. 150,000

Question No: 39 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► Left side or debit
► Left side or credit
► Right side or debit
► **Right side or credit**

Question No: 40 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission
► Allowance
► **Discount**
► Rebate

www.vustudents.net

Question No: 41 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

- ► Revenue
- ► **Net income**
- ► Expense
- ► Liability

Question No: 42 (Marks: 1) - Please choose one

Which of the following is increased when an asset is converted into expense in adjustment?

- ► Revenue
- ► Net income
- ► **Expense**
- ► Liability

Question No: 43 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► **Contra asset**
- ► Liability

Question No: 44 (Marks: 1) - Please choose one

Prepaid insurance will become an expense as the prepaid amount _____.

- ► Expires
- ► **Adjust**
- ► Paid
- ► Regulate

Question No: 45 (Marks: 1) - Please choose one

Adjusting costs are reported as:

- ► Revenues
- ► **Expenses**
- ► Assets
- ► Net Income

Question No: 46 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

- ► Insurance payable
- ► **Prepaid insurance**
- ► Advance payment account
- ► Insurance expense

Question No: 47 (Marks: 1) - Please choose one

Profit and loss sharing in partnership must be based on which of the following:

- ► Service to the partnership
- ► Capital contribution
- ► **Any profit-and-loss-sharing method partners desire**
- ► A stated fraction

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► **Rs.44,150**
- ► Rs.41,600
- ► Rs.40,850

www.vustudents.net

Net Profit = 85 000
Intrest on Drawings = 1500 + 1800 = 3300
Total Profit of the firm = 85 000 + 3300 = 88 300
Profit of B = 88 300 / 2 = 44150

Question No: 49 (Marks: 1) - Please choose one

Which of the following is quoted company?

- ► Private Limited Company
- ► Public Limited Company
- ► **Listed company**
- ► Non Listed Company

Question No: 50 (Marks: 1) - Please choose one

For which of the following share premium can be utilized?

- ► To write off preliminary expenses
- ► To meet the expenses of issue of shares
- ► To issue bonus shares
- ► **All of the given options**

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to meet the expenses of issue of shares?

- ► Reserves
- ► Debentures
- ► **Share premium**
- ► Term finance certificate

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

- ► Issued capital
- ► Subscribed capital
- ► **Authorized capital**
- ► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► **Statement of cash flows**
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

- ► Short-term liquidity
- ► **Creditors' long term risk**
- ► Short-term risk of the company
- ► All of the given options

Question No: 55 (Marks: 3)

What do you know about the Profit and loss appropriation account in case of partnership?

Profit and loss appropriation account contains the information regarding the amount of profit distributed to the partner's current account.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000

www.vustudents.net

Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

	Plant & Machinery	Buildings	Tools & Equipment	Total in Rs.
Cost	53,000	35,000	8,650	96,650
Depreciation	(5,300)	(1,750)	(1,297.5)	8,347.5
W.D.V	47,700	33,250	7,352.5	88,302.5

Question No: 57 (Marks: 5)

Briefly discuss the followings:

1. Issuance of shares at premium

Issuance of shares for an amount more than its face value is known issuance of shares at premium.

2. Cash flow statement

Cash flow statement is a part of financial statements; it contains the information regarding the cash generated by (used in) operating, investing and financing activities.

3. Debentures

Debentures are issued by the companies to raise finance. Normally, the carry a fixed rate of return.

4. Notes to the accounts

Notes to the accounts are a part of financial statements, which contains the detail about the Company, accounting policies used, critical judgment areas and detail of certain account heads of balance sheet and profit and loss account along with the detail of contingencies and commitments, if any.

Question No: 58 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses

Accrued expenses or outstanding expenses are shown as a current liability in the Balance Sheet second effect goes to the expenses in the Trading & Profit and Loss account .

Double entry:

Expenses a/c

Accrued Expenses a/c

b. Prepaid Expenses or Unexpired Expenses

Prepaid expenses are shown as a current asset in the balance sheet and second effect goes to cash and bank account in the Balance Sheet.

www.vustudents.net

Double entry:

Prepaid expenses a/c
Cash and Bank a/c

c. Accrued Revenue or Revenue Receivable

Accrued revenue is shown as a current asset in the balance sheet and second effect goes to revenue account in the Trading & Profit and Loss account.

Double entry:

Accrued revenue a/c
Revenue a/c

d. Unearned Revenue or Revenue Received in Advance

Unearned revenue is shown as a current liability in the Balance Sheet corresponding effect goes to cash and bank account in the balance Sheet.

Double entry:

Cash and Bank a/c
Unearned revenue a/c

e. Depreciation of Asset

Depreciation is shown as an expense in the Trading & Profit and Loss account and the corresponding effect goes to provision of depreciation in the balance sheet.

Double entry:

Depreciation expense a/c
Provision for depreciation a/c

Question No: 59 (Marks: 10)

Mr. A, Mr. B and Mr. C entered into partnership on 1st January 2007 contributing Rs.15, 000, Rs.10, 000 and Rs.18, 000. Mr. A invested Rs.6, 000 as additional capital on 1st May, Mr. B brought additional capital of Rs.4, 000 on 1st October and Mr. C brought additional capital of Rs.8, 000 on 1st October. They earned a profit of Rs.10, 500 during the year. Profits are to be shared in their capital ratio. Calculate partners share of profit and pass the necessary journal entry. Financial year ends on 31st December.

Contributed on	Mr. A	Mr. B	Mr. C	Total in Rs.
January 01, 07	15,000	10,000	18,000	43,000
May 01, 07	6,000	--	--	6,000
October 01, 07	--	4,000	--	4,000
October 01, 07	--	--	8,000	8,000
	21,000	**14,000**	**26,000**	**61,000**

Sharing percentage	**34.43%**	**22.95%**	**42.62%**	**100%**
Share of profit	**3,615**	**2,410**	**4,475**	**10,500**

	Dr (Rs.)	Cr. (Rs.)

www.vustudents.net

Profit for the year	10,500	
Partner's account Mr. A Mr. B Mr. C		 3,615 2,410 4,475
	10,500	**10,500**

Paper no 29

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 3)

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► Both cash and accrual accounting
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

- ► Increase in an asset, increase in owner's equity
- ► Increase in an asset, increase in a liability
- ► Decrease in an asset, decrease in owner's equity
- ► Decrease in an asset, decrease in a liability

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 4 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- ► Income Statement
- ► Balance Sheet
- ► Trial Balance
- ► Cash Book

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

- ► Added in liabilities
- ► Subtracted from current assets
- ► Subtracted from liabilities
- ► Subtracted from capital

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 8 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

- ► Depreciation
- ► Accumulated Depreciation
- ► Appreciation
- ► Written Down Value

Question No: 9 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► Capital expense
- ► Administrative expense
- ► Operating expense

Question No: 10 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revaluation of fixed assets?

- ► Revaluation should be made after regular intervals
- ► Change in value should be permanent
- ► Only relevant asset should be revalued in the whole class of asset
- ► The profit or loss will be transferred to revaluation account

Question No: 12 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

- ► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
- ► Correct errors in the Cash Book or errors in the Bank Statement

www.vustudents.net

► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account
► A current account
► A saving account
► All of the given options

Question No: 14 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment
► The bank has not yet notified to Mr. Terry about a dishonoured cheque
► A credit transfer into Terry's Bank Account
► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 15 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► It is a definite loss to the business
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c
► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

www.vustudents.net

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

http://www.vustudents.net

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet
► It is a reduction from assets
► It is prepared for specific purposes
► All of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► Sole traders do not need to consult accountants
► Sole traders must register the name of their business with the Registrar of Companies
► All of the given options
► A sole trader is liable to pay income tax on his/her earnings

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account
► It will be treated as a current asset in Balance Sheet
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 24 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

► Balance Sheet
► Profit & Loss Account
► Trading Account
► Both Balance Sheet and Profit & Loss Account

Question No: 25 (Marks: 1) - Please choose one

What will the effects on financial statements, if machinery is depreciated @ 10%?

► It will be treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only
► It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

www.vustudents.net

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products

► A merchandising company must use the perpetual system to account for merchandising inventory

► A merchandising company's business is to provide services

► A Sugar Mill is an example of a merchandising company

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000

► Rs. 60,000

► Rs. 38,000

► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements is **NOT TRUE** about the partnership form of business?

► A partnership is a business run by two or more persons

► A partnership business is easy to set up

► Each partner is liable under the law for the actions of other partners

► In the absence of agreement, partners will be paid salaries

Question No: 29 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account

► Partner's capital account

► Profit and Loss account

► Profit and loss appropriation account

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

A new long-term loan taken out to finance the purchase of fixed assets

Salaries paid

Interest paid on a long-term bank loan

The cost of purchasing a patent

Question No: 31 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

► Operating activities doubted

► Financing activities

► Investing activities

► None of the given options

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets

► Long-term deposit

► Financial charges paid

► Dividend paid no idea

www.vustudents.net

Question No: 33 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 34 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

- ► Stock
- ► Cash
- ► Debtors
- ► Bills Receivable

Question No: 35 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

- ► Mark up cover ratio not sure
- ► Acid test ratio
- ► Current ratio
- ► Debt Equity ratio

Question No: 36 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

- ► Rs. 8,000
- ► Rs. 92,000
- ► Rs. 62,500
- ► Rs. 300,000

Question No: 37 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- ► It may treated as a deficit
- ► It may treated as a surplus
- ► It may treated as a revenue
- ► None of the given options not sure

Question No: 39 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Classify and summarize financial information
- ► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Which one of the following vouchers is used to record the non-cash transactions?

www.vustudents.net

► Journal Vouchers
► Receipt Vouchers
► Payment Vouchers
► Nominal Vouchers

Question No: 41 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► Rs. 5,500
► Rs. 8,000
► Rs. 4,500
► Rs. 8,500

Question No: 42 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

► Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 43 (Marks: 1) - Please choose one

When we close bad debts account, which of the following account is credited?

► Profit and loss account
► Bad debt account
► Debtor account
► Provision for bad debt account

Question No: 44 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

► Net realizable value is understated
► Expenses are understated
► Revenues are understated
► Receivables are understated

Question No: 45 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► 3:1

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

► Unlimited liability
► Single tax filing
► Difficult ownership resale
► Raising capital

Question No: 47 (Marks: 1) - Please choose one

Which of the following is used to convert accounting information from the cash basis of accounting to the accrual basis of accounting?

► Ledger

www.vustudents.net

► Journal entries
► Adjusted entries
► Trial balance

Question No: 48 (Marks: 1) - Please choose one

Unexpired costs are reported as:

► Revenues
► Expenses
► Assets
► Income

Question No: 49 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

► Salary
► Wages
► Income
► Profit

Question No: 50 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

► Income tax payable
► Prepaid income tax
► Income tax expense
► Income tax paid

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

With reference to the statement of cash flows the transactions involving production and delivering goods or providing services must be classified as:

► Business activities
► Operating activities
► Financing activities
► Investing activities

Question No: 54 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery
► Capital invested by the owners
► Purchase of building for the business use
► Cash received from the disposal of equipment

Question No: 55 (Marks: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

www.vustudents.net

Question No: 56 (Marks: 5)

Differentiate the following terms and also mention how these are treated in financial Statements.

- Carriage inwards and carriage outwards
- Returns inwards and returns outwards

Question No: 57 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	100,000

Additional information

The authorized capital is Rs. 5,000,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2500,000.

You are required to calculate Share holders equity

Question No: 58 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	

www.vustudents.net

Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

Paper no 30
Solved by Chanda Rehman, Nomi chakwal, ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 4)

Ref No: 1195706
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Word "Credit" is derived from _____ language.

► Latin
► English
► French
► Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 3 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

► Negative Balance
► Debit Balance
► Positive Balance
► Credit Balance

Question No: 5 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies
► Private limited companies
► Partnership firms
► All of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

www.vustudents.net

► Cash account
► Business account
► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► Rs. 5,000
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

► Profit and loss account
► Balance sheet
► Statement of financial position
► All of the given options

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► Conversion cost
► Sunk cost
► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

► Name of organization
► Bank receipt
► Debit amount
► Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

► Book-keeping
► Accounting
► Auditing
► All of the given options

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► Physical wear and tear
► All of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

www.vustudents.net

► Bad debt recovered a/c
► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

► Double entry book keeping system
► Single entry book keeping system
► Cash accounting system
► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)
► Discount Received (Dr) and Creditors A/c (Cr)
► Creditors Control A/c (Dr) and Discount Received (Cr)
► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000
► Rs. 9,000
► Rs. 10,000
► Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

www.vustudents.net

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

► Only sales account
► Only A's account
► Only cash account
► Both sales account and A's account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► Rs. 2,240
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

www.vustudents.net

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement
► A retained earnings statement
► An income statement
► A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

► Fixed assets
► Current liabilities
► Profit sharing ratio
► Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit
► Accounts receivable is a miscellaneous category that may include loans to employees
► Accounts receivable are more formal than notes receivable
► Accounts receivable are often called trade receivables

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

► Partner's capital account
► Interest account
► Partner's current account
► Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company
► Place of registered office of company
► Objective of the company
► All of the given options

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► Share premium account
► Share holder account
► Debtors control account
► Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

www.vustudents.net

► It will be deducted in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated as current asset in balance sheet only
► Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset
► Issue of debentures
► Cash from business operation
► Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► Rs. 2, 45,000
► Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus
► It may treated as a revenue
► None of the given options doubted

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► Cash Account & Capital Account
► Cash Account & Expense Account
► Capital Account & Revenue Account
► Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

► Customer's account
► Sales return account
► Goods account
► Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

www.vustudents.net

Expenditures incurred annually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures
- ► Deferred Expenditures doubted
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

- ► Doubtful debts
- ► Bad debts
- ► Provision for doubtful debts
- ► Loss

Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

- ► Cash
- ► Discount received
- ► Creditors
- ► Bank

http://www.vustudents.net

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

- ► Left side or credit
- ► Left side or debit
- ► Right side or debit
- ► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

- ► Error of commission
- ► Error of omission
- ► Error of original entry
- ► Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

- ► Depreciation expense
- ► Income tax expense
- ► Interest expense
- ► Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

- ► Title of financial statement
- ► Name of the person who prepares financial statement
- ► Period for which financial statement is prepared
- ► Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2

www.vustudents.net

► 3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► Revenue
► Net income
► Expense
► Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700
► Rs.95,300
► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2
► 3
► 5
► 7

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► Security and Exchange Commission of Pakistan
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To distribute among the share holders
► To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets
► Current liabilities and current assets
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as investing activity

www.vustudents.net

► Rs. 30,000 cash outflow as investing activity doubted
► Rs. 10,000 cash inflow as investing activity
► Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700

www.vustudents.net

Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

Stock as on 31st December, 2007

- Ø Raw material Stocks Rs. 31,000
- Ø Work in process Rs. 25,000
- Ø Finished Goods Rs. 53,900

Depreciation Rate:

- v Plant & Machinery is depreciated @ 10%
- v Buildings is depreciated @ 5%
- v Tools is depreciated @ 15%

Additional data

- v Reserve and bad debts is to be created at 5% on debtors.
- v Net Income for the year Rs. 75,000

Paper no 31

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 3)

Ref No: 1195700
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Income of the business includes:

► Cash sales only
► Credit sales only
► Credit purchases only
► **Both cash sales and credit sales**

Question No: 3 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► **General Journal**
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

The original book of entry, in which all vouchers are first recorded, is called:

www.vustudents.net

► **General Journal**
- ► General Ledger
- ► Trial Balance
- ► Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

- ► Pass Book
- ► **Cash Book**
- ► Purchase Book
- ► Sales Book

Question No: 6 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

- ► 1st January to 31st December
- ► 1st June to 31st May
- ► **1st July to 30th June**
- ► 1st October to 30th September

Question No: 7 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

- ► **Financial Statements**
- ► General Journal
- ► General Ledger
- ► Voucher

Question No: 8 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

- ► **General Ledger**
- ► Balance Sheet
- ► Profit and Loss Account
- ► Cash Flow Statement

Question No: 9 (Marks: 1) - Please choose one

The amount of salary paid to Mr. Sohail should be debited to:

- ► Mr. Sohail account
- ► **Salaries account**
- ► Cash account
- ► Drawings account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- ► **Rs. 5,000**
- ► Rs. 25,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 11 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

www.vustudents.net

► Rs. 15,000
► Rs. 35,000
► Rs. 55,000
► Rs. 60,000

Question No: 12 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► Rs.18, 800

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 15 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► **Physical wear and tear**
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

► Rs. 1, 02,885 other assets
► Rs. 1, 02,885 other liabilities
► Rs. 99,885 current liabilities
► Rs. 99,385 other assets

Question No: 17 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

www.vustudents.net

► Unpresented cheques
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 18 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

► Bank Account(Dr.) and Dividend Account (Cr.)
► XYZ Co. Account (Dr.) and Bank Account (Cr.)
► Dividend Account (Dr.) and Bank Account (Cr.)
► Bank Account (Dr.) and XYZ Co. Account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► Credit purchases
► Discount allowed

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► Both plant account and carriage account
► Trading account

Question No: 22 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► A’s account (Dr.) and B’s account (Cr.)
► B’s account (Dr.) and A’s account (Cr.)
► Sales account (Dr.) and B’s account (cr.)
► B’s account (Dr.) and Sales account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► Rs. 2,240
► Rs. 2,425
► Rs. 1,925

www.vustudents.net

► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

► Liquid asset
► Current asset
► Fixed asset
► Floating asset

Question No: 25 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► All of the given options are correct
► It means depreciation has already been deducted from concerned asset account
► It will be shown as an expense in income statement only
► It will not be deducted from concerned asset in Balance Sheet

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company
► Place of registered office of company
► Objective of the company
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► Cost of good sold
► Indirect cost
► Selling cost

www.vustudents.net

► Factory over head cost

Question No: 31 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 32 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

► Provision
► Current liability
► Reserves and surplus
► Current assets

Question No: 33 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000
► Rs. 215,000
► Rs. 195,000
► Rs. 200,000

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► Number of ordinary shares
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 36 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

► Stock
► Cash
► Debtors
► Bills Receivable

Question No: 37 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000

www.vustudents.net

Accumulated profit	60,000
What is debt equity ratio	**?**

- ► 15: 20 (or 3:4)
- ► 15:24 (or 5: 8)
- ► 15:29
- ► 15:35 (or 3: 7)

Question No: 38 (Marks: 1) - Please choose one

Normally the practice of Book Keeping under Single Entry System is followed by:

- ► Small businesses only
- ► Governments only
- ► Large scale businesses only
- ► Both small businesses and governments

Question No: 39 (Marks: 1) - Please choose one

In which of the following case the bank cannot refuse the payment?

- ► Stale cheque
- ► Bearer cheque
- ► Insolvency of the customer
- ► Post dated cheque

Question No: 40 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

- ► Discount received
- ► Goods returned
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 41 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

- ► Debit stock account and credit creditors account
- ► Debit creditors account and credit cash account
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 43 (Marks: 1) - Please choose one

What will be obtained from the Purchases Returns Book?

- ► Discount received
- ► Returns outward
- ► Credit purchases
- ► Discount allowed

Question No: 44 (Marks: 1) - Please choose one

Deferred cost is classified as:

- ► Current liability
- ► Current asset
- ► Non-current asset
- ► Non-current liability

Question No: 45 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following is increased when an asset is converted into expense in adjustment?

- ► Revenue
- ► Net income
- ► Expense
- ► Liability

Question No: 46 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► Contra asset
- ► Liability

Question No: 47 (Marks: 1) - Please choose one

Failure to record _____ will result in understates net income.

- ► Accrued expenses
- ► Expenses incurred
- ► Accrued revenues
- ► Accounts payable

Question No: 48 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ► A Rs.12,000 gain and a Rs.92,000 cash receipt
- ► A Rs.92,000 gain and a Rs.8,000 cash receipt
- ► A Rs.12,000 gain and a Rs.80,000 cash receipt
- ► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

- ► Rs.81,700
- ► Rs.88,300
- ► Rs.131,700
- ► Rs.146,700

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

- ► Rs.22,500
- ► Rs.25,500
- ► Rs.27,500
- ► Rs.55,000

Question No: 51 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.40,000
- ► **Rs.43,000**
- ► Rs.130,000
- ► Rs.133,000

Net Profit = 85 000
Add Intrest on Drawings = 3000
Less intrest on capital = 2000

www.vustudents.net

Total Profit of the firm = 85 000 + 3000 - 2000 = 86 000
Profit of B = 86000 / 2 = 43000

Question No: 52 (Marks: 1) - Please choose one

The value of a share as quoted on the stock exchange is known as:

- ► Book value
- ► Par value
- ► Market value
- ► Face value

Question No: 53 (Marks: 1) - Please choose one

Which of the following is not a measure of short-term liquidity?

- ► Current ratio
- ► Quick ratio
- ► Acid-test ratio
- ► Debt ratio

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	**Rs.**
Bad debts	3,600
Provision for doubtful debts (old)	8,500
Provision for doubtful debts (new)	1,500

Question No: 56 (Marks: 5)

What is the Purpose of Control Accounts?

Question No: 57 (Marks: 5)

Umer and Usman, both of whom are CPAs, form a partnership, with Umer investing Rs.100,000 and Usman, Rs.80,000. They agree to share net income as follows:

1. Salary allowances of Rs.80,000 to Umer and Rs.50,000 to Usman.
2. Interest allowances at 15 percent of beginning capital account balances.
3. Any partnership earnings in excess of the amount required to cover the interest and salary allowances to be divided 60 percent to Umer and 40 percent to Usman.

The partnership net income for the first year of operations amounted to Rs.247,000 before interest and salary allowances. Show how this amount should be divided between the two partners.

Question No: 58 (Marks: 10)

Following information are extracted from the books of XY and Sons for the year 2007.

Particulars	**Rs.**
Fixed Asset at WDV	529,500
Material 31-12-2007	188,000
Work in process on 31-12-2007	178,000
Finished Goods on 31-12-2007	198,000
Debtors	160,000

www.vustudents.net

Bank	7,000
Creditors	100,000
Expenses payable	15,000
Profit for the year	X:90,000 Y:80,000
Drawings for the year	X:10,000 Y:15,000
Capital	X:400,000 Y: 350,000
Current Account	X: 13,000 Y:10,000
Long term loans	2,27,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Question No: 59 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

Paper no 32

Solved by Chanda Rehman, Nomi chakwal ABr FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Ref No: 1195876
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

► For the year 2008 only
► For the last day of 10th year only

www.vustudents.net

► Over 10 years
► Nothing can be said about it

Question No: 3 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 4 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

► Profit & Loss account
► Income & Expenditure account
► Receipts & Payments account
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

► Public libraries
► NGOs
► Labor unions
► All of the given options

Question No: 7 (Marks: 1) - Please choose one

The favorable balance of Profit and Loss account should be:

► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Added in capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following entry will be recorded in the books of accounts for the goods returned to Mr. 'A'?

► Purchases return account (Dr) and Trading account (Cr)
► Mr.” A”/ creditor account (Dr) and purchases return account (Cr)
► Purchases return account (Dr) and Mr.” A” / creditor account (Cr)
► Mr.” A”/ creditor account (Dr) and Profit & Loss account (Cr)

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account
► Mr. Ali account

www.vustudents.net

► Cash account
► Sales account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs.1,00,000, sales are Rs. 300,000 and operating expenses Rs. 200,000 during the year. What would be the Gross Profit?

► Rs. 5,000
► Rs. 1, 00,000
► Rs.1, 05,000
► Rs. 2, 00,000

Question No: 11 (Marks: 1) - Please choose one

Partially completed products that are not yet ready for sale are known as:

► Raw material
► Work in process
► Finished goods
► Closing stock

Question No: 12 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► Conversion cost
► Prime cost
► Total factory cost
► Cost of goods manufactured

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Under the reducing balance method of depreciation:

► Amount of depreciation increases every year
► Amount of depreciation remains constant for every year
► Amount of depreciation decreases every year
► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

► Rs. 1, 29,000
► Rs. 1, 50,000
► Rs. 1, 21,000
► Rs. 71,000

Question No: 16 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt

www.vustudents.net

► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 1,540
► Rs. 3,940

Question No: 19 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► Both plant account and carriage account
► Trading account

Question No: 20 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

Question No: 21 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000
► Rs. 9,000
► Rs. 10,000
► Rs. 11,000

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600

www.vustudents.net

Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 24 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 25 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► Drawings
► Debtors
► Profit

Question No: 26 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account
► Partner's capital account
► Profit and Loss account
► Profit and loss appropriation account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is(are) type(s) of capital account in partnership?

Fixed Capital

www.vustudents.net

- Current Capital
- Fluctuating Capital
- Both Fixed Capital and Fluctuating Capital

Question No: 30 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- Fixed Capital Account
- Current Account
- Fluctuating Capital Account
- Floating Capital Account

Question No: 31 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?

- Listed company
- Non listed company
- Private limited company
- Both Listed Company and non listed company

Question No: 32 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- Name of company
- Place of registered office of company
- Objective of the company
- All of the given options

Question No: 33 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

- Share capital account
- Right share
- Share premium account
- Share holder account

Question No: 34 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- Share premium account
- Share holder account
- Debtors control account
- Creditor control account

Question No: 35 (Marks: 1) - Please choose one

Which of the following account will be debited if shares issued against cash?

- Share premium account
- Cash account
- Share capital account
- Profit and loss account

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

- Memorandum of Association
- Articles of Association
- Prospectus
- Annual Report

Question No: 37 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following documents contains rules and regulations for internal management of the company?

- ► Memorandum of Association
- ► Articles of Association
- ► Prospectus
- ► Statutory Declaration

Question No: 38 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

- ► Provision
- ► Current liability think this one
- ► Reserves and surplus
- ► Current assets

Question No: 39 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

- ► Its financial position at the end of an accounting period
- ► Its cash receipts and cash payments during an accounting period
- ► Its financial position at the start of an accounting period
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► Dividend issue in the current year
- ► Money received as result of selling fixed assets
- ► The difference between the valuations of old and new fixed assets doubted

Question No: 41 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 42 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 43 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 44 (Marks: 1) - Please choose one

Which of the following fixed asset is normally appreciated with the passage of time?

- ► Land
- ► Vehicles
- ► Furniture
- ► Machinery

www.vustudents.net

Question No: 45 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures doubted
- ► Deferred Expenditures
- ► None of the given options

Question No: 46 (Marks: 1) - Please choose one

Accounts receivables are shown in balance sheet at:

- ► Net realizable value
- ► Total collectible amount
- ► Current value
- ► Collected amount

Question No: 47 (Marks: 1) - Please choose one

Stock account is credited and creditors account is debited, which of the following is reflecting the statement?

- ► Discount received
- ► Goods returned
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 48 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

- ► Rs. 21,000
- ► Rs. 51,000
- ► Rs. 36,000
- ► Rs. 15,000

Question No: 49 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 50 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement?

- ► Balance sheet
- ► Audit report
- ► Income statement
- ► Cash flow statement

Question No: 51 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2
- ► 2:1

Question No: 52 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

www.vustudents.net

- ► Interest expense
- ► Interest payable
- ► Prepaid interest
- ► Interest paid

Question No: 53 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

- ► To write off preliminary expenses
- ► To meet the expenses of issue of shares
- ► To distribute among the share holders
- ► To issue bonus shares

Question No: 54 (Marks: 1) - Please choose one

Which of the following ratio cannot be computed for a period in which the company incurs a net loss?

- ► Acid-test ratio doubted
- ► Return on investment
- ► Price-earning ratio
- ► None of the given options

Question No: 55 (Marks: 3)

What are the benefits of subsidiary ledgers?

Answer:

When business expands the number of accounts and entries are also increased so to control the accounts in a better way subsidiary ledgers are used which give a good picture and vision of the account study and accountablility.

Following are the subsidiary ledgers used:

1. Sales Journals
2. Sales Returns
3. Debtors Ledgers

Question No: 56 (Marks: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:

Bank Overdraft is the form of loan taken from the bank when the amount is exceeding from specific limit, and bank deduct this overdraft amount when company's account debited, As this is the type of Loan and so company have to pay mark up as interest on the overdraft amount and depend upon the terms of agreement. In the financial statement the mark up is shown in Financial Expenses.

Question No: 57 (Marks: 5)

What will be the effects of given adjustments on the income statement and balance sheet?

	Income statement			**Balance sheet**		
Adjustment	Revenue	Expense	Net income	Assets	Liabilities	Owner's equity
Converting assets to expenses	**No effect**	**Increase**	**Decrease**	**Decrease**	**No effect**	**Decrease**
Converting liabilities to revenue	Increase	No Effect	NO Effect	No effect	Decrease	No effect
Accruing unpaid expenses	No effect	Decrease	No effect	No effect	Decrease	
Accruing uncollected revenue	Increase	No effect	increase	No effect	No effect	

Note: For better understanding an example is given above. Follow the format given in example.

Question No: 58 (Marks: 10)

Prepare Debtors and Creditors control account from the following data. Also work out their closing balances on June 30, 2009

June 1:	**Rs.**
Opening balance of Debtors	58,500
Opening balance of Creditors	70,000
Details of June:	
Total credit sales	44,700
Cheques and cash received	55,000
Purchase return	6,600
Total credit purchases	48,000
Discount received	2,200
Discount allowed	2,800
Cheques and cash paid	36,330

Creditors Control Account							
Debit Side				**Credit Side**			
Date	No.	Narration	Dr. Rs	Date	No.	Narration	Cr. Rs
		Purchase Return	6,600			B/F	70,000
		Discount Received	2,200			Purchase	48,000
		Cash/cheques Paid	36,330				
		C/f	72,870				
		Total	**1,18000**			**Total**	**118000**
Debtors Control Account							
Debit Side				**Credit Side**			
Date	No.	Narration	Dr. Rs	Date	No.	Narration	Cr. Rs
		B/f	58,500			Cash/Checque Rec	55,000
		Total Sale	44,700			Discount	28,00
						C/f	45,400
		Total	**10,3200**			**Total**	**10,3200**

Question No: 59 (Marks: 10)

From the given information as at June 30, 2007, calculate fixed assets at WDV and cost of goods sold as on June 30,2008.

Building at Cost	239,500
Equipment at Cost	22,000
Vehicles at Cost	45,000
Accumulated Dep. – Building	12,250
Equipment	7,000
Vehicles	13,900
Stock Opening Balance	58,725
Sales	247,500
Purchases	136,775
Carriage Inward	6,050
Vehicle Running Expenses	22,300

www.vustudents.net

Additional Information:

- Closing stock Rs. 70,050.
- Depreciation during the year
  - Building 6,000
  - Vehicles Rs 8,500
  - Equipment 4,000

Solution:

Cost of Goods Sold:

Opening Stock Balance		58,725
Add: Purchase	136,775	
Add: Carriage Inward	6,050	
Less: Closing Stock		(70,050)
Cost of Goods sold	**131,500 Rs.**	

Fixed Assets:

Building (12,250)	227,250
Vehicle (13,900)	31,100
Equipment (7,000)	15,000
Total	**273,350 Rs.**

Paper no 33

Solved by Chanda Rehman, & ABr

Question No: 1 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► **Asset**
- ► **Liability**
- ► **Revenue**
- ► **Deferred expense**

Question No: 2 (Marks: 1) - Please choose one

The net income calculated in the income statement for the accounting period is reported on:

- ► **Bank Statement**
- ► **Statement of retained earnings**
- ► **Statement of cash flows**
- ► **None of the given options**

Question No: 3 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- ► **Credit side of the partner's capital account**
- ► **Credit side of the partner's current account**
- ► **Debit side of partnership bank account**
- ► **Debit side of the partner's current account**

Question No: 4 (Marks: 1) - Please choose one

If one partner receives a salary which is credited to him at the end of the year, the share of profit available for distribution will be:

- ► **Increased**
- ► **Decreased**
- ► **Unchanged**
- ► **Changed and become negative**

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?

- **In case of death of partner**
- **At the admission of new partner**
- **If any partner resigned from partnership**
- **All of the given options**

Question No: 6 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

- Rs. 8,000
- **Rs. 92,000**
- **Rs. 62,500**
- **Rs. 300,000**

Question No: 7 (Marks: 1) - Please choose one
Current ratio may be increased by:

- Overstating current Assets
- **Overstating current Liabilities**
- **Understating current Assets**
- **Understating current assets and overstating current liabilities**

Question No: 8 (Marks: 1) - Please choose one
In which of the following interim dividend is treated?

- **In profit and Loss account**
- In profit and Loss appropriation account
- **On the asset side of the Balance Sheet**
- **In trading account**

Question No: 9 (Marks: 1) - Please choose one
The statement of changes in equity basically shows the movement of:

- **share capital during the year**
- **Capital reserves during the year**
- **Revenue Reserves during the year**
- **All of the given options not sure**

Question No: 10 (Marks: 1) - Please choose one
Which of the following can offer its share to general public at large?

- **A private limited company**
- A listed company
- **A partnership firm**
- **A trust**

Question No: 11 (Marks: 1) - Please choose one
The Joint Stock Company is formed under the Companies Ordinance:

- 1984
- **I884**
- **1948**
- **1965**

Question No: 12 (Marks: 1) - Please choose one

www.vustudents.net

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► **Fixed Capital Account**
► Current Account
► **Fluctuating Capital Account**
► **Floating Capital Account**

Question No: 13 (Marks: 1) - Please choose one
Which of the following account will be debited when the interest on drawings is charged?

► **Partner's capital account** correct
► **Interest account**
► **Partner's current account**
► **Profit & Loss account**

Question No: 14 (Marks: 1) - Please choose one
Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► **Interest account**
► Partner's capital account
► **Profit and Loss account**
► **Profit and loss appropriation account**

Question No: 15 (Marks: 1) - Please choose one
Which of the following statement is TRUE **about the partnership form of business?**

► **Partners must have to share their profits in equal proportion**
► **Partners are personally liable for the liabilities of the business**
► **Partnerships must make their accounts available to the general public**
► Partnership agreement in writing is called Partnership deed

Question No: 16 (Marks: 1) - Please choose one
Which of the following statements is NOT TRUE **about the partnership form of business?**

► **A partnership is a business run by two or more persons**
► **A partnership business is easy to set up**
► **Each partner is liable under the law for the actions of other partners**
► **In the absence of agreement, partners will be paid salaries**

Question No: 17 (Marks: 1) - Please choose one
Which of the following is TRUE **about the treatment of insurance paid in advance Rs. 13,000?**

► **It will be treated as an other income in Profit & Loss Account**
► It will be treated as a current asset in Balance Sheet
► **It will be treated as a current liability in Balance Sheet**
► **It will be treated as an accrued expense in Balance Sheet**

Question No: 18 (Marks: 1) - Please choose one
Which of the following is/are NOT **shown in balance sheet of sole proprietor?**

► **Fixed assets**
► **Current liabilities**
► Profit sharing ratio
► **Long term assets**

Question No: 19 (Marks: 1) - Please choose one
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

www.vustudents.net

► **Net income**
► **Net loss**
► **Dividends**
► **Retained earnings**

Question No: 20 (Marks: 1) - Please choose one
Which of the following is a selling expense?

► **Any tax/freight is paid on purchases**
► **General salaries paid to laborers**
► Tax & freight paid on sale
► **Interest on deposits**

Question No: 21 (Marks: 1) - Please choose one
Which of the following is NOT **an operating expense?**

► **Salaries and wages expense**
► **Rent expense correct**
► Interest expense
► **Depreciation expense**

Question No: 22 (Marks: 1) - Please choose one
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT **financial-statement classification?**

► **Row A**
► **Row B**
► Row C
► **Row D**

Question No: 23 (Marks: 1) - Please choose one
Which of the following is the first phase of the typical operating cycle?

► **Receive cash from customers**
► **Pay cash to suppliers**
► **Sell goods and services to customers**
► Purchase goods and services

Question No: 24 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► **Rs. 460**
► **Rs. 2,400**
► **Rs. 3,080 (wrong)**
► **Rs. 5,480 (correct)**

www.vustudents.net

Question No: 25 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- **Rs. 3,600**
- **Rs. 4,000**
- **Rs. 1,600**
- **Rs. 2, 400**

http://www.vustudents.net

Question No: 26 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- **Rs. 600**
- **Rs. 1,000**
- **Rs. 2,000**
- **Rs. 2,600**

Question No: 27 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

- **A's account only**
- **Sales account only**
- Purchase returns account and sales account
- **Purchases account only**

Question No: 28 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- **Error of principle**
- Error of omission
- **Error of commission**
- **Error of original entry**

Question No: 29 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

- Error of principle
- **Error of omission**
- **Error of commission**
- **Error of original entry**

Question No: 30 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

- **Plant account**
- **Carriage account**
- Both plant account and carriage account
- **Trading account**

www.vustudents.net

Question No: 31 (Marks: 1) - Please choose one
Which of the following entry will be passed to record discount received in control account?

► **Discount Received (Dr) and Creditors Control A/c (Cr)**
► **Discount Received (Dr) and Creditors A/c (Cr)**
► Creditors Control A/c (Dr) and Discount Received (Cr)
► **Creditors A/c (Dr) and Discount Received (Cr)**

Question No: 32 (Marks: 1) - Please choose one
Which of the following is shown on credit side of creditors control account?

► **Bills Receivable**
► **Return inwards**
► Credit purchases
► **Discount allowed**

Question No: 33 (Marks: 1) - Please choose one
It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

► **Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)**
► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► **Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)**
► **Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)**

Question No: 34 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

► Rs. 2,225
► **Rs. 2,525**
► **Rs. 1,925**
► **Rs. 3,025**

Question No: 35 (Marks: 1) - Please choose one
An overdraft will appear as:

► **a debit balance in the both the bank statement and the cash book.**
► **a credit balance in the bank statement but as a debit balance in the cash book.**
► a credit balance in the cash book but as a debit balance in the bank statement.
► **a credit balance in both the bank statement and the cash book.**

www.vustudents.net

Question No: 36 (Marks: 1) - Please choose one
Which one of the following is NOT **true for Profit & Loss Account?**

► **It shows whether a business has made a profit or loss over a financial year**
► **It shows the financial performance of a business for the period**
► **It shows revenues and expenses for the period**
► It is used to calculate surplus/deficit for a particular period

Question No: 37 (Marks: 1) - Please choose one
Which of the following is CORRECT **regarding depreciation?**

► It is a systematic allocation of depreciable amount of an asset over its estimated useful life
► **It refers to the end life of an asset**
► **It refers to the increase in value of asset**
► **It is another name of Impairment**

Question No: 38 (Marks: 1) - Please choose one
The total of all costs incurred to convert raw material into finished goods is known as:

► **Prime cost**
► Conversion cost
► **Sunk cost**
► **Opportunity cost**

Question No: 39 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► Rs. 5,000
► **Rs. 25,000**
► **Rs. 55,000**
► **Rs. 60,000**

Question No: 40 (Marks: 1) - Please choose one
"Electricity bill for the month is paid by Mr. Imran Rs. 325". What is the journal entry to record this transaction?

► **Cash a/c Rs. 325 (Dr.) , Utilities Expense a/c Rs. 325 (Cr.)**
► Utilities Expense a/c Rs. 325 (Dr.), Cash a/c Rs. 325 (Cr.)
► **Accounts Receivable a/c Rs. 325 (Dr.), Utilities Expense a/c Rs. 325 (Cr.)**
► **Utilities Expense a/c Rs. 325 (Dr.), Accounts Receivable a/c Rs. 325 (Cr.)**

Question No: 41 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if the cash is deposited in the bank?

► Bank account (Dr) and Cash account (Cr)
► **Cash account (Dr) and Bank account (Cr)**
► **Bank account (Dr) and Profit & Loss account (Cr)**
► **Cost of goods Sold account (Dr) and Bank account (Cr)**

www.vustudents.net

Question No: 42 (Marks: 1) - Please choose one
Which one of the following statement is CORRECT **about Long term liabilities?**

► **These are due within one year**
► These are consist of all debts, payable after 12 months
► **In working capital, these are deducted from current assets**
► **All of the given options**

Question No: 43 (Marks: 1) - Please choose one
A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► **Voucher**
► **Journal**
► **Trial balance**

Question No: 44 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

► **Right or debit side of the account**
► **Left or debit side of the account**
► **Left or credit side of the account**
► **Right or credit side of the account**

Question No: 45 (Marks: 1) - Please choose one
Obligations to pay cash or un-earned incomes by the business are the:

► **Assets**
► Liabilities
► **Equities**
► **Expenses**

Question No: 46 (Marks: 1) - Please choose one
Economic resources owned by a business and expected to benefit for the future operations are called:
► **Expenses**
► **Assets**
► **Capital**
► **Liabilities**

Question No: 47 (Marks: 1) - Please choose one
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► Cash & Capital Account
► **Cash & Expense Account**
► **Capital & Revenue Account**
► **Capital & Expense Account**

Question No: 48 (Marks: 1) - Please choose one
Income of the business includes:

► **Cash sales only**
► **Credit sales only**
► **Credit purchases only**
► **Both cash sales and credit sales**

Question No: 49 (Marks: 1) - Please choose one

www.vustudents.net

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► **For the year 2008 only**
- ► **For the last day of 10th year only**
- ► Over 10 years
- ► **Nothing can be said about it**

Question No: 50 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► **Accrual accounting only**
- ► **Cash accounting only**
- ► Both cash and accrual accounting
- ► **None of the given options**

Question No: 51 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000

Additional information

The authorized capital is Rs. 50, 00,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2, 500,000.

You are required to prepare calculate Share holders equity

Share holder equity will have Authorized capital, Paid up capital, General Reserves & Accumulated profit brought forward

Authorized capital = Rs. 50,00,000 divided into 500,000 shares of Rs. 10 each
Issued and paid up capital 2,500,000
General Reserve 40,000
Accumulated profit brought forward (Credit balance) 95,000

2500000 + 40000 + 95000 = 2635000

Question No: 52 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

The basic difference between a partnership and a limited company is the concept of limited liability.

1. **If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liabilities from their own wealth.**
2. **In case of limited company the shareholders don't lose anything more than the amount of capital they have contributed in the company. It points that personal wealth**

www.vustudents.net

is not at stake and their liability is limited to the amount of share capital they have contributed.

3. **The concept of limited company is to mobilize the resources of a large number of people for a project, which they would not be able to afford independently and then get it managed by experts.**
4. **Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.**
5. **The liabilities of the members of a company is limited to the extent of capital invested by them in the company**
6. **There are certain tax benefits to the company, which a partnership firm can not enjoy**
7. **In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984**
8. **The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)**

,

Question No: 53 (Marks: 10)

The following Trail balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	550,960

Requirement:

www.vustudents.net

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Trading & Profit & Loss Account
For the year ending 31st December 2008

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock	60400	Sales 204000	200360
Purchases	231600	Less returns: 3640	
Dock &clearing Charges	1300	Closing Stock	40000
Wages	16740		
Motive Power	2300		
Coal gas Water	1700	Gross Loss	73680
	314040		314040
Gross Loss	73680	Interest received	3400
Salaries	9820		
Rent, Rate, Taxes	1400		
General Expenses	6980		
Interest on O/D	4440		
Discount Allowed	2000		
		Net Loss	94920
	98320		98320

Question No: 54 (Marks: 10)
Pass the rectifying entries to correct the following errors:

- **Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.**
- **An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.**
- **Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.**
- **A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.**
- **Furniture purchased on cash Rs. 8,000 posted as purchases.**

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	Purchase Account	1,500	
Credit:	Cash Account		1,500

Error 2

Debit:	Mr. Ameer	5,000	
Credit:	Mr. Amir		5,000

- Error 3 **Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.**

www.vustudents.net

Debit: Goods Return Rs. 500
Credit: Sales Account Rs. 500

Error 4 **A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.**

Debit: Purchases Rs. 400
Credit Furniture Account Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit Furniture Account Rs. 8,000

Credit Purchase Post Account Rs. 8,000

http://www.vustudents.net

www.vustudents.net

Paper No:34

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 2)
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one
We can say that the business is in profit, when:

- ► Assets exceed Expenditure
- ► Assets exceed Liabilities
- ► Income exceeds Expenditure
- ► Income exceeds Liabilities

Question No: 2 (Marks: 1) - Please choose one
Term "Credit" means_____ by the business.

- ► Receiving of benefits
- ► It has no effect on business
- ► Providing of benefits correct
- ► It depends upon items

Question No: 3 (Marks: 1) - Please choose one
According to the double entry system of accounting, an account that obtains benefit is:

- ► Debit
- ► Credit
- ► Income
- ► No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one
When Capital is increased by an amount, it is recorded on the:

- ► Left or credit side of the account
- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Right or credit side of the account

Question No: 6 (Marks: 1) - Please choose one
Bank book is part of:

► Voucher
► General Journal
► General Ledger
► Trial Balance

Question No: 7 (Marks: 1) - Please choose one
What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 8 (Marks: 1) - Please choose one
Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 9 (Marks: 1) - Please choose one
Which of the following is NOT an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► Land

Question No: 10 (Marks: 1) - Please choose one
Which of the following is an example of business liability?

► Land
► Building
► Cash
► Capital

Question No: 11 (Marks: 1) - Please choose one
The unfavorable balance of Profit and Loss account should be:
► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Subtracted from capital

Question No: 12 (Marks: 1) - Please choose one
Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

www.vustudents.net

► Purchases account
► Mr. Ali account
► Cash account
► Sales account

Question No: 13 (Marks: 1) - Please choose one
Interest on loan paid by business is an example of :
► Deferred expense
► Revenue expense
► Capital expense
► None of the given options

Question No: 14 (Marks: 1) - Please choose one
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► Depreciation
► Fluctuation
► None of the given options

Question No: 15 (Marks: 1) - Please choose one
Which of the following is NOT a function of bank reconciliation statement?
► To reconcile the difference between the cash book and the bank statement
► To check for errors in balance sheet
► To update omitted entries into the cash book
► To update omitted entries into the bank statement

Question No: 16 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

www.vustudents.net

Question No: 18 (Marks: 1) - Please choose one
Sales are calculated by adding:

- ► Cash sales and cash received from debtors
- ► Credit sales and cash received from debtors
- ► Cash sales and credit sales
- ► Cash ales and credit purchases

Question No: 19 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of debtors account?

- ► Discount received
- ► Return inwards
- ► Discount allowed
- ► Credit sales

Question No: 20 (Marks: 1) - Please choose one
Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

- ► Increase of gross profit
- ► Decrease of gross profit
- ► Remains constant and no effect on net profit
- ► There is no relation between goods purchased and gross profit

Question No: 21 (Marks: 1) - Please choose one
Goods of Rs.1,000 purchased from Mr. “A” were recorded in sales book, the rectification of this error will:

- ► Increase the gross profit
- ► Reduce the gross profit
- ► Have no effect on gross Profit
- ► None of the given options

Question No: 22 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account
- ► Purchase Account
- ► Office Equipment Account

Question No: 23 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission

www.vustudents.net

► Error of original entry

Question No: 24 (Marks: 1) - Please choose one
Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 25 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► **Rs. 4,000** correct
► Rs. 1,600
► Rs. 2, 400

Question No: 26 (Marks: 1) - Please choose one
Which of the following is an example of operating expense?

► Purchasing operating equipment
► **Purchasing cleaning services**
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 27 (Marks: 1) - Please choose one
Which of the following would NOT be considered as a component of 'cost' of stock?

► Salaries of selling staff
► Transportation inward costs
► Import duties
► Purchase price

Question No: 28 (Marks: 1) - Please choose one
Which of the following will be debited, if cash is drawn by Proprietor?

► Proprietor's drawings
► Proprietor's cash
► Proprietor's capital
► Proprietor's income

Question No: 29 (Marks: 1) - Please choose one
Which of the following is TRUE about the treatment of insurance paid in advance Rs. 13,000?

www.vustudents.net

► It will be treated as an other income in Profit & Loss Account
► It will be treated as a current asset in Balance Sheet
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 30 (Marks: 1) - Please choose one
When closing stock is given in trial balance, then it will effect:
► Trading account only
► **Balance sheet only correct**
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 31 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 32 (Marks: 1) - Please choose one
Current accounts of the partners should be opened when the capitals are:
► Fixed
► Fluctuating
► Floating
► Normal

Question No: 33 (Marks: 1) - Please choose one
Which of the following is (are) type(s) of Public Limited Companies?
► Listed company
► Non listed company
► Private limited company
► Both Listed Company and non listed company

Question No: 34 (Marks: 1) - Please choose one
The charter of a company which defines the limitations and powers of the company is called:
► **The memorandum of association correct**
► Articles of association
► Statutory report
► Certificate of commencement

Question No: 35 (Marks: 1) - Please choose one
Merchandise on hand at either the beginning or end of the reporting period is called_____.
► Raw material
► Cost of good sold
► Work in process
► Inventory

www.vustudents.net

Question No: 36 (Marks: 1) - Please choose one
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000
► Rs. 215,000
► Rs. 195,000
► Rs. 200,000

Question No: 37 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

► Rs. 8,000
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 38 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

► 15: 20 (or 3:4)
► 15:24 (or 5: 8)
► 15:29
► 15:35 (or 3: 7)

Question No: 39 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.
► Increase assets and stockholders' equity.
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

www.vustudents.net

Question No: 40 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

► Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 41 (Marks: 1) - Please choose one
What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?
► Rs. 3,000
► Rs. 5,000
► Rs. 7,000
► Rs. 8,000

Question No: 42 (Marks: 1) - Please choose one
The amount owed by debtors at the end of a month appears on the_____ side of the control account.
► Left side or debit
► Left side or credit
► Right side or debit
► **Right side or credit correct**

Question No: 43 (Marks: 1) - Please choose one
Which of the following is correct for an account has debit balance?
► The amount of the debits exceeds the amount of the credits
► There are more entries on the debit side than on the credit side
► Its normal balance is debit without regard to the amounts on the debit side
► The last entry of the accounting period was posted on the debit side

Question No: 44 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?
► Rs.52,500
► Rs.42,500
► **Rs.43,500**
► Rs.50,500

Question No: 45 (Marks: 1) - Please choose one

www.vustudents.net

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.42,350
► **Rs.44,150**
► Rs.41,600
► Rs.40,850

Profit = 85000
Add markup on drawings = 1500 + 1800 = 3300
Total net profit = 88300
Profit share of B = 88300/2 = 44150

Question No: 46 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700
► Rs.95,300
► Rs.100,300

Question No: 47 (Marks: 1) - Please choose one
Which of the following can be distributed among the share holders?

► Capital reserve
► General reserve
► Revaluation reserve
► All of the given options

Question No: 48 (Marks: 1) - Please choose one
Which of the following capital is taken up by the general public?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 49 (Marks: 1) - Please choose one
All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

► Provision for doubtful debts
► Gain or loss on currency exchange rate
► Depreciation charged on fixed asset
► Amount received for disposal of a fixed asset

Question No: 50 (Marks: 1) - Please choose one
Primary purpose of the cash flows statement is to provide the information about:

► Errors or discrepancies between cash book and income statement

www.vustudents.net

► Receipt and payment of cash in the period
► Non cash adjustment that effect the income statement
► Cash paid to the customers and creditors of the business

Question No: 51 (Marks: 1) - Please choose one
Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?
► Balance Sheet
► Income Statement
► Statement of cash flows
► Statement of changes in equity

Question No: 52 (Marks: 1) - Please choose one
According to the statement of cash flows following are the examples of investing activities except:
► Sales of machinery
► **Capital invested by the owners**
► Purchase of building for the business use
► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one
Which of the following items of balance sheet are useful in evaluating a company's liquidity?
► Current assets and other assets
► **Current liabilities and current assets** **correct**
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one
Which of the following is measured by debt ratio?
► Short-term liquidity
► **Creditors' long term risk** **correct**
► Short-term risk of the company
► All of the given options

Question No: 55 (Marks: 3)
If the capitals of the partners are fixed, Pass Journal Entries for the following:
v Drawings made by partner
v Excess drawn amount is returned by partner
v Profit distribution among partner

Partner's Current A/c Dr.
Cash/Bank A/c Cr.

Cash/Bank Dr.
Partner's Current A/c Cr.

Profit & Loss A/c Dr.
Partner's Current A/c Cr.

www.vustudents.net

Question No: 56 (Marks: 5)
ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

- What will be the amount of discount received by the company?
- Also show the journal entries

Purchases A/c 150,000
Creditor A/c 150,000
Goods are being purchased

http://www.vustudents.net

Creditor A/c 20,000
Purchases A/c 20,000
Goods returned to supplier
Creditor A/c 130,000
Discount Received A/c 2600
Cash/Bank A/c 127400
Payment is being made to creditor and 2% discount is received.

Question No: 57 (Marks: 5)
Why are receipts and payment of interest classified as operating activities?

Question No: 58 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.

Required:
Show Journal entries and also show how the items will appear in Profit and Loss account and Balance sheet. (Show complete working where it is necessary)

Question No: 59 (Marks: 10)
The accounting staff of ABC, Inc., has assembled the following information for the year ended December 31, 2007:

Cash and cash equivalents, Jan. 1	Rs.35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowings	10,000
Loan made to borrowers	5,000
Collection on loans (excluding interest)	4,000
Interest and dividends received	27,000
Cash received from customers	795,000
Proceeds from sale of plant assets	9,000
Dividends paid	55,000

www.vustudents.net

Cash paid to suppliers and employees	635,000
Interest paid	19,000
Income taxes paid	71,000

Using this information, prepare a statement of cash flows. Include a proper heading for the financial statement, and classify the given information into the categories of operating, investing and financing activities.

Paper No:35

Solved by Chanda Rehman & Abr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 3)

Question No: 1 (Marks: 1) - Please choose one
Which of the following is correct according to the double entry system of book-keeping?

- ► Debit = Credit
- ► Debit > Credit
- ► Debit < Credit
- ► All of the given options

Question No: 2 (Marks: 1) - Please choose one
What is the nature of an expense account?

- ► Debit
- ► Credit
- ► Revenue
- ► None of the given options

Question No: 3 (Marks: 1) - Please choose one
Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

- ► (1) & (2) only
- ► (2) & (3) only
- ► (1) & (3) only
- ► (1), (2) & (3)

Question No: 4 (Marks: 1) - Please choose one
Which of the following organizations prepare Income & Expenditure account?

- ► Public libraries
- ► NGOs
- ► Labor unions
- ► All of the given options

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one
Which of the following item will appear on the Balance Sheet as current assets?

- ► Prepaid expenses
- ► Accrued expenses
- ► Furniture and Equipment
- ►Unearned revenue

Question No: 6 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:

- ► Liquid assets
- ► Current assets
- ► Fixed assets
- ► Capital assets

Question No: 7 (Marks: 1) - Please choose one
Which of the following statement is NOT TRUE about Current liabilities?

- ► These are due within one year
- ► These are short-term loans
- ► These are consist of all debts, payable after 12 months
- ► In working capital, these are deducted from current assets

Question No: 8 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ► Rs. 15,000
- ► Rs. 35,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 9 (Marks: 1) - Please choose one
Which of the following is an alternate term which can be used for “Capital”?

- ► Liability
- ►Owner’s net worth
- ► Working capital
- ► Asset

Question No: 10 (Marks: 1) - Please choose one
In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

- ► Conversion cost

www.vustudents.net

► Prime cost
► Total factory cost
► Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one
The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► Conversion cost
► Sunk cost
► Opportunity cost

Question No: 12 (Marks: 1) - Please choose one
In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► Cost of material consumed + Conversion cost
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 13 (Marks: 1) - Please choose one
All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account
► Capital work in progress account
► Relevant asset account
► Owner's equity account

Question No: 14 (Marks: 1) - Please choose one
Which one of the following is NOT true about revenue expenditure?

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
► They do not appear in the balance sheet

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is NOT true for Profit & Loss Account?
► It shows whether a business has made a profit or loss over a financial year
► It shows the financial performance of a business for the period
► It shows revenues and expenses for the period
► It is used to calculate surplus/deficit for a particular period

Question No: 16 (Marks: 1) - Please choose one
Which of the following best describes unpresented cheques?

www.vustudents.net

► Cheques received on behalf of the business by the bank
► Cheques drawn but yet to be recorded in the bank records
► Cheques issued by the bank not recorded in business records
► Cheques received but yet to be recorded in the bank records

Question No: 17 (Marks: 1) - Please choose one
Which of the following option is TRUE about the characteristic(s) of Bad Debt?

► It is a definite loss to the business
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► All of the given options

Question No: 19 (Marks: 1) - Please choose one
Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► Credit purchas
► Discount allowed

http://www.vustudents.net

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is CORRECT about subsidiary ledger?

► It is a special Ledger
► It is a supporting ledger
► It provides detailed information about individual accounts
► All of the given options

Question No: 21 (Marks: 1) - Please choose one
Amount by which the purchaser (buyer) receives a reduction in price from the seller is known as:

► Expense
► Discount Allowed
► Discount Received
► Liability

Question No: 22 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following entry will be passed to record discount received in control account?

- ► Discount Received (Dr) and Creditors Control A/c (Cr)
- ► Discount Received (Dr) and Creditors A/c (Cr)
- ► Creditors Control A/c (Dr) and Discount Received (Cr)
- ► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 23 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

Sales account
- ► Rahim's account
- ► Cash account
- ► Both sales and Rahim's Account

Question No: 24 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 25 (Marks: 1) - Please choose one
The figure of cash received from debtors can be located either from cash book or:

- ► Debtor's Control Account
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 26 (Marks: 1) - Please choose one
Which of the following would NOT be considered as a component of 'cost' of stock?

- ► Salaries of selling staff
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 27 (Marks: 1) - Please choose one
Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account

www.vustudents.net

c. Balances of capital account

► a,b
► b,c
► a,c
► a,b,c

Question No: 28 (Marks: 1) - Please choose one
Which of the following statement is TRUE about the partnership form of business?

► Partners must have to share their profits in equal proportion
► Partners are personally liable for the liabilities of the business
► Partnerships must make their accounts available to the general public
► Partnership agreement in writing is called Partnership deed

Question No: 29 (Marks: 1) - Please choose one
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► Partnership

Question No: 30 (Marks: 1) - Please choose one
The Joint Stock Company is formed under the Companies Ordinance:

► 1984
► I884
► 1948
► 1965

Question No: 31 (Marks: 1) - Please choose one
In which of the following, the Interest paid on debenture will be shown?

► Profit and loss account
► Profit and loss appropriation account
► Balance sheet asset side under the heading of “current assets”
► Trading Account

Question No: 32 (Marks: 1) - Please choose one
The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► None of the given options

Question No: 33 (Marks: 1) - Please choose one
Which of the following business publishes the Financial Statements?

www.vustudents.net

► Sole-Proprietorship
► Partnership
► Trust
► Public Limited Company

Question No: 34 (Marks: 1) - Please choose one
If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► Credit side of the partner's capital account
► Credit side of the partner's current account
► Debit side of partnership bank account
► Debit side of the partner's current account

Question No: 35 (Marks: 1) - Please choose one
Wages outstanding given in the trial balance will be treated as a (an):

► Asset
► Liability
► Revenue
► Deferred expense

Question No: 36 (Marks: 1) - Please choose one
In balance sheet fixed assets are shown at:

► Residual value
► Market value
► Fair value
► Written down value (WDV)

Question No: 37 (Marks: 1) - Please choose one
Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?
► Rs. 2,000
► Rs. 3,000
► Rs. 30,000
► Rs. 150,000

Question No: 38 (Marks: 1) - Please choose one
What will be obtained from the Purchases Returns Book?
► Discount received
► Returns outward
► Credit purchases
► Discount allowed

Question No: 39 (Marks: 1) - Please choose one
In the heading of financial statement, _____ is not required?
► Title of financial statement
► Name of the person who prepares financial statement

www.vustudents.net

► Period for which financial statement is prepared
► Name of business entity

Question No: 40 (Marks: 1) - Please choose one
Which of the following justifies when profit is earned?
► Assets exceed Expenditure
► Income exceeds Expenditure
► Cash Inflow exceeds Cash Outflow
► Income exceeds Liabilities

Question No: 41 (Marks: 1) - Please choose one
A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?
► Rs.1,320
► Rs.2,640
► Rs.3,960
► Rs.6,600

Question No: 42 (Marks: 1) - Please choose one
In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?
► 1:2
► 2:3
► 3:2
► 2:1

Question No: 43 (Marks: 1) - Please choose one
Which of the following is decreased when an asset is converted into expense in adjustment?
► Revenue
► Net income
► Expense
► Liability

Question No: 44 (Marks: 1) - Please choose one
Accumulated depreciation is a _____ account?
► Fixed asset
► Current asset
► Contra asset
► Liability

Question No: 45 (Marks: 1) - Please choose one
Adjusting entries are recorded in which of the following?
► Voucher
► General journal
► **Ledger**
► Trial balance

Question No: 46 (Marks: 1) - Please choose one

www.vustudents.net

Expired costs in an accounting period should be reported on _____ statement for that time period.

- ► Cash in flow
- ► Cash out flow
- ► Income
- ► Expense

Question No: 47 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

- ► Interest expense
- ► Interest payable
- ► Prepaid interest
- ► Interest paid

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be distributed among the share holders?

- ► Capital reserve
- ► General reserve
- ► Revaluation reserve
- ► All of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- ► Nominal value
- ► All of the given options

Question No: 52 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► **Statement of cash flows**
- ► Statement of changes in equity

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, interest payment made on loan from bank is related to:

- ► Investing activity
- ► **Financing activity**
- ► Operating activity
- ► Net changes in working capital

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

a) Capital invested on july 1 2001 = 400,000
Markup rate on 400,000 = 6% of 40,000 = 24,000

b) Further capital introduced / invested = 150000 on March 1, 2002
Markup rate = 6% of 150000 = 9000 x 4/12 = 3000

Total mark up rate = a + b = 24000 + 3000 = 27000

Question No: 56 (Marks: 5)

Calculate cost of goods sold with he help of given data.

Particulars	Rs.
Purchases	418,000
Carriage inwards	7,900
Discount Allowed	750
debtors	16,000
Sales man commission	2,000

www.vustudents.net

Office expenses	2,000
Carriage outwards	1,700
Salaries	13,000
Direct labor	3,825
FOH	2,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Helping data:

d. Plant & Machinery depreciate @ 10% and charged to FOH
e. Buildings depreciate @ 5% and 40% charged to Administrative expenses and balance to FOH
f. 40% of salaries will be charge to office and balance to Selling expenses

Question No: 57 (Marks: 5)

X and Y were partners in a business sharing profits in the ratio of 3:1. Their capital were Rs.30,000 and Rs.10,000 respectively. They earned a net profit of Rs. 160,000. Mr. Y was entitled to a salary of Rs.200 p.m. Prepare Profit Distribution Account of X & Y Partnership.

X AND Y ARE SHARED WITH the ratio 3:1
X capital = 30000
Y capital = 10000
Net profit = 160,000
Mr. Y salary is = 200 p.m entitled
Total investment = X + Y capital = 30000 +10000 = 40000

X profit distribution = 30,000/40000 x 160000 = 120,000
Y profit distrubtion = 10,000/40000 x 160000 x 40000 = 40000

Question No: 58 (Marks: 10)

Mention the effects of following on financial statements.

g. Markup on debentures

Markupdebture – Dr. while Debenture Cr

h. Creation of reserves
i. Payments of dividend
j. Carriage inwards

k. Current Assets are less than Current Liabilities

Question No: 59 (Marks: 10)

www.vustudents.net

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period isRs.36,000. You are required to prepare Balance Sheet as on December 31, 2007.
Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	338,200

Paper No:36

Solved by Chanda Rehman & Abr

Fall 2009

MGT101- Financial Accounting (Session - 2)

Time: 120 min Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

► Financial Statements
► General Journal
► General Ledger
► Voucher

Question No: 2 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

www.vustudents.net

► Current asset
► Fixed asset
► Long term asset

Question No: 3 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► Current assets
► Fixed assets
► Capital assets

Question No: 4 (Marks: 1) - Please choose one

Identify the business transaction for given entry below.

Vehicle Account	XXX	(Dr.)
Bank Account	XXX	(Cr.)

► Paid for vehicle through cheque
► Paid for vehicle through cash
► Purchased vehicle on credit
► None of the given options

Question No: 5 (Marks: 1) - Please choose one

Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

► Cash account
► Mr. Mahood account
► Sales account
► Purchases account

Question No: 6 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► Rs.18, 800

Question No: 7 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the positive working capital of a company?

► It shows sound position of a company
► It shows that company has sufficient current assets to meet current liabilities
► It shows that current assets are greater than current liabilities
► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

www.vustudents.net

► Beginning inventory + Purchases – Work in Process
► Beginning inventory + Purchases - Sales
► **Beginning inventory + Purchases - Ending inventory**
► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

Under the straight line method of depreciation:

► Amount of depreciation increases every year
► Amount of depreciation remains constant for every year
► Amount of depreciation decreases every year
► None of the given options

Question No: 10 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► Rs.8, 400

http://www.vustudents.net

Question No: 11 (Marks: 1) - Please choose one

While adjusting the cash balance of cash book, which of the following is **NOT** taken into account.

► Mistakes in the cash book
► Mistakes in the pass book
► Interest credited in the pass book but not entered in cash book
► Interest debited in the pass book but not entered in cash book

Question No: 12 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000
► Rs. 55,000

www.vustudents.net

► Rs. 50,000

► **Rs. 2, 50,000 Assets = Liabilities + Owner's Equity**

Question No: 13 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

► Treated as a reserve

► Treated as a contra asset

► Treated as a surplus

► Treated as an expense

Question No: 14 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► Unpresented cheques

► Unrecorded bank charges

► Uncredited cheques

► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale

► **Credit sales**

► Credit purchase

► Cash purchases

Question No: 16 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable

► Return inwards

► Credit purchases

► Discount allowed

Question No: 17 (Marks: 1) - Please choose one

A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► Increase the net profit by Rs.200

► Decrease the profit by Rs.200

► Remains constant and no effect on net profit

► There is no relation between debtor and profit

Question No: 18 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account

► Only P's account

► Only Q's account

► Both of Mr. P's & Mr.Q's Account

www.vustudents.net

Question No: 19 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

(Then there are errors in which an entry is recorded in the wrong class of account. For example a purchase of fixed asset, say, a vehicle is recorded in an expense account. These errors are called ERRORS OF PRINCIPLE.)

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► Rs. 2,600

Question No: 22 (Marks: 1) - Please choose one

Which of the following is **NOT** an item of cost of goods sold statement?

► Purchase of raw material
► Any tax/freight paid on purchases

www.vustudents.net

► **Salaries paid to accountant**

► Any expense incurred on carriage/transportation of raw material purchased items

Question No: 23 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► Administrative expenses

► Selling expenses

► Marketing expenses

► **Cost of goods sold**

Question No: 24 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► Salaries of selling staff

► Transportation inward costs

► Import duties

► Purchase price

Question No: 25 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

► Row A

► Row B

► Row C

► Row D

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► Depreciation expense

Question No: 27 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

www.vustudents.net

► Note Payable

► **Owner's Equity**

Question No: 28 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

► **Cash**

► Accounts Payable

► Contributed Capital

► Retained Earnings

Question No: 29 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► Sole traders do not need to consult accountants

► Sole traders must register the name of their business with the Registrar of Companies

► All of the given options

► A sole trader is liable to pay income tax on his/her earnings

Question No: 30 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► Capital account

► Shareholder account

► Liability account

► Expense account

Question No: 31 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► **All of the given options are correct**

► It means depreciation has already been deducted from concerned asset account

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► Accounts receivable are often called trade receivables

www.vustudents.net

Question No: 33 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984**
► I884
► 1948
► 1965

Question No: 34 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

► Share capital account
► Right share
► Share premium account
► Share holder account

Question No: 35 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► Share premium account
► Share holder account
► Debtors control account
► Creditor control account

Question No: 36 (Marks: 1) - Please choose one

The statement of changes in equity basically shows the movement of:

► share capital during the year
► Capital reserves during the year
► Revenue Reserves during the year
► **All of the given options**

Question No: 37 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

► Rs. 8,000
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 38 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share

www.vustudents.net

ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► **Rs. 2, 45,000**
► Rs. 3, 43,000

Question No: 39 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

► Revenue
► Net profit
► Gross profit
► Operating profit

Question No: 40 (Marks: 1) - Please choose one

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000
► Rs. 8,000
► Rs. 7,000
► Rs. 5,000

Question No: 41 (Marks: 1) - Please choose one

Mr. A provided the following information from his books of accounts at the end of the month.

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are Mr. A’s total liabilities?

► Rs.200
► Rs. 900
► **Rs. 1,200**
► Rs. 1,700

www.vustudents.net

Question No: 42 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

► **Profit and loss account**
► Bad debt account
► Debtor account
► Creditor account

Question No: 43 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

► Rs. 21,000
► Rs. 51,000
► **Rs. 36,000**
► Rs. 15,000

Question No: 44 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

► Rs. 5,000
► Rs. 9,850
► Rs. 25,000
► Rs. 14,900

Question No: 45 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission
► Allowance
► Discount
► Rebate

Question No: 46 (Marks: 1) - Please choose one

The valuation of closing stock is at:

► Cost price
► Market price
► Cost or market price, whichever is lower
► Cost or market price, whichever is higher

Question No: 47 (Marks: 1) - Please choose one

www.vustudents.net

Adjusting costs are reported as:

- ► Revenues
- ► **Expenses**
- ► Assets
- ► Net Income

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also affected when an adjusting entry is passed to accrue an incurred expense?

- ► Total assets
- ► **Total liabilities**
- ► Current assets
- ► Total income

Question No: 49 (Marks: 1) - Please choose one

Which of the following is known as an asset account?

- ► Gains
- ► Prepaid insurance
- ► Unearned revenue
- ► Accounts payable

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

- ► Rs.52,500
- ► Rs.42,500
- ► **Rs.41,500**
- ► Rs.50,500

Question No: 51 (Marks: 1) - Please choose one

For which of the following share premium can not be utilized?

- ► To write off preliminary expenses
- ► To meet the expenses of issue of shares
- ► To issue bonus shares
- ► None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

www.vustudents.net

Question No: 53 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

- ► Prospectus
- ► Articles of association
- ► Memorandum of association
- ► None of the given options

Question No: 54 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

- ► Ability to pay cash dividends in the future
- ► All of the given options
- ► The ability to generate future cash flows
- ► The liquidity of the business

Question No: 55 (Marks: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

Question No: 56 (Marks: 5)

You are required to pass rectifying entries of the following errors:

1. Received cash Rs. 500 from Mr. "B" entered as Rs. 300 in the cash book.
2. A cash sale of Rs. 600 has completely omitted to be recorded in the books.
3. Goods worth Rs. 200 were returned to Mr. Kamran but no entry was passed in the books.

Question No: 57 (Marks: 5)

The face value of the share of ABC public limited company is Rs.10. the share is sold at Rs.15. total shares traded in the market are 50,000. What will be the amount of share premium received and discuss for what it will be utilized?

Question No: 58 (Marks: 10)

On 31st December, 2006, a merchant has to receive Rs. 50,000 from sundry debtors and creates provision of 5 percent on this amount for doubtful debts. Actual bad debts during the year 2007 were Rs.1, 400. The debtors on 31st December, 2007, are Rs. 40,000 on which he again creates provision of 5 % for doubtful debts. During 2008 actual bad debts are Rs. 600 and the debtors at the end of 2008 totalled Rs. 25,000, on which a reserve a reserve of 5 % for doubtful debts is required to be maintained.

Required: Prepare provision for doubtful debts account with the help of

www.vustudents.net

given data.

Question No: 59 (Marks: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	550,960

Requirement:

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Paper No:37

Solved by Chanda Rehman & Abr & nomi chawal

FINALTERM EXAMINATION

Fall 2009

www.vustudents.net

MGT101- Financial Accounting (Session - 1)

Ref No: 1195799
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

► Receiving of benefits
► It has no effect on business
► Providing of benefits
► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► **General Journal**
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

► Negative Balance
► Debit Balance

www.vustudents.net

► Positive Balance
► Credit Balance

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► 'T' Account
► Source document
► Day book

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

► General Ledger
► Balance Sheet
► Profit and Loss Account
► Cash Flow Statement

Question No: 8 (Marks: 1) - Please choose one

The difference between current Assets and current liabilities is known as:

► Working capital
► Opening stock
► Closing stock
► Owner's equity

Question No: 9 (Marks: 1) - Please choose one

If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

► Rs. 25,000
► Rs. 1, 00,000
► Rs. 1, 75,000
► Rs. 3, 00,000

Question No: 10 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

► Rs. 160,000
► Rs. 96,000
► Rs. 75,000
► Rs. 57,600

Question No: 11 (Marks: 1) - Please choose one

www.vustudents.net

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► Capital expense
- ► Administrative expense
- ► Operating expense

Question No: 12 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► Capital account

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

- ► Rs. 22,000 owner's equity
- ► Rs. 23, 000 owner's equity
- ► Rs. 24,000 owner's equity
- ► Rs. 46,000 owner's equity

Question No: 14 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

www.vustudents.net

► Rs. 2, 25,000
► Rs. 2, 50,000
► Rs. 2, 75,000
► Rs. 75,000

Question No: 16 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► Bank overdraft
► Overpayment to creditors
► Cash in hand

Question No: 17 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank
► Cheques drawn but yet to be recorded in the bank records
► Cheques issued by the bank not recorded in business records
► Cheques received but yet to be recorded in the bank records

Question No: 18 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 19 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

► Rs. 3,600
► Rs. 2,000
► Rs. 1,600
► Rs. 400

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.

www.vustudents.net

Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

► Rs. 2,225
► Rs. 2,525
► Rs. 1,925
► Rs. 3,025

Question No: 21 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale
► Credit sales
► Credit purchase
► Cash purchases

Question No: 24 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► Discount Allowed (Dr) and Debtors Control A/c (Cr)
► Discount Allowed (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Discount Allowed (Cr)
► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 25 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

www.vustudents.net

Question No: 26 (Marks: 1) - Please choose one

Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account
- ► Purchase Account
- ► Office Equipment Account

Question No: 27 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 28 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 29 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	**Classification**
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

- ► Row A
- ► Row B
- ► Row C
- ► Row D

Question No: 30 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business

www.vustudents.net

► A balance sheet
► A statement of retained earnings

Question No: 31 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► Capital account
► Shareholder account
► Liability account
► Expense account

Question No: 32 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► **a,b**
► b,c
► a,c
► a,b,c

Question No: 33 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 34 (Marks: 1) - Please choose one

Fixed Asset (WDV) + _____ = Total assets Employed

► Working capital
► Total liabilities
► Total assets
► Current assets

Question No: 35 (Marks: 1) - Please choose one

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 36 (Marks: 1) - Please choose one

Share premium account is used for what?

► Write off Preliminary Expenses of the company.

www.vustudents.net

► Write off the balance amount, in issuing shares on discount.
► Issue fully paid Bonus Shares.
► All of the given options

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 38 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Statutory Declaration

Question No: 39 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► An increase in trade debtors over the course of the period
► An increase in the depreciation charge relative to the previous accounting period

Question No: 40 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 41 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

► Mark up cover ratio
► Acid test ratio
► Current ratio

www.vustudents.net

► Debt Equity ratio

Question No: 42 (Marks: 1) - Please choose one

If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what is the depreciation rate under reducing balance method?

► 10%
► 22%
► 42%
► 52%

Question No: 43 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

► Revenue
► Net profit
► Gross profit
► Operating profit

Question No: 44 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

► Asset
► Uncollectible asset
► Uncollectible accounts expense
► None of the given options

Question No: 45 (Marks: 1) - Please choose one

Payment is made of a company’s purchases on credit, which of the following is correct:

► Debit stock account and credit creditors account
► Debit creditors account and credit cash account
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 46 (Marks: 1) - Please choose one

ABC company makes payment of Rs.50,000 to Mr. Ali Zafar, who is a debtor, is wrongly recorded in the account of Zafar Ali. The error is classified as:

► Error of commission
► Error of omission
► Error of original entry
► Error of principle

Question No: 47 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

► Realized
► Earned
► Incurred
► Paid

Question No: 48 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

www.vustudents.net

► Salary
► Wages
► Income
► Profit

Question No: 49 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

► Interest expense
► Interest payable
► Prepaid interest
► Interest paid

Question No: 50 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► Prepaid insurance
► Advance payment account
► Insurance expense

Question No: 51 (Marks: 1) - Please choose one

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

► A Rs.72,000 gain and a Rs.6,000 cash receipt
► A Rs.12,000 gain and a Rs.72,000 cash receipt
► A Rs.12,000 gain and a Rs.60,000 cash receipt
► A Rs.72,000 sale and a Rs.72,000 cash receipt

Question No: 52 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

► Rs.52,500
► Rs.42,500
► **Rs.41,500**
► Rs.50,500

Question No: 53 (Marks: 1) - Please choose one

Which of the following is quoted company?

► Private Limited Company
► Public Limited Company
► Listed company
► Non Listed Company

Question No: 54 (Marks: 1) - Please choose one

Which of the following is one of the major factors affecting the market value of a company's shares?

- ► Current ratio
- ► Earning per share
- ► Return on investment
- ► Return on asset

Question No: 55 (Marks: 3)

You are required to pass rectifying entries of the following errors:

1. Sales of old furniture has been credited to sales account for Rs. 200.
2. Salaries paid Rs. 20,000 were wrongly debited to rent a/c.

Question No: 56 (Marks: 5)

3. **Discuss share premium with an example.**
4. **If dividend is announced in percentage by the directors of the company how it will be calculated.**

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

5. What will be the amount of discount received by the company?
6. Also show the journal entries

Question No: 58 (Marks: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	**Cr.**
	Rs.	**Rs.**
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	

www.vustudents.net

Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	**550,960**

Requirement:
Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 59 (Marks: 10)

Adil and Bilal make up their accounts annually to 31st December and have been in partnership for some years. Interest is charged on drawings at the rate of 10% per annum and is allowed on capitals also at 10% per annum. Bilal receives salary Rs. 4,000 per annum. The balance of profits or losses is to be shared: Adil 2/3, Bilal 1/3. At 1st January, 2007, the following balances appeared in the firm's books:

Capital account: Adil Bilal	Rs. 10,000 Rs. 6,000
Current Account: Adil Bilal	Rs. 5,000 (Cr) Rs. 3,000 (Cr)

The net profit for that year was amounted to Rs. 15,000. At that date the balances on partners' drawings accounts were: Adil Rs. 6,000 and Bilal Rs. 5,000. It is assumed that no capital introduced during the year

Required:
(1) The profit & Loss Appropriation account of the partnership for the year ended 31st December, 2007.
(2) Show Partners' current accounts and capital accounts in Balance sheet of Adil and Bilal as on 31st December 2007

Paper No:38

Solved by Chanda Rehman & ABr & Anjum

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**
► Authorized

www.vustudents.net

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Which of the following account/s will be affected under the rule of accrual accounting, when furniture is purchased on cash?

► Only Cash Account
► Only Furniture Account
► **Cash & Furniture Account**
► Only Purchases Account

Question No: 3 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► Pass Book
► **Cash Book**
► Purchase Book
► Sales Book

Question No: 4 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► **Land**

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

► Furniture account
► **Cash account**
► Business account
► Bank account

www.vustudents.net

Question No: 7 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

► Rs. 5,000
► **Rs. 10,000**
► Rs. 15,000
► Rs. 20,000

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

► Beginning inventory + Purchases – Work in Process
► Beginning inventory + Purchases - Sales
► Beginning inventory + Purchases - Ending inventory
► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► **Conversion cost**
► Sunk cost
► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

Question No: 11 (Marks: 1) - Please choose one

Fixed assets are also called:

► **Depreciable assets**
► Current assets
► Liquid assets
► Floating assets

Question No: 12 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800

www.vustudents.net

Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

- ► Rs.7, 500
- ► Rs.7, 978
- ► Rs.8, 000
- ► **Rs.8, 400**

Question No: 13 (Marks: 1) - Please choose one

Increase in an asset is recorded on the:

- ► Left or credit side of the account
- ► Right or debit side of the account
- ► **Left or debit side of the account**
- ► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► **Depreciation**
- ► Fluctuation
- ► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► **Rs. 2, 50,000**

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

www.vustudents.net

► Rs. 1, 98,000
► Rs. 49,000
► Rs. 55,000
► **Rs. 4, 40,000**

Question No: 17 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► Bank overdraft
► Overpayment to creditors
► Cash in hand

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account
► A current account
► A saving account
► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 20 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

www.vustudents.net

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 21 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients
► Picture collectively instead of individually

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

► P's account
► Purchases return account
► Sales account
► Purchases returns account and sales account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

► A's account only
► Sales account only
► **Purchase returns account and sales account**
► Purchases account only

Question No: 25 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account
► Only P's account
► Only Q's account
► **Both of Mr. P's & Mr.Q's Account**

Question No: 26 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► **Debtor's Account (Dr.) and Bank Account (Cr.)**
- ► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 3,080
- ► Rs. 5,480

Question No: 28 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	?

- ► **Rs. 2,225**
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 29 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

www.vustudents.net

► **Rs. 2,240**
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 30 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► Administrative expenses
► Selling expenses
► Marketing expenses
► **Cost of goods sold**

Question No: 31 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 32 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► **Cost of good sold**
► Indirect cost
► Selling cost
► Factory over head cost

Question No: 33 (Marks: 1) - Please choose one

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► Authorized share capital
► Paid up share capital
► Share premium

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

► **It gets certificate of incorporation from registrar of Companies**
► It gets certificate of commencement of business from registrar of Companies
► It actually starts its business
► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 35 (Marks: 1) - Please choose one

www.vustudents.net

6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

- ► Rs. 6,000
- ► Rs. 3, 00,000
- ► **Rs. 18,000**
- ► Rs. 3, 18,000

Question No: 36 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

- ► It will be deducted in Income Statement only
- ► It will be treated as current liability in balance sheet only
- ► It will be treated as current asset in balance sheet only
- ► **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 37 (Marks: 1) - Please choose one

When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

- ► Rs. 62,500
- ► Rs. 12,500
- ► Rs. 10,000 (25000*2/5 = 10000)
- ► Cannot be calculated with the help of given data

Question No: 38 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► **Asset**
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is another name of carrying cost of an asset?

- ► **Book Value**
- ► Residual Value
- ► Fair Value
- ► Break up Value

Question No: 40 (Marks: 1) - Please choose one

An overdraft will appear as:

- ► A debit balance in both the bank statement and the cash book
- ► A credit balance in the bank statement but as a debit balance in the cash book
- ► **A credit balance in the cash book but as a debit balance in the bank statement**
- ► A credit balance in both the bank statement and the cash book

www.vustudents.net

Question No: 41 (Marks: 1) - Please choose one

Recovery of bad debts is treated as:

► Profit
► Revenue
► Expense
► Asset

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► Left side or debit
► Left side or credit
► Right side or debit
► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

► Left side or credit
► **Left side or debit**
► Right side or debit
► Right side or credit

Question No: 44 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

► Error of commission
► **Error of omission**
► Error of original entry
► Error of principle

Question No: 45 (Marks: 1) - Please choose one

Which of the given statement is **CORRECT** if both sides of trial balance are equal?

► It is proof that no transaction was completely omitted from the ledger during the posting process
► **It is proof that the correct debit or credit balance has been computed for each account**
► It is proof that the ledger is in balance
► It is proof that transactions have been correctly analyzed and recorded in the proper accounts

Question No: 46 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

► Assets exceed Expenditure
► **Income exceeds Expenditure**
► Cash Inflow exceeds Cash Outflow

www.vustudents.net

► Income exceeds Liabilities

Question No: 47 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► 3:1

Question No: 48 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

► Income tax payable
► Prepaid income tax
► Income tax expense
► Income tax paid

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000
► Rs.28,000
► **Rs.33,000**
► Some other amount

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► **Security and Exchange Commission of Pakistan**
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve
► General reserve
► **Revaluation reserve**
► None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

► Prospectus
► Articles of association
► Memorandum of association
► None of the given options

Question No: 53 (Marks: 1) - Please choose one

www.vustudents.net

Statement of cash flows helps the stakeholders to assess:

- ► Ability to pay cash dividends in the future
- ► **All of the given options**
- ► The ability to generate future cash flows
- ► The liquidity of the business

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (Marks: 3)

Give four reasons, why capital might change.

1. The entrance or exit of some (new) partner
2. Withdraw by partner(s)
3. Additional Investment by the partner(s)
4. Profit/Loss

Question No: 56 (Marks: 5)

Write down the five advantages of Limited Company.

1. It is a legal entity created by law and hence has its own recognition, good will and brand equity etc.
2. It is a wide form of business and hence a formal approach for various partners/investors to come and work for the same objectives in an organized form.
3. Liability limited to company assets only. Investors/partners do not personally liable for any loss or in state of bankrupty.
4. Being a legal entity, easy to get loans or gather funds from public (for public limited companies only) or financial institutes.
5. Being a legal entity, it can enjoy more opportunities for mega projects and trade/operations opportunities in international markets on its on behalf.

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

What will be the amount of discount received by the company?

Also show the journal entries

Solution:

(A)

Discount Received= (150,000-20,000) x (2/100) = 2600

www.vustudents.net

(B)

Particulars	Dr.	Cr.
Entry for Purchase		
Goods	150,000	
A/P		150,000
Entry for Return		
A/P	20,000	
Goods		20,000
While making Payment (@ 2% discount = 2600)		
A/P	130,000	
Discount income		2,600
Cash		127,400

Question No: 58 (Marks: 10)

State clearly how you will deal with Bad Debts Account, Provision for Bad Debts Account, Profit & Loss account and Balance Sheet in the following case:

The items appearing in the trial balance are bad debts Rs. 300, provision for bad debts Rs. 350 and sundry debtors Rs. 12,000. It is required to increase the provision for bad debts to 5% on sundry debtors.

Question No: 59 (Marks: 10)

The unadjusted and adjusted trial balances for Tinker Corporation on December 31, 2007, are shown below:

Tinker Corporation Trial Balances December 31, 2007				
	Unadjusted		**Adjusted**	
	Debit Rs.	**Credit Rs.**	**Debit Rs.**	**Credit Rs.**
Cash	35,200		35,200	
Accounts receivable	29,120		29,120	
Unexpired insurance	1,200		600	
Prepaid rent	5,400		5,400	
Office supplies	680		380	
Equipment	60,000		60,000	
Accumulated depreciation: equipment		49,000		50,000
Accounts payable		900		900
Notes payable		5,000		5,000
Interest payable		200		200
Salaries payable		-		2,100
Income taxes payable		1,570		1,570

www.vustudents.net

Unearned revenue		6,800		3,800
Capital stock		25,000		25,000
Retained earnings		30,000		30,000
Fees earned		91,530		94,530
Advertising expense	1,500		1,500	
Insurance expense	6,600		7,200	
Rent expense	19,800		19,800	
Office supplies expense	1,200		1,500	
Repairs expense	4,800		4,800	
Depreciation expense: equipment	11,000		12,000	
Salaries expense	26,300		28,400	
Interest expense	200		200	
Income taxes expense	7,000		7,000	
	210,000	**210,000**	**213,100**	**213,100**

Journalize the five adjusting entries that the company made on December 31, 2007.

Solution:

Date	**Particular**	**Dr.**	**Cr.**
Dec 31	Insurance expense	600	
	to Unexpired insurance		600
Dec 31	Office Supplies Expense	300	
	to Office Supplies		300
Dec 31	Depreciation Expense-Equip.	1000	
	to Accumulated depreciation-Equip.		1000
Dec 31	Salaries Expense	2100	
	to Salaries Payable		2100
Dec 31	Unearned revenue	3000	
	to Fee Earned		3000

http://www.vustudents.net

Paper no 39

Solved by Abr,Nomi & Chanda Rehman

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Ref No: 1195888

Time: 120 min

Marks: 8

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up

► Authorized

www.vustudents.net

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

► Cost Accounting
► Financial Accounting
► Management Accounting
► Tax Accounting

Question No: 3 (Marks: 1) - Please choose one

An organization operating with the objective of making profit from the sale of goods or services is called:

► Transaction
► Business
► Society
► Trust

Question No: 4 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► Receipts & Payments account
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

www.vustudents.net

Question No: 7 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

- ► Raw material
- ► Work in process
- ► Finished goods
- ► Merchandise inventory

Question No: 8 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

- ► Opening raw material inventory + Purchases – Ending raw material inventory
- ► Opening raw material inventory - Purchases + Ending raw material inventory
- ► Ending raw material inventory + Opening raw material inventory - Purchases
- ► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 9 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

- ► Rs. 160,000
- ► Rs. 96,000
- ► Rs. 75,000
- ► Rs. 57,600

Question No: 10 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

- ► **To calculate true profit**
- ► To show the asset on market value
- ► To reduce tax Burdon
- ► To provide funds for replacement

Question No: 11 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► Rs.260
- ► Rs.232
- ► Rs.284
- ► Rs.268

www.vustudents.net

Question No: 12 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

► Rs. 1, 02,885 other assets
► Rs. 1, 02,885 other liabilities
► Rs. 99,885 current liabilities
► Rs. 99,385 other assets

Question No: 14 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
► Correct errors in the Cash Book or errors in the Bank Statement
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are

www.vustudents.net

doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 18 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale
► Credit sales
► Credit purchase
► Cash purchases

Question No: 19 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

► Cash purchases
► Cash sales
► Credit sales
► Credit purchase

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► All of the given options

Question No: 21 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 22 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges

www.vustudents.net

- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

- ► Sell goods and services to customers
- ► Purchase goods and services
- ► Receive cash from customers
- ► Pay cash to suppliers

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► All of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

- ► Fixed assets
- ► Current liabilities
- ► Profit sharing ratio
- ► Long term assets

Question No: 27 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only
- ► Owner's equity only
- ► Both Trading account and Balance sheet

Question No: 28 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

- ► None of the given options
- ► General reserve
- ► Accumulated profit and loss (credit balance)
- ► **Revaluation reserves**

www.vustudents.net

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

Question No: 30 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 31 (Marks: 1) - Please choose one

Particulars	
Nominal value of each share	Rs.10
No of shares issued	10,000 shares
Net profit	Rs. 20,000
Divined paid	10%
What is the EPS	**?**

- ► Rs. 1.00
- ► **Rs. 2.00**
- ► Rs. 3.00
- ► Rs. 4.00

Question No: 32 (Marks: 1) - Please choose one

When income exceeds expenses in a specific time period is known as:

- ► Savings
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 33 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

- ► Purchase of building on credit
- ► Dividends to stockholders
- ► Net loss
- ► Investment in cash by stockholders

Question No: 34 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

- ► Residual value

www.vustudents.net

► Market value
► Fair value
► Written down value (WDV)

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

► To ensure that there is enough money in the firm to replace the asset
► To spread the cost of the asset over its working life
► To reduce the profit and thus reduce the dividends they can pay to share holders
► Because the law states they must be reduced

Question No: 36 (Marks: 1) - Please choose one

Which of the following is(are) **CORRECT** for Doubtful Debt?

► It is shown in balance sheet
► It is a definite loss to the business
► No provision is necessary for it
► All of the given option

Question No: 37 (Marks: 1) - Please choose one

Which of the following is not a cause of difference in balances as per pass book and cash book?

► Error in cash book
► Error in pass book
► Direct deposit
► Un credited cheques

Question No: 38 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

► Discount received
► Goods returned
► Purchase of goods on credit
► Payment of goods

Question No: 39 (Marks: 1) - Please choose one

A bad debt affects the Balance Sheet because it is a (an):

► Liability
► Asset
► Expense
► Income

Question No: 40 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales

www.vustudents.net

are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

- ► Rs. 150,000
- ► Rs. 100,000
- ► Rs. 220,000
- ► Rs. 280,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

- ► Net realizable value is understated
- ► **Expenses are understated**
- ► Revenues are understated
- ► Receivables are understated

Question No: 42 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

- ► Title of financial statement
- ► Name of the person who prepares financial statement
- ► Period for which financial statement is prepared
- ► Name of business entity

Question No: 43 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

- ► A debit to the Cash Received account of Rs. 3,500
- ► A credit to the Accounts Receivable account of Rs.2,100
- ► A debit to the Cash account of Rs.1,400
- ► A debit to the Accounts Receivables account of Rs.1,400

Question No: 44 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

- ► Rs.1,320
- ► Rs.2,640
- ► Rs.3,960
- ► Rs.6,600

Question No: 45 (Marks: 1) - Please choose one

The amount of prepaid insurance that expired in the current accounting period should be reported as _____.

- ► Prepaid insurance
- ► **Insurance expense**
- ► Insurance payable
- ► Insurance paid

Question No: 46 (Marks: 1) - Please choose one

Unexpired costs are reported as:

- ► Revenues

www.vustudents.net

► Expenses
► Assets
► Income

Question No: 47 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► Prepaid insurance
► Advance payment account
► Insurance expense

Question No: 48 (Marks: 1) - Please choose one

Profits earned by partnerships compensate the owners for which of the following?

► Personal services rendered to the business
► Capital invested in the business
► Assuming the risks of ownership
► All of the given options

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► Reserves
► Debentures
► Share premium
► Term finance certificate

Question No: 50 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

► Par value
► Face value
► Nominal value
► All of the given options

Question No: 51 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

► Provision for doubtful debts
► Gain or loss on currency exchange rate
► Depreciation charged on fixed asset
► Amount received for disposal of a fixed asset

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery
► Capital invested by the owners
► Purchase of building for the business use
► Cash received from the disposal of equipment

www.vustudents.net

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

- ► **Short operating cycle of the company**
- ► Long operating cycle of the company
- ► Liquidity is not affected by operating cycle
- ► It is the creditor's choice

Question No: 55 (Marks: 3)

Differentiate between salaries & wages and wages & salaries? Also mention in which financial statements are treated

Question No: 56 (Marks: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement

http://www.vustudents.net

Question No: 57 (Marks: 5)

Prepare Bank Reconciliation Statement with the help of given data

Particulars	Rs.
Balance as per Bank statement (Cr)	600
Unpresented cheques	1,440
Uncredited cheques	260

Question No: 58 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. You are required to prepare the Profit and Loss account.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	

www.vustudents.net

Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

Question No: 59 (Marks: 10)

Internet Consulting Service, Inc., adjusts its accounts every month. Following is the company's year end unadjusted trial balance dated December 31, 2007. (Bear in mind that adjusting entries already have been made for the first 11 months of 2007, but not for December.)

Internet Consulting Service, Inc.
Unadjusted Trial balance
December 31, 2007

Cash	Rs. 49,100	Rs.
Consulting fees receivable	23,400	
Prepaid office rent	6,300	
Prepaid dues and subscriptions	300	
Supplies	600	
Equipment	36,000	
Accumulated depreciation: equipment		10,200
Notes payable		5,000
Income tax payable		12,000
Unearned consulting fees		5,950
Capital stock		30,000
Retained earnings		32,700
Dividends	60,000	
Consulting fees earned		257,180
Salary expense	88,820	
Telephone expense	2,550	

www.vustudents.net

Rent expense	22,000	
Income taxes expense	51,000	
Dues and subscriptions expense	560	
Supplies expense	1,600	
Depreciation expense: equipment	6,600	
Miscellaneous expenses	4,200	
	353,030	**353,030**

Other Data:

1. The useful life of the equipment has been estimated at five years (60 months) from date of acquisition.
2. Consulting services valued at Rs.2,850 were rendered during December to clients who had made payment in advance.
3. Salaries earned by employees but not paid as of December 31 amounted Rs.1,700.
4. An estimate of supplies on hand was made at December 31; the estimated cost of the unused supplies was Rs.450.

Instructions:

Determine the amounts to be reported in the company's year end adjusted trial balance for each of the following accounts:

Consulting fees earned
Salaries expense
Depreciation expense: equipment
Supplies expense
Income tax expense

Paper no 40

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Spring 2010

MGT101- Financial Accounting (Session - 2)

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which of the following is correct according to the double entry system of book-keeping?

► Debit = Credit
► **Debit > Credit**
► **Debit < Credit**
► **All of the given options**

Question No: 2 (Marks: 1) - Please choose one

An Asset that is NOT **physical in nature is called _____.**

► Intangible Asset

www.vustudents.net

► **Liquid Asset**
► **Current Asset**
► **Fixed Asset**

Question No: 3 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► **Cash account**
► **Furniture account**
► **Vehicle account**
► All of the given options

Question No: 4 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

► A memorandum statement
► **A ledger account**
► **A part of cash book**
► **A part of journal**

Question No: 5 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	**Rs. 2,00,000**
Cost of new machine purchased during the year	**Rs. 50,000**
Depreciation during the year	**Rs. 25,000**
Closing written down value (WDV) of machines	**?**

► Rs. 2, 25,000
► **Rs. 2, 50,000**
► **Rs. 2, 75,000**
► **Rs. 75,000**

Question No: 6 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	
	Rs.
Closing value of stock	**40,000**
Bad Debts (Given in trial balance)	**500**
Old provisions (Given in trial balance)	**700**
Sundry Debtors (Given in trial balance)	**44,500**
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	
	?

www.vustudents.net

► Rs. 2,225
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 7 (Marks: 1) - Please choose one
Which of the following is a selling expense?
► **Interest on deposits**
► **Any tax/freight is paid on purchases**
► **General salaries paid to laborers**
► **Tax & freight paid on sale PG26**

Question No: 8 (Marks: 1) - Please choose one
Which account is increased with a debit and decreased with a credit?
► Cash
► **Accounts Payable**
► **Contributed Capital**
► **Retained Earnings**

Question No: 9 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?
► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► **Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)**
► **Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)**
► **Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)**

Question No: 10 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?
► **Individual Partner's Current Account**
► **Partner's Cash Account**
► **Partner's Bank Account**
► **Partners Capital Account**

Question No: 11 (Marks: 1) - Please choose one
Authorized share capital is also known as:
► Registered capital
► **Issued capital**
► **Paid up capital**
► **Called up capital**

Question No: 12 (Marks: 1) - Please choose one
When goods are acquired from the supplier the gross cost of such goods is recorded in:
► **Debtor Account**
► Purchases Account
► **Factory overhead account**
► **Sales Account**

www.vustudents.net

Question No: 13 (Marks: 1) - Please choose one

Which of the following is NOT **a cash inflow?**

- ► **Sale of fixed asset**
- ► **Issue of debentures**
- ► **Cash from business operation**
- ► Purchase of fixed asset

Question No: 14 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► **The repayments of a bank loan**
- ► **Dividend issue in the current year**
- ► Money received as result of selling fixed assets
- ► **The difference between the valuations of old and new fixed assets**

Question No: 15 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

- ► The payments for purchases made during the year
- ► **A decrease in trade debtors over the course of an accounting period**
- ► **Money received as a result of issuing new shares**
- ► **Money received as result of selling fixed assets**

Question No: 16 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

- ► Profit and loss account
- ► **Bad debt account**
- ► **Debtor account**
- ► **Creditor account**

Question No: 17 (Marks: 1) - Please choose one

Subsidiary ledgers are maintained for:

- ► **Debtors**
- ► **Creditors**
- ► **Stock**
- ► All of the given options

Question No: 18 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

- ► **Cash**
- ► Discount received
- ► **Creditors**
- ► **Bank**

Question No: 19 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

www.vustudents.net

► Rs. 21,000
► **Rs. 51,000**
► **Rs. 36,000**
► **Rs. 15,000**

Question No: 20 (Marks: 1) - Please choose one
Which of the following indicates cash discount received?
► Discount in paying debt earlier
► **Discount in receiving debt earlier**
► **Discount in purchasing huge goods**
► **Discount in selling huge goods**

Question No: 21 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?
► **Rs.42,350**
► Rs.44,150
► **Rs.41,600**
► **Rs.40,850**

Question No: 22 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?
► **Rs.81,700**
► Rs.88,300
► **Rs.131,700**
► **Rs.146,700**

Question No: 23 (Marks: 1) - Please choose one
Which of the following value of the share is authorized by the memorandum of association?
► **Par value**
► **Face value**
► **Nominal value**
► All of the given options

Question No: 24 (Marks: 1) - Please choose one
Which of the following statement is not true regarding the objective of statement of cash flows?
► **It is helpful for decision making by management**
► **It is used for reporting the net profit of the period**
► **It can be used for estimations for cash flows in future**
► It is used to determine the liquidity of the business

Question No: 25 (Marks: 1) - Please choose one
Statement of cash flows helps the stakeholders to assess:

www.vustudents.net

► **Ability to pay cash dividends in the future**
► All of the given options
► **The ability to generate future cash flows**
► **The liquidity of the business**

Question No: 26 (Marks: 1) - Please choose one
According to the statement of cash flows following are the examples of investing activities except:
► **Sales of machinery**
► Capital invested by the owners
► **Purchase of building for the business use**
► **Cash received from the disposal of equipment**

Question No: 27 (Marks: 1) - Please choose one
The cash book in book-keeping records:
► **All cash and credit purchase of goods**
► **Only cash payments**
► All receipts and payments in cash
► **All cash and credit sale of goods**

Question No: 28 (Marks: 1) - Please choose one
What will be the effect of decrease in closing stock on gross profit?
► **Gross profit increased**
► Gross profit decreased
► **No effect on Gross profit**
► **Gross profit will become positive**

Question No: 29 (Marks: 1) - Please choose one
If:
· **Direct Material Cost is Rs. 20,000**
· **Direct labour cost is Rs. 10,000**
· **Manufacturing Cost is Rs. 45,000**
Then:
What is the amount of Factory Overhead?
► **Rs. 15,000**
► **Rs. 30,000**
► **Rs. 35,000**
► **Rs. 25,000**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following methods for inventory valuation may overstate the income during the periods of rising prices?
► **Specific Identification Method**
► FIFO Method
► **LIFO Method**
► **Weighted Average Method**

Question No: 31 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following is NOT **a method of calculating depreciation?**

- ► **Straight Line Method**
- ► **Written Down Value Method**
- ► **Diminishing Balance Method**
- ► Specific Identification Method

Question No: 32 (Marks: 1) - Please choose one

What is the treatment of Depreciation in accounting?

- ► **Written in balance sheet under the head of fixed assets**
- ► Charged to profit and loss account
- ► **Written in balance sheet under the head of current assets**
- ► **Written in balance sheet under the head of liabilities**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is TRUE**?**

- ► Gain on revaluation is credited to Revaluation Reserve Account.
- ► **Gain on revaluation is debited to Revaluation Reserve Account.**
- ► **Gain on revaluation is credited to Profit & Loss Account.**
- ► **Gain on revaluation is debited to Profit & Loss Account.**

Question No: 34 (Marks: 1) - Please choose one

The loss on the sale of fixed assets is a:

- ► Normal loss
- ► **Ordinary loss**
- ► **Capital loss**
- ► **Revenue loss**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is NOT **included in Debtors Control Account?**

- ► Cash sale
- ► **Credit sale**
- ► **Bills receivable**
- ► **Discount allowed**

Question No: 37 (Marks: 1) - Please choose one

If cash sale is the missing figure, it can be ascertained by the construction of:

- ► **Creditors Control Accounts**
- ► **Debtors Control Accounts**
- ► Cash Account
- ► **None of the given options**

Question No: 38 (Marks: 1) - Please choose one

Which of the following is/are the Classification of Current Assets?

- ► **Cash Balance**
- ► **Loans and Advances**
- ► **Bank Balance**
- ► All of the given options

Question No: 39 (Marks: 1) - Please choose one

Depreciation expense is charged to which of the following head?

www.vustudents.net

► **Administrative expenses**
► **Selling expenses**
► **Cost of sales**
► It depends on the nature of expense

Question No: 40 (Marks: 1) - Please choose one
Inventory is always considered as:
► Current asset
► **Current liability**
► **Long-term asset**
► **Stockholders' equity**

Question No: 41 (Marks: 1) - Please choose one
If:
Ø **Capital at the start Rs. 100,000**
Ø **Profit during the year Rs. 50,000**
Ø **Withdrawal during the year Rs. 25,000**
What would be the closing balance of capital?
► **Rs. 175,000**
► **Rs. 150,000**
► Rs. 125,000
► **Rs. 75,000**

Question No: 42 (Marks: 1) - Please choose one
Which of the following Legal Documents of a company contain(s) the rules and regulations framed for the internal management of the company?
► **Memorandum of Association**
► **Articles of Association**
► **Both Memorandum of Association and Articles of Association**
► **Prospectus**

Question No: 43 (Marks: 1) - Please choose one
Which one of the following refers to the allotment of shares to the existing shareholders by capitalizing the reserves into additional capital?
► **Reserve funds**
► **Accumulated profit**
► **Right issue**
► **Bonus issue**

Question No: 44 (Marks: 1) - Please choose one
When a share having a face value of Rs.100 issued at Rs.90 then which one of the following options is correct under this situation?
► **Share issued at premium**
► Share issued at discount
► **Share issued at nominal value**
► **Share issued at market value**

Question No: 47 (Marks: 1) - Please choose one
Which of the following would be a suitable head for short term advances from customers in Balance Sheet?
► **Current asset**

www.vustudents.net

► **Intangible asset**
► **Tangible asset**
► Current liability

Question No: 48 (Marks: 1) - Please choose one

If there is a portion of long term loan of Rs. 30,000 payable in the current accounting period. Where it will be shown in financial statement?

► **Current liability**
► Long term liability
► **Current asset**
► **Owner's equity**

Question No: 49 (Marks: 3)

Ø Rent expenses Rs. 20,000
Ø Insurance expenses Rs. 30,000
Ø Bad debts Rs. 35,000

In addition rent payable is Rs. 5,000; calculate the amount of operating expenses to be shown in profit and loss account.

Question No: 50 (Marks: 3)

If:

Ø Retain earning at the beginning Rs. 1,000
Ø Dividend paid 500
Ø Retain earning at the end 2,500

Then:

You are required to prepare statement of Retain earnings to find the amount of Net income

Question No: 51 (Marks: 5)

Given the following data:

Purchases Rs. 4,500, Returns outwards Rs.300, Returns inwards Rs.150, Carriage outwards Rs.830, Carriage inwards Rs.260, Opening stock Rs.935, and closing stock Rs. 1,100.

What would be the value of the cost of goods sold?

Question No: 52 (Marks: 5)

Mr. Bilal is a member of partnership firm. He drew some amounts from the business on following dates.

Ø July Rs. 2,500
Ø November 1,500
Ø December 3,000
Ø March 5,000

All drawings were made on the 1st day of the month @ rate of 10 %. It is assumed that financial year starts at July 1st and ends on 30th June.

Required:

Calculate mark up on drawing.

Question No: 53 (Marks: 5)

Particulars	Rs.
Raw Material - Opening Stock	**10,000**

www.vustudents.net

Raw Material – Purchases	**2,000**
Raw Material - Closing Stock	**3,000**
Packing Material - Opening Stock	**4,000**
Packing Material – Purchases	**5,000**
Packing Material - Closing Stock	**6,000**

Based on the above information you are required to calculate the following:

Ø Cost of Raw Material Consumed

Ø Cost of Packing Material Consumed

Paper no 41

Solved by Chanda Rehman& ABr

FINALTERM EXAMINATION

Spring 2009

MGT101- Financial Accounting (Session - 4)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity
► Increase in an asset, increase in a liability
► Decrease in an asset, decrease in owner's equity
► **Decrease in an asset, decrease in a liability Correct**

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account Correct**
► Source document
► Day book

Question No: 3 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► **Receipts & Payments account**
► Balance Sheet

Question No: 4 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

► **Financial Statements**
► General Journal
► General Ledger

www.vustudents.net

► Voucher

Question No: 5 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► **Current assets**
► Fixed assets
► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability
► **Owner's net worth**
► Working capital
► Asset

Question No: 8 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a payment voucher?

► Name of organization
► Cash payment amount
► Date of transaction
► **Bank receipt**

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► **Conversion cost**
► Sunk cost
► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

www.vustudents.net

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account
► **Capital work in progress account**
► Relevant asset account
► Owner's equity account

Question No: 11 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000
► Rs. 215,000
► **Rs. 220,000**
► Rs. 225,000

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about Capital Expenditure?

► Creates future benefits
► Incurred to acquire fixed assets
► Incurred to increase the economic life of existing fixed assets
► **Reduce the profit of the concern**

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

► **Rs. 22,000 owner's equity**
► Rs. 23, 000 owner's equity
► Rs. 24,000 owner's equity
► Rs. 46,000 owner's equity

Question No: 14 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► **Physical wear and tear**
► All of the given options

www.vustudents.net

Question No: 15 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► **Unpresented cheques**
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account would be credited, when the bad debts are recovered?

► Allowance for bad debts a/c
► **Bad debts recovered a/c**
► Doubtful debts a/c
► Cash a/c

Question No: 17 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**
► Credit sales
► Bills receivable
► Discount allowed

Question No: 19 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► **All of the given options**

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

► Only sales account
► Only A's account
► Only cash account
► **Both sales account and A's account**

www.vustudents.net

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account
► Only P's account
► Only Q's account
► **Both of Mr. P's & Mr.Q's Account**

Question No: 22 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► **Bank charges**
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 23 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► **Rs. 1,000**
► Rs. 2,000
► Rs. 2,600

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

► Rs. 3,600
► **Rs. 4,000**
► Rs. 1,600
► Rs. 2, 400

Question No: 26 (Marks: 1) - Please choose one

Which of the following is normally treated as the last expense listed in the income statement of a company?

► Interest expense
► General and administrative expenses
► Salaries and wages expense
► **Income tax expense**

www.vustudents.net

Question No: 27 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

► Contributed Capital
► Retained Earnings
► Revenues
► **Expenses**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense
► Rent expense
► Interest expense
► Depreciation expense

Question No: 29 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► **It can be realized in cash or sold or consumed in the business within one year**
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► **Drawings**
► Debtors
► Profit

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

► Fixed assets
► Current liabilities
► **Profit sharing ratio**
► Long term assets

Question No: 32 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► **Balance sheet only**
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 33 (Marks: 1) - Please choose one

www.vustudents.net

What will the effects on financial statements, if machinery is depreciated @ 10%?

► It will be treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only
► **It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet**

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit
► Accounts receivable is a miscellaneous category that may include loans to employees
► Accounts receivable are more formal than notes receivable
► **Accounts receivable are often called trade receivables**

Question No: 35 (Marks: 1) - Please choose one

Fixed Asset (WDV) + _____ = Total assets Employed

► **Working capital**
► Total liabilities
► Total assets
► Current assets

Question No: 36 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► **Rs. 1, 08,000**

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion
► Partners are personally liable for the liabilities of the business
► Partnerships must make their accounts available to the general public
► **Partnership agreement in writing is called Partnership deed**

Question No: 38 (Marks: 1) - Please choose one

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► **Companies ordinance 1984**
► Contract act 1872

www.vustudents.net

► Sales of Goods act 1930
► None of the given options

Question No: 39 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► **Share premium account**
► Share holder account
► Debtors control account
► Creditor control account

Question No: 40 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Prospectus
► Statutory Declaration
► Memorandum of Association
► Articles of Association

Question No: 41 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

► It will be deducted in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated as current asset in balance sheet only
► **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 42 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► it will be treated in both profit and loss appropriation account and in the balance sheet
► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only

Question No: 43 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► **The payments for purchases made during the year**
► A decrease in trade debtors over the course of an accounting period
► Money received as a result of issuing new shares
► Money received as result of selling fixed assets

Question No: 44 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

► A cash inflow means increase total cash only
► A cash inflow means increase in cash equivalent only

www.vustudents.net

► A cash inflow means increase in cash and decrease in cash equivalent
► **A cash inflow means increase in both cash and cash equivalent**

Question No: 45 (Marks: 1) - Please choose one

When opening stock is Rs. 50,000, closing stock Rs. 60,000 and cost of goods sold Rs. 220,000. What will be stock turnover ratio?

► 2 times
► 3 times
► **4 times**
► 5 times

Question No: 46 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

► **Rs. 8,000**
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 47 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued
► Liabilities of old business will be revalued
► Good will of business will be revalued
► **All of the given options**

Question No: 48 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► **All of the given options**

Question No: 49 (Marks: 1) - Please choose one

If one partner receives a salary which is credited to him at the end of the year, the share of profit available for distribution will be:

► Increased
► **Decreased**
► Unchanged
► Changed and become negative

Question No: 51 (Marks: 5)

www.vustudents.net

What is the Purpose of Control Accounts?

A business needs to have accounts created for individual creditors and debtors in its general ledger. Creditors are people/entity to whom company owes money and debtors are entities/people who owe money to the business. But when a business grows then the number of creditors and debtors also grows. We know that trial balance can give us the mathematical accuracy of accounts and if there is any difference in trial balance we can know it from the general ledger by actually checking each and every transaction for the year. But it is a very time consuming job to check each and every transaction if the business of the company is huge because it will have many many transaction to check. So in this control accounts are maintained in general one for total creditors and one for total debtors. Debtor's account is called debtor's control account and creditor's account is called creditor's control account. These accounts will not get hit by individual purchase, purchase returns, payments to creditor in case of creditor's control account and by sales, sales return, receipts in case of debtor's control account. Periodically this summarized data will be posted from individual ledgers which will be created for each type of transaction e.g a sales subsidiary ledger, purchase subsidiary ledger etc which will contain actual details of transactions with invoice number and periodically the amounts will be summarized from these subsidiary ledgers and posted to the control accounts at a single time. This way the transactions in general ledger will decrease and will become easy to manage and can be easily checked against creditor's or debtor's details in total creditor's ledger and total debtor's ledger for accuracy.

Question No: 52 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

1. Accrued Expenses or Outstanding Expenses
2. Prepaid Expenses or Unexpired Expenses
3. Accrued Revenue or Revenue Receivable
4. Unearned Revenue or Revenue Received in Advance
5. Depreciation of Asset

http://www.vustudents.net

1. **Accrued Expenses or Outstanding Expenses**

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

www.vustudents.net

2. Prepaid Expenses or Unexpired Expenses

Trading and profit and loss account effect

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

3. Accrued Revenue or Revenue Receivable

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

4. Unearned Revenue or Revenue Received in Advance

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current

www.vustudents.net

asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

5. Depreciation of Asset

Trading and profit and loss account effect

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

Question No: 53 (Marks: 10)

Prepare profit & loss Appropriation account with the help of given data and show capital accounts and current account in balance sheet for XY Z & Sons

Particulars	Rs.
Net profit for the year	600,000
Opening balance of Capital	X:400,000 Y: 250,000 Z: 300,000
Drawings during the year	X: 100,000 Y: 150,000 Z: 125,000
Salaries are to be paid	X: 12,000 Y:20,000 Z:15,000
Opening Balance of current account	X: 50,000 Y: 60,000 Z: 45,000
Mark up rate on capital	5%
Mark up rate on drawings	5%
Profit sharing ratio for X:Y:Z	30: 25:45

It is assumed that no capital introduced during the year.

www.vustudents.net

ANSWER

XYZ Sons
Profit and Loss Appropriation account for the period ending ----

Particulars		Amount Rs	Amount Rs
Net Rrofit for the year			600,000
Less Salaries for partners	Partner X Partner Y Partner Z	(12,000) (20,000) (15,000)	(47,000)
Less Interest on Capital(5%)	5 % on 400,000 for partner X 5 % on 250,000 for partner Y 5 % on 300,000 for partner Z	(20,000) (12,500) (15,000)	(47,500)
Add : Markup on drawings(5%)	Partner X's drawing 100,000 Partner Y's drawing 150,000 Partner Z's drawing 125,000	5,000 7,500 6,250	18,750
Net Profit avaialble for distribution			524,250
Profit distributed to partners	X's share 30% Y's share 25% Z's share 45%	(157,275) (131,063) (235,913)	(524,250)
Total			0

ANSWER PART 2
CURRENT ACCOUNTS OF PARTNERS

XYZ LTD		Partner's X Current Account		Account Code --			
DEBIT SIDE				CREDIT SIDE			
Date 2002	Vr.#	Narration / Particulars	Dr. Rs	Date 2002	Vr.#	Narration / Particulars	Cr. Rs
		Drawing	100,000			Opening balance	50,000

www.vustudents.net

		Markup on drawing	5,000			Salary	12,000
						Interest on capital	20,000
						Profit paid	157,275
		Balance c/d	134,275				
		TOTAL	239,275			TOTAL	239,275

XYZ LTD		Partner's Y Current Account		Account Code --			
DEBIT SIDE				CREDIT SIDE			
Date 2002	Vr.#	Narration / Particulars	Dr. Rs	Date 2002	Vr.#	Narration / Particulars	Cr. Rs
		Drawing	150,000			Opening balance	60,000
		Markup on drawing	7,500			Salary	20,000
						Interest on capital	12,500
						Profit paid	131,063
		Balance c/d	66,063				
		TOTAL	223,563			TOTAL	223,563

XYZ LTD		Partner Z Current Account		Account Code --			
DEBIT SIDE				CREDIT SIDE			
Date 2002	Vr.#	Narration / Particulars	Dr. Rs	Date 2002	Vr.#	Narration / Particulars	Cr. Rs
		Drawing	125,000			Opening balance	45,000
		Markup on drawing	6,250			Salary	15,000
						Interest on capital	15,000
						Profit paid	235,913
		Balance c/d	179,663				
		TOTAL	310,913			TOTAL	310,913

www.vustudents.net

Question No: 54 (Marks: 10)

Following is information of Shumile Ltd for the year ended December 31st, 2006

Particular	Rs.
Current Asset	160,850
Current Liability	72,500
Plant & Machinery	171,000
Furniture	30,000
Land	100,000
Accumulated profit & Loss c/f (credit balance) on 31st December,2006	7,250
Gross Profit on 31st December,2006	125,000
Issued capital	150,000
General Reserve	12,000
Authorized Capital Rs. 10/each	500,000
Long term investment	200,000

Other information:

Depreciation is charged on all Fixed Assets (except Land) @ 10%.

Prepare Balance Sheet as on 31st December, 2006.

Answer :

Shumile Lts **Balance sheet as on date Dec 31st 2006**		
Particulars	**Amount Rs**	**Amount Rs**
Assets **Fixed Assets** Fixed Assets at WDV **Note 1**		280,900
Current Assets Cuurent Assets		160,850
Current Liability Current Liability		72,500
Working Captial		88,350
Net Assets employed **Note 2**		**369,250**
Financed by		
-		

www.vustudents.net

Authorized share capital (50,000 shares at Rs 10 each)		500,000
Share Holder's Equity		
Issued Capital		150,000
General Reserve		12,000
Accumulated profit ansd loss		7,250
Net Shareholder's Equity		**169,250**
Long Term Liability		
Long Term Investment		200,000
Total		**369,250**

NOTES TO BALANCE SHEET

Note 1 **Depreciaiton**

			Depreciation			
Pariculars	**Cost of Item**	**Rate**	**Opening Balance**	**Depreciation for the year**	**Total Accumulated Depreciation**	**Written Down Value**
Land	**100,000**	**0**	**0**	**0**	**0**	**100,000**
Plant and machinery	**171,000**	**0.10**	**0**	**17,100**	**17,100**	**153,900**
Furniture	**30,000**	**0.10**	**0**	**3,000**	**3,000**	**27,000**
TOTAL				**20,100**	**20,100**	**280,900**

Note 2 **Net assets employed**

Partiucular	**Amount**
Working Capital	883,850
Fixed assets	280,900
Net Assets employed = Working Capital + Fixed assets	1,164,750

Paper no 42

Solved by Chanda Rehman

FINALTERM EXAMINATION

www.vustudents.net

Fall 2008
MGT101- Financial Accounting (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► **Liability** Correct
- ► Revenue
- ► Deferred expense

Question No: 2 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► **Asset**
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 3 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► **Rs. 2, 45,000**
- ► Rs. 3, 43,000

2+3+5 = 10
Mr. A
490000*2/10
Mr. A = 98000
Mr. B
490000*3/10
Mr. B = 147000

Question No: 4 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- ► Credit side of the partner's capital account
- ► Credit side of the partner's current account
- ► Debit side of partnership bank account
- ► **Debit side of the partner's current account**

Question No: 5 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

www.vustudents.net

► **Rs. 98,000**
► Rs. 147,000
► Rs. 245,000
► Rs. 343,000

Question No: 6 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► **All of the given options**

Question No: 7 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► **Number of ordinary shares**
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► **Shareholders are personally liable for all the liabilities incurred by the business Correct**
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 9 (Marks: 1) - Please choose one

A private limited company can commence its business:

► **Immediately on receiving a certificate of incorporation**
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: 10 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets
► Long-term deposit
► Financial charges paid

www.vustudents.net

► **Dividend paid**

Question No: 11 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► **An increase in trade debtors over the course of the period**
► An increase in the depreciation charge relative to the previous accounting period

Question No: 12 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► **Its cash receipts and cash payments during an accounting period**
► Its financial position at the start of an accounting period
► None of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm
► Sales returns affect the Net income of the firm
► Sales returns affect the flow of cash
► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**
► Shareholders
► Managers
► Directors

Question No: 15 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► **The memorandum of association**
► Articles of association
► Statutory report
► Certificate of commencement

Question No: 16 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following can offer its share to general public at large?

► A private limited company
► **A listed company**
► A partnership firm
► A trust

Question No: 17 (Marks: 1) - Please choose one

Which of the following are the owners of a company?

► Proprietors
► Partners
► **Shareholders**
► Managers

http://www.vustudents.net

Question No: 18 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

► Normal
► Floating
► **Fixed**
► Fluctuating

Question No: 19 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

► **Balance Sheet**
► Profit & Loss Account
► Trading Account
► Both Balance Sheet and Profit & Loss Account

Question No: 21 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► **Capital account**
► Shareholder account
► Liability account
► Expense account

Question No: 22 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► **It can be realized in cash or sold or consumed in the business within one year**
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 23 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

www.vustudents.net

► **Administrative expenses**
► Marketing expenses
► Selling expenses
► Financial expenses

Question No: 24 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**
► Transportation inward costs
► Import duties
► Purchase price

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► **Rs. 5,480**

Question No: 28 (Marks: 1) - Please choose one

If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

► Debit side of P & L account
► **Credit side of P & L account**
► Asset side of Balance Sheet
► Liability side of Balance Sheet

Question No: 29 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► **A's account (Dr.) and B's account (Cr.)**
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 30 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

www.vustudents.net

► Sales account
► Purchase account
► A's account and Sales account
► **Sales account, purchase account and A's account**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► **Return inwards**
► Credit purchases
► Discount allowed

Question No: 32 (Marks: 1) - Please choose one

Sales are calculated by adding:

► Cash sales and cash received from debtors
► Credit sales and cash received from debtors
► **Cash sales and credit sales**
► Cash ales and credit purchases

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► **Subsidiary Ledgers**
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 34 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

www.vustudents.net

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	4,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	20,000
closing written down value (WDV) of the Machines	?

► Rs. 4, 30,000
► Rs. 4, 50,000
► Rs. 4, 70,000
► Rs. 70,000

Question No: 37 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

► Treated as a reserve
► Treated as a contra asset
► Treated as a surplus
► Treated as an expense

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 39 (Marks: 1) - Please choose one

Stock of Trading concern consists of:

► Raw material
► Work in process
► Merchandise inventory

www.vustudents.net

► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 41 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000
► **Rs. 215,000**
► Rs. 220,000
► Rs. 225,000

Question No: 42 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000
► Rs. 8,000

www.vustudents.net

► Rs. 4,500
► **Rs. 10,500**

Question No: 44 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

► Interest expenses
► **Wages and salaries**
► Depreciation expenses
► Discount Allowed

Question No: 45 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 46 (Marks: 1) - Please choose one

Identify that which of the following particular(s) would **NOT** be shown in the format of a Cash Book?
(1) Cheque number
(2) Date of transaction
(3) Amount of transaction

► **(1) only**
► (1) & (2) only
► (1) & (3) only
► (2) & (3) only

Question No: 47 (Marks: 1) - Please choose one

The process of transferring journal entry information to the ledger is called:

► Journalizing
► **Posting**
► Balancing
► Analyzing

Question No: 48 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

www.vustudents.net

Question No: 49 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 50 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called:

► Expenses
► **Assets**
► **Capital**
► Liabilities

Question No: 51 (Marks: 5)

With the help of given data prepare Capital account of a sole trader and calculate closing balance of capital.

	Rs.
Balance b/f	550,000
Drawings	50,000
Profit & Loss (debit balance)	45,000

CAPITAL ACCOUNT			
DEBIT SIDE		CREDIT SIDE	
PARTICULARS	AMOUNT	PARTICULARS	AMOUNT
Profit and loss	45000	Balance b/f	550,000
Drawings	50,000		
Balance c/f	**455,000**		
TOTAL	550,000	TOTAL	550,000

Question No: 52 (Marks: 10)

Briefly explain the financial statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER: The financial statements prepared by any organization are as follows:

1. **Profit and loss account:** It shows the performance of the business in a given period. It shows the profitability of business which shows the success or failure of the business.

www.vustudents.net

2. **Balance sheet:** Balance sheet shows the position of business at a given point. It shows the resources available by the business and the resources invested by the owner and other loans.
3. **Cash flow statements:** Cash flow statements show the generation of cash and its usage over a given period.

IMPORTANCE OF FINANCIAL STATEMENTS FOR MANUFACTURING CONCERN: These financial statements are important for manufacturing concern organization as they provide information related to financial affairs of the organization. The profitability and liquidity, the resources available to the company and the generation of cash and its usage over a given period which provides reasonable information to the management to take decisions.

Question No: 53 (Marks: 10)

The comparative financial statement data for XYZ Company is given below:

	December 31	
Assets:	**2007**	**2006**
	Rs.	**Rs.**
Cash	4,000	7,000
Accounts receivable	36,000	29,000
Inventory	75,000	61,000
Plant and equipment	210,000	180,000
Accumulated depreciation	(40,000)	(30,000)
Total Assets	**285,000**	**247,000**
Liabilities & Stockholder's equity:		
Accounts payable	45,000	39,000
Common stock	90,000	70,000
Retain earnings	150,000	138,000
Total liabilities & Stockholder's equity	**285,000**	**247,000**

For 2007, the company reported net income as follows:

XYZ Company
Income Statement
For the year ended 31st December, 2007

	Rs.
Sales	500,000
Less: Cost of goods sold	300,000
Gross margin	200,000
Less Operating expenses	180,000
Net Income	20,000

Required:

www.vustudents.net

Prepare a Statement of Cash Flows if dividend of Rs. 8,000 was declared and paid during the year 2007. There were no sales of plant and equipment during the year.

ANSWER:

Starting balance:	
Net income	**20,000**
Add: adjustment for non cash items	
Depreciation	38,000
Operating profit before working capital changes**:**	**58,000**
Working capital changes:	
Add: cash	3,000
Less: accounts receivable	(7,000)
Add: accounts payable	7,000
Cash generated from operations	**61,000**
Cash flow from investing activities	
Cash flow from financing activities:	
Common Stock	20,000
Net decrease in cash	3,000
Net cash flow	**78,000**

Question No: 54 (Marks: 10)

Write a note on legal documents required for the formation of company.

ANSWER:

LEGAL DOCUMENTS REQUIRED FOR FORMATION OF COMPANY:

MEMORENDUM OF ASSOCIATION: It contains the following information

1. Name of company.
2. Place of registered office
3. Objective
4. Amount of share capital with which company registers.

ARTICLES OF ASSOCIATION: It contains the following information

A document that contains all the policies and other matters necessary to run the business of the company. It is signed by all the members of the company.

Best of Luck

http://www.vustudents.net

http://www.vustudents.net

Paper N0:15

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

► Sole proprietorship

► Partnership

www.vustudents.net

► Limited company

► **Trust**

Question No: 3 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping

► **Double entry book keeping**

► Both single and double entry book keeping

► Cash basis of book keeping

Question No: 4 (Marks: 1) - Please choose one

An Asset that is **NOT** physical in nature is called _____.

► **Intangible Asset**

► Liquid Asset

► Current Asset

► Fixed Asset

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

www.vustudents.net

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets

► **Current assets**

► Fixed assets

► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

► Cash account

► Business account

www.vustudents.net

► **Bank account**

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► **Purchases account**

► Mr. Ali account

► Cash account

► Sales account

Question No: 9 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

► Polish and finishing material for chair

www.vustudents.net

► **A piece of wood for the production of chair**

► Production worker's wages

► Depreciation expenses

Question No: 11 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 12 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000

► Rs. 8,000

► Rs. 4,500

► **Rs. 10,500**

Question No: 13 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

www.vustudents.net

► Total factory cost + Opening work in process + Ending work in process

► **Total factory cost + Opening work in process – Ending work in process**

► Total factory cost - Opening work in process + Ending work in process

► Ending work in process +Total factory cost – Opening work in process

Question No: 14 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► **Rs.25, 000**

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► **Rs. 215,000**

www.vustudents.net

► Rs. 220,000

► Rs. 225,000

Question No: 16 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► **Rs.320**

[100+385+480+260=1225-905= (10*10=100, 35*11=385, 35*12=420)]

Question No: 17 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

www.vustudents.net

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 20 (Marks: 1) - Please choose one

www.vustudents.net

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400

► **Rs. 800**

► Rs. 2,000

► Rs. 2,400

Question No: 21 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► Discount Allowed (Dr) and Debtors Control A/c (Cr)

► Discount Allowed (Dr) and Debtors A/c (Cr)

► **Debtors Control A/c (Dr) and Discount Allowed (Cr)**

► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

www.vustudents.net

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

► Rs. 3,600

► Rs. 4,000

http://www.vustudents.net

► Rs. 1,600

► **Rs. 2, 400**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► All of the given options are correct

► **It means depreciation has already been deducted from concerned asset account**

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 25 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

www.vustudents.net

► Subscribers

► **Shareholders**

► Managers

► Directors

Question No: 26 (Marks: 1) - Please choose one

Merchandise on hand at either the beginning or end of the reporting period is called_____.

► Raw material

► Cost of good sold

► Work in process

► **Inventory**

Question No: 27 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 28 (Marks: 1) - Please choose one

In which of the following interim dividend is treated?

www.vustudents.net

► In profit and Loss account

► In profit and Loss appropriation account

► On the asset side of the Balance Sheet

► In trading account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association

► Articles of Association

► Prospectus

► Statutory Declaration

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

► Purchase of fixed asset

www.vustudents.net

Question No: 31 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► **The payments for purchases made during the year**

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people

► Shareholders can appoint professionals

► **Shareholders are personally liable for all the liabilities incurred by the business**

► Regular filing of information about the affairs of the company is a legal requirement

Question No: 33 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► **Current Assets**

► Current Liability

► Long-term liability

► Share of profit

www.vustudents.net

Question No: 34 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► **Decrease assets and stockholders' equity.**

► Increase liabilities and decrease stockholders' equity.

Question No: 35 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

► Asset

► Uncollectible asset

► **Uncollectible accounts expense**

► None of the given options

Question No: 36 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

► **Rs. 5,000**

► Rs. 9,850

► Rs. 25,000

► Rs. 14,900

www.vustudents.net

Question No: 37 (Marks: 1) - Please choose one

Credit sales appear on the __ _____ side of the Debtors control account.

► Left side or credit

► **Left side or debit**

► Right side or debit

► Right side or credit

Question No: 38 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 39 (Marks: 1) - Please choose one

Which of the following is usually not an accrued expense?

► Interest payable

► Wages payable

► Taxes payable

► **Notes payable (its liability not an expense)**

Question No: 40 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following is **NOT** a financial statement?

► Balance sheet

► **Audit report**

► Income statement

► Cash flow statement

Question No: 41 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

► A debit to the Cash Received account of Rs. 3,500

► **A credit to the Accounts Receivable account of Rs.2,100**

► A debit to the Cash account of Rs.1,400

► A debit to the Accounts Receivables account of Rs.1,400

Question No: 42 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A? ► **Rs.2,640**

► Rs.1,320

► **Rs.2,640**

► Rs.3,960

► Rs.6,600

Question No: 43 (Marks: 1) - Please choose one

www.vustudents.net

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry? ► **Income tax expense**

► Income tax payable

► Prepaid income tax

► **Income tax expense**

► Income tax paid

Question No: 44 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000

► Rs.28,000

► **Rs.33,000**

► Some other amount

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.65,000 and Rs.50,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,000 and of Mr. B is Rs.1,500. The net income for the year is Rs.55,000. What will be the amount of distributable profit? ► **Rs.57,500**

► Rs.52,500

► Rs.56,000

► Rs.56,500

► **Rs.57,500**

www.vustudents.net

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A? ► **Rs.22,500**

► **Rs.22,500**

► Rs.25,500

► Rs.27,500

► Rs.55,000

Question No: 47 (Marks: 1) - Please choose one

Which of the following is quoted company?

► Private Limited Company

► Public Limited Company

► **Listed company**

► Non Listed Company

Question No: 48 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► Reserves

► Debentures

► **Share premium**

www.vustudents.net

► Term finance certificate

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve

► General reserve

► Revaluation reserve

► None of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

www.vustudents.net

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► **Capital invested by the owners**

► Purchase of building for the business use

► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings

► **Statement of financial position**

► Statement of cash flows

http://www.vustudents.net

► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, all of the following items are considered as financing activity, except:

► Cash received from issuance of shares

► Cash received from issuance of bonds

► **Payment made for short term debts**

► Collections on loans

Question No: 55 (Marks: 3)

www.vustudents.net

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

400000x6/100=2400

400000

Question No: 56 (Marks: 5)

What do you mean by "Bad Debts" and "Doubtful Debts"? Distinguish between these.

Ans: **Bad Debts**

when we are going to sell the products on credit so our business take risk that there are some customer in market that they will never pay for stock sold to them.So,such situation in which the amount which is due to the debetor are call bad debts

This is a loss sustained loss for business due to risk. It is recorded in Profit and Loss Account in the period in which it is happen.

Doubtful Debts

A doubtful debt is a debt, which the business considers may not be paid

Question No: 57 (Marks: 5)

www.vustudents.net

a. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

b. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Opening stock :		Rs.56,950
Add bpurchase:		175,750
Add Carriage inward :		5,200
Less Stock closing balance:		(65020)
Cost of goods sold	=	Rs 172,880

www.vustudents.net

Question No: 58 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

S.No	Narration / Particulars	Withdrawals Amountnt	Deposits Amount			Balance Dr/(Cr)
	Balance as per Cash Book (Dr.)					180,000
						7900
						4500

www.vustudents.net

						1300

Question No: 59 (Marks: 10)

Listed below are selected items from the financial statements of ABC Mfg. Co. for the year ended December 31, 2007.

Note payable to Bank Al-Falah	Rs.500,000
Income taxes payable	40,000
Mortgage note payable	750,000
Accrued interest on mortgage note payable	5,000
Trade accounts payable	250,000
Unearned revenue	15,000
Accrued expenses and payroll taxes	60,000
Debenture	500,000

Other information:

1. The note payable owed to Bank Al-Falah is due in 60 days. ABC Mfg. Co. has arranged with this bank to renew the note for an additional 24 months.

2. The mortgage requires payment of Rs.6,000 per month. An amortization table shows that its balance will be paid down to Rs.739,000 by December 31, 2008.

3. Debenture of Rs.150,000 is due in 180 days.

Instructions:

www.vustudents.net

Using the information, prepare the current liabilities and long-term liabilities sections of a classified balance sheet at December 31, 2007.

Solved by Chanda Rehman, Nomi chakwal and ABr

Paper N0:16

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 2)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► For the year 2008 only
- ► For the last day of 10th year only
- ► **Over 10 years**
- ► Nothing can be said about it

www.vustudents.net

Question No: 3 (Marks: 1) - Please choose one

According to the double entry system of accounting, an account that obtains benefit is:

► **Debit** (Handouts Page 11, 12)

► Credit

► Income

► No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity

► Increase in an asset, increase in a liability

► Decrease in an asset, decrease in owner's equity

► **Decrease in an asset, decrease in a liability**

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Trading account?

► **It inculdes cost of goods sold and all the direct expenses related to sales**

► It inculdes cost of goods sold and all the indirect expenses related to sales

► It inculdes cost of goods sold and all the direct and indirect expenses

► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies

www.vustudents.net

► Private limited companies

► Partnership firms

► **All of the given options**

Question No: 7 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► **Current asset**

► Fixed asset

► Long term asset

Question No: 8 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 9 (Marks: 1) - Please choose one

If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

www.vustudents.net

► **Rs. 25,000**

► Rs. 1, 00,000

► Rs. 1, 75,000

► Rs. 3, 00,000

Question No: 10 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► **Prime cost** (Handouts Page 121)

► Conversion cost

► Sunk cost

► Opportunity cost

Question No: 11 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► Rs. 215,000

► **Rs. 220,000**

► Rs. 225,000

www.vustudents.net

Question No: 12 (Marks: 1) - Please choose one

Accounting is the language of:

► **Business**

► School

► Proprietor

► Management

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► **Rs. 400**

► Rs. 800

www.vustudents.net

http://www.vustudents.net

► Rs. 2,000

► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

► Rs. 2,225

► Rs. 2,525

► Rs. 1,925

► Rs. 3,025

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

www.vustudents.net

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 17 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only

► Cash sale only

► Credit purchase only

► **Both Credit sales and Credit purchase**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► Control Account

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 19 (Marks: 1) - Please choose one

If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?

► Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)

► **Bade debts (Dr) and Debtors Control A/c (Cr)**

► Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)

► Allowance for doubtful debts (Dr) and Debtors A/c (Cr)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

www.vustudents.net

► Plant account

► Carriage account

► **Both plant account and carriage account**

► Trading account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► **Bank charges**

► An error on the Bank Statement

► An uncredited deposit

► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Which of the following is normally treated as the last expense listed in the income statement of a company?

► Interest expense

► General and administrative expenses

► Salaries and wages expense

► **Income tax expense**

Question No: 23 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

www.vustudents.net

► Cash

► Note Payable

► **Owner's Equity** (Handouts Lesson 12, Page 83)

Question No: 24 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► **A balance sheet**

► A statement of retained earnings

Question No: 25 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► **Capital account**

► Shareholder account

► Liability account

► Expense account

Question No: 26 (Marks: 1) - Please choose one

In which type of a business, the owner and his business are considered same in the eyes of law?

► **Sole proprietorship**

► Public companies

► Limited companies

► Listed companies

www.vustudents.net

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► **Total assets employed**

► Total liabilities

► Total assets

► Current assets

Question No: 28 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**

► Partner's Cash Account

► Partner's Bank Account

► Partners Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association

► **Articles of Association**

► Prospectus

► Statutory Declaration

www.vustudents.net

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

► **A new long-term loan taken out to finance the purchase of fixed assets**

► Salaries paid

► Interest paid on a long-term bank loan

► The cost of purchasing a patent

CASH FLOW FROM FINANCING ACTIVITIES (Handouts Page 266)

Cash flow from financing activities includes cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization.

• Cash receipts and payments for **other long term** loans and borrowings.

Question No: 31 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets** (Handouts Page 311)

► Overstating current Liabilities

► Understating current Assets

► Understating current assets and overstating current liabilities

Question No: 32 (Marks: 1) - Please choose one

Mark up cover ratio = operating profit before financial charges ÷ **?**

► Selling expenses

► Administrative expenses

► **Financial charges** (Handouts Page 311)

► Direct expenses

Question No: 33 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner

► At the admission of new partner

► If any partner resigned from partnership

► **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

► **Rs. 98,000**

► Rs. 147,000

► Rs. 245,000

► Rs. 343,000

Question No: 35 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► Net loss of Rs.1, 000

► **Net income of Rs. 1,000**

► Net loss of Rs. 2,000

► Net income of Rs. 2,500

www.vustudents.net

Question No: 36 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► **Decrease assets and stockholders' equity.**

► Increase liabilities and decrease stockholders' equity.

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is the detail of transaction in one's account provided by the bank?

► **Bank statement**

► Bank reconciliation statement

► Income statement

► Financial statement

Question No: 38 (Marks: 1) - Please choose one

An asset cost Rs. 50,000, has an estimated residual value of Rs.1, 500, and an estimated useful life of 8 years. What is the depreciation rate under reducing balance method?

► 11.5%

► 20.0%

► 25.0%

www.vustudents.net

► **35.5%**

(Handouts Page 135)

In **reducing balance method**, a formula is used for calculation of depreciation rate. i e.

Rate = $1 - \sqrt[n]{RV/C}$ = $1 - \sqrt[8]{1500/50000}$ = $1 - \sqrt[8]{0.03}$ = 1 – 0.645 = 0.355 × 100 = 35.5%

Or = $1 - (RV/C)^{1/n}$ = 1 – $(1500/50000)^{1/8}$ = 1- $(0.03)^{1/8}$ = 1- 0.645=0.355 × 100= 35.5%

Question No: 39 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash Account & Capital Account**

► Cash Account & Expense Account

► Capital Account & Revenue Account

► Capital Account & Expense Account

Question No: 40 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

► **Purchase of building on credit**

► Dividends to stockholders

► Net loss

► Investment in cash by stockholders

www.vustudents.net

Question No: 41 (Marks: 1) - Please choose one

Receipts from debtors appear on the _____ side of the individual debtors account.

► Left side or credit

► Left side or debit

► Right side or debit

► **Right side or credit**

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission

► Allowance

► **Discount**

► Rebate

Question No: 43 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 44 (Marks: 1) - Please choose one

Capital and drawings are reported in which of the following section of balance sheet?

► Assets

www.vustudents.net

► Other assets

► Non current liabilities

► **Owner's equity**

Question No: 45 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable

► **Prepaid insurance**

► Advance payment account

► Insurance expense

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89, 700

► Rs.94, 700

► Rs.95, 300

► **Rs.100, 300** (Not 100 % sure)

Question No: 47 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22, 500

► Rs.25, 500

► Rs.27, 500

www.vustudents.net

► Rs.55, 000

Question No: 48 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2

► 3

► 5

► 7

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve

► General reserve

► Revaluation reserve

► None of the given options

Question No: 50 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► Capital invested by the owners

► Purchase of building for the business use

► Cash received from the disposal of equipment

No: 51 (Marks: 1) - Please choose one

Which of the following ratio is widely used to measure the short-term debt-paying ability of a company? (Correct Answer is Creditors Turnover Ratio)

www.vustudents.net

► Acid-test ratio

► Debt ratio

► Current ratio

► **None of the given options**

Creditors Turnover Ratio (Handouts Page 309)

Creditors turnover means how many times or in how many days a company pay to its creditors. The formulae for this ratio are as follows:

Creditor Turnover (Number of days) = (Average Creditors / Credit Purchases) x 365

Creditor Turnover (Number of times) = Credit Purchases / Average Creditors

Acid Test Ratio (Handouts Page 311)

Acid test ratio is the proportion of current assets which are convertible into cash and current liabilities. The formula for calculating this ratio is as follows:

Acid Test Ratio = (Current Assets – Stock) / Current Liabilities

Debt Equity Ratio (Handouts Page 310)

This ratio shows the composition of finance that have funded the asset of the company. This ratio varies for different projects. In Pakistan, maximum advised ratio is 60: 40. i-e. 40% of the assets should be bought with company, s investment and 60% should be bought with the loan taken by the company. The formula for calculating this ratio is as follows:

Debt Equity Ratio = Long term Liabilities / Equity

Current Ratio (Handouts Page 310,311)

Current ratio shows the proportion of current assets and current liabilities. This ratio should be 1:1. i-e. For every liability of one rupee, there should be an asset of one rupee to pay it. The formula for calculating this ratio is as follows:

Current Ratio = Current Assets / Current Liabilities

www.vustudents.net

Question No: 52 (Marks: 1) - Please choose one

Which of the following usually is least important as a measure of short-term liquidity?

► Quick ratio

► Debt ratio

► Current ratio

► **Cash flows from operating activities**

Question No: 53 (Marks: 1) - Please choose one

In statement of cash flows, a payment of cash dividends is related to:

► **Investing activity**

► Financing activity

► Operating activity

► Cash flows from operations

CASH FLOW FROM INVESTING ACTIVITIES (Handouts Page 265)

Cash flow from investing activities includes cash receipts and payments that arise from Fixed and Long Term assets of the organization.

• Cash payments and receipts from **acquisition** and **disposal** of **other than long term** assets e.g. Shares, debentures, TFC, long term loans given etc.

CASH FLOW FROM FINANCING ACTIVITIES (Handouts Page 266)

Cash flow from financing activities includes cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization.

• Cash receipts and payments for **other long term** loans and borrowings.

Question No: 54 (Marks: 1) - Please choose one

www.vustudents.net

In statement of cash flows, all of the following items are considered as financing activity, except:

- ► Cash received from issuance of shares
- ► Cash received from issuance of bonds
- ► **Payment made for short term debts**
- ► Collections on loans

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	2,500
Provision for doubtful debts (new)	800

Question No: 56 (Marks: 5)

Pass the Journal Entries in proper format of JOURNAL for the following:

- v To create provision for doubtful debts
- v To reduce the provision
- v To increase the provision

Solution:

To create provision for doubtful debts

Debit: Provision for Bad Debts (P&L)

Credit: Provision for Bad Debts

www.vustudents.net

The debit account is charged against current years profit and the credit head is shown as a deduction from debtors in the balance sheet.

When the bad debt for which provision is already made is confirmed, following entry is passed:

Debit: Provision for Bad Debts

Credit: Debtors

As expense has already been charged, therefore, no affect is given to P&L at this point.

To reduce the provision

Debit: Provision for Bad Debts (Balance Sheet)

Credit: Provision for Bad Debts (P&L)

To increase the provision

Debit: Provision for Bad Debts (P&L)

Credit: Provision for bad debts

Question No: 57 (Marks: 5)

Briefly discuss the followings:

1. Issuance of shares at premium

When a company has a good reputation and earns huge profits, the demand of its shares increases in the market. In that case, the company is allowed by the Companies Ordinance 1984, to issue shares at a higher price than their face value. Such an issue is called Shares Issued at Premium. The amount received; in excess of the face value of the shares is transferred to an account called "Share Premium Account". This account is used to:

- Write off Preliminary Expenses of the company.
- Write off the balance amount, in issuing shares on discount.
- Issue fully paid Bonus Shares.

2. Cash flow statement

www.vustudents.net

Cash Flow Statement shows the movement of cash resources during the year. It gives information about sources of income and account heads on which this amount is spent. It is an integral part of financial statements.

3. Debentures

Debentures are issued under the common seal (Stamp) of the company, as acknowledgement of debt, owed by the company to the public at large for a defined period of time for obtaining loan from general public and has a mark up (profit) rate attached to it, generally equal to the market rate.

4. Notes to the accounts

Notes to the accounts are explanatory notes on financial statements of the company. These include all the information, from formation of company to the calculation of figures, arrived at, during the preparation of financial statements.

Question No: 58 (Marks: 10)

On 31st December, 2006, a merchant has to receive Rs. 50,000 from sundry debtors and creates provision of 5 percent on this amount for doubtful debts. Actual bad debts during the year 2007 were Rs.1, 400. The debtors on 31st December, 2007, are Rs. 40,000 on which he again creates provision of 5 % for doubtful debts. During 2008 actual bad debts are Rs. 600 and the debtors at the end of 2008 totalled Rs. 25,000, on which a reserve a reserve of 5 % for doubtful debts is required to be maintained.

Required: Prepare provision for doubtful debts account with the help of given data.

Question No: 59 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended 31st December, 2007.

www.vustudents.net

Particulars	Debit	Credit
	Rs.	Rs.
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	212,600	212,600

http://www.vustudents.net

ADDITIONAL INFORMATION:

5. Prepaid insurance on 31st December, 2007 is Rs. 1,400
6. Outstanding salaries Rs. 1,000
7. Depreciation on Plant and Machinery @ 10% p.a.
8. Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

www.vustudents.net

Paper No:17

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Ref No: 1195706

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

Latin

English

French

Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

Debit

Credit

Revenue

None of the given options

www.vustudents.net

Question No: 3 (Marks: 1) - Please choose one

_____ A summarized record of transactions related to individuals or things is called a/an _____.

- **Account**
- Voucher
- Journal
- Trial balance

Question No: 4 (Marks: 1) - Please choose one

_____ In an account, if credit side < debit side then the balance is known as:

- Negative Balance
- **Debit Balance**
- Positive Balance
- Credit Balance

Question No: 5 (Marks: 1) - Please choose one

_____

Which of the following organizations do **NOT** prepare Income & Expenditure account?

- Public limited companies
- Private limited companies
- Partnership firms
- **All of the given options**

www.vustudents.net

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- Vehicle account
- Cash account
- Business account
- **Bank account**

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- **Rs. 5,000**
- Rs. 25,000
- Rs. 55,000
- Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business

www.vustudents.net

 Profit and loss account

 Balance sheet

 Statement of financial position

 All of the given options

at a specific date?

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

 Prime cost

 Conversion cost

 Sunk cost

 Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

 Name of organization

 Bank receipt

 Debit amount

 Credit amount

Question No: 11 (Marks: 1) - Please choose one

www.vustudents.net

Accountancy covers which of the following area(s):

- Book-keeping
- Accounting
- Auditing
- **All of the given options**

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

- Fall in the market value of an asset
- Fall in the value of money
- Physical wear and tear
- **All of the given options**

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

- Bad debt recovered a/c
- Cash a/c
- Doubtful debts a/c
- Bad debts a/c

www.vustudents.net

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

- **Rs. 400**
- Rs. 800
- Rs. 2,000
- Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

- Rs. (5,100)
- Rs. 5,100
- Rs. (900) (Minus main answer hai tabi Credit side par show hoga)
- Rs. 900

www.vustudents.net

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

- **Double entry book keeping system**
- Single entry book keeping system
- Cash accounting system
- All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

- Discount Received (Dr) and Creditors Control A/c (Cr)
- Discount Received (Dr) and Creditors A/c (Cr)
- Creditors Control A/c (Dr) and Discount Received (Cr)
- Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

- Rs. 1,000
- **Rs. 9,000**
- Rs. 10,000
- Rs. 11,000

www.vustudents.net

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

http://www.vustudents.net

- **A’s account (Dr.) and B’s account**
- B’s account (Dr.) and A’s account (Cr.)
- Sales account (Dr.) and B’s account (cr.)
- B’s account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr.”A” Rs. 336 was not recorded at all?

- Only sales account
- Only A’s account
- Only cash account
- **Both sales account and A’s account**

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- Bank charges
- An error on the Bank Statement
- An uncredited deposit

www.vustudents.net

 An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

 Rs. 600

 Rs. 1,000

 Rs. 2,000

 Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

www.vustudents.net

Rs. 2,240

Rs. 2,425

Rs. 1,925

Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

Essential information to internal users of financial reports.

Useful economic information about the business to the external parties for sound financial decisions.

Information to internal users about the cash position of the business.

Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

A cash flow statement

A retained earnings statement

An income statement

A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

www.vustudents.net

- Fixed assets
- Current liabilities
- **Profit sharing ratio**
- Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- Accounts receivable arises when a company buys goods or services from another party on credit
- Accounts receivable is a miscellaneous category that may include loans to employees
- Accounts receivable are more formal than notes receivable
- **Accounts receivable are often called trade receivables**

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

- Partner's capital account
- **Interest account**
- Partner's current account
- Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

www.vustudents.net

- Fixed Capital Account
- Current Account
- Fluctuating Capital Account
- Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- Name of company
- Place of registered office of company
- Objective of the company
- **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- **Share premium account**
- Share holder account
- Debtors control account
- Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

www.vustudents.net

 It will be deducted in Income Statement only

 It will be treated as current liability in balance sheet only

 It will be treated as current asset in balance sheet only

Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

 Sale of fixed asset

 Issue of debentures

 Cash from business operation

 Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

 The limited company form of business allows ownership of the business to be spread amongst many people

 Shareholders can appoint professionals

Shareholders are personally liable for all the liabilities incurred by the business

 Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

www.vustudents.net

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- Rs. 98,000
- Rs. 1, 47,000
- Rs. 2, 45,000
- Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- **It may treated as a deficit not sure**
- It may treated as a surplus
- It may treated as a revenue
- None of the given options I think this one

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- **Cash Account & Capital Account**
- Cash Account & Expense Account
- Capital Account & Revenue Account

www.vustudents.net

 Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

 Customer's account

 Sales return account

 Goods account

 Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

 Revenue Expenditures

 Capital Expenditures

 Deferred Expenditures

 None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

 Doubtful debts

www.vustudents.net

Bad debts

Provision for doubtful debts

Loss

Question No: 41 (Marks: 1) - Please choose one

_____ ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

Cash

Discount received

http://www.vustudents.net

Creditors

Bank

Question No: 42 (Marks: 1) - Please choose one

_____ The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

Left side or credit

Left side or debit

Right side or debit

Right side or credit

Question No: 43 (Marks: 1) - Please choose one

_____

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

Error of commission

Error of omission

www.vustudents.net

 Error of original entry

 Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

 Depreciation expense

 Income tax expense

 Interest expense

 Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

 Title of financial statement

 Name of the person who prepares financial statement

 Period for which financial statement is prepared

 Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

 1:2

 2:3

 3:2

 3:1

www.vustudents.net

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

- **Revenue**
- Net income
- Expense
- Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- **Rs.89,700**
- Rs.94,700
- Rs.95,300
- Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

- 2
- 3
- 5
- **7**

www.vustudents.net

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

- State Bank of Pakistan
- **Security and Exchange Commission of Pakistan**
- Supreme Court
- Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

- **To write off preliminary expenses**
- To meet the expenses of issue of shares
- To distribute among the share holders
- To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

- Issued capital
- Subscribed capital
- **Authorized capital**
- Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

www.vustudents.net

- Current assets and other assets
- **Current liabilities and current assets**
- Current liabilities and plant and equipment
- Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

- Rs. 40,000 cash outflow as investing activity
- Rs. 30,000 cash outflow as investing activity
- **Rs. 10,000 cash inflow as investing activity**
- Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

www.vustudents.net

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

www.vustudents.net

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

www.vustudents.net

Stock as on 31st December, 2007

- Raw material Stocks Rs. 31,000
- Work in process Rs. 25,000
- Finished Goods Rs. 53,900

Depreciation Rate:

- Plant & Machinery is depreciated @ 10%
- Buildings is depreciated @ 5%
- Tools is depreciated @ 15%

Additional data

- Reserve and bad debts is to be created at 5% on debtors.
- Net Income for the year Rs. 75,000

Paper no 18

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION,

Fall 2008

MGT101- Financial Accounting (Session - 1)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Which of the following item will be credited in capital account of sole proprietor?

► Cash

► Drawings

► Debtors

► **Profit**

Question No: 2 (Marks: 1) - Please choose one

www.vustudents.net

Debenture is also named as:

► Share

► Bond

► Equity

► Reserve

Question No: 3 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors

► The sale of fixed assets during the period

► An increase in trade debtors over the course of the period

► **An increase in the depreciation charge relative to the previous accounting period doubted**

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► The payments for purchases made during the year

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 5 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

www.vustudents.net

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 6 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

► **It gets certificate of incorporation from registrar of Companies doubted**

► It gets certificate of commencement of business from registrar of Companies

► It actually starts its business

Question No: 7 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

www.vustudents.net

Share premium account is used for what?

► Write off Preliminary Expenses of the company.

► Write off the balance amount, in issuing shares on discount.

► Issue fully paid Bonus Shares.

► **All of the given options**

Question No: 9 (Marks: 1) - Please choose one

The maximum amount with which the company is registered is called:

► **Authorized Share Capital**

► Issued Share Capital

► Paid up capital

► Called up capital

Question No: 10 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984**

► I884

► 1948

► 1965

Question No: 11 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

www.vustudents.net

► Fixed Capital Account

► **Current Account**

► Fluctuating Capital Account

► Floating Capital Account

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership

► Private limited company

► Public limited company

http://www.vustudents.net

► **Partnership**

Question No: 13 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

► Normal

► Floating

► **Fixed**

► Fluctuating

Question No: 14 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

www.vustudents.net

► Total assets

► Current assets

Question No: 15 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)

► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)

► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)

► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 16 (Marks: 1) - Please choose one

Which of the following will be debited, if cash is drawn by Proprietor?

► Proprietor's drawings

► Proprietor's cash

► Proprietor's capital

► Proprietor's income

Question No: 17 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used

► It can be realized in cash or sold or consumed in the business within one year

► It is a piece of new machinery that is expected to last for at least ten years

www.vustudents.net

► All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► **A balance sheet**

► A statement of retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► **Owner's Equity**

Question No: 20 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► Depreciation expense

www.vustudents.net

Question No: 21 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

- ► Contributed Capital
- ► Retained Earnings
- ► Revenues
- ► Expenses

Question No: 22 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for creditors control account?

- ► Purchase Day Book
- ► Purchase Return
- ► Creditors Ledger
- ► All of the given options

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

www.vustudents.net

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one

Sale of goods to Mr. Amir is wrongly debited to Umair A/c(debtor) instead of Amir A/c(debtor), this is an example of:

► **Error of principle**

► Error of omission

► Error of commission

► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

www.vustudents.net

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 28 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account

► Rahim's account

► Cash account

► Both sales and Rahim's Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

www.vustudents.net

► Control Account

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

► Rs. 460

► Rs. 2,400

► Rs. 1,540

www.vustudents.net

► Rs. 3,940

Question No: 32 (Marks: 1) - Please choose one

_____ Bad debts written off (given in adjustment) always affect the:

► Debtors account

► Creditors account

► Cash account

► Capital account

Question No: 33 (Marks: 1) - Please choose one

_____ debts that are not collectible and worthless to the creditor are known as:

► **Bad debts**

► Good debts

► Doubtful debts

► Provision for doubtful debts

Question No: 34 (Marks: 1) - Please choose one

_____

Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement

► **To check for errors in balance sheet**

► To update omitted entries into the cash book

► To update omitted entries into the bank statement

www.vustudents.net

Question No: 35 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- Rs. 5 500 (Dr)
- Rs. 5 500 (Cr)
- Rs. 4 500 (Dr)
- Rs. 4 500 (Cr)

Question No: 36 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

- Treated as a reserve
- Treated as a contra asset
- Treated as a surplus
- Treated as an expense

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

www.vustudents.net

Cash at bank	Rs. 22,500
Other assets	Rs. 1,000
Creditors	Rs. 8,385
Other liabilities	Rs. 9,000

► **Rs. 6,115 owner's equity**

► Rs. 31,885 owner's equity

► Rs. 17,385 owner's equity

► Rs. 18,385 owner's equity

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

► **Rs. 22,000 owner's equity**

► Rs. 23, 000 owner's equity

► Rs. 24,000 owner's equity

► Rs. 46,000 owner's equity

Question No: 39 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

www.vustudents.net

► Name of organization

► **Bank receipt**

► Debit amount

► Credit amount

Question No: 40 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following account will be debited, when the labor cost is charged to production?

► Finished goods account

► Labor cost account

► Work in process account doubted

► COGFactor over head account

www.vustudents.net

Question No: 42 (Marks: 1) - Please choose one

Which of the following organization converts raw material into finished goods?

► Trading concern

► **Manufacturing concern**

► Merchandising concern

► Service concern

Question No: 43 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a payment voucher?

► Name of organization

► Cash payment amount

► Date of transaction

► **Bank receipt**

Question No: 44 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a bank receipt voucher?

1) Name of the organization
2) Bank code
3) Date of transaction

► (1) & (2) only

► (1) & (3) only

www.vustudents.net

► (2) & (3) only

► **(1), (2) & (3)**

Question No: 45 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► **Rs. 15,000**

► Rs. 35,000

► Rs. 55,000

► Rs. 60,000

Question No: 46 (Marks: 1) - Please choose one

Which of the following statement is **NOT TRUE** about Current liabilities?

► These are due within one year

► These are short-term loans

► **These are consist of all debts, payable after 12 months**

► In working capital, these are deducted from current assets

Question No: 47 (Marks: 1) - Please choose one

Accrued expenses are the example of:

► **Current liabilities**

► Long term liabilities

www.vustudents.net

► Deferred costs

► Capital expenses

Question No: 48 (Marks: 1) - Please choose one

Which of the following item will appear on the Balance Sheet as current assets?

► Prepaid expenses

► Accrued expenses

► Furniture and Equipment

► Unearned revenue

Question No: 49 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account

► Left or debit side of the account

► Left or credit side of the account

► Right or credit side of the account

Question No: 50 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

► Sole proprietorship

► Partnership

► Limited company

► **Trust**

www.vustudents.net

Question No: 51 (Marks: 5)

The following errors have been discovered in the book of a Business Concern:

1. A credit purchase of Rs. 10,000 from Rizwan was wrongly passed through the sales book.
2. The casting of the sales book Rs. 1, 15,594 was carried to the sales account as Rs. 1, 51,954.

Required:

Pass the rectifying entries only.

1.Debit Creditor's account

Credit Sales book account

2.Debit Cash account Rs 36360

Credit Sales account Rs (36360)

Question No: 52 (Marks: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

www.vustudents.net

Question No: 53 (Marks: 10)

Write a note on legal documents required for the formation of company.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

3. Balance as per Cash Book (Cr) is Rs. 19,000.
4. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
5. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
6. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
7. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
8. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
9. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Paper No:19

Solved By Chanda Rehman n ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 3)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

www.vustudents.net

Debenture is also named as:

► Share

► **Bond**

► Equity

► Reserve

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued

► Liabilities of old business will be revalued

► Good will of business will be revalued

► All of the given options

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000

► Rs. 195,000

► Rs. 200,000

► **Rs. 205,000**

Beginning – ending + credit sales

20,000 – 15,000 + 200,000

www.vustudents.net

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► **Purchase of fixed asset**

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only

► It will be treated as current liability in balance sheet only

► It will be treated in profit and loss appropriation account only

► **it will be treated in both profit and loss appropriation account and in the balance sheet**

www.vustudents.net

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association

► Articles of Association

► Prospectus

► Annual Report

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association

► Articles of Association

► Prospectus

► **Statutory Declaration doubted**

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account

► **Profit and Loss account**

► Profit and Loss Appropriation account

► Current Account

Question No: 10 (Marks: 1) - Please choose one

www.vustudents.net

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association

► Articles of association

► Statutory report

► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

► Partnership registration

► Partnership-at-will

► Partnership deed

► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

www.vustudents.net

► Sole-ownership

► Private limited company

► Public limited company

► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► **Accounts receivable are often called trade receivables**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

► It is a reduction from assets

► It is prepared for specific purposes

► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

www.vustudents.net

► **A balance sheet**

► A statement of retained earnings

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment

► **Purchasing cleaning services doubted**

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

http://www.vustudents.net

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year

► Frequently traded securities

► A stock investment in the General Electric Company intended to be sold within one year

► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**

► Balance Sheet

► Profit & Loss Account

www.vustudents.net

► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460

► Rs. 2,400

► Rs. 3,080

► **Rs. 5,480**

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

www.vustudents.net

► **Rs. 1,000**

► Rs. 2,000

► Rs. 2,600

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► **Both of Mr. P's & Mr.Q's Account**

► Only Cash Account

► Only P's account

► Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

www.vustudents.net

► Sales account

► Purchase account

► A's account and Sales account

► **Sales account, purchase account and A's account**

Question No: 25 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

www.vustudents.net

► Discount received from supplier

► Credit purchases

► Bills payable

► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book

► Sales Return

► Debtors Ledger

► **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

www.vustudents.net

► Subsidiary Ledgers

► Creditors Control Accounts

► Debtors Control Accounts

► **All of the given options doubted**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► **Cash account (Dr.) & Bad Debts recovered account (Cr.)**

► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

www.vustudents.net

► **It is shown in balance sheet**

► It is a definite loss to the business

► It is not shown in balance sheet

► No provision is necessary for it

Question No: 34 (Marks: 1) - Please choose one

_____ The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)

► Rs. 5 500 (Cr)

► Rs. 4 500 (Dr)

► Rs. 4 500 (Cr)

Question No: 35 (Marks: 1) - Please choose one

_____ A Bank Reconciliation Statement is prepared to:

► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**

► Correct errors in the Cash Book or errors in the Bank Statement

www.vustudents.net

► Amend the balance of the Bank Statement of the firm

► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**

► It refers to the end life of an asset

► It refers to the increase in value of asset

► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

www.vustudents.net

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?

(1) Ledger code

(2) Amount of Receipt

(3) Amount of payment

► (1) only

► (1) & (2) only

► (1) & (3) only

► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

www.vustudents.net

► Rs.284

► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material

► Work in process

► Finished goods

► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability

► **Owner's net worth**

www.vustudents.net

► Working capital

► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300

► Rs. 2,500

► **Rs. 2,800**

► Rs.18, 800

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

www.vustudents.net

► Cash account

► **Capital account**

► Drawings account

► Proprietor account

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► **Current asset**

► Fixed asset

http://www.vustudents.net

► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry

► **'T' Account**

► Source document

► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

www.vustudents.net

► **Cash & Capital Account**

► Cash & Expense Account

► Capital & Revenue Account

► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

_____ Mr."
A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**

► Net profit

► Gross profit

► Operating profit

Question No: 50 (Marks: 1) - Please choose one

_____
when income exceeds expenses in a specific time period is known as:

► Savings

► **Net profit**

► Gross profit

► Operating profit

Question No: 51 (Marks: 5)

_____
Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

www.vustudents.net

Capital = 1500000 mark up= 1500000

2nd capital= 10000 markup= 1000

3rd capital= 500000 markup= 50000

4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

www.vustudents.net

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

1. **Balance as per Cash Book (Cr) is Rs. 19,000.**
2. **Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.**
3. **Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008**
4. **An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.**
5. **Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.**
6. **On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.**
7. **Cheque of Rs. 2,500 was shown in Pass Book as dishonored.**

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book	Cr	19000
Unpresented cheques	Dr	5000
Uncredited cheque	Dr	10000
Interest by bank	Dr.	1000

Paper No:20

Solved byABr & Chanda Rehman

FINALTERM EXAMINATION
Fall 2008

www.vustudents.net

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

- ► **Share**
- ► **Bond**
- ► **Equity**
- ► **Reserve**

Question No: 2 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

- ► **In case of death of partner**
- ► **At the admission of new partner**
- ► **If any partner resigned from partnership**
- ► **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

- ► **15:24 (or 5: 8)**
- ► **15:29**
- ► **15:35 (or 3: 7)**

15 : 20

Question No: 4 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

- ► **Rs. 1.50 per share**
- ► **Rs. 1.40 per share**
- ► **Rs. 1.15 per share**
- ► **Rs. 1.25 per share**

Question No: 5 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

- ► **Number of ordinary shares**

www.vustudents.net

► **Number of preference shares**
► **Paid up capital**
► **Authorized capital**

Question No: 6 (Marks: 1) - Please choose one
Which of the following statement in NOT TRUE **about the limited company form of business?**

► **The limited company form of business allows ownership of the business to be spread amongst many people**
► **Shareholders can appoint professionals**
► **Shareholders are personally liable for all the liabilities incurred by the business correct**
► **Regular filing of information about the affairs of the company is a legal requirement**

Question No: 7 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?

► **Memorandum of Association**
► **Articles of Association**
► **Prospectus**
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one
In which of the following interim dividend is treated?

► **In profit and Loss account**
► **In profit and Loss appropriation account**
► **On the asset side of the Balance Sheet**
► **In trading account**

Question No: 9 (Marks: 1) - Please choose one
The income statement of the Limited company is also known as:

► **Manufacturing account**
► **Profit and Loss account**
► **Profit and Loss Appropriation account**
► **Current Account**

Question No: 10 (Marks: 1) - Please choose one
In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**
► **In balance sheet under the head of current assets only**
► **In income statement under the administrative expense only**
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one
Preliminary Expenses of the company may write off against:

www.vustudents.net

► **Share premium account**
► **Share holder account**
► **Debtors control account**
► **Creditor control account**

Question No: 12 (Marks: 1) - Please choose one
The amount received; in excess of the face value of the shares is transferred to which of the following?

► **Share premium account**
► **Share holder account**
► **Share capital account**
► **Right share**

Question No: 13 (Marks: 1) - Please choose one
The maximum amount with which the company is registered is called:
► **Authorized Share Capital**
► **Issued Share Capital**
► **Paid up capital**
► **Called up capital**

Question No: 14 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**
► **Partner's Cash Account**
► **Partner's Bank Account**
► **Partners Capital Account**

Question No: 15 (Marks: 1) - Please choose one
Which of the following is(are) type(s) of capital account in partnership?

► **Fixed Capital**
► **Current Capital**
► **Fluctuating Capital**
► **Both Fixed Capital and Fluctuating Capital**

Question No: 16 (Marks: 1) - Please choose one
Current accounts of the partners should be opened when the capitals are:
► **Normal**
► **Floating**
► **Fixed**
► **Fluctuating**

Question No: 17 (Marks: 1) - Please choose one
Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000

www.vustudents.net

Commission on sales	**28,000**
Carriage outward	**10,000**
Carriage inward	**5,000**

- **Rs. 80,000**
- **Rs. 60,000**
- **Rs. 38,000**
- **Rs. 1, 08,000**

Question No: 18 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?

- **Total assets employed**
- **Total liabilities**
- **Total assets**
- **Current assets**

Question No: 19 (Marks: 1) - Please choose one
Which of the following is CORRECT **if depreciation is given in trial balance?**

- **It means depreciation has already been deducted from concerned asset account**
- **It will be shown as an expense in income statement only**
- **It will not be deducted from concerned asset in Balance Sheet**
- **All of the given options are correct**

Question No: 20 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

- **Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)**
- **Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)**
- **Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)**
- **Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)**

Question No: 21 (Marks: 1) - Please choose one
Which financial statement show what a business owes at a particular point in time?

- **A cash flow statement**
- **The bank statement for the business**
- **A balance sheet**
- **A statement of retained earnings**

Question No: 22 (Marks: 1) - Please choose one
Which of the following is a selling expense?

- **Any tax/freight is paid on purchases**
- **General salaries paid to laborers**
- **Tax & freight paid on sale**
- **Interest on deposits**

Question No: 23 (Marks: 1) - Please choose one
Which of the following would NOT **be considered as a component of 'cost' of stock?**

www.vustudents.net

► **Salaries of selling staff**
► **Transportation inward costs**
► **Import duties**
► **Purchase price**

Question No: 24 (Marks: 1) - Please choose one
Which of the following accounts would be increased with a debit?

► **Contributed Capital**
► **Retained Earnings**
► **Revenues**
► **Expenses**

Question No: 25 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► **Rs. 600**
► **Rs. 1,600**
► **Rs. 2,000**
► **Rs. 2,600**

Question No: 26 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► **Cash Account**
► **Sales Account**
► **Purchase Account**
► **Office Equipment Account**

Question No: 27 (Marks: 1) - Please choose one
A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► **Increase the net profit by Rs.200**
► **Decrease the profit by Rs.200**
► **Remains constant and no effect on net profit**
► **There is no relation between debtor and profit**

Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

www.vustudents.net

► **Sales account**
► **Rahim's account**
► **Cash account**
► **Both sales and Rahim's Account correct**

Question No: 29 (Marks: 1) - Please choose one
If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?

► **Bade debts (Dr) and Debtors Control A/c (Cr)**
► **Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)**
► **Allowance for doubtful debts (Dr) and Debtors A/c (Cr)**
► **Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)**

Question No: 30 (Marks: 1) - Please choose one
If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is CORRECT**?**

► **Bad debts a/c (Dr) and Trading a/c (Cr)**
► **Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)**
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► **Trading a/c (Dr) and Bad debts a/c (Cr)**

Question No: 31 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

► **Rs. 2,225**
► **Rs. 2,525**
► **Rs. 1,925**
► **Rs. 3,025**

http://www.vustudents.net

Question No: 32 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400

www.vustudents.net

Sundry Debtors (given in trial balance)	**33,200**
Provision is created on Debtors at 5%	

Requirement: **Identify the Total amount which will deduct from Sundry debtors.**

- **Rs. 460**
- **Rs. 2,400**
- **Rs. 1,540**
- **Rs. 3,940 correct**

Question No: 33 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- **Rs. 3,600**
- **Rs. 2,000 correct**
- **Rs. 1,600**
- **Rs. 400**

Question No: 34 (Marks: 1) - Please choose one

Which of the following option is TRUE **about the characteristic(s) of Bad Debt?**

- **It is a definite loss to the business**
- **It is not shown in Balance Sheet**
- **No provision is necessary for it**
- **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

- **Cash at bank**
- **Bank overdraft**
- **Overpayment to creditors**
- **Cash in hand**

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

- **Rs. 1, 29,000**
- **Rs. 1, 50,000**
- **Rs. 1, 21,000**
- **Rs. 71,000**

www.vustudents.net

Question No: 37 (Marks: 1) - Please choose one
Depreciable value of an asset is equal to:

- ► **Cost + scrap value**
- ► **Cost + market price**
- ► **Cost – scrap value**
- ► **None of the given options**

Question No: 38 (Marks: 1) - Please choose one
If a business pays rent in advance for 12 months, it will be treated as:

- ► **Prepaid expenses of business**
- ► **Long term liability of business**
- ► **Fixed assets of business**
- ► **Current liability of business**

Question No: 39 (Marks: 1) - Please choose one
Which of the following asset is NOT **depreciated?**

- ► **Factory Buildings**
- ► **Office Equipment**
- ► **Plant & Machinery**
- ► **Land**

Question No: 40 (Marks: 1) - Please choose one
Which one of the following is NOT **true about revenue expenditure?**

- ► **These are the running expenses of the business**
- ► **They improve the financial position of the business**
- ► **They reduce the profit of the concern**
- ► **They do not appear in the balance sheet**

Question No: 41 (Marks: 1) - Please choose one
Which one of the following is NOT **true about Capital Expenditure?**

- ► **Creates future benefits**
- ► **Incurred to acquire fixed assets**
- ► **Incurred to increase the economic life of existing fixed assets**
- ► **Reduce the profit of the concern**

Question No: 42 (Marks: 1) - Please choose one
Expenditures incurred anually on renewal of patent are known as:

- ► **Revenue Expenditures**
- ► **Capital Expenditures**
- ► **Financial Expenditures**
- ► **Operating Expenditures**

Question No: 43 (Marks: 1) - Please choose one
Which of the following is NOT **a type of voucher?**

www.vustudents.net

► **Journal Voucher**
► **Receipt Voucher**
► **Payment Voucher**
► **Drawings Voucher**

Question No: 44 (Marks: 1) - Please choose one
If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► **Rs. 5,000 Loss**
► **Rs. 5, 000 Profit**
► **Rs.1, 95,000 Profit**
► **Rs.1, 95,000 Loss**

Question No: 45 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► **Rs.15,000**
► **Rs. 35,000**
► **Rs. 55,000**
► **Rs. 60,000**

Question No: 46 (Marks: 1) - Please choose one
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► **Capital account**
► **Sundry creditors account**
► **Accounts payable account**
► **Cash account**

Question No: 47 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:

► **Liquid assets**
► **Current assets**
► **Fixed assets**
► **Capital assets**

Question No: 48 (Marks: 1) - Please choose one
A summarized record of transactions related to individuals or things is called a/an _____.

► **Account**
► **Voucher**
► **Journal**
► **Trial balance**

www.vustudents.net

Question No: 49 (Marks: 1) - Please choose one

When Capital is increased by an amount, it is recorded on the:

- **Left or credit side of the account**
- **Right or debit side of the account**
- **Left or debit side of the account**
- **Right or credit side of the account**

Question No: 50 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- **Increase in cash and decrease in equity**
- **Increase in cash and increase in goods**
- **Increase in goods and decrease in cash**
- **Increase in equipment and increase in equity**

Question No: 51 (Marks: 5)

Calculate net income with the help of given date for the year end of 2007 and show complete working of Cost of Goods sold.

Raw material Stocks on 1-1-2007	**Rs. 30,000**
Work in process on 1-1-2007	**35,600**
Finished Goods on 1-1-2007	**35,400**

Raw material Stocks 31-12-2007	**Rs. 31,000**
Work in process 31-12-2007	**25,000**
Finished Goods 31-12-2007	**53,900**
Total factory Cost	**543,339**

Additional data

- **Other expenses for the year is Rs. 5,000.**
- **Operating expenses for the year Rs. 15,000**
- **Sale for the year Rs. 1,500,000**

Solution:
Name of the Company
Income Statement
For the period of 2007

Particulars	Amount Rs	Amount Rs
Sales		**1500000**
Less Cost of Good Sold		**(534439)**
Gross Profit		**965561**
Less: Expenses:		
Other Expenses	**5000**	
Operating expenses	**15000**	

www.vustudents.net

Net Income		**(20000)** **945561**

Working:
Calculate Cost of Good Sold:
Raw Material:
Opening Raw Material: 30000
- Closing Raw Material: 31000
Cost of Material Consumed: -1000
Conversion Cost:
Direct Labor: 0
FOH: 0
Total Factory Cost: 542339
Work in Process:
+Opening WIP: 35600
-Closing WIP: 25000
Cost of Goods Manufactured: 552939
Finish Goods:
+Opening FG: 35400
-Closing FG: 53900
Cost of Good Sold: 534439

Question No: 52 (Marks: 10)
Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 53 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 10%.

Required:
Show Journal entries and necessary accounts. Also show how the items will appear in Profit and Loss account and Balance sheet

Solution:
Entry#1

Provision for Doubtful Debts	**32000**	
Debtors Control Account		**32000**

Make Ledgers of each account

Debtors Account							
Debit Side				**Credit Side**			
Date	**No.**	**Particulars**	**Dr. Rs.**	**Date**	**No.**	**Particulars**	**Cr. Rs.**
		Balance	**32000**			**Provision for**	**32000**

www.vustudents.net

						doubtful debts	
			32000				32000

Provision of Doubtful debts							
Debit Side				Credit Side			
Date	No.	Particulars	Dr. Rs.	Date	No.	Particulars	Cr. Rs.
		Debtors Account	32000			Balance	32000
			32000				32000

And you people already know to show these accounts in P n L and Balance Sheet.

IN PL Account = 32000+10000-12000=30000 on Debit Side
In Balance Sheet
Debtors = 320000-32000-12000-276000

Question No: 54 (Marks: 10)
Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

www.vustudents.net

Paper No:21

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)

Question No: 1 (Marks: 1) - Please choose one
Debenture is also named as:

- **► Share**
- **► Bond**
- **► Equity**
- **► Reserve**

Question No: 2 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- **► Decrease assets and liabilities.**
- **► Increase assets and stockholders' equity.**
- ► Decrease assets and stockholders' equity. correct
- **► Increase liabilities and decrease stockholders' equity.**

Question No: 3 (Marks: 1) - Please choose one
The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

- **► Net loss of Rs.1, 000**
- **► Net income of Rs. 1,000**
- **► Net loss of Rs. 2,000**
- **► Net income of Rs. 2,500**

Question No: 4 (Marks: 1) - Please choose one
The net income calculated in the income statement for the accounting period is reported on:

- **► Bank Statement**
- **► Statement of retained earnings**
- **► Statement of cash flows**
- **► None of the given options**

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► Rs. 2, 45,000
► Rs. 3, 43,000

http://www.vustudents.net

Question No: 6 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► All of the given options

Question No: 7 (Marks: 1) - Please choose one
A private limited company can commence its business:

► Immediately on receiving a certificate of incorporation
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: 8 (Marks: 1) - Please choose one
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000
► Rs. 195,000
► Rs. 200,000
► Rs. 205,000

Question No: 9 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 10 (Marks: 1) - Please choose one
If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► Authorized share capital

www.vustudents.net

► Paid up share capital
► Share premium

Question No: 11 (Marks: 1) - Please choose one
Share premium account is used for what?
► Write off Preliminary Expenses of the company.
► Write off the balance amount, in issuing shares on discount.
► Issue fully paid Bonus Shares.
► All of the given options

Question No: 12 (Marks: 1) - Please choose one
Authorized share capital is also known as:
► Registered capital
► Issued capital
► Paid up capital
► Called up capital

Question No: 13 (Marks: 1) - Please choose one
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 14 (Marks: 1) - Please choose one
A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 15 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► Drawings
► Debtors
► Profit

Question No: 16 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)

www.vustudents.net

► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 17 (Marks: 1) - Please choose one
An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► It can be realized in cash or sold or consumed in the business within one year
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income
► Net loss
► Dividends
► Retained earnings

Question No: 19 (Marks: 1) - Please choose one
General office expenses are charged to which of the following head:

► Administrative expenses
► Marketing expenses
► Selling expenses
► Financial expenses

Question No: 20 (Marks: 1) - Please choose one
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?
► Row A
► Row B
► Row C
► Row D

Question No: 21 (Marks: 1) - Please choose one
Short-term investments include all of the following EXCEPT:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year

www.vustudents.net

► A shares investment in the Coca-Cola Company intended to be held for several years

Question No: 22 (Marks: 1) - Please choose one
The figure of cash received from debtors can be located either from cash book or:

► Debtor's Control Account
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 23 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► Rs. 4,000 doubted
► Rs. 1,600
► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

Question No: 25 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► Cash Account
► Sales Account
► Purchase Account
► Office Equipment Account

Question No: 26 (Marks: 1) - Please choose one
Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 27 (Marks: 1) - Please choose one
Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

www.vustudents.net

► Increase of gross profit
► Decrease of gross profit correct
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account
► Rahim's account
► Cash account
► Both sales and Rahim's Account

Question No: 29 (Marks: 1) - Please choose one
Control account tells about:

► Picture collectively instead of individually
► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients

Question No: 30 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 31 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one
If the (New provision + Bad debts) > Amount of old provision then resulting figure will be shown at:

► Debit side of Profit & Loss Account
► Credit side of Profit & Loss Account
► Asset side of Balance Sheet
► Liability side of Balance Sheet

www.vustudents.net

Question No: 33 (Marks: 1) - Please choose one
Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 34 (Marks: 1) - Please choose one
Which of the following option is TRUE about the characteristic(s) of Bad Debt?

- ► It is a definite loss to the business
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 35 (Marks: 1) - Please choose one
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonored cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110 correct

Question No: 36 (Marks: 1) - Please choose one
Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 37 (Marks: 1) - Please choose one
Accounting is the language of:

- ► Business
- ► School
- ► Proprietor
- ► Management

Question No: 38 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► Capital account

Question No: 39 (Marks: 1) - Please choose one
Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► Amount of depreciation decreases every year
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► Rs. 965
- ► Rs. 992

Question No: 41 (Marks: 1) - Please choose one
WhicWhich of the following is an example of direct materials cost?

- ► Polish and finishing material for chair
- ► A piece of wood for the production of chair
- ► Production worker's wages
- ► Depreciation expenses

Question No: 42 (Marks: 1) - Please choose one
Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

www.vustudents.net

► Cash account
► Mr. Mahood account
► Sales account
► Purchases account

Question No: 43 (Marks: 1) - Please choose one
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

► Cash account
► Sales account
► Accounts receivable account
► Purchases account

Question No: 44 (Marks: 1) - Please choose one
Which of the following is an example of a Current liability?

► Closing inventory
► Opening inventory
► Petty cash
► Bank overdraft

Question No: 45 (Marks: 1) - Please choose one
Which of the following is CORRECT for trading account?

► It inculdes cost of goods sold and all the direct expenses related to sales
► It inculdes cost of goods sold and all the indirect expenses related to sales
► It inculdes cost of goods sold and all the direct and indirect expenses
► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 46 (Marks: 1) - Please choose one
Which of the following are the components of General Ledger?
1) Title of account
2) Amount of transaction
3) Date of transaction
► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 47 (Marks: 1) - Please choose one
The original book of entry, in which all vouchers are first recorded, is called:

► General Journal
► General Ledger
► Trial Balance
► Balance Sheet

www.vustudents.net

Question No: 48 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 49 (Marks: 1) - Please choose one
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► Cash & Capital Account
- ► Cash & Expense Account
- ► Capital & Revenue Account
- ► Capital & Expense Account

Question No: 50 (Marks: 1) - Please choose one
Which of the following is non- profit organization?

- ► Sole proprietorship
- ► Partnership
- ► Limited company
- ► Trust

Question No: 51 (Marks: 5)
What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:
An overdraft **occurs when withdrawals from a bank account exceed the available balance. In this situation a person is said to be "**overdrawn".

Question No: 52 (Marks: 10)
Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

www.vustudents.net

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. **Current Ratio**
2. **Acid Test Ratio**
3. **Stock turn over Ratio**
4. **Debt equity Ratio**
5. **Gross profit Ratio**

Solution:

1: Current Ratio:

Total Assets/Total Liabilities

= 900000/900000

= 1

2: Acid Test Ratio

Total Assets-Stock/Total Liabilities

= 900000-60000/900000

= 840000/900000

= 0.933333

3: Stock turn over Ratio

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2

= 60000+60000/2

= 60000

= (Average Stock / Cost of goods sold) x 365

= (60000/250000) x 365

= 0.24 x 365

= 87.4

4: Debt equity Ratio

Long term Liabilities / Equity

www.vustudents.net

= 200000/200000
= 1

5: Gross profit Ratio
(Gross Profit / Sales) x 100
= 250000/500000 x 100
= 0.5 x 100
= 50

Question No: 53 (Marks: 10)
Pass the rectifying entries to correct the following errors:

Question No: 54 (Marks: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.

(1) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31stMarch, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
(2) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.
(3) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.
(4) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
(5) The Bank charged (debited) a commission of Rs. 100 on 31st March.
(6) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25thMarch, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31stMarch, 2008.

Answer:

Balance as per Cash book.	**Dr**	**15000**		
Less not collected Cheques. (500+300+200)	**Cr**	**1000**		
	Dr	**14000**		
Add UN Presented Cheques (200+450+525+375)	**Dr**	**1550**		
	Dr	**15550**		
Add dividend Credit by bank		**Dr**	**2000**	
	Dr	**17550**		
Add interest credit by bank	**Dr**	**50**		
	Dr	**17600**		
Less bank charges	**Cr**	**100**		
	Dr	**17500**		
Less Cheque received	**Cr**	**500**		
Balance as per Bank Book	**Cr**	**17000**		

www.vustudents.net

Paper No: 22

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

► Asset

► Liability

► Revenue

► Deferred expense

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► Current Assets

► Current Liability

► Long-term liability

► Share of profit

Question No: 3 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

www.vustudents.net

► 15: 20 (or 3:4)

► 15:24 (or 5: 8)

► 15:29

► 15:35 (or 3: 7) correct

Question No: 4 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

http://www.vustudents.net

► Rs. 1.50 per share

► Rs. 1.40 per share

► Rs. 1.15 per share

► Rs. 1.25 per share

Question No: 5 (Marks: 1) - Please choose one

Mark up cover ratio = operating profit before financial charges ÷ **?**

► Selling expenses

► Administrative expenses

► Financial charges

► Direct expenses

Question No: 6 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

www.vustudents.net

► Number of ordinary shares

► Number of preference shares

► Paid up capital

► Authorized capital

Question No: 7 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship

► Partnership

► Trust

► Public Limited Company

Question No: 8 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period

► Its cash receipts and cash payments during an accounting period

► Its financial position at the start of an accounting period

► None of the given options

Question No: 9 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

www.vustudents.net

► Provision

► Current liability

► Reserves and surplus

► Current assets

Question No: 10 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

► Total assets

www.vustudents.net

► Current assets

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products

► A merchandising company must use the perpetual system to account for merchandising inventory

► A merchandising company's business is to provide services

► A Sugar Mill is an example of a merchandising company

Question No: 13 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account

b. Drawings account

c. Balances of capital account

► a,b

► b,c

► a,c

► a,b,c

Question No: 14 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► A sole trader is liable to pay income tax on his/her earnings

www.vustudents.net

► Sole traders do not need to consult accountants

► Sole traders must register the name of their business with the Registrar of Companies

► All of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is (are) characteristic(s) of Reserve?

► Its amount is generally determined by the management on the basis of the amount of profit earned.

► It is shown on liabilities side of balance sheet

► It does not affect profit or loss, since it is created after ascertaining net profit

► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

► Cash

► Accounts Payable

► Contributed Capital

► Retained Earnings

Question No: 17 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

www.vustudents.net

► A cash flow statement

► The bank statement for the business

► A balance sheet

► A statement of retained earnings

Question No: 18 (Marks: 1) - Please choose one

Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income

► Net loss

► Dividends

► Retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► Owner's Equity

Question No: 20 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

www.vustudents.net

► Purchasing operating equipment

► Purchasing cleaning services doubted

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

Question No: 21 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.

► Useful economic information about the business to the external parties for sound financial decisions.

► Information to internal users about the cash position of the business.

► Information to the Securities Exchange Commission (SEC).

Question No: 22 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► Debtor's Control Account

► Balance Sheet

► Profit & Loss Account

► Bills Payable Account

Question No: 23 (Marks: 1) - Please choose one

www.vustudents.net

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,500
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (1,000)

► Rs. 1,000

► Rs. (5,000)

► Rs. 5,000

Question No: 24 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)

► B's account (Dr.) and A's account (Cr.)

► Sales account (Dr.) and B's account (cr.)

► B's account (Dr.) and Sales account (Cr.)

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

► A's account only

► Sales account only

► Purchase returns account and sales account

► Purchases account only

Question No: 27 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000

► Rs. 9,000

► Rs. 10,000

► Rs. 11,000

www.vustudents.net

Question No: 28 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

► Bade debts (Dr) and Debtors Control A/c (Cr)

► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr) correct

► Provision for doubtful debts (Dr) and Debtors A/c (Cr)

► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► Control Account

► Subsidiary Ledger

► Balance Sheet

► Trial Balance

Question No: 30 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable

► Return inwards

► Credit purchases

► Discount allowed

www.vustudents.net

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

► Cash sales

► Credit sales

http://www.vustudents.net

► Credit purchase

► Cash purchases

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► All of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank

► Cheques drawn but yet to be recorded in the bank records

► Cheques issued by the bank not recorded in business records

► Cheques received but yet to be recorded in the bank records

www.vustudents.net

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

http://www.vustudents.net

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)

► Rs. 5 500 (Cr)

► Rs. 4 500 (Dr)

► Rs. 4 500 (Cr) correct

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000

► Rs. 55,000

► Rs. 50,000

www.vustudents.net

► Rs. 2, 50,000

Question No: 36 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities

► Rs. 1, 11, 000 liabilities

► Rs. 2, 90, 000 liabilities

► Rs. 2, 91, 000 liabilities

Question No: 37 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

► Book-keeping

► Accounting

► Auditing

► All of the given options

Question No: 38 (Marks: 1) - Please choose one

_____ is the detail of transaction in one's account provided by the bank.

www.vustudents.net

► Bank statement

► Bank reconciliation statement

► Income statement

► Financial statement

Question No: 39 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500

► Rs.7, 978

► Rs.8, 000

► Rs.8, 400

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100

www.vustudents.net

Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225

► Rs. 1,015

► Rs. 965

► Rs. 992

Question No: 41 (Marks: 1) - Please choose one

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account

► Capital work in progress account

► Relevant asset account

► Owner's equity account

Question No: 42 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

www.vustudents.net

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 43 (Marks: 1) - Please choose one

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	?

► Rs. 20,000

► Rs.40, 000

► Rs.90, 000

► Rs.160, 000

Question No: 44 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account

► Cash Flow Statement

► Balance Sheet

► Income & Expenditure Account

www.vustudents.net

Question No: 45 (Marks: 1) - Please choose one

Bank book is part of:

► Voucher

► General Journal

► General Ledger

► Trial Balance

Question No: 46 (Marks: 1) - Please choose one

Which of the following are the components of General Ledger?

1) Title of account

2) Amount of transaction

3) Date of transaction

► (1) & (2) only

► (2) & (3) only

► (1) & (3) only

► (1), (2) & (3)

Question No: 47 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

www.vustudents.net

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 48 (Marks: 1) - Please choose one

Vehicles which are used to supply finished products are called business _____.

► Tangible assets

► Intangible assets

► Capital

► Liabilities

Question No: 49 (Marks: 1) - Please choose one

The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

► Separate Entity Concept

► Matching Concept

► Going Concern Concept

www.vustudents.net

► Materiality Concept

Question No: 50 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up

► Authorized

► Bonus shares

► All are correct options

Question No: 51 (Marks: 5)

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:

10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.

Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

Question No: 52 (Marks: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007

www.vustudents.net

Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

Question No: 53 (Marks: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	

www.vustudents.net

Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	750,500	750,500

Adjustments:

4) Depreciate machinery and furniture @20%p.a.

5) Outstanding Salaries Rs. 2,000

6) Insurance paid in advance Rs. 500

7) Maintain @5% reserve for doubtful debts on debtors.

8) Closing Stock was valued at Rs. 60,000

Trading & Profit & Loss Account

For the year ending 31st December 2007

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock	55000	Sales 610000	605000
Purchases	485000	Less returns: 5000	
Carriage in	6000	Closing Stock	60000
Gross Profit	119000		
	665000		665000
Salaries 28000		Gross Profit	119000
+outstanding: 2000	30000		
Rent, Rate, Taxes	15000		
Insurance 4000			
Less advance: 500	3500		
Depreciation:			
Machinery: 10000			

www.vustudents.net

Furniture: 1000 Provision of bed debts Net Profit: 55500	11000 4000		
	119000		119000

Question No: 54 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses

b. Prepaid Expenses or Unexpired Expenses

c. Accrued Revenue or Revenue Receivable

d. Unearned Revenue or Revenue Received in Advance

e. Depreciation of Asset

1. **Accrued Expenses or Outstanding Expenses**

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

2. **Prepaid Expenses or Unexpired Expenses**

Trading and profit and loss account effect

www.vustudents.net

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

3. Accrued Revenue or Revenue Receivable

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

4. Unearned Revenue or Revenue Received in Advance

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

5. Depreciation of Asset

Trading and profit and loss account effect

www.vustudents.net

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

Paper No:23

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 1)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- Rs. 98,000
- Rs. 1, 47,000
- Rs. 2, 45,000
- Rs. 3, 43,000

www.vustudents.net

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

- Assets of old business will be revalued
- Liabilities of old business will be revalued
- Good will of business will be revalued
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

- Not paying invoices received from creditors
- The sale of fixed assets during the period
- An increase in trade debtors over the course of the period
- **An increase in the depreciation charge relative to the previous accounting period doubted**

Question No: 4 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

- In balance sheet under the head of current liabilities only
- In balance sheet under the head of current assets only
- In income statement under the administrative expense only
- **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

- **The memorandum of association**
- Articles of association
- Statutory report
- Certificate of commencement

Question No: 6 (Marks: 1) - Please choose one

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

- **Companies ordinance 1984**
- Contract act 1872
- Sales of Goods act 1930
- None of the given options

Question No: 7 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- Name of company
- Place of registered office of company
- Objective of the company
- **All of the given options**

www.vustudents.net

Question No: 8 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

- Rs. 80,000
- Rs. 60,000
- Rs. 38,000
- Rs. 1, 08,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

- **Capital account**
- Shareholder account
- Liability account
- Expense account

Question No: 10 (Marks: 1) - Please choose one

Regardless of how long it takes to produce and sell , inventory is always considered to be a:

- current liability

www.vustudents.net

- long-term asset
- stockholders' equity
- **current asset**

Question No: 11 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

- It has been bought recently and was bought new and not used
- **It can be realized in cash or sold or consumed in the business within one year**
- It is a piece of new machinery that is expected to last for at least ten years
- All of the given options

Question No: 12 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

- **Administrative expenses**
- Marketing expenses
- Selling expenses
- Financial expenses

Question No: 13 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

www.vustudents.net

- **Cost of goods sold**
- Administrative expenses
- Selling expenses
- Marketing expenses

Question No: 14 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- Rs. 3,600
- Rs. 4,000
- Rs. 1,600
- Rs. 2, 400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- Rs. 600
- Rs. 1,600

www.vustudents.net

 Rs. 2,000

Rs. 2,600

Question No: 16 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. “A” recorded in the purchases book?

 Sales account

 Purchase account

 A’s account and Sales account

Sales account, purchase account and A’s account

Question No: 17 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

 Error of principle

Error of omission

 Error of commission

 Error of original entry

Question No: 18 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

www.vustudents.net

 Error of principle

Error of omission

 Error of commission

 Error of original entry

Question No: 19 (Marks: 1) - Please choose one

Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

 Increase of gross profit

Decrease of gross profit

 Remains constant and no effect on net profit

 There is no relation between goods purchased and gross profit

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to “Mr.P” mistakenly entered in sales book?

 P’s account

 Purchases return account

 Sales account

Purchases returns account and sales account

Question No: 21 (Marks: 1) - Please choose one

www.vustudents.net

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

- Bade debts (Dr) and Debtors Control A/c (Cr)
- Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
- Provision for doubtful debts (Dr) and Debtors A/c (Cr)
- Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

- **Picture collectively instead of individually**
- Details of loyal clients
- Customer attitude of payments
- Complete history of transactions of business clients

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

- Cash sales
- Credit sales
- **Credit purchase**
- Cash purchases

Question No: 24 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following is an item of a debtors control account?

- Cash sale
- **Credit sales**
- Credit purchase
- Cash purchases

Question No: 25 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

- Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
- Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
- Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
- Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 26 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

www.vustudents.net

 Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

 Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

 Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 27 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

 Cash account (Dr.) & Bad Debts recovered account (Cr.)

 Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

 Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

 Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 28 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

 Rs. 400

 Rs. 800

 Rs. 2,000

www.vustudents.net

 Rs. 2,400

Question No: 29 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

 Bankruptcy of the debtor

 Disappearance of debtor's business

 Failure of repeated attempt to collect the debt

 All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

 It is shown in balance sheet

 It is a definite loss to the business

 It is not shown in balance sheet

 No provision is necessary for it

Question No: 31 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

 It is a definite loss to the business

 It is not shown in Balance Sheet

www.vustudents.net

 No provision is necessary for it

 All of the given options

Question No: 32 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

 A cheque is drawn but not yet presented at the bank for payment

 The bank has not yet notified to Mr. Terry about a dishonoured cheque

 A credit transfer into Terry's Bank Account

 A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

http://www.vustudents.net

Question No: 33 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

 Bank Account(Dr.) and Dividend Account (Cr.)

 XYZ Co. Account (Dr.) and Bank Account (Cr.)

 Dividend Account (Dr.) and Bank Account (Cr.)

 Bank Account (Dr.) and XYZ Co. Account (Cr.) doubted

Question No: 34 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

 Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for

www.vustudents.net

- Correct errors in the Cash Book or errors in the Bank Statement
- Amend the balance of the Bank Statement of the firm
- Amend the balance in the Cash Book of the firm

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

- To ensure there is enough money in the firm to replace the asset
- **To spread the cost of the asset over its working life**
- To reduce the profit and thus reduce the dividends they can pay to share holders
- Because the law states they must be reduced

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

- These are the running expenses of the business
- **They improve the financial position of the business**
- They reduce the profit of the concern
- They do not appear in the balance sheet

Question No: 37 (Marks: 1) - Please choose one

The amount of depreciation charged on machinery will be debited to:

- Machinery account

www.vustudents.net

 Depreciation account

 Cash account

 Capital account

Question No: 38 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

 Opening raw material inventory + Purchases – Ending raw material inventory

 Opening raw material inventory - Purchases + Ending raw material inventory

 Ending raw material inventory + Opening raw material inventory - Purchases

 Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 39 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a bank receipt voucher?

4) Name of the organization
5) Bank code
6) Date of transaction

 (1) & (2) only

 (1) & (3) only

 (2) & (3) only

 (1), (2) & (3)

Question No: 40 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

www.vustudents.net

 Rs.15,000

 Rs. 35,000

 Rs. 55,000

 Rs. 60,000

Question No: 41 (Marks: 1) - Please choose one

_____ The return of goods by a customer should be debited to:

 Customer's account

 Sales return account

 Goods account

 Accounts receivable

Question No: 42 (Marks: 1) - Please choose one

_____ Mr. A provided the following information from his books of accounts at the end of the month.

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

www.vustudents.net

Based on the information provided, what are Mr. A's total liabilities?

- Rs.200
- Rs. 900
- **Rs. 1200**
- Rs. 1700

Question No: 43 (Marks: 1) - Please choose one

Which of the following shows the categories of assets in a Balance Sheet?

- Current assets, Long term assets and Accounts payable
- Current assets, Long term assets and Fixed assets
- Current assets, Quick assets and Business debts
- Current assets, Fixed assets and Deferred cost

Question No: 44 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- Income Statement
- Balance Sheet
- **Trial Balance**
- Cash Book

www.vustudents.net

Question No: 45 (Marks: 1) - Please choose one

_____ The original book of entry, in which all vouchers are first recorded, is called:

- **General Journal**
- General Ledger
- Trial Balance
- Balance Sheet

Question No: 46 (Marks: 1) - Please choose one

_____

Commercial Accounting is based on:

- Single entry book keeping
- **Double entry book keeping**
- Both single and double entry book keeping
- Cash basis of book keeping

Question No: 47 (Marks: 1) - Please choose one

_____

Double entry accounting system includes:

- Accrual accounting only
- Cash accounting only
- Both cash and accrual accounting

www.vustudents.net

 None of the given options

Question No: 48 (Marks: 1) - Please choose one

An accounting system is used by a business to:

 Analyze transactions

 Handle routine book-keeping tasks

 Structure information

 All of the given options

Question No: 49 (Marks: 1) - Please choose one

The estimation of expenses and revenues for future is called:

 Budgeting

 Costing

 Management

 Auditing

Question No: 50 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

 Paid up doubted

 Authorized

 Bonus shares

 All are correct options

www.vustudents.net

Question No: 51 (Marks: 5)

What is the difference between accounts payable and accounts receivable? Discuss it with the help of example.

Accounts Payable:

Liabilities are debts. The person or organization to which the debt is owed is called creditors. All businesses have liabilities; even the most successful companies purchase stocks, supplies, and services on credit. The liabilities arising from such purchases are called accounts payable. For example, if a person A is our creditor and we have to return his money so he it is recorded in our books as accounts payable.

Accounts Receivable:

Debtors are the person from whom our money is receivable. He has to return our money which he had borrowed from us at sometime. Such money or accounts are called Accounts receivable. For example A person named A is our debtor so he is recorded in our book as the account receivable.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare Balance Sheet as on.

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,200	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	

www.vustudents.net

Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

Liabilities: **Capital 136000** **Purchase return and allowances (2800)**	**Assets** **Accounts receivable 9000** **Merc. Inventory 6000** **Plant n machinery 2400** **Land n building 82000** **Furniture n fixtures 2600**
133220	**102000**
Current liabilities: **Accounts payable (3800)** **Salaries expenses 12000**	**Current Assets** **Sales 70000** **Sales return (4600)**

www.vustudents.net

Advertisement expenses 4000	**Cash 5200**
12200	**70600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000
- Net Loss for the period Rs. 13,000

Question No: 53 (Marks: 10)

Prepare Profit & Loss Account for the year ended 31st December, 2007.

Particulars	Rs.
Capital	1,20,000
Trade Creditors	17,500
Bills payable	1,000
Sales	6,26,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	5,18,000
Carriage inwards	8,900

www.vustudents.net

Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Stock as on 31st December, 2007

- Ø Raw material Stocks Rs. 31,000
- Ø Work in process Rs. 25,000
- Ø Finished Goods Rs. 53,900

Depreciation Rate:

- Plant & Machinery @ 10% and charged to FOH
- Buildings @ 5% and 40% charged to Administrative expenses and balance will be charged to FOH
- Tools @ 15% and 30 % charged to FOH and balancing will be charged to administrative expenses

Additional data

- Ø Reserve and bad debts is to be created at 5% on debtors.
- Ø 40% of salaries will charge to office and balance to FOH.

Question No: 54 (Marks: 10)

You are required to prepare Debtors control account and Creditor control account from the given data from the books of ABC Co. Ltd for the year 2007.

www.vustudents.net

Opening balance

Debtors	Rs.1,55,000
Creditors	2,55,000

Sales

Cash	Rs.1,85,000
Credit	2,65,000

Purchases

Cash	Rs.120,000
Credit	200,000

Other information

Total receipts	Rs.3,50,000
Total payments	2,50,000

Additional Information

Discount allowed	Rs.20,000
Discount received	15,000
Bad debts written off	20,000

www.vustudents.net

Creditors control account			
Discount received	15000	Opening balance	255000
Total payments	250000	Total purchases	200000
balance	190000		
	455000		455000

Debtors Control Account

Opening balance	155000		
Total sales	185000	Receipts	350000
		discount	20000
	340000		

Paper No:24

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 3)

Ref

Time: 120 min

www.vustudents.net

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- Rs. 98,000
- **Rs. 1, 47,000 (Correct)**
- Rs. 2, 45,000
- Rs. 3, 43,000

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

- Current Assets
- Current Liability
- Long-term liability
- **Share of profit (doubted)**

Question No: 3 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

- **Mark up cover ratio doubted**
- Acid test ratio
- Current ratio

www.vustudents.net

 Debt Equity ratio

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about Gross Profit Ratio?

 (Gross profit / Net Sales) x 100

 (Gross profit / Operating Income) x 100

 (Gross profit / Sales Return) x 100 (Correct)

 (Gross profit / Net Income) x 100

Question No: 5 (Marks: 1) - Please choose one

Current ratio may be increased by:

 Overstating current Assets

 Overstating current Liabilities

 Understating current Assets

 Understating current assets and overstating current liabilities

Question No: 6 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

 Sole-Proprietorship

 Partnership

 Joint Stock Company (Correct)

www.vustudents.net

 All of the given options

Question No: 7 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

 Operating activities

 Financing activities

 Investing activities

 None of the given options

Question No: 8 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

 The repayments of a bank loan

 Dividend issue in the current year

 Money received as result of selling fixed assets (Correct)

 The difference between the valuations of old and new fixed assets

Question No: 9 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

 It will be treated in Income Statement only

 It will be treated as current liability in balance sheet only

 It will be treated in profit and loss appropriation account only

www.vustudents.net

 it will be treated in both profit and loss appropriation account and in the balance sheet (Correct)

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

 Memorandum of Association (Correct)

 Articles of Association

 Prospectus

 Annual Report

Question No: 11 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

 Share premium account (Correct)

 Share holder account

 Debtors control account

 Creditor control account

Question No: 12 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

 Name of company

 Place of registered office of company

 Objective of the company

 All of the given options (Correct)

www.vustudents.net

Question No: 13 (Marks: 1) - Please choose one

_____ The Joint Stock Company is formed under the Companies Ordinance:

- **1984 (Correct)**
- I884
- 1948
- 1965

Question No: 14 (Marks: 1) - Please choose one

_____

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- Individual Partner's Current Account
- Partner's Cash Account
- Partner's Bank Account
- Partners Capital Account

Question No: 15 (Marks: 1) - Please choose one

_____

Which of the following account will be debited when the interest on drawings is charged?

- Partner's capital account
- Interest account
- Partner's current account

www.vustudents.net

- **Profit & Loss account doubted**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

- It means depreciation has already been deducted from concerned asset account
- **It will be shown as an expense in income statement only (Correct)**
- It will not be deducted from concerned asset in Balance Sheet
- All of the given options are correct

Question No: 17 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

- Liquid asset
- Current asset
- Fixed asset
- Floating asset

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- It is necessary to prepare for showing true picture of balance sheet
- It is a reduction from assets
- It is prepared for specific purposes

www.vustudents.net

 All of the given options

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

 Accounts Receivable

 Cash

 Note Payable

 Owner's Equity (Correct)

Question No: 20 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

 Salaries and wages expense

 Rent expense

 Interest expense

 Depreciation expense (Correct)

Question No: 21 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

 A cash flow statement

 A retained earnings statement

 An income statement

 A balance sheet (Correct)

www.vustudents.net

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

- Receive cash from customers
- Pay cash to suppliers
- Sell goods and services to customers
- **Purchase goods and services (Correct)**

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- Rs. 460
- Rs. 2,400
- Rs. 3,080
- **Rs. 5,480 (Correct)**

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- Rs. 3,600
- Rs. 4,000
- Rs. 1,600
- **Rs. 2, 400 (doubted)**

Question No: 25 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- **Error of principle (Correct)**
- Error of omission
- Error of commission
- Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- Sales account
- Purchase account

www.vustudents.net

 A's account and Sales account

 Sales account, purchase account and A's account (Correct)

Question No: 27 (Marks: 1) - Please choose one

_____ A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

 Rs. 1,000

 Rs. 9,000 (Correct)

 Rs. 10,000

 Rs. 11,000

Question No: 28 (Marks: 1) - Please choose one

_____ _____ are committed in those cases where proper distinction between revenue and capital items is not made.

 Error of principle

 Error of omission

 Error of commission (Correct)

 Error of original entry

Question No: 29 (Marks: 1) - Please choose one

_____ Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

 It tells about customer attitude of payments

www.vustudents.net

- It can be checked against the control account to pick up recording errors
- It tells about the complete history of transactions of business client
- **All of the given options (Correct)**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

- **Cash sales (Correct)**
- Credit sales
- Bills receivable
- Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

- Credit sale only
- Cash sale only
- Credit purchase only
- Both Credit sales and Credit purchase

Question No: 32 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- Rs. 3,600

www.vustudents.net

Rs. 2,000

Rs. 1,600

Rs. 400 (doubted)

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of bank reconciliation statement?

To reconcile the difference between the cash book and the bank statement

To check for errors in balance sheet (Correct)

To update omitted entries into the cash book

To update omitted entries into the bank statement

Question No: 34 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

A cheque is drawn but not yet presented at the bank for payment

The bank has not yet notified to Mr. Terry about a dishonoured cheque

A credit transfer into Terry's Bank Account

A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 35 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000

www.vustudents.net

Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- Rs. 5 500 (Dr)
- Rs. 5 500 (Cr)
- Rs. 4 500 (Dr)
- **Rs. 4 500 (Cr) (Correct)**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of Joint Stock Company?

- Separate Legal Entity
- Limited Liability
- **Easy Formation (Correct)**
- Common Seal

Question No: 37 (Marks: 1) - Please choose one

Consider the following data:

Particulars	**Rs.**
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

www.vustudents.net

- Rs. 49,000
- Rs. 55,000
- Rs. 1, 25,000
- **Rs. 1, 03,000 (Correct)**

Question No: 38 (Marks: 1) - Please choose one

The basic purpose of depreciation is to achieve the:

- **Matching principle (Correct)**
- Dual aspect principle
- Separate entity concept
- Money measurement concept

Question No: 39 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- Book-keeping
- Accounting
- Auditing
- **All of the given options (Correct)**

Question No: 40 (Marks: 1) - Please choose one

Bank Reconciliation Statement is prepared by:

www.vustudents.net

- Bankers
- **Accountant of the business (Correct)**
- Statutory auditor
- Manger

Question No: 41 (Marks: 1) - Please choose one

Under the reducing balance method, deprecation is calculated on:

- Scrap value of an asset
- Original cost of an asset
- **Book value of an asset (Correct)**
- Fair value of an asset

Question No: 42 (Marks: 1) - Please choose one

The products that are ready for sale are known as:

- Raw material
- Work in process
- **Finished goods (Correct)**
- Closing stock

Question No: 43 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

www.vustudents.net

- Interest expenses
- **Wages and salaries (Correct)**
- Depreciation expenses
- Discount Allowed

Question No: 44 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- **Profit and loss account (Correct)**
- Balance sheet
- Statement of financial position
- All of the given options

Question No: 45 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- Vehicle account
- Cash account
- Business account
- **Bank account (Correct)**

www.vustudents.net

Question No: 46 (Marks: 1) - Please choose one

Gross Profit > Operating Expenses=?

- **Net Profit (Correct)**
- Cost of Goods Sold
- Net Loss
- Gross Loss

Question No: 47 (Marks: 1) - Please choose one

Bank book is part of:

- Voucher
- General Journal
- **General Ledger (Correct)**
- Trial Balance

Question No: 48 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- Increase in cash and decrease in equity
- Increase in cash and increase in goods

www.vustudents.net

- **Increase in goods and decrease in cash (Correct)**
- Increase in equipment and increase in equity

Question No: 49 (Marks: 1) - Please choose one

We can say that the business is in profit, when:

- Assets exceed Liabilities
- **Income exceeds Expenditure (Correct)**
- Income exceeds Liabilities
- Assets exceed Expenditure

Question No: 50 (Marks: 1) - Please choose one

A business event which can be measured in terms of money and must be recorded in books of accounts is called:

- Information
- Condition
- **Transaction (Correct)**
- Record

Question No: 51 (Marks: 5)

Calculate Net income with the help of given date for the year 2007 and also show complete working to support your answer.

Raw material Stocks on 1-1-2007	Rs. 30,000

Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400

Raw material Stocks 31-12-2007	Rs. 31,000
Work in process 31-12-2007	25,000
Finished Goods 31-12-2007	53,900
Total factory Cost	543,339

Additional data

- Other income for the year is Rs. 5,000.
- Operating expenses for the year Rs. 15,000.
- Sale for the year Rs. 1,000,000.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended on 31st December, 2007,

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	

www.vustudents.net

Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**6000**		**Sales**	**70000**	
				Less : Sales Return	**4600**	
Purchase	**60000**					**65400**
Less Return	**2800**					
		57200				

www.vustudents.net

				Closing Stock		6000
Gross Profit			8200			
			71400			71400
Profit & Loss Account for the year ending 31.12.2007						
Advertisement Exp		4000		Gross Profit		8200
	-					
Salaries	12000					
Add: Outstanding	1000					
		13000				
Depreciation						
Plant & Mach		2400				
Insurance	3400					
	1400					
		2000				
				Net Loss		13200
		19400				21400

www.vustudents.net

Balance Sheet as on 31.12.2007

Accouts Receivable		9000	Capital	136000	
			Less :Net Loss	13200	
Cash		5000			122800
Plant & Mach	24000		Accounts Payable		3800
Less: Depr	2400				
		21600	Outstanding salaries		1000
Land & Building		82000			
Furniture		2600			
Prepaid Insurance		1400			
Closing Stock		6000			
		127600			127600

Question No: 53 (Marks: 10)

www.vustudents.net

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	
Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	**750,500**	**750,500**

Adjustments:

- Depreciate machinery and furniture @20%p.a.
- Outstanding Salaries Rs. 2,000
- Insurance paid in advance Rs. 500

www.vustudents.net

- Maintain @5% reserve for doubtful debts on debtors.
- Closing Stock was valued at Rs. 60,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**55000**		**Sales**	**610000**	
				Less : Sales Return	**5000**	
Purchase		**485000**				**605000**
Carriage Inward		**6000**		**Closing Stock**		**60000**
Gross Profit		**119000**				
		665000				**665000**
Profit & Loss Account for the year ending 31.12.2007						
Salaries	**28000**			**Gross Profit**		**119000**
Add: Outstanding	**2000**					
		30000				
Rent, Rates, Taxes		**15000**				
Insurance	**4000**					
Less :Advance	**500**					

www.vustudents.net

		3500				
Depreciation						
Machinery	10000					
Furniture	1000					
		11000				
Provision on Doubtful Debts		4000				
Net Profit		55500				
		119000				119000

NOTE: PLEASE CONSIDER ALL ENTRIES ON LEFT SIDE AS ON RIGHT HAND SIDE AND VICE VERSA. JUST SHOWN BY MISTAKE. I HOPE YOU CONSIDER MY REQUEST DUE TO SHORATGE OF TIME.

Question No: 54 (Marks: 10)

What is the difference between public and private company?

Answer:

Private Limited Company

- Number of members in a private limited company varies from 2 to 50.
- Any 2 members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the private limited company elect two members of the company as Directors. These directors form a board of directors to run the affairs of the company.
- The head of board of directors is called chief executive.
- Private limited company can not offer its shares to general public.

www.vustudents.net

- In case a investor decides to sell his/her/her shares, his/her shares are first offered to existing shareholders. If all existing shareholders decide not to buy these shares, then an outsider investor can buy.
- Words and digression "(Private) Limited" are added at the end of the name of a private limited company.

Public Limited Company

- Least number of members in a public limited company is **7** with no upper limit in number of members.
- Any 7members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the public limited company elect seven members of the company as Directors and these directors form a board of directors to run the daily affairs.
- The head of board of directors is called Chief Executive.
- Public limited company can offer its shares to general public at large.
- Word "Limited" is added at the end of the name of a public limited company.
- Each subscriber of the memorandum shall write opposite to his name, the number of shares held by him/her.

On top of that there are two types of public limited company:

1. Listed Company
2. Non Listed Company

LISTED COMPANY

Listed company is the one whose shares are quoted and traded on stock exchange. It is also called quoted company.

NON LISTED COMPANY

Non listed company is the one whose shares are not quoted or traded.

http://www.vustudents.net

www.vustudents.net

www.vustudents.net

http://www.vustudents.net

Paper N0:15

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

► Sole proprietorship

► Partnership

www.vustudents.net

► Limited company

► **Trust**

Question No: 3 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping

► **Double entry book keeping**

► Both single and double entry book keeping

► Cash basis of book keeping

Question No: 4 (Marks: 1) - Please choose one

An Asset that is **NOT** physical in nature is called _____.

► **Intangible Asset**

► Liquid Asset

► Current Asset

► Fixed Asset

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

www.vustudents.net

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets

► **Current assets**

► Fixed assets

► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

► Cash account

► Business account

www.vustudents.net

► **Bank account**

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► **Purchases account**

► Mr. Ali account

► Cash account

► Sales account

Question No: 9 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

► Polish and finishing material for chair

www.vustudents.net

► **A piece of wood for the production of chair**

► Production worker's wages

► Depreciation expenses

Question No: 11 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 12 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000

► Rs. 8,000

► Rs. 4,500

► **Rs. 10,500**

Question No: 13 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

www.vustudents.net

► Total factory cost + Opening work in process + Ending work in process

► **Total factory cost + Opening work in process – Ending work in process**

► Total factory cost - Opening work in process + Ending work in process

► Ending work in process +Total factory cost – Opening work in process

Question No: 14 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► **Rs.25, 000**

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► **Rs. 215,000**

www.vustudents.net

► Rs. 220,000

► Rs. 225,000

Question No: 16 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► **Rs.320**

[100+385+480+260=1225-905= (10*10=100, 35*11=385, 35*12=420)]

Question No: 17 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

www.vustudents.net

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 20 (Marks: 1) - Please choose one

www.vustudents.net

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400

► **Rs. 800**

► Rs. 2,000

► Rs. 2,400

Question No: 21 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► Discount Allowed (Dr) and Debtors Control A/c (Cr)

► Discount Allowed (Dr) and Debtors A/c (Cr)

► **Debtors Control A/c (Dr) and Discount Allowed (Cr)**

► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

www.vustudents.net

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

► Rs. 3,600

► Rs. 4,000

http://www.vustudents.net

► Rs. 1,600

► **Rs. 2, 400**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► All of the given options are correct

► **It means depreciation has already been deducted from concerned asset account**

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 25 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

www.vustudents.net

► Subscribers

► **Shareholders**

► Managers

► Directors

Question No: 26 (Marks: 1) - Please choose one

Merchandise on hand at either the beginning or end of the reporting period is called_____.

► Raw material

► Cost of good sold

► Work in process

► **Inventory**

Question No: 27 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 28 (Marks: 1) - Please choose one

In which of the following interim dividend is treated?

www.vustudents.net

► In profit and Loss account

► In profit and Loss appropriation account

► On the asset side of the Balance Sheet

► In trading account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association

► Articles of Association

► Prospectus

► Statutory Declaration

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

► Purchase of fixed asset

www.vustudents.net

Question No: 31 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► **The payments for purchases made during the year**

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people

► Shareholders can appoint professionals

► **Shareholders are personally liable for all the liabilities incurred by the business**

► Regular filing of information about the affairs of the company is a legal requirement

Question No: 33 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► **Current Assets**

► Current Liability

► Long-term liability

► Share of profit

www.vustudents.net

Question No: 34 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► **Decrease assets and stockholders' equity.**

► Increase liabilities and decrease stockholders' equity.

Question No: 35 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

► Asset

► Uncollectible asset

► **Uncollectible accounts expense**

► None of the given options

Question No: 36 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

► **Rs. 5,000**

► Rs. 9,850

► Rs. 25,000

► Rs. 14,900

www.vustudents.net

Question No: 37 (Marks: 1) - Please choose one

Credit sales appear on the __ _____ side of the Debtors control account.

► Left side or credit

► **Left side or debit**

► Right side or debit

► Right side or credit

Question No: 38 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 39 (Marks: 1) - Please choose one

Which of the following is usually not an accrued expense?

► Interest payable

► Wages payable

► Taxes payable

► **Notes payable (its liability not an expense)**

Question No: 40 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following is **NOT** a financial statement?

► Balance sheet

► **Audit report**

► Income statement

► Cash flow statement

Question No: 41 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

► A debit to the Cash Received account of Rs. 3,500

► **A credit to the Accounts Receivable account of Rs.2,100**

► A debit to the Cash account of Rs.1,400

► A debit to the Accounts Receivables account of Rs.1,400

Question No: 42 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A? ► **Rs.2,640**

► Rs.1,320

► **Rs.2,640**

► Rs.3,960

► Rs.6,600

Question No: 43 (Marks: 1) - Please choose one

www.vustudents.net

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry? ► **Income tax expense**

► Income tax payable

► Prepaid income tax

► **Income tax expense**

► Income tax paid

Question No: 44 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000

► Rs.28,000

► **Rs.33,000**

► Some other amount

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.65,000 and Rs.50,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,000 and of Mr. B is Rs.1,500. The net income for the year is Rs.55,000. What will be the amount of distributable profit? ► **Rs.57,500**

► Rs.52,500

► Rs.56,000

► Rs.56,500

► **Rs.57,500**

www.vustudents.net

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A? ► **Rs.22,500**

► **Rs.22,500**

► Rs.25,500

► Rs.27,500

► Rs.55,000

Question No: 47 (Marks: 1) - Please choose one

Which of the following is quoted company?

► Private Limited Company

► Public Limited Company

► **Listed company**

► Non Listed Company

Question No: 48 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► Reserves

► Debentures

► **Share premium**

www.vustudents.net

► Term finance certificate

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve

► General reserve

► Revaluation reserve

► None of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

www.vustudents.net

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► **Capital invested by the owners**

► Purchase of building for the business use

► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings

► **Statement of financial position**

► Statement of cash flows

http://www.vustudents.net

► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, all of the following items are considered as financing activity, except:

► Cash received from issuance of shares

► Cash received from issuance of bonds

► **Payment made for short term debts**

► Collections on loans

Question No: 55 (Marks: 3)

www.vustudents.net

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

400000x6/100=2400

400000

Question No: 56 (Marks: 5)

What do you mean by "Bad Debts" and "Doubtful Debts"? Distinguish between these.

Ans: **Bad Debts**

when we are going to sell the products on credit so our business take risk that there are some customer in market that they will never pay for stock sold to them.So,such situation in which the amount which is due to the debetor are call bad debts

This is a loss sustained loss for business due to risk. It is recorded in Profit and Loss Account in the period in which it is happen.

Doubtful Debts

A doubtful debt is a debt, which the business considers may not be paid

Question No: 57 (Marks: 5)

www.vustudents.net

a. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

b. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Opening stock :		Rs.56,950
Add bpurchase:		175,750
Add Carriage inward :		5,200
Less Stock closing balance:		(65020)
Cost of goods sold	=	Rs 172,880

www.vustudents.net

Question No: 58 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

S.No	Narration / Particulars	Withdrawals Amountnt	Deposits Amount			Balance Dr/(Cr)
	Balance as per Cash Book (Dr.)					180,000
						7900
						4500

www.vustudents.net

						1300

Question No: 59 (Marks: 10)

Listed below are selected items from the financial statements of ABC Mfg. Co. for the year ended December 31, 2007.

Note payable to Bank Al-Falah	Rs.500,000
Income taxes payable	40,000
Mortgage note payable	750,000
Accrued interest on mortgage note payable	5,000
Trade accounts payable	250,000
Unearned revenue	15,000
Accrued expenses and payroll taxes	60,000
Debenture	500,000

Other information:

1. The note payable owed to Bank Al-Falah is due in 60 days. ABC Mfg. Co. has arranged with this bank to renew the note for an additional 24 months.

2. The mortgage requires payment of Rs.6,000 per month. An amortization table shows that its balance will be paid down to Rs.739,000 by December 31, 2008.

3. Debenture of Rs.150,000 is due in 180 days.

Instructions:

www.vustudents.net

Using the information, prepare the current liabilities and long-term liabilities sections of a classified balance sheet at December 31, 2007.

Solved by Chanda Rehman, Nomi chakwal and ABr

Paper N0:16

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 2)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► For the year 2008 only
- ► For the last day of 10th year only
- ► **Over 10 years**
- ► Nothing can be said about it

www.vustudents.net

Question No: 3 (Marks: 1) - Please choose one

According to the double entry system of accounting, an account that obtains benefit is:

► **Debit** (Handouts Page 11, 12)

► Credit

► Income

► No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity

► Increase in an asset, increase in a liability

► Decrease in an asset, decrease in owner's equity

► **Decrease in an asset, decrease in a liability**

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Trading account?

► **It inculdes cost of goods sold and all the direct expenses related to sales**

► It inculdes cost of goods sold and all the indirect expenses related to sales

► It inculdes cost of goods sold and all the direct and indirect expenses

► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies

www.vustudents.net

► Private limited companies

► Partnership firms

► **All of the given options**

Question No: 7 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► **Current asset**

► Fixed asset

► Long term asset

Question No: 8 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 9 (Marks: 1) - Please choose one

If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

www.vustudents.net

► **Rs. 25,000**

► Rs. 1, 00,000

► Rs. 1, 75,000

► Rs. 3, 00,000

Question No: 10 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► **Prime cost** (Handouts Page 121)

► Conversion cost

► Sunk cost

► Opportunity cost

Question No: 11 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► Rs. 215,000

► **Rs. 220,000**

► Rs. 225,000

www.vustudents.net

Question No: 12 (Marks: 1) - Please choose one

Accounting is the language of:

► **Business**

► School

► Proprietor

► Management

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► **Rs. 400**

► Rs. 800

www.vustudents.net

http://www.vustudents.net

► Rs. 2,000

► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

► Rs. 2,225

► Rs. 2,525

► Rs. 1,925

► Rs. 3,025

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

www.vustudents.net

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 17 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only

► Cash sale only

► Credit purchase only

► **Both Credit sales and Credit purchase**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► Control Account

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 19 (Marks: 1) - Please choose one

If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?

► Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)

► **Bade debts (Dr) and Debtors Control A/c (Cr)**

► Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)

► Allowance for doubtful debts (Dr) and Debtors A/c (Cr)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

www.vustudents.net

► Plant account

► Carriage account

► **Both plant account and carriage account**

► Trading account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► **Bank charges**

► An error on the Bank Statement

► An uncredited deposit

► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Which of the following is normally treated as the last expense listed in the income statement of a company?

► Interest expense

► General and administrative expenses

► Salaries and wages expense

► **Income tax expense**

Question No: 23 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

www.vustudents.net

► Cash

► Note Payable

► **Owner's Equity** (Handouts Lesson 12, Page 83)

Question No: 24 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► **A balance sheet**

► A statement of retained earnings

Question No: 25 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► **Capital account**

► Shareholder account

► Liability account

► Expense account

Question No: 26 (Marks: 1) - Please choose one

In which type of a business, the owner and his business are considered same in the eyes of law?

► **Sole proprietorship**

► Public companies

► Limited companies

► Listed companies

www.vustudents.net

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► **Total assets employed**

► Total liabilities

► Total assets

► Current assets

Question No: 28 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**

► Partner's Cash Account

► Partner's Bank Account

► Partners Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association

► **Articles of Association**

► Prospectus

► Statutory Declaration

www.vustudents.net

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

► **A new long-term loan taken out to finance the purchase of fixed assets**

► Salaries paid

► Interest paid on a long-term bank loan

► The cost of purchasing a patent

CASH FLOW FROM FINANCING ACTIVITIES (Handouts Page 266)

Cash flow from financing activities includes cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization.

• Cash receipts and payments for **other long term** loans and borrowings.

Question No: 31 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets** (Handouts Page 311)

► Overstating current Liabilities

► Understating current Assets

► Understating current assets and overstating current liabilities

Question No: 32 (Marks: 1) - Please choose one

Mark up cover ratio = operating profit before financial charges ÷ **?**

► Selling expenses

► Administrative expenses

► **Financial charges** (Handouts Page 311)

► Direct expenses

Question No: 33 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner

► At the admission of new partner

► If any partner resigned from partnership

► **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

► **Rs. 98,000**

► Rs. 147,000

► Rs. 245,000

► Rs. 343,000

Question No: 35 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► Net loss of Rs.1, 000

► **Net income of Rs. 1,000**

► Net loss of Rs. 2,000

► Net income of Rs. 2,500

www.vustudents.net

Question No: 36 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► **Decrease assets and stockholders' equity.**

► Increase liabilities and decrease stockholders' equity.

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is the detail of transaction in one's account provided by the bank?

► **Bank statement**

► Bank reconciliation statement

► Income statement

► Financial statement

Question No: 38 (Marks: 1) - Please choose one

An asset cost Rs. 50,000, has an estimated residual value of Rs.1, 500, and an estimated useful life of 8 years. What is the depreciation rate under reducing balance method?

► 11.5%

► 20.0%

► 25.0%

www.vustudents.net

► **35.5%**

(Handouts Page 135)

In **reducing balance method**, a formula is used for calculation of depreciation rate. i e.

Rate = $1 - \sqrt[n]{RV/C}$ = $1 - \sqrt[8]{1500/50000}$ = $1 - \sqrt[8]{0.03}$ = 1 – 0.645 = 0.355 × 100 = 35.5%

Or = $1 - (RV/C)^{1/n}$ = 1 – $(1500/50000)^{1/8}$ = 1- $(0.03)^{1/8}$ = 1- 0.645=0.355 × 100= 35.5%

Question No: 39 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash Account & Capital Account**

► Cash Account & Expense Account

► Capital Account & Revenue Account

► Capital Account & Expense Account

Question No: 40 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

► **Purchase of building on credit**

► Dividends to stockholders

► Net loss

► Investment in cash by stockholders

www.vustudents.net

Question No: 41 (Marks: 1) - Please choose one

Receipts from debtors appear on the _____ side of the individual debtors account.

► Left side or credit

► Left side or debit

► Right side or debit

► **Right side or credit**

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission

► Allowance

► **Discount**

► Rebate

Question No: 43 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 44 (Marks: 1) - Please choose one

Capital and drawings are reported in which of the following section of balance sheet?

► Assets

www.vustudents.net

► Other assets

► Non current liabilities

► **Owner's equity**

Question No: 45 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable

► **Prepaid insurance**

► Advance payment account

► Insurance expense

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89, 700

► Rs.94, 700

► Rs.95, 300

► **Rs.100, 300** (Not 100 % sure)

Question No: 47 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22, 500

► Rs.25, 500

► Rs.27, 500

www.vustudents.net

► Rs.55, 000

Question No: 48 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2

► 3

► 5

► 7

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve

► General reserve

► Revaluation reserve

► None of the given options

Question No: 50 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► Capital invested by the owners

► Purchase of building for the business use

► Cash received from the disposal of equipment

No: 51 (Marks: 1) - Please choose one

Which of the following ratio is widely used to measure the short-term debt-paying ability of a company? (Correct Answer is Creditors Turnover Ratio)

www.vustudents.net

► Acid-test ratio

► Debt ratio

► Current ratio

► **None of the given options**

Creditors Turnover Ratio (Handouts Page 309)

Creditors turnover means how many times or in how many days a company pay to its creditors. The formulae for this ratio are as follows:

Creditor Turnover (Number of days) = (Average Creditors / Credit Purchases) x 365

Creditor Turnover (Number of times) = Credit Purchases / Average Creditors

Acid Test Ratio (Handouts Page 311)

Acid test ratio is the proportion of current assets which are convertible into cash and current liabilities. The formula for calculating this ratio is as follows:

Acid Test Ratio = (Current Assets – Stock) / Current Liabilities

Debt Equity Ratio (Handouts Page 310)

This ratio shows the composition of finance that have funded the asset of the company. This ratio varies for different projects. In Pakistan, maximum advised ratio is 60: 40. i-e. 40% of the assets should be bought with company, s investment and 60% should be bought with the loan taken by the company. The formula for calculating this ratio is as follows:

Debt Equity Ratio = Long term Liabilities / Equity

Current Ratio (Handouts Page 310,311)

Current ratio shows the proportion of current assets and current liabilities. This ratio should be 1:1. i-e. For every liability of one rupee, there should be an asset of one rupee to pay it. The formula for calculating this ratio is as follows:

Current Ratio = Current Assets / Current Liabilities

www.vustudents.net

Question No: 52 (Marks: 1) - Please choose one

Which of the following usually is least important as a measure of short-term liquidity?

► Quick ratio

► Debt ratio

► Current ratio

► **Cash flows from operating activities**

Question No: 53 (Marks: 1) - Please choose one

In statement of cash flows, a payment of cash dividends is related to:

► **Investing activity**

► Financing activity

► Operating activity

► Cash flows from operations

CASH FLOW FROM INVESTING ACTIVITIES (Handouts Page 265)

Cash flow from investing activities includes cash receipts and payments that arise from Fixed and Long Term assets of the organization.

• Cash payments and receipts from **acquisition** and **disposal** of **other than long term** assets e.g. Shares, debentures, TFC, long term loans given etc.

CASH FLOW FROM FINANCING ACTIVITIES (Handouts Page 266)

Cash flow from financing activities includes cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization.

• Cash receipts and payments for **other long term** loans and borrowings.

Question No: 54 (Marks: 1) - Please choose one

www.vustudents.net

In statement of cash flows, all of the following items are considered as financing activity, except:

- ► Cash received from issuance of shares
- ► Cash received from issuance of bonds
- ► **Payment made for short term debts**
- ► Collections on loans

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	2,500
Provision for doubtful debts (new)	800

Question No: 56 (Marks: 5)

Pass the Journal Entries in proper format of JOURNAL for the following:

- v To create provision for doubtful debts
- v To reduce the provision
- v To increase the provision

Solution:

To create provision for doubtful debts

Debit: Provision for Bad Debts (P&L)

Credit: Provision for Bad Debts

www.vustudents.net

The debit account is charged against current years profit and the credit head is shown as a deduction from debtors in the balance sheet.

When the bad debt for which provision is already made is confirmed, following entry is passed:

Debit: Provision for Bad Debts

Credit: Debtors

As expense has already been charged, therefore, no affect is given to P&L at this point.

To reduce the provision

Debit: Provision for Bad Debts (Balance Sheet)

Credit: Provision for Bad Debts (P&L)

To increase the provision

Debit: Provision for Bad Debts (P&L)

Credit: Provision for bad debts

Question No: 57 (Marks: 5)

Briefly discuss the followings:

1. Issuance of shares at premium

When a company has a good reputation and earns huge profits, the demand of its shares increases in the market. In that case, the company is allowed by the Companies Ordinance 1984, to issue shares at a higher price than their face value. Such an issue is called Shares Issued at Premium. The amount received; in excess of the face value of the shares is transferred to an account called "Share Premium Account". This account is used to:

- Write off Preliminary Expenses of the company.
- Write off the balance amount, in issuing shares on discount.
- Issue fully paid Bonus Shares.

2. Cash flow statement

www.vustudents.net

Cash Flow Statement shows the movement of cash resources during the year. It gives information about sources of income and account heads on which this amount is spent. It is an integral part of financial statements.

3. Debentures

Debentures are issued under the common seal (Stamp) of the company, as acknowledgement of debt, owed by the company to the public at large for a defined period of time for obtaining loan from general public and has a mark up (profit) rate attached to it, generally equal to the market rate.

4. Notes to the accounts

Notes to the accounts are explanatory notes on financial statements of the company. These include all the information, from formation of company to the calculation of figures, arrived at, during the preparation of financial statements.

Question No: 58 (Marks: 10)

On 31st December, 2006, a merchant has to receive Rs. 50,000 from sundry debtors and creates provision of 5 percent on this amount for doubtful debts. Actual bad debts during the year 2007 were Rs.1, 400. The debtors on 31st December, 2007, are Rs. 40,000 on which he again creates provision of 5 % for doubtful debts. During 2008 actual bad debts are Rs. 600 and the debtors at the end of 2008 totalled Rs. 25,000, on which a reserve a reserve of 5 % for doubtful debts is required to be maintained.

Required: Prepare provision for doubtful debts account with the help of given data.

Question No: 59 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended 31st December, 2007.

www.vustudents.net

Particulars	Debit	Credit
	Rs.	Rs.
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	212,600	212,600

http://www.vustudents.net

ADDITIONAL INFORMATION:

5. Prepaid insurance on 31st December, 2007 is Rs. 1,400
6. Outstanding salaries Rs. 1,000
7. Depreciation on Plant and Machinery @ 10% p.a.
8. Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

www.vustudents.net

Paper No:17

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Ref No: 1195706

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

Latin

English

French

Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

Debit

Credit

Revenue

None of the given options

www.vustudents.net

Question No: 3 (Marks: 1) - Please choose one

_____ A summarized record of transactions related to individuals or things is called a/an _____.

- **Account**
- Voucher
- Journal
- Trial balance

Question No: 4 (Marks: 1) - Please choose one

_____ In an account, if credit side < debit side then the balance is known as:

- Negative Balance
- **Debit Balance**
- Positive Balance
- Credit Balance

Question No: 5 (Marks: 1) - Please choose one

_____

Which of the following organizations do **NOT** prepare Income & Expenditure account?

- Public limited companies
- Private limited companies
- Partnership firms
- **All of the given options**

www.vustudents.net

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- Vehicle account
- Cash account
- Business account
- **Bank account**

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- **Rs. 5,000**
- Rs. 25,000
- Rs. 55,000
- Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business

www.vustudents.net

 Profit and loss account

 Balance sheet

 Statement of financial position

 All of the given options

at a specific date?

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

 Prime cost

 Conversion cost

 Sunk cost

 Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

 Name of organization

 Bank receipt

 Debit amount

 Credit amount

Question No: 11 (Marks: 1) - Please choose one

www.vustudents.net

Accountancy covers which of the following area(s):

- Book-keeping
- Accounting
- Auditing
- **All of the given options**

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

- Fall in the market value of an asset
- Fall in the value of money
- Physical wear and tear
- **All of the given options**

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

- Bad debt recovered a/c
- Cash a/c
- Doubtful debts a/c
- Bad debts a/c

www.vustudents.net

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

- **Rs. 400**
- Rs. 800
- Rs. 2,000
- Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

- Rs. (5,100)
- Rs. 5,100
- Rs. (900) (Minus main answer hai tabi Credit side par show hoga)
- Rs. 900

www.vustudents.net

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

- **Double entry book keeping system**
- Single entry book keeping system
- Cash accounting system
- All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

- Discount Received (Dr) and Creditors Control A/c (Cr)
- Discount Received (Dr) and Creditors A/c (Cr)
- Creditors Control A/c (Dr) and Discount Received (Cr)
- Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

- Rs. 1,000
- **Rs. 9,000**
- Rs. 10,000
- Rs. 11,000

www.vustudents.net

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

http://www.vustudents.net

- **A’s account (Dr.) and B’s account**
- B’s account (Dr.) and A’s account (Cr.)
- Sales account (Dr.) and B’s account (cr.)
- B’s account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr.”A” Rs. 336 was not recorded at all?

- Only sales account
- Only A’s account
- Only cash account
- **Both sales account and A’s account**

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- Bank charges
- An error on the Bank Statement
- An uncredited deposit

www.vustudents.net

 An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

 Rs. 600

 Rs. 1,000

 Rs. 2,000

 Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

www.vustudents.net

Rs. 2,240

Rs. 2,425

Rs. 1,925

Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

Essential information to internal users of financial reports.

Useful economic information about the business to the external parties for sound financial decisions.

Information to internal users about the cash position of the business.

Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

A cash flow statement

A retained earnings statement

An income statement

A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

www.vustudents.net

- Fixed assets
- Current liabilities
- **Profit sharing ratio**
- Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- Accounts receivable arises when a company buys goods or services from another party on credit
- Accounts receivable is a miscellaneous category that may include loans to employees
- Accounts receivable are more formal than notes receivable
- **Accounts receivable are often called trade receivables**

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

- Partner's capital account
- **Interest account**
- Partner's current account
- Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

www.vustudents.net

- Fixed Capital Account
- Current Account
- Fluctuating Capital Account
- Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- Name of company
- Place of registered office of company
- Objective of the company
- **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- **Share premium account**
- Share holder account
- Debtors control account
- Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

www.vustudents.net

 It will be deducted in Income Statement only

 It will be treated as current liability in balance sheet only

 It will be treated as current asset in balance sheet only

Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

 Sale of fixed asset

 Issue of debentures

 Cash from business operation

 Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

 The limited company form of business allows ownership of the business to be spread amongst many people

 Shareholders can appoint professionals

Shareholders are personally liable for all the liabilities incurred by the business

 Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

www.vustudents.net

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- Rs. 98,000
- Rs. 1, 47,000
- Rs. 2, 45,000
- Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- **It may treated as a deficit not sure**
- It may treated as a surplus
- It may treated as a revenue
- None of the given options I think this one

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- **Cash Account & Capital Account**
- Cash Account & Expense Account
- Capital Account & Revenue Account

www.vustudents.net

 Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

 Customer's account

 Sales return account

 Goods account

 Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

 Revenue Expenditures

 Capital Expenditures

 Deferred Expenditures

 None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

 Doubtful debts

www.vustudents.net

Bad debts

Provision for doubtful debts

Loss

Question No: 41 (Marks: 1) - Please choose one

_____ ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

Cash

Discount received

http://www.vustudents.net

Creditors

Bank

Question No: 42 (Marks: 1) - Please choose one

_____ The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

Left side or credit

Left side or debit

Right side or debit

Right side or credit

Question No: 43 (Marks: 1) - Please choose one

_____

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

Error of commission

Error of omission

www.vustudents.net

 Error of original entry

 Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

 Depreciation expense

 Income tax expense

 Interest expense

 Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

 Title of financial statement

 Name of the person who prepares financial statement

 Period for which financial statement is prepared

 Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

 1:2

 2:3

 3:2

 3:1

www.vustudents.net

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

- **Revenue**
- Net income
- Expense
- Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- **Rs.89,700**
- Rs.94,700
- Rs.95,300
- Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

- 2
- 3
- 5
- **7**

www.vustudents.net

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

- State Bank of Pakistan
- **Security and Exchange Commission of Pakistan**
- Supreme Court
- Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

- **To write off preliminary expenses**
- To meet the expenses of issue of shares
- To distribute among the share holders
- To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

- Issued capital
- Subscribed capital
- **Authorized capital**
- Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

www.vustudents.net

- Current assets and other assets
- **Current liabilities and current assets**
- Current liabilities and plant and equipment
- Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

- Rs. 40,000 cash outflow as investing activity
- Rs. 30,000 cash outflow as investing activity
- **Rs. 10,000 cash inflow as investing activity**
- Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

www.vustudents.net

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

www.vustudents.net

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

www.vustudents.net

Stock as on 31st December, 2007

- Raw material Stocks Rs. 31,000
- Work in process Rs. 25,000
- Finished Goods Rs. 53,900

Depreciation Rate:

- Plant & Machinery is depreciated @ 10%
- Buildings is depreciated @ 5%
- Tools is depreciated @ 15%

Additional data

- Reserve and bad debts is to be created at 5% on debtors.
- Net Income for the year Rs. 75,000

Paper no 18

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION,

Fall 2008

MGT101- Financial Accounting (Session - 1)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Which of the following item will be credited in capital account of sole proprietor?

► Cash

► Drawings

► Debtors

► **Profit**

Question No: 2 (Marks: 1) - Please choose one

www.vustudents.net

Debenture is also named as:

► Share

► Bond

► Equity

► Reserve

Question No: 3 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors

► The sale of fixed assets during the period

► An increase in trade debtors over the course of the period

► **An increase in the depreciation charge relative to the previous accounting period doubted**

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► The payments for purchases made during the year

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 5 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

www.vustudents.net

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 6 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

► **It gets certificate of incorporation from registrar of Companies doubted**

► It gets certificate of commencement of business from registrar of Companies

► It actually starts its business

Question No: 7 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

www.vustudents.net

Share premium account is used for what?

► Write off Preliminary Expenses of the company.

► Write off the balance amount, in issuing shares on discount.

► Issue fully paid Bonus Shares.

► **All of the given options**

Question No: 9 (Marks: 1) - Please choose one

The maximum amount with which the company is registered is called:

► **Authorized Share Capital**

► Issued Share Capital

► Paid up capital

► Called up capital

Question No: 10 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984**

► I884

► 1948

► 1965

Question No: 11 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

www.vustudents.net

► Fixed Capital Account

► **Current Account**

► Fluctuating Capital Account

► Floating Capital Account

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership

► Private limited company

► Public limited company

http://www.vustudents.net

► **Partnership**

Question No: 13 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

► Normal

► Floating

► **Fixed**

► Fluctuating

Question No: 14 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

www.vustudents.net

► Total assets

► Current assets

Question No: 15 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)

► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)

► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)

► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 16 (Marks: 1) - Please choose one

Which of the following will be debited, if cash is drawn by Proprietor?

► Proprietor's drawings

► Proprietor's cash

► Proprietor's capital

► Proprietor's income

Question No: 17 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used

► It can be realized in cash or sold or consumed in the business within one year

► It is a piece of new machinery that is expected to last for at least ten years

www.vustudents.net

► All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► **A balance sheet**

► A statement of retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► **Owner's Equity**

Question No: 20 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► Depreciation expense

www.vustudents.net

Question No: 21 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

- ► Contributed Capital
- ► Retained Earnings
- ► Revenues
- ► Expenses

Question No: 22 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for creditors control account?

- ► Purchase Day Book
- ► Purchase Return
- ► Creditors Ledger
- ► All of the given options

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

www.vustudents.net

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one

Sale of goods to Mr. Amir is wrongly debited to Umair A/c(debtor) instead of Amir A/c(debtor), this is an example of:

► **Error of principle**

► Error of omission

► Error of commission

► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

www.vustudents.net

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 28 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account

► Rahim's account

► Cash account

► Both sales and Rahim's Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

www.vustudents.net

► Control Account

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

► Rs. 460

► Rs. 2,400

► Rs. 1,540

www.vustudents.net

► Rs. 3,940

Question No: 32 (Marks: 1) - Please choose one

_____ Bad debts written off (given in adjustment) always affect the:

► Debtors account

► Creditors account

► Cash account

► Capital account

Question No: 33 (Marks: 1) - Please choose one

_____ debts that are not collectible and worthless to the creditor are known as:

► **Bad debts**

► Good debts

► Doubtful debts

► Provision for doubtful debts

Question No: 34 (Marks: 1) - Please choose one

_____

Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement

► **To check for errors in balance sheet**

► To update omitted entries into the cash book

► To update omitted entries into the bank statement

www.vustudents.net

Question No: 35 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- Rs. 5 500 (Dr)
- Rs. 5 500 (Cr)
- Rs. 4 500 (Dr)
- Rs. 4 500 (Cr)

Question No: 36 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

- Treated as a reserve
- Treated as a contra asset
- Treated as a surplus
- Treated as an expense

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

www.vustudents.net

Cash at bank	Rs. 22,500
Other assets	Rs. 1,000
Creditors	Rs. 8,385
Other liabilities	Rs. 9,000

► **Rs. 6,115 owner's equity**

► Rs. 31,885 owner's equity

► Rs. 17,385 owner's equity

► Rs. 18,385 owner's equity

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

► **Rs. 22,000 owner's equity**

► Rs. 23, 000 owner's equity

► Rs. 24,000 owner's equity

► Rs. 46,000 owner's equity

Question No: 39 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

www.vustudents.net

► Name of organization

► **Bank receipt**

► Debit amount

► Credit amount

Question No: 40 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following account will be debited, when the labor cost is charged to production?

► Finished goods account

► Labor cost account

► Work in process account doubted

► COGFactor over head account

www.vustudents.net

Question No: 42 (Marks: 1) - Please choose one

Which of the following organization converts raw material into finished goods?

► Trading concern

► **Manufacturing concern**

► Merchandising concern

► Service concern

Question No: 43 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a payment voucher?

► Name of organization

► Cash payment amount

► Date of transaction

► **Bank receipt**

Question No: 44 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a bank receipt voucher?

1) Name of the organization
2) Bank code
3) Date of transaction

► (1) & (2) only

► (1) & (3) only

www.vustudents.net

► (2) & (3) only

► **(1), (2) & (3)**

Question No: 45 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► **Rs. 15,000**

► Rs. 35,000

► Rs. 55,000

► Rs. 60,000

Question No: 46 (Marks: 1) - Please choose one

Which of the following statement is **NOT TRUE** about Current liabilities?

► These are due within one year

► These are short-term loans

► **These are consist of all debts, payable after 12 months**

► In working capital, these are deducted from current assets

Question No: 47 (Marks: 1) - Please choose one

Accrued expenses are the example of:

► **Current liabilities**

► Long term liabilities

www.vustudents.net

► Deferred costs

► Capital expenses

Question No: 48 (Marks: 1) - Please choose one

Which of the following item will appear on the Balance Sheet as current assets?

► Prepaid expenses

► Accrued expenses

► Furniture and Equipment

► Unearned revenue

Question No: 49 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account

► Left or debit side of the account

► Left or credit side of the account

► Right or credit side of the account

Question No: 50 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

► Sole proprietorship

► Partnership

► Limited company

► **Trust**

www.vustudents.net

Question No: 51 (Marks: 5)

The following errors have been discovered in the book of a Business Concern:

1. A credit purchase of Rs. 10,000 from Rizwan was wrongly passed through the sales book.
2. The casting of the sales book Rs. 1, 15,594 was carried to the sales account as Rs. 1, 51,954.

Required:

Pass the rectifying entries only.

1.Debit Creditor's account

Credit Sales book account

2.Debit Cash account Rs 36360

Credit Sales account Rs (36360)

Question No: 52 (Marks: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

www.vustudents.net

Question No: 53 (Marks: 10)

Write a note on legal documents required for the formation of company.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

3. Balance as per Cash Book (Cr) is Rs. 19,000.
4. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
5. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
6. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
7. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
8. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
9. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Paper No:19

Solved By Chanda Rehman n ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 3)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

www.vustudents.net

Debenture is also named as:

► Share

► **Bond**

► Equity

► Reserve

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued

► Liabilities of old business will be revalued

► Good will of business will be revalued

► All of the given options

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000

► Rs. 195,000

► Rs. 200,000

► **Rs. 205,000**

Beginning – ending + credit sales

20,000 – 15,000 + 200,000

www.vustudents.net

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► **Purchase of fixed asset**

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only

► It will be treated as current liability in balance sheet only

► It will be treated in profit and loss appropriation account only

► **it will be treated in both profit and loss appropriation account and in the balance sheet**

www.vustudents.net

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association

► Articles of Association

► Prospectus

► Annual Report

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association

► Articles of Association

► Prospectus

► **Statutory Declaration doubted**

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account

► **Profit and Loss account**

► Profit and Loss Appropriation account

► Current Account

Question No: 10 (Marks: 1) - Please choose one

www.vustudents.net

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association

► Articles of association

► Statutory report

► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

► Partnership registration

► Partnership-at-will

► Partnership deed

► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

www.vustudents.net

► Sole-ownership

► Private limited company

► Public limited company

► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► **Accounts receivable are often called trade receivables**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

► It is a reduction from assets

► It is prepared for specific purposes

► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

www.vustudents.net

► **A balance sheet**

► A statement of retained earnings

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment

► **Purchasing cleaning services doubted**

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

http://www.vustudents.net

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year

► Frequently traded securities

► A stock investment in the General Electric Company intended to be sold within one year

► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**

► Balance Sheet

► Profit & Loss Account

www.vustudents.net

► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460

► Rs. 2,400

► Rs. 3,080

► **Rs. 5,480**

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

www.vustudents.net

► **Rs. 1,000**

► Rs. 2,000

► Rs. 2,600

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► **Both of Mr. P's & Mr.Q's Account**

► Only Cash Account

► Only P's account

► Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

www.vustudents.net

► Sales account

► Purchase account

► A's account and Sales account

► **Sales account, purchase account and A's account**

Question No: 25 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

www.vustudents.net

► Discount received from supplier

► Credit purchases

► Bills payable

► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book

► Sales Return

► Debtors Ledger

► **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

www.vustudents.net

► Subsidiary Ledgers

► Creditors Control Accounts

► Debtors Control Accounts

► **All of the given options doubted**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► **Cash account (Dr.) & Bad Debts recovered account (Cr.)**

► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

www.vustudents.net

► **It is shown in balance sheet**

► It is a definite loss to the business

► It is not shown in balance sheet

► No provision is necessary for it

Question No: 34 (Marks: 1) - Please choose one

_____ The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)

► Rs. 5 500 (Cr)

► Rs. 4 500 (Dr)

► Rs. 4 500 (Cr)

Question No: 35 (Marks: 1) - Please choose one

_____ A Bank Reconciliation Statement is prepared to:

► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**

► Correct errors in the Cash Book or errors in the Bank Statement

www.vustudents.net

► Amend the balance of the Bank Statement of the firm

► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**

► It refers to the end life of an asset

► It refers to the increase in value of asset

► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

www.vustudents.net

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?

(1) Ledger code

(2) Amount of Receipt

(3) Amount of payment

► (1) only

► (1) & (2) only

► (1) & (3) only

► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

www.vustudents.net

► Rs.284

► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material

► Work in process

► Finished goods

► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability

► **Owner's net worth**

www.vustudents.net

► Working capital

► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300

► Rs. 2,500

► **Rs. 2,800**

► Rs.18, 800

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

www.vustudents.net

► Cash account

► **Capital account**

► Drawings account

► Proprietor account

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► **Current asset**

► Fixed asset

http://www.vustudents.net

► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry

► **'T' Account**

► Source document

► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

www.vustudents.net

► **Cash & Capital Account**

► Cash & Expense Account

► Capital & Revenue Account

► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

_____ Mr."
A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**

► Net profit

► Gross profit

► Operating profit

Question No: 50 (Marks: 1) - Please choose one

_____
when income exceeds expenses in a specific time period is known as:

► Savings

► **Net profit**

► Gross profit

► Operating profit

Question No: 51 (Marks: 5)

_____
Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

www.vustudents.net

Capital = 1500000 mark up= 1500000

2nd capital= 10000 markup= 1000

3rd capital= 500000 markup= 50000

4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

www.vustudents.net

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

1. **Balance as per Cash Book (Cr) is Rs. 19,000.**
2. **Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.**
3. **Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008**
4. **An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.**
5. **Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.**
6. **On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.**
7. **Cheque of Rs. 2,500 was shown in Pass Book as dishonored.**

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book	Cr	19000
Unpresented cheques	Dr	5000
Uncredited cheque	Dr	10000
Interest by bank	Dr.	1000

Paper No:20

Solved byABr & Chanda Rehman

FINALTERM EXAMINATION
Fall 2008

www.vustudents.net

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

- ► **Share**
- ► **Bond**
- ► **Equity**
- ► **Reserve**

Question No: 2 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

- ► **In case of death of partner**
- ► **At the admission of new partner**
- ► **If any partner resigned from partnership**
- ► **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

- ► **15:24 (or 5: 8)**
- ► **15:29**
- ► **15:35 (or 3: 7)**

15 : 20

Question No: 4 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

- ► **Rs. 1.50 per share**
- ► **Rs. 1.40 per share**
- ► **Rs. 1.15 per share**
- ► **Rs. 1.25 per share**

Question No: 5 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

- ► **Number of ordinary shares**

www.vustudents.net

► **Number of preference shares**
► **Paid up capital**
► **Authorized capital**

Question No: 6 (Marks: 1) - Please choose one
Which of the following statement in NOT TRUE **about the limited company form of business?**

► **The limited company form of business allows ownership of the business to be spread amongst many people**
► **Shareholders can appoint professionals**
► **Shareholders are personally liable for all the liabilities incurred by the business correct**
► **Regular filing of information about the affairs of the company is a legal requirement**

Question No: 7 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?

► **Memorandum of Association**
► **Articles of Association**
► **Prospectus**
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one
In which of the following interim dividend is treated?

► **In profit and Loss account**
► **In profit and Loss appropriation account**
► **On the asset side of the Balance Sheet**
► **In trading account**

Question No: 9 (Marks: 1) - Please choose one
The income statement of the Limited company is also known as:

► **Manufacturing account**
► **Profit and Loss account**
► **Profit and Loss Appropriation account**
► **Current Account**

Question No: 10 (Marks: 1) - Please choose one
In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**
► **In balance sheet under the head of current assets only**
► **In income statement under the administrative expense only**
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one
Preliminary Expenses of the company may write off against:

www.vustudents.net

► **Share premium account**
► **Share holder account**
► **Debtors control account**
► **Creditor control account**

Question No: 12 (Marks: 1) - Please choose one
The amount received; in excess of the face value of the shares is transferred to which of the following?

► **Share premium account**
► **Share holder account**
► **Share capital account**
► **Right share**

Question No: 13 (Marks: 1) - Please choose one
The maximum amount with which the company is registered is called:
► **Authorized Share Capital**
► **Issued Share Capital**
► **Paid up capital**
► **Called up capital**

Question No: 14 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**
► **Partner's Cash Account**
► **Partner's Bank Account**
► **Partners Capital Account**

Question No: 15 (Marks: 1) - Please choose one
Which of the following is(are) type(s) of capital account in partnership?

► **Fixed Capital**
► **Current Capital**
► **Fluctuating Capital**
► **Both Fixed Capital and Fluctuating Capital**

Question No: 16 (Marks: 1) - Please choose one
Current accounts of the partners should be opened when the capitals are:
► **Normal**
► **Floating**
► **Fixed**
► **Fluctuating**

Question No: 17 (Marks: 1) - Please choose one
Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000

www.vustudents.net

Commission on sales	**28,000**
Carriage outward	**10,000**
Carriage inward	**5,000**

- **Rs. 80,000**
- **Rs. 60,000**
- **Rs. 38,000**
- **Rs. 1, 08,000**

Question No: 18 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?

- **Total assets employed**
- **Total liabilities**
- **Total assets**
- **Current assets**

Question No: 19 (Marks: 1) - Please choose one
Which of the following is CORRECT **if depreciation is given in trial balance?**

- **It means depreciation has already been deducted from concerned asset account**
- **It will be shown as an expense in income statement only**
- **It will not be deducted from concerned asset in Balance Sheet**
- **All of the given options are correct**

Question No: 20 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

- **Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)**
- **Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)**
- **Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)**
- **Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)**

Question No: 21 (Marks: 1) - Please choose one
Which financial statement show what a business owes at a particular point in time?

- **A cash flow statement**
- **The bank statement for the business**
- **A balance sheet**
- **A statement of retained earnings**

Question No: 22 (Marks: 1) - Please choose one
Which of the following is a selling expense?

- **Any tax/freight is paid on purchases**
- **General salaries paid to laborers**
- **Tax & freight paid on sale**
- **Interest on deposits**

Question No: 23 (Marks: 1) - Please choose one
Which of the following would NOT **be considered as a component of 'cost' of stock?**

www.vustudents.net

► **Salaries of selling staff**
► **Transportation inward costs**
► **Import duties**
► **Purchase price**

Question No: 24 (Marks: 1) - Please choose one
Which of the following accounts would be increased with a debit?

► **Contributed Capital**
► **Retained Earnings**
► **Revenues**
► **Expenses**

Question No: 25 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► **Rs. 600**
► **Rs. 1,600**
► **Rs. 2,000**
► **Rs. 2,600**

Question No: 26 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► **Cash Account**
► **Sales Account**
► **Purchase Account**
► **Office Equipment Account**

Question No: 27 (Marks: 1) - Please choose one
A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► **Increase the net profit by Rs.200**
► **Decrease the profit by Rs.200**
► **Remains constant and no effect on net profit**
► **There is no relation between debtor and profit**

Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

www.vustudents.net

► **Sales account**
► **Rahim's account**
► **Cash account**
► **Both sales and Rahim's Account correct**

Question No: 29 (Marks: 1) - Please choose one
If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?

► **Bade debts (Dr) and Debtors Control A/c (Cr)**
► **Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)**
► **Allowance for doubtful debts (Dr) and Debtors A/c (Cr)**
► **Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)**

Question No: 30 (Marks: 1) - Please choose one
If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is CORRECT**?**

► **Bad debts a/c (Dr) and Trading a/c (Cr)**
► **Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)**
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► **Trading a/c (Dr) and Bad debts a/c (Cr)**

Question No: 31 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

► **Rs. 2,225**
► **Rs. 2,525**
► **Rs. 1,925**
► **Rs. 3,025**

http://www.vustudents.net

Question No: 32 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400

www.vustudents.net

Sundry Debtors (given in trial balance)	**33,200**
Provision is created on Debtors at 5%	

Requirement: **Identify the Total amount which will deduct from Sundry debtors.**

- **Rs. 460**
- **Rs. 2,400**
- **Rs. 1,540**
- **Rs. 3,940 correct**

Question No: 33 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- **Rs. 3,600**
- **Rs. 2,000 correct**
- **Rs. 1,600**
- **Rs. 400**

Question No: 34 (Marks: 1) - Please choose one

Which of the following option is TRUE **about the characteristic(s) of Bad Debt?**

- **It is a definite loss to the business**
- **It is not shown in Balance Sheet**
- **No provision is necessary for it**
- **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

- **Cash at bank**
- **Bank overdraft**
- **Overpayment to creditors**
- **Cash in hand**

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

- **Rs. 1, 29,000**
- **Rs. 1, 50,000**
- **Rs. 1, 21,000**
- **Rs. 71,000**

www.vustudents.net

Question No: 37 (Marks: 1) - Please choose one
Depreciable value of an asset is equal to:

- ► **Cost + scrap value**
- ► **Cost + market price**
- ► **Cost – scrap value**
- ► **None of the given options**

Question No: 38 (Marks: 1) - Please choose one
If a business pays rent in advance for 12 months, it will be treated as:

- ► **Prepaid expenses of business**
- ► **Long term liability of business**
- ► **Fixed assets of business**
- ► **Current liability of business**

Question No: 39 (Marks: 1) - Please choose one
Which of the following asset is NOT **depreciated?**

- ► **Factory Buildings**
- ► **Office Equipment**
- ► **Plant & Machinery**
- ► **Land**

Question No: 40 (Marks: 1) - Please choose one
Which one of the following is NOT **true about revenue expenditure?**

- ► **These are the running expenses of the business**
- ► **They improve the financial position of the business**
- ► **They reduce the profit of the concern**
- ► **They do not appear in the balance sheet**

Question No: 41 (Marks: 1) - Please choose one
Which one of the following is NOT **true about Capital Expenditure?**

- ► **Creates future benefits**
- ► **Incurred to acquire fixed assets**
- ► **Incurred to increase the economic life of existing fixed assets**
- ► **Reduce the profit of the concern**

Question No: 42 (Marks: 1) - Please choose one
Expenditures incurred anually on renewal of patent are known as:

- ► **Revenue Expenditures**
- ► **Capital Expenditures**
- ► **Financial Expenditures**
- ► **Operating Expenditures**

Question No: 43 (Marks: 1) - Please choose one
Which of the following is NOT **a type of voucher?**

www.vustudents.net

► **Journal Voucher**
► **Receipt Voucher**
► **Payment Voucher**
► **Drawings Voucher**

Question No: 44 (Marks: 1) - Please choose one
If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► **Rs. 5,000 Loss**
► **Rs. 5, 000 Profit**
► **Rs.1, 95,000 Profit**
► **Rs.1, 95,000 Loss**

Question No: 45 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► **Rs.15,000**
► **Rs. 35,000**
► **Rs. 55,000**
► **Rs. 60,000**

Question No: 46 (Marks: 1) - Please choose one
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► **Capital account**
► **Sundry creditors account**
► **Accounts payable account**
► **Cash account**

Question No: 47 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:

► **Liquid assets**
► **Current assets**
► **Fixed assets**
► **Capital assets**

Question No: 48 (Marks: 1) - Please choose one
A summarized record of transactions related to individuals or things is called a/an _____.

► **Account**
► **Voucher**
► **Journal**
► **Trial balance**

www.vustudents.net

Question No: 49 (Marks: 1) - Please choose one

When Capital is increased by an amount, it is recorded on the:

- **Left or credit side of the account**
- **Right or debit side of the account**
- **Left or debit side of the account**
- **Right or credit side of the account**

Question No: 50 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- **Increase in cash and decrease in equity**
- **Increase in cash and increase in goods**
- **Increase in goods and decrease in cash**
- **Increase in equipment and increase in equity**

Question No: 51 (Marks: 5)

Calculate net income with the help of given date for the year end of 2007 and show complete working of Cost of Goods sold.

Raw material Stocks on 1-1-2007	**Rs. 30,000**
Work in process on 1-1-2007	**35,600**
Finished Goods on 1-1-2007	**35,400**

Raw material Stocks 31-12-2007	**Rs. 31,000**
Work in process 31-12-2007	**25,000**
Finished Goods 31-12-2007	**53,900**
Total factory Cost	**543,339**

Additional data

- **Other expenses for the year is Rs. 5,000.**
- **Operating expenses for the year Rs. 15,000**
- **Sale for the year Rs. 1,500,000**

Solution:
Name of the Company
Income Statement
For the period of 2007

Particulars	Amount Rs	Amount Rs
Sales		**1500000**
Less Cost of Good Sold		**(534439)**
Gross Profit		**965561**
Less: Expenses:		
Other Expenses	**5000**	
Operating expenses	**15000**	

www.vustudents.net

Net Income		**(20000)** **945561**

Working:
Calculate Cost of Good Sold:
Raw Material:
Opening Raw Material: 30000
- Closing Raw Material: 31000
Cost of Material Consumed: -1000
Conversion Cost:
Direct Labor: 0
FOH: 0
Total Factory Cost: 542339
Work in Process:
+Opening WIP: 35600
-Closing WIP: 25000
Cost of Goods Manufactured: 552939
Finish Goods:
+Opening FG: 35400
-Closing FG: 53900
Cost of Good Sold: 534439

Question No: 52 (Marks: 10)
Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 53 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 10%.

Required:
Show Journal entries and necessary accounts. Also show how the items will appear in Profit and Loss account and Balance sheet

Solution:
Entry#1

Provision for Doubtful Debts	**32000**	
Debtors Control Account		**32000**

Make Ledgers of each account

Debtors Account							
Debit Side				**Credit Side**			
Date	**No.**	**Particulars**	**Dr. Rs.**	**Date**	**No.**	**Particulars**	**Cr. Rs.**
		Balance	**32000**			**Provision for**	**32000**

www.vustudents.net

						doubtful debts	
			32000				32000

Provision of Doubtful debts							
Debit Side				Credit Side			
Date	No.	Particulars	Dr. Rs.	Date	No.	Particulars	Cr. Rs.
		Debtors Account	32000			Balance	32000
			32000				32000

And you people already know to show these accounts in P n L and Balance Sheet.

IN PL Account = 32000+10000-12000=30000 on Debit Side
In Balance Sheet
Debtors = 320000-32000-12000-276000

Question No: 54 (Marks: 10)
Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

www.vustudents.net

Paper No:21

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)

Question No: 1 (Marks: 1) - Please choose one
Debenture is also named as:

- **► Share**
- **► Bond**
- **► Equity**
- **► Reserve**

Question No: 2 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- **► Decrease assets and liabilities.**
- **► Increase assets and stockholders' equity.**
- ► Decrease assets and stockholders' equity. correct
- **► Increase liabilities and decrease stockholders' equity.**

Question No: 3 (Marks: 1) - Please choose one
The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

- **► Net loss of Rs.1, 000**
- **► Net income of Rs. 1,000**
- **► Net loss of Rs. 2,000**
- **► Net income of Rs. 2,500**

Question No: 4 (Marks: 1) - Please choose one
The net income calculated in the income statement for the accounting period is reported on:

- **► Bank Statement**
- **► Statement of retained earnings**
- **► Statement of cash flows**
- **► None of the given options**

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► Rs. 2, 45,000
► Rs. 3, 43,000

http://www.vustudents.net

Question No: 6 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► All of the given options

Question No: 7 (Marks: 1) - Please choose one
A private limited company can commence its business:

► Immediately on receiving a certificate of incorporation
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: 8 (Marks: 1) - Please choose one
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000
► Rs. 195,000
► Rs. 200,000
► Rs. 205,000

Question No: 9 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 10 (Marks: 1) - Please choose one
If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► Authorized share capital

www.vustudents.net

► Paid up share capital
► Share premium

Question No: 11 (Marks: 1) - Please choose one
Share premium account is used for what?
► Write off Preliminary Expenses of the company.
► Write off the balance amount, in issuing shares on discount.
► Issue fully paid Bonus Shares.
► All of the given options

Question No: 12 (Marks: 1) - Please choose one
Authorized share capital is also known as:
► Registered capital
► Issued capital
► Paid up capital
► Called up capital

Question No: 13 (Marks: 1) - Please choose one
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 14 (Marks: 1) - Please choose one
A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 15 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► Drawings
► Debtors
► Profit

Question No: 16 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)

www.vustudents.net

► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 17 (Marks: 1) - Please choose one
An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► It can be realized in cash or sold or consumed in the business within one year
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income
► Net loss
► Dividends
► Retained earnings

Question No: 19 (Marks: 1) - Please choose one
General office expenses are charged to which of the following head:

► Administrative expenses
► Marketing expenses
► Selling expenses
► Financial expenses

Question No: 20 (Marks: 1) - Please choose one
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?
► Row A
► Row B
► Row C
► Row D

Question No: 21 (Marks: 1) - Please choose one
Short-term investments include all of the following EXCEPT:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year

www.vustudents.net

► A shares investment in the Coca-Cola Company intended to be held for several years

Question No: 22 (Marks: 1) - Please choose one
The figure of cash received from debtors can be located either from cash book or:

► Debtor's Control Account
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 23 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► Rs. 4,000 doubted
► Rs. 1,600
► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

Question No: 25 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► Cash Account
► Sales Account
► Purchase Account
► Office Equipment Account

Question No: 26 (Marks: 1) - Please choose one
Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 27 (Marks: 1) - Please choose one
Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

www.vustudents.net

► Increase of gross profit
► Decrease of gross profit correct
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account
► Rahim's account
► Cash account
► Both sales and Rahim's Account

Question No: 29 (Marks: 1) - Please choose one
Control account tells about:

► Picture collectively instead of individually
► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients

Question No: 30 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 31 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one
If the (New provision + Bad debts) > Amount of old provision then resulting figure will be shown at:

► Debit side of Profit & Loss Account
► Credit side of Profit & Loss Account
► Asset side of Balance Sheet
► Liability side of Balance Sheet

www.vustudents.net

Question No: 33 (Marks: 1) - Please choose one
Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 34 (Marks: 1) - Please choose one
Which of the following option is TRUE about the characteristic(s) of Bad Debt?

- ► It is a definite loss to the business
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 35 (Marks: 1) - Please choose one
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonored cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110 correct

Question No: 36 (Marks: 1) - Please choose one
Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 37 (Marks: 1) - Please choose one
Accounting is the language of:

- ► Business
- ► School
- ► Proprietor
- ► Management

Question No: 38 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► Capital account

Question No: 39 (Marks: 1) - Please choose one
Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► Amount of depreciation decreases every year
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► Rs. 965
- ► Rs. 992

Question No: 41 (Marks: 1) - Please choose one
WhicWhich of the following is an example of direct materials cost?

- ► Polish and finishing material for chair
- ► A piece of wood for the production of chair
- ► Production worker's wages
- ► Depreciation expenses

Question No: 42 (Marks: 1) - Please choose one
Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

www.vustudents.net

► Cash account
► Mr. Mahood account
► Sales account
► Purchases account

Question No: 43 (Marks: 1) - Please choose one
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

► Cash account
► Sales account
► Accounts receivable account
► Purchases account

Question No: 44 (Marks: 1) - Please choose one
Which of the following is an example of a Current liability?

► Closing inventory
► Opening inventory
► Petty cash
► Bank overdraft

Question No: 45 (Marks: 1) - Please choose one
Which of the following is CORRECT for trading account?

► It inculdes cost of goods sold and all the direct expenses related to sales
► It inculdes cost of goods sold and all the indirect expenses related to sales
► It inculdes cost of goods sold and all the direct and indirect expenses
► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 46 (Marks: 1) - Please choose one
Which of the following are the components of General Ledger?
1) Title of account
2) Amount of transaction
3) Date of transaction
► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 47 (Marks: 1) - Please choose one
The original book of entry, in which all vouchers are first recorded, is called:

► General Journal
► General Ledger
► Trial Balance
► Balance Sheet

www.vustudents.net

Question No: 48 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 49 (Marks: 1) - Please choose one
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► Cash & Capital Account
- ► Cash & Expense Account
- ► Capital & Revenue Account
- ► Capital & Expense Account

Question No: 50 (Marks: 1) - Please choose one
Which of the following is non- profit organization?

- ► Sole proprietorship
- ► Partnership
- ► Limited company
- ► Trust

Question No: 51 (Marks: 5)
What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:
An overdraft **occurs when withdrawals from a bank account exceed the available balance. In this situation a person is said to be "**overdrawn".

Question No: 52 (Marks: 10)
Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

www.vustudents.net

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. **Current Ratio**
2. **Acid Test Ratio**
3. **Stock turn over Ratio**
4. **Debt equity Ratio**
5. **Gross profit Ratio**

Solution:

1: Current Ratio:

Total Assets/Total Liabilities

= 900000/900000

= 1

2: Acid Test Ratio

Total Assets-Stock/Total Liabilities

= 900000-60000/900000

= 840000/900000

= 0.933333

3: Stock turn over Ratio

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2

= 60000+60000/2

= 60000

= (Average Stock / Cost of goods sold) x 365

= (60000/250000) x 365

= 0.24 x 365

= 87.4

4: Debt equity Ratio

Long term Liabilities / Equity

www.vustudents.net

= 200000/200000
= 1

5: Gross profit Ratio
(Gross Profit / Sales) x 100
= 250000/500000 x 100
= 0.5 x 100
= 50

Question No: 53 (Marks: 10)
Pass the rectifying entries to correct the following errors:

Question No: 54 (Marks: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.

(1) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31stMarch, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
(2) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.
(3) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.
(4) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
(5) The Bank charged (debited) a commission of Rs. 100 on 31st March.
(6) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25thMarch, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31stMarch, 2008.

Answer:

Balance as per Cash book.	**Dr**	**15000**		
Less not collected Cheques. (500+300+200)	**Cr**	**1000**		
	Dr	**14000**		
Add UN Presented Cheques (200+450+525+375)	**Dr**	**1550**		
	Dr	**15550**		
Add dividend Credit by bank		**Dr**	**2000**	
	Dr	**17550**		
Add interest credit by bank	**Dr**	**50**		
	Dr	**17600**		
Less bank charges	**Cr**	**100**		
	Dr	**17500**		
Less Cheque received	**Cr**	**500**		
Balance as per Bank Book	**Cr**	**17000**		

www.vustudents.net

Paper No: 22

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

► Asset

► Liability

► Revenue

► Deferred expense

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► Current Assets

► Current Liability

► Long-term liability

► Share of profit

Question No: 3 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

www.vustudents.net

► 15: 20 (or 3:4)

► 15:24 (or 5: 8)

► 15:29

► 15:35 (or 3: 7) correct

Question No: 4 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

http://www.vustudents.net

► Rs. 1.50 per share

► Rs. 1.40 per share

► Rs. 1.15 per share

► Rs. 1.25 per share

Question No: 5 (Marks: 1) - Please choose one

Mark up cover ratio = operating profit before financial charges ÷ **?**

► Selling expenses

► Administrative expenses

► Financial charges

► Direct expenses

Question No: 6 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

www.vustudents.net

► Number of ordinary shares

► Number of preference shares

► Paid up capital

► Authorized capital

Question No: 7 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship

► Partnership

► Trust

► Public Limited Company

Question No: 8 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period

► Its cash receipts and cash payments during an accounting period

► Its financial position at the start of an accounting period

► None of the given options

Question No: 9 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

www.vustudents.net

► Provision

► Current liability

► Reserves and surplus

► Current assets

Question No: 10 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

► Total assets

www.vustudents.net

► Current assets

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products

► A merchandising company must use the perpetual system to account for merchandising inventory

► A merchandising company's business is to provide services

► A Sugar Mill is an example of a merchandising company

Question No: 13 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account

b. Drawings account

c. Balances of capital account

► a,b

► b,c

► a,c

► a,b,c

Question No: 14 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► A sole trader is liable to pay income tax on his/her earnings

www.vustudents.net

► Sole traders do not need to consult accountants

► Sole traders must register the name of their business with the Registrar of Companies

► All of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is (are) characteristic(s) of Reserve?

► Its amount is generally determined by the management on the basis of the amount of profit earned.

► It is shown on liabilities side of balance sheet

► It does not affect profit or loss, since it is created after ascertaining net profit

► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

► Cash

► Accounts Payable

► Contributed Capital

► Retained Earnings

Question No: 17 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

www.vustudents.net

► A cash flow statement

► The bank statement for the business

► A balance sheet

► A statement of retained earnings

Question No: 18 (Marks: 1) - Please choose one

Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income

► Net loss

► Dividends

► Retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► Owner's Equity

Question No: 20 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

www.vustudents.net

► Purchasing operating equipment

► Purchasing cleaning services doubted

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

Question No: 21 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.

► Useful economic information about the business to the external parties for sound financial decisions.

► Information to internal users about the cash position of the business.

► Information to the Securities Exchange Commission (SEC).

Question No: 22 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► Debtor's Control Account

► Balance Sheet

► Profit & Loss Account

► Bills Payable Account

Question No: 23 (Marks: 1) - Please choose one

www.vustudents.net

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,500
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (1,000)

► Rs. 1,000

► Rs. (5,000)

► Rs. 5,000

Question No: 24 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)

► B's account (Dr.) and A's account (Cr.)

► Sales account (Dr.) and B's account (cr.)

► B's account (Dr.) and Sales account (Cr.)

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

► A's account only

► Sales account only

► Purchase returns account and sales account

► Purchases account only

Question No: 27 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000

► Rs. 9,000

► Rs. 10,000

► Rs. 11,000

www.vustudents.net

Question No: 28 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

► Bade debts (Dr) and Debtors Control A/c (Cr)

► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr) correct

► Provision for doubtful debts (Dr) and Debtors A/c (Cr)

► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► Control Account

► Subsidiary Ledger

► Balance Sheet

► Trial Balance

Question No: 30 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable

► Return inwards

► Credit purchases

► Discount allowed

www.vustudents.net

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

► Cash sales

► Credit sales

http://www.vustudents.net

► Credit purchase

► Cash purchases

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► All of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank

► Cheques drawn but yet to be recorded in the bank records

► Cheques issued by the bank not recorded in business records

► Cheques received but yet to be recorded in the bank records

www.vustudents.net

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

http://www.vustudents.net

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)

► Rs. 5 500 (Cr)

► Rs. 4 500 (Dr)

► Rs. 4 500 (Cr) correct

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000

► Rs. 55,000

► Rs. 50,000

www.vustudents.net

► Rs. 2, 50,000

Question No: 36 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities

► Rs. 1, 11, 000 liabilities

► Rs. 2, 90, 000 liabilities

► Rs. 2, 91, 000 liabilities

Question No: 37 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

► Book-keeping

► Accounting

► Auditing

► All of the given options

Question No: 38 (Marks: 1) - Please choose one

_____ is the detail of transaction in one's account provided by the bank.

www.vustudents.net

► Bank statement

► Bank reconciliation statement

► Income statement

► Financial statement

Question No: 39 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500

► Rs.7, 978

► Rs.8, 000

► Rs.8, 400

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100

www.vustudents.net

Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225

► Rs. 1,015

► Rs. 965

► Rs. 992

Question No: 41 (Marks: 1) - Please choose one

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account

► Capital work in progress account

► Relevant asset account

► Owner's equity account

Question No: 42 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

www.vustudents.net

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 43 (Marks: 1) - Please choose one

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	?

► Rs. 20,000

► Rs.40, 000

► Rs.90, 000

► Rs.160, 000

Question No: 44 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account

► Cash Flow Statement

► Balance Sheet

► Income & Expenditure Account

www.vustudents.net

Question No: 45 (Marks: 1) - Please choose one

Bank book is part of:

► Voucher

► General Journal

► General Ledger

► Trial Balance

Question No: 46 (Marks: 1) - Please choose one

Which of the following are the components of General Ledger?

1) Title of account

2) Amount of transaction

3) Date of transaction

► (1) & (2) only

► (2) & (3) only

► (1) & (3) only

► (1), (2) & (3)

Question No: 47 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

www.vustudents.net

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 48 (Marks: 1) - Please choose one

Vehicles which are used to supply finished products are called business _____.

► Tangible assets

► Intangible assets

► Capital

► Liabilities

Question No: 49 (Marks: 1) - Please choose one

The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

► Separate Entity Concept

► Matching Concept

► Going Concern Concept

www.vustudents.net

► Materiality Concept

Question No: 50 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up

► Authorized

► Bonus shares

► All are correct options

Question No: 51 (Marks: 5)

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:

10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.

Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

Question No: 52 (Marks: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007

www.vustudents.net

Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

Question No: 53 (Marks: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	

www.vustudents.net

Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	750,500	750,500

Adjustments:

4) Depreciate machinery and furniture @20%p.a.

5) Outstanding Salaries Rs. 2,000

6) Insurance paid in advance Rs. 500

7) Maintain @5% reserve for doubtful debts on debtors.

8) Closing Stock was valued at Rs. 60,000

Trading & Profit & Loss Account

For the year ending 31st December 2007

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock	55000	Sales 610000	605000
Purchases	485000	Less returns: 5000	
Carriage in	6000	Closing Stock	60000
Gross Profit	119000		
	665000		665000
Salaries 28000		Gross Profit	119000
+outstanding: 2000	30000		
Rent, Rate, Taxes	15000		
Insurance 4000			
Less advance: 500	3500		
Depreciation:			
Machinery: 10000			

www.vustudents.net

Furniture: 1000 Provision of bed debts Net Profit: 55500	11000 4000		
	119000		119000

Question No: 54 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses

b. Prepaid Expenses or Unexpired Expenses

c. Accrued Revenue or Revenue Receivable

d. Unearned Revenue or Revenue Received in Advance

e. Depreciation of Asset

1. **Accrued Expenses or Outstanding Expenses**

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

2. **Prepaid Expenses or Unexpired Expenses**

Trading and profit and loss account effect

www.vustudents.net

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

3. Accrued Revenue or Revenue Receivable

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

4. Unearned Revenue or Revenue Received in Advance

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

5. Depreciation of Asset

Trading and profit and loss account effect

www.vustudents.net

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

Paper No:23

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 1)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- Rs. 98,000
- Rs. 1, 47,000
- Rs. 2, 45,000
- Rs. 3, 43,000

www.vustudents.net

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

- Assets of old business will be revalued
- Liabilities of old business will be revalued
- Good will of business will be revalued
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

- Not paying invoices received from creditors
- The sale of fixed assets during the period
- An increase in trade debtors over the course of the period
- **An increase in the depreciation charge relative to the previous accounting period doubted**

Question No: 4 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

- In balance sheet under the head of current liabilities only
- In balance sheet under the head of current assets only
- In income statement under the administrative expense only
- **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

www.vustudents.net

Question No: 5 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

- **The memorandum of association**
- Articles of association
- Statutory report
- Certificate of commencement

Question No: 6 (Marks: 1) - Please choose one

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

- **Companies ordinance 1984**
- Contract act 1872
- Sales of Goods act 1930
- None of the given options

Question No: 7 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- Name of company
- Place of registered office of company
- Objective of the company
- **All of the given options**

www.vustudents.net

Question No: 8 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

- Rs. 80,000
- Rs. 60,000
- Rs. 38,000
- Rs. 1, 08,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

- **Capital account**
- Shareholder account
- Liability account
- Expense account

Question No: 10 (Marks: 1) - Please choose one

Regardless of how long it takes to produce and sell , inventory is always considered to be a:

- current liability

www.vustudents.net

- long-term asset
- stockholders' equity
- **current asset**

Question No: 11 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

- It has been bought recently and was bought new and not used
- **It can be realized in cash or sold or consumed in the business within one year**
- It is a piece of new machinery that is expected to last for at least ten years
- All of the given options

Question No: 12 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

- **Administrative expenses**
- Marketing expenses
- Selling expenses
- Financial expenses

Question No: 13 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

www.vustudents.net

- **Cost of goods sold**
- Administrative expenses
- Selling expenses
- Marketing expenses

Question No: 14 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- Rs. 3,600
- Rs. 4,000
- Rs. 1,600
- Rs. 2, 400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- Rs. 600
- Rs. 1,600

www.vustudents.net

 Rs. 2,000

Rs. 2,600

Question No: 16 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. “A” recorded in the purchases book?

 Sales account

 Purchase account

 A’s account and Sales account

Sales account, purchase account and A’s account

Question No: 17 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

 Error of principle

Error of omission

 Error of commission

 Error of original entry

Question No: 18 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

www.vustudents.net

 Error of principle

Error of omission

 Error of commission

 Error of original entry

Question No: 19 (Marks: 1) - Please choose one

Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

 Increase of gross profit

Decrease of gross profit

 Remains constant and no effect on net profit

 There is no relation between goods purchased and gross profit

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to “Mr.P” mistakenly entered in sales book?

 P’s account

 Purchases return account

 Sales account

Purchases returns account and sales account

Question No: 21 (Marks: 1) - Please choose one

www.vustudents.net

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

- Bade debts (Dr) and Debtors Control A/c (Cr)
- Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
- Provision for doubtful debts (Dr) and Debtors A/c (Cr)
- Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

- **Picture collectively instead of individually**
- Details of loyal clients
- Customer attitude of payments
- Complete history of transactions of business clients

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

- Cash sales
- Credit sales
- **Credit purchase**
- Cash purchases

Question No: 24 (Marks: 1) - Please choose one

www.vustudents.net

Which of the following is an item of a debtors control account?

- Cash sale
- **Credit sales**
- Credit purchase
- Cash purchases

Question No: 25 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

- Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
- Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
- Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
- Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 26 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

www.vustudents.net

 Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

 Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

 Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 27 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

 Cash account (Dr.) & Bad Debts recovered account (Cr.)

 Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

 Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

 Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 28 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

 Rs. 400

 Rs. 800

 Rs. 2,000

www.vustudents.net

 Rs. 2,400

Question No: 29 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

 Bankruptcy of the debtor

 Disappearance of debtor's business

 Failure of repeated attempt to collect the debt

 All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

 It is shown in balance sheet

 It is a definite loss to the business

 It is not shown in balance sheet

 No provision is necessary for it

Question No: 31 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

 It is a definite loss to the business

 It is not shown in Balance Sheet

www.vustudents.net

 No provision is necessary for it

 All of the given options

Question No: 32 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

 A cheque is drawn but not yet presented at the bank for payment

 The bank has not yet notified to Mr. Terry about a dishonoured cheque

 A credit transfer into Terry's Bank Account

 A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

http://www.vustudents.net

Question No: 33 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

 Bank Account(Dr.) and Dividend Account (Cr.)

 XYZ Co. Account (Dr.) and Bank Account (Cr.)

 Dividend Account (Dr.) and Bank Account (Cr.)

 Bank Account (Dr.) and XYZ Co. Account (Cr.) doubted

Question No: 34 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

 Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for

www.vustudents.net

- Correct errors in the Cash Book or errors in the Bank Statement
- Amend the balance of the Bank Statement of the firm
- Amend the balance in the Cash Book of the firm

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

- To ensure there is enough money in the firm to replace the asset
- **To spread the cost of the asset over its working life**
- To reduce the profit and thus reduce the dividends they can pay to share holders
- Because the law states they must be reduced

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

- These are the running expenses of the business
- **They improve the financial position of the business**
- They reduce the profit of the concern
- They do not appear in the balance sheet

Question No: 37 (Marks: 1) - Please choose one

The amount of depreciation charged on machinery will be debited to:

- Machinery account

www.vustudents.net

 Depreciation account

 Cash account

 Capital account

Question No: 38 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

 Opening raw material inventory + Purchases – Ending raw material inventory

 Opening raw material inventory - Purchases + Ending raw material inventory

 Ending raw material inventory + Opening raw material inventory - Purchases

 Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 39 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a bank receipt voucher?

4) Name of the organization
5) Bank code
6) Date of transaction

 (1) & (2) only

 (1) & (3) only

 (2) & (3) only

 (1), (2) & (3)

Question No: 40 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

www.vustudents.net

 Rs.15,000

 Rs. 35,000

 Rs. 55,000

 Rs. 60,000

Question No: 41 (Marks: 1) - Please choose one

_____ The return of goods by a customer should be debited to:

 Customer's account

 Sales return account

 Goods account

 Accounts receivable

Question No: 42 (Marks: 1) - Please choose one

_____ Mr. A provided the following information from his books of accounts at the end of the month.

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

www.vustudents.net

Based on the information provided, what are Mr. A's total liabilities?

- Rs.200
- Rs. 900
- **Rs. 1200**
- Rs. 1700

Question No: 43 (Marks: 1) - Please choose one

Which of the following shows the categories of assets in a Balance Sheet?

- Current assets, Long term assets and Accounts payable
- Current assets, Long term assets and Fixed assets
- Current assets, Quick assets and Business debts
- Current assets, Fixed assets and Deferred cost

Question No: 44 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- Income Statement
- Balance Sheet
- **Trial Balance**
- Cash Book

www.vustudents.net

Question No: 45 (Marks: 1) - Please choose one

_____ The original book of entry, in which all vouchers are first recorded, is called:

- **General Journal**
- General Ledger
- Trial Balance
- Balance Sheet

Question No: 46 (Marks: 1) - Please choose one

_____

Commercial Accounting is based on:

- Single entry book keeping
- **Double entry book keeping**
- Both single and double entry book keeping
- Cash basis of book keeping

Question No: 47 (Marks: 1) - Please choose one

_____

Double entry accounting system includes:

- Accrual accounting only
- Cash accounting only
- Both cash and accrual accounting

www.vustudents.net

 None of the given options

Question No: 48 (Marks: 1) - Please choose one

An accounting system is used by a business to:

 Analyze transactions

 Handle routine book-keeping tasks

 Structure information

 All of the given options

Question No: 49 (Marks: 1) - Please choose one

The estimation of expenses and revenues for future is called:

 Budgeting

 Costing

 Management

 Auditing

Question No: 50 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

 Paid up doubted

 Authorized

 Bonus shares

 All are correct options

www.vustudents.net

Question No: 51 (Marks: 5)

What is the difference between accounts payable and accounts receivable? Discuss it with the help of example.

Accounts Payable:

Liabilities are debts. The person or organization to which the debt is owed is called creditors. All businesses have liabilities; even the most successful companies purchase stocks, supplies, and services on credit. The liabilities arising from such purchases are called accounts payable. For example, if a person A is our creditor and we have to return his money so he it is recorded in our books as accounts payable.

Accounts Receivable:

Debtors are the person from whom our money is receivable. He has to return our money which he had borrowed from us at sometime. Such money or accounts are called Accounts receivable. For example A person named A is our debtor so he is recorded in our book as the account receivable.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare Balance Sheet as on.

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,200	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	

www.vustudents.net

Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

Liabilities: **Capital 136000** **Purchase return and allowances (2800)**	**Assets** **Accounts receivable 9000** **Merc. Inventory 6000** **Plant n machinery 2400** **Land n building 82000** **Furniture n fixtures 2600**
133220	**102000**
Current liabilities: **Accounts payable (3800)** **Salaries expenses 12000**	**Current Assets** **Sales 70000** **Sales return (4600)**

www.vustudents.net

Advertisement expenses 4000	**Cash 5200**
12200	**70600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000
- Net Loss for the period Rs. 13,000

Question No: 53 (Marks: 10)

Prepare Profit & Loss Account for the year ended 31st December, 2007.

Particulars	Rs.
Capital	1,20,000
Trade Creditors	17,500
Bills payable	1,000
Sales	6,26,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	5,18,000
Carriage inwards	8,900

www.vustudents.net

Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Stock as on 31st December, 2007

- Ø Raw material Stocks Rs. 31,000
- Ø Work in process Rs. 25,000
- Ø Finished Goods Rs. 53,900

Depreciation Rate:

- Plant & Machinery @ 10% and charged to FOH
- Buildings @ 5% and 40% charged to Administrative expenses and balance will be charged to FOH
- Tools @ 15% and 30 % charged to FOH and balancing will be charged to administrative expenses

Additional data

- Ø Reserve and bad debts is to be created at 5% on debtors.
- Ø 40% of salaries will charge to office and balance to FOH.

Question No: 54 (Marks: 10)

You are required to prepare Debtors control account and Creditor control account from the given data from the books of ABC Co. Ltd for the year 2007.

www.vustudents.net

Opening balance

Debtors	Rs.1,55,000
Creditors	2,55,000

Sales

Cash	Rs.1,85,000
Credit	2,65,000

Purchases

Cash	Rs.120,000
Credit	200,000

Other information

Total receipts	Rs.3,50,000
Total payments	2,50,000

Additional Information

Discount allowed	Rs.20,000
Discount received	15,000
Bad debts written off	20,000

www.vustudents.net

Creditors control account			
Discount received	15000	Opening balance	255000
Total payments	250000	Total purchases	200000
balance	190000		
	455000		455000

Debtors Control Account

Opening balance	155000		
Total sales	185000	Receipts	350000
		discount	20000
	340000		

Paper No:24

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 3)

Ref

Time: 120 min

www.vustudents.net

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- Rs. 98,000
- **Rs. 1, 47,000 (Correct)**
- Rs. 2, 45,000
- Rs. 3, 43,000

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

- Current Assets
- Current Liability
- Long-term liability
- **Share of profit (doubted)**

Question No: 3 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

- **Mark up cover ratio doubted**
- Acid test ratio
- Current ratio

www.vustudents.net

 Debt Equity ratio

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about Gross Profit Ratio?

 (Gross profit / Net Sales) x 100

 (Gross profit / Operating Income) x 100

 (Gross profit / Sales Return) x 100 (Correct)

 (Gross profit / Net Income) x 100

Question No: 5 (Marks: 1) - Please choose one

Current ratio may be increased by:

 Overstating current Assets

 Overstating current Liabilities

 Understating current Assets

 Understating current assets and overstating current liabilities

Question No: 6 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

 Sole-Proprietorship

 Partnership

 Joint Stock Company (Correct)

www.vustudents.net

 All of the given options

Question No: 7 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

 Operating activities

 Financing activities

 Investing activities

 None of the given options

Question No: 8 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

 The repayments of a bank loan

 Dividend issue in the current year

 Money received as result of selling fixed assets (Correct)

 The difference between the valuations of old and new fixed assets

Question No: 9 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

 It will be treated in Income Statement only

 It will be treated as current liability in balance sheet only

 It will be treated in profit and loss appropriation account only

www.vustudents.net

 it will be treated in both profit and loss appropriation account and in the balance sheet (Correct)

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

 Memorandum of Association (Correct)

 Articles of Association

 Prospectus

 Annual Report

Question No: 11 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

 Share premium account (Correct)

 Share holder account

 Debtors control account

 Creditor control account

Question No: 12 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

 Name of company

 Place of registered office of company

 Objective of the company

 All of the given options (Correct)

www.vustudents.net

Question No: 13 (Marks: 1) - Please choose one

_____ The Joint Stock Company is formed under the Companies Ordinance:

- **1984 (Correct)**
- I884
- 1948
- 1965

Question No: 14 (Marks: 1) - Please choose one

_____

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- Individual Partner's Current Account
- Partner's Cash Account
- Partner's Bank Account
- Partners Capital Account

Question No: 15 (Marks: 1) - Please choose one

_____

Which of the following account will be debited when the interest on drawings is charged?

- Partner's capital account
- Interest account
- Partner's current account

www.vustudents.net

- **Profit & Loss account doubted**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

- It means depreciation has already been deducted from concerned asset account
- **It will be shown as an expense in income statement only (Correct)**
- It will not be deducted from concerned asset in Balance Sheet
- All of the given options are correct

Question No: 17 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

- Liquid asset
- Current asset
- Fixed asset
- Floating asset

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- It is necessary to prepare for showing true picture of balance sheet
- It is a reduction from assets
- It is prepared for specific purposes

www.vustudents.net

 All of the given options

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

 Accounts Receivable

 Cash

 Note Payable

 Owner's Equity (Correct)

Question No: 20 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

 Salaries and wages expense

 Rent expense

 Interest expense

 Depreciation expense (Correct)

Question No: 21 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

 A cash flow statement

 A retained earnings statement

 An income statement

 A balance sheet (Correct)

www.vustudents.net

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

- Receive cash from customers
- Pay cash to suppliers
- Sell goods and services to customers
- **Purchase goods and services (Correct)**

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- Rs. 460
- Rs. 2,400
- Rs. 3,080
- **Rs. 5,480 (Correct)**

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- Rs. 3,600
- Rs. 4,000
- Rs. 1,600
- **Rs. 2, 400 (doubted)**

Question No: 25 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- **Error of principle (Correct)**
- Error of omission
- Error of commission
- Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- Sales account
- Purchase account

www.vustudents.net

 A's account and Sales account

 Sales account, purchase account and A's account (Correct)

Question No: 27 (Marks: 1) - Please choose one

_____ A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

 Rs. 1,000

 Rs. 9,000 (Correct)

 Rs. 10,000

 Rs. 11,000

Question No: 28 (Marks: 1) - Please choose one

_____ _____ are committed in those cases where proper distinction between revenue and capital items is not made.

 Error of principle

 Error of omission

 Error of commission (Correct)

 Error of original entry

Question No: 29 (Marks: 1) - Please choose one

_____ Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

 It tells about customer attitude of payments

www.vustudents.net

- It can be checked against the control account to pick up recording errors
- It tells about the complete history of transactions of business client
- **All of the given options (Correct)**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

- **Cash sales (Correct)**
- Credit sales
- Bills receivable
- Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

- Credit sale only
- Cash sale only
- Credit purchase only
- Both Credit sales and Credit purchase

Question No: 32 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- Rs. 3,600

www.vustudents.net

Rs. 2,000

Rs. 1,600

Rs. 400 (doubted)

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of bank reconciliation statement?

To reconcile the difference between the cash book and the bank statement

To check for errors in balance sheet (Correct)

To update omitted entries into the cash book

To update omitted entries into the bank statement

Question No: 34 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

A cheque is drawn but not yet presented at the bank for payment

The bank has not yet notified to Mr. Terry about a dishonoured cheque

A credit transfer into Terry's Bank Account

A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 35 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000

www.vustudents.net

Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- Rs. 5 500 (Dr)
- Rs. 5 500 (Cr)
- Rs. 4 500 (Dr)
- **Rs. 4 500 (Cr) (Correct)**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of Joint Stock Company?

- Separate Legal Entity
- Limited Liability
- **Easy Formation (Correct)**
- Common Seal

Question No: 37 (Marks: 1) - Please choose one

Consider the following data:

Particulars	**Rs.**
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

www.vustudents.net

- Rs. 49,000
- Rs. 55,000
- Rs. 1, 25,000
- **Rs. 1, 03,000 (Correct)**

Question No: 38 (Marks: 1) - Please choose one

The basic purpose of depreciation is to achieve the:

- **Matching principle (Correct)**
- Dual aspect principle
- Separate entity concept
- Money measurement concept

Question No: 39 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- Book-keeping
- Accounting
- Auditing
- **All of the given options (Correct)**

Question No: 40 (Marks: 1) - Please choose one

Bank Reconciliation Statement is prepared by:

www.vustudents.net

- Bankers
- **Accountant of the business (Correct)**
- Statutory auditor
- Manger

Question No: 41 (Marks: 1) - Please choose one

Under the reducing balance method, deprecation is calculated on:

- Scrap value of an asset
- Original cost of an asset
- **Book value of an asset (Correct)**
- Fair value of an asset

Question No: 42 (Marks: 1) - Please choose one

The products that are ready for sale are known as:

- Raw material
- Work in process
- **Finished goods (Correct)**
- Closing stock

Question No: 43 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

www.vustudents.net

- Interest expenses
- **Wages and salaries (Correct)**
- Depreciation expenses
- Discount Allowed

Question No: 44 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- **Profit and loss account (Correct)**
- Balance sheet
- Statement of financial position
- All of the given options

Question No: 45 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- Vehicle account
- Cash account
- Business account
- **Bank account (Correct)**

www.vustudents.net

Question No: 46 (Marks: 1) - Please choose one

Gross Profit > Operating Expenses=?

- **Net Profit (Correct)**
- Cost of Goods Sold
- Net Loss
- Gross Loss

Question No: 47 (Marks: 1) - Please choose one

Bank book is part of:

- Voucher
- General Journal
- **General Ledger (Correct)**
- Trial Balance

Question No: 48 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- Increase in cash and decrease in equity
- Increase in cash and increase in goods

www.vustudents.net

- **Increase in goods and decrease in cash (Correct)**
- Increase in equipment and increase in equity

Question No: 49 (Marks: 1) - Please choose one

We can say that the business is in profit, when:

- Assets exceed Liabilities
- **Income exceeds Expenditure (Correct)**
- Income exceeds Liabilities
- Assets exceed Expenditure

Question No: 50 (Marks: 1) - Please choose one

A business event which can be measured in terms of money and must be recorded in books of accounts is called:

- Information
- Condition
- **Transaction (Correct)**
- Record

Question No: 51 (Marks: 5)

Calculate Net income with the help of given date for the year 2007 and also show complete working to support your answer.

Raw material Stocks on 1-1-2007	Rs. 30,000

Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400

Raw material Stocks 31-12-2007	Rs. 31,000
Work in process 31-12-2007	25,000
Finished Goods 31-12-2007	53,900
Total factory Cost	543,339

Additional data

- Other income for the year is Rs. 5,000.
- Operating expenses for the year Rs. 15,000.
- Sale for the year Rs. 1,000,000.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended on 31st December, 2007,

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	

www.vustudents.net

Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**6000**		**Sales**	**70000**	
				Less : Sales Return	**4600**	
Purchase	**60000**					**65400**
Less Return	**2800**					
		57200				

www.vustudents.net

				Closing Stock		6000
Gross Profit			8200			
			71400			71400
Profit & Loss Account for the year ending 31.12.2007						
Advertisement Exp		4000		Gross Profit		8200
	-					
Salaries	12000					
Add: Outstanding	1000					
		13000				
Depreciation						
Plant & Mach		2400				
Insurance	3400					
	1400					
		2000				
				Net Loss		13200
		19400				21400

www.vustudents.net

Balance Sheet as on 31.12.2007

Accouts Receivable		9000	Capital	136000	
			Less :Net Loss	13200	
Cash		5000			122800
Plant & Mach	24000		Accounts Payable		3800
Less: Depr	2400				
		21600	Outstanding salaries		1000
Land & Building		82000			
Furniture		2600			
Prepaid Insurance		1400			
Closing Stock		6000			
		127600			127600

Question No: 53 (Marks: 10)

www.vustudents.net

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	
Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	**750,500**	**750,500**

Adjustments:

- Depreciate machinery and furniture @20%p.a.
- Outstanding Salaries Rs. 2,000
- Insurance paid in advance Rs. 500

www.vustudents.net

- Maintain @5% reserve for doubtful debts on debtors.
- Closing Stock was valued at Rs. 60,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**55000**		**Sales**	**610000**	
				Less : Sales Return	**5000**	
Purchase		**485000**				**605000**
Carriage Inward		**6000**		**Closing Stock**		**60000**
Gross Profit		**119000**				
		665000				**665000**
Profit & Loss Account for the year ending 31.12.2007						
Salaries	**28000**			**Gross Profit**		**119000**
Add: Outstanding	**2000**					
		30000				
Rent, Rates, Taxes		**15000**				
Insurance	**4000**					
Less :Advance	**500**					

www.vustudents.net

		3500				
Depreciation						
Machinery	10000					
Furniture	1000					
		11000				
Provision on Doubtful Debts		4000				
Net Profit		55500				
		119000				119000

NOTE: PLEASE CONSIDER ALL ENTRIES ON LEFT SIDE AS ON RIGHT HAND SIDE AND VICE VERSA. JUST SHOWN BY MISTAKE. I HOPE YOU CONSIDER MY REQUEST DUE TO SHORATGE OF TIME.

Question No: 54 (Marks: 10)

What is the difference between public and private company?

Answer:

Private Limited Company

- Number of members in a private limited company varies from 2 to 50.
- Any 2 members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the private limited company elect two members of the company as Directors. These directors form a board of directors to run the affairs of the company.
- The head of board of directors is called chief executive.
- Private limited company can not offer its shares to general public.

www.vustudents.net

- In case a investor decides to sell his/her/her shares, his/her shares are first offered to existing shareholders. If all existing shareholders decide not to buy these shares, then an outsider investor can buy.
- Words and digression "(Private) Limited" are added at the end of the name of a private limited company.

Public Limited Company

- Least number of members in a public limited company is **7** with no upper limit in number of members.
- Any 7members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the public limited company elect seven members of the company as Directors and these directors form a board of directors to run the daily affairs.
- The head of board of directors is called Chief Executive.
- Public limited company can offer its shares to general public at large.
- Word "Limited" is added at the end of the name of a public limited company.
- Each subscriber of the memorandum shall write opposite to his name, the number of shares held by him/her.

On top of that there are two types of public limited company:

1. Listed Company
2. Non Listed Company

LISTED COMPANY

Listed company is the one whose shares are quoted and traded on stock exchange. It is also called quoted company.

NON LISTED COMPANY

Non listed company is the one whose shares are not quoted or traded.

http://www.vustudents.net

www.vustudents.net

www.vustudents.net

WWW.VIRTUALISNPIRE.COM

Question No: 1 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

- Asset
- **Liability**
- Revenue
- Deferred expense

Question No: 2 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- **Asset**
- Liability
- Revenue
- Deferred expense

Question No: 3 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- Rs. 98,000
- Rs. 1, 47,000
- **Rs. 2, 45,000**
- Rs. 3, 43,000

Question No: 4 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- Credit side of the partner's capital account
- Credit side of the partner's current account
- Debit side of partnership bank account
- **Debit side of the partner's current account**

Question No: 5 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

FFROZEN.FIRE@GMAIL.COM

► **Rs. 98,000**
► Rs. 147,000
► Rs. 245,000
► Rs. 343,000

Question No: 6 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► **All of the given options**

Question No: 7 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► **Number of ordinary shares**
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► **Shareholders are personally liable for all the liabilities incurred by the business**
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 9 (Marks: 1) - Please choose one

A private limited company can commence its business:

► Immediately on receiving a certificate of incorporation
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► **Only when it receives both, the certificate of incorporation as well as certificate of commencement of business**

Question No: 10 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

FROZEN.FIRE@GMAIL.COM

► Capital expenditures on purchase of fixed assets
► Long-term deposit
► **Financial charges paid**
► Dividend paid

Question No: 11 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► **An increase in trade debtors over the course of the period**
► An increase in the depreciation charge relative to the previous accounting period

Question No: 12 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► **None of the given options**

Question No: 13 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm
► Sales returns affect the Net income of the firm
► Sales returns affect the flow of cash
► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**
► Shareholders
► Managers
► Directors

Question No: 15 (Marks: 1) - Please choose one

FFROZEN.FIRE@GMAIL.COM

The charter of a company which defines the limitations and powers of the company is called:

- **The memorandum of association**
- Articles of association
- Statutory report
- Certificate of commencement

Question No: 16 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

- A private limited company
- **A listed company**
- A partnership firm
- A trust

Question No: 17 (Marks: 1) - Please choose one

Which of the following are the owners of a company?

- Proprietors
- Partners
- **Shareholders**
- Managers

Question No: 18 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

- Normal
- Floating
- **Fixed**
- Fluctuating

Question No: 19 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

- **Balance Sheet**
- Profit & Loss Account
- Trading Account
- Both Balance Sheet and Profit & Loss Account

Question No: 20 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

- Trading account only
- Balance sheet only
- Owner's equity only
- **Both Trading account and Balance sheet**

Question No: 21 (Marks: 1) - Please choose one

FFROZEN.FIRE@GMAIL.COM

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► **Capital account**
► Shareholder account
► Liability account
► Expense account

Question No: 22 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► **It can be realized in cash or sold or consumed in the business within one year**
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 23 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

► **Administrative expenses**
► Marketing expenses
► Selling expenses
► Financial expenses

Question No: 24 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**
► Transportation inward costs
► Import duties
► Purchase price

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement
► A retained earnings statement
► **An income statement**
► A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** correct about income tax?

► Different companies pay tax on different rates
► **It is treated as an expense and debited in Profit & Loss account**

FFROZENFIRE@GMAIL.COM

► When financial statements are prepared, an estimate of expected tax liability is made

► It is treated as an expense and credited in Profit & Loss account

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► **Rs. 2,400**
► Rs. 3,080
► Rs. 5,480

Question No: 28 (Marks: 1) - Please choose one

If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

► Debit side of P & L account
► **Credit side of P & L account**
► Asset side of Balance Sheet
► Liability side of Balance Sheet

Question No: 29 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► **A's account (Dr.) and B's account (Cr.)**
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 30 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

► Sales account
► Purchase account
► A's account and Sales account
► **Sales account, purchase account and A's account**

FEROZEL.FIRE@GMAIL.COM

Question No: 31 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► **Bills Receivable**
► Return inwards
► Credit purchases
► Discount allowed

Question No: 32 (Marks: 1) - Please choose one

Sales are calculated by adding:

► Cash sales and cash received from debtors
► Credit sales and cash received from debtors
► **Cash sales and credit sales**
► Cash ales and credit purchases

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► **Subsidiary Ledgers**
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 34 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► **Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)**
► Bad debts a/c (Dr) and debtors a/c (Cr)
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)

FROZEN.FIRE@GMAIL.COM

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► **Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)**

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	4,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	20,000
closing written down value (WDV) of the Machines	?

► **Rs. 4, 30,000**
► Rs. 4, 50,000
► Rs. 4, 70,000
► Rs. 70,000

Question No: 37 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

► Treated as a reserve
► **Treated as a contra asset**
► Treated as a surplus
► Treated as an expense

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► **Rs. 61,385 owner's equity**
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 39 (Marks: 1) - Please choose one

Stock of Trading concern consists of:

► Raw material

FFROZEN.FIRE@GMAIL.COM

► Work in process
► **Merchandise inventory**
► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 41 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

► Rs. 205,000
► **Rs. 215,000**
► Rs. 220,000
► Rs. 225,000

Question No: 42 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

FROZEN.FIRE@GMAIL.COM

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

- ► Rs. 6,000
- ► Rs. 8,000
- ► Rs. 4,500
- ► **Rs. 10,500**

Question No: 44 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

- ► Interest expenses
- ► **Wages and salaries**
- ► Depreciation expenses
- ► Discount Allowed

Question No: 45 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ► Rs. 15,000
- ► **Rs. 35,000**
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 46 (Marks: 1) - Please choose one

Identify that which of the following particular(s) would **NOT** be shown in the format of a Cash Book?
(1) Cheque number
(2) Date of transaction
(3) Amount of transaction

- ► **(1) only**
- ► (1) & (2) only
- ► (1) & (3) only
- ► (2) & (3) only

Question No: 47 (Marks: 1) - Please choose one

The process of transferring journal entry information to the ledger is called:

- ► Journalizing

FROZEN.FIRE@GMAIL.COM

► **Posting**
► Balancing
► Analyzing

Question No: 48 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

► Share
► Bond
► **Equity**
► Reserve

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued
► Liabilities of old business will be revalued
► Good will of business will be revalued
► **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000
► **Rs. 195,000**
► Rs. 200,000
► Rs. 205,000

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan
► **Dividend issue in the current year**
► Money received as result of selling fixed assets
► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► **Purchase of fixed asset**

FEROZEN.FIRE@GMAIL.COM

► Sale of fixed asset
► Issue of debentures
► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only
► **it will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Statutory Declaration**

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

FROZEN.FIRE@GMAIL.COM

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

- ► The memorandum of association
- ► **Articles of association**
- ► Statutory report
- ► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

- ► Partnership registration
- ► **Partnership-at-will**
- ► Partnership deed
- ► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

- ► Sole-ownership
- ► Private limited company
- ► Public limited company
- ► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- ► **Accounts receivable arises when a company buys goods or services from another party on credit**
- ► Accounts receivable is a miscellaneous category that may include loans to employees
- ► Accounts receivable are more formal than notes receivable
- ► Accounts receivable are often called trade receivables

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business

FFROZEN.FIRE@GMAIL.COM

► A balance sheet
► **A statement of retained earnings**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► **Purchasing operating equipment**
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year
► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► **Rs. 2,400**
► Rs. 3,080
► Rs. 5,480

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

FFROZEN.FIRE@GMAIL.COM

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,000
- ► Rs. 2,000
- ► **Rs. 2,600**

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► Debtor's Account (Dr.) and Bank Account (Cr.)
- ► **Dishonored Cheque Account (Dr.) and Bank Account (Cr.)**
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ► **Both of Mr. P's & Mr.Q's Account**
- ► Only Cash Account
- ► Only P's account
- ► Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- ► Sales account
- ► Purchase account
- ► A's account and Sales account
- ► **Sales account, purchase account and A's account**

Question No: 25 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

FFROZEN.FIRE@GMAIL.COM

Question No: 26 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

- ► Discount received from supplier
- ► Credit purchases
- ► Bills payable
- ► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

- ► **Cash sales**
- ► Credit sales
- ► Bills receivable
- ► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► **Debtors Ledger**
- ► All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

FROZEN.FIRE@GMAIL.COM

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► **Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)**
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

► It is shown in balance sheet
► It is a definite loss to the business
► It is not shown in balance sheet
► **No provision is necessary for it**

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)
► Rs. 5 500 (Cr)
► **Rs. 4 500 (Dr)**
► Rs. 4 500 (Cr)

Question No: 35 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
► **Correct errors in the Cash Book or errors in the Bank Statement**
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

FROZEN.FIRE@GMAIL.COM

Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**
► It refers to the end life of an asset
► It refers to the increase in value of asset
► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities
► Rs. 11,000 liabilities
► **Rs. 1, 10,000 liabilities**
► Rs. 1, 11,000 liabilities

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?
(1) Ledger code
(2) Amount of Receipt
(3) Amount of payment

► (1) only
► (1) & (2) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

FFROZEN.FIRE@GMAIL.COM

► Rs.260
► Rs.232
► Rs.284
► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**
► Opening raw material inventory - Purchases + Ending raw material inventory
► Ending raw material inventory + Opening raw material inventory - Purchases
► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability
► **Owner's net worth**
► Working capital
► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?
► If current assets > current liabilities
► If current Assets < current Liabilities
► **If current assets = current liabilities**
► If current assets ≤ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

FROZEN.FIRE@GMAIL.COM

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► **Rs.18, 800**

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

► Cash account
► Capital account
► Drawings account
► **Proprietor account**

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset
► **Current asset**
► Fixed asset
► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash & Capital Account**
► Cash & Expense Account
► Capital & Revenue Account
► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

Mr." A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**
► Net profit
► Gross profit

FEROZEN.FIRE@GMAIL.COM

► Operating profit

Question No: 50 (Marks: 1) - Please choose one

when income exceeds expenses in a specific time period is known as:

► Savings
► **Net profit**
► Gross profit
► Operating profit

Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	3,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	9,000
closing written down value (WDV) of the Machine	?

ANS► Rs. 3, 41,000
► Rs. 3, 50,000
► Rs. 3, 59,000
► Rs. 59,000

Question No: 2 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

ANS► Rs. 2, 25,000
► Rs. 2, 50,000
► Rs. 2, 75,000
► Rs. 75,000

Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

► Rs. 49,000
► Rs. 55,000
► Rs. 1, 25,000
ANS► Rs. 1, 03,000

Question No: 4 (Marks: 1) - Please choose one

FROZEN.PK@GMAIL.COM

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

ANS ► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 5 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities
ANS► Rs. 1, 11, 000 liabilities
► Rs. 2, 90, 000 liabilities
► Rs. 2, 91, 000 liabilities

Question No: 6 (Marks: 1) - Please choose one

When the process of production is completed, all the costs must be charged to:

► Raw material account
► Work in process account
ANS► Finished goods account
► Merchandise account

Question No: 7 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

► Current assets
► Liquid assets
ANS► Floating assets
► Fixed assets

Question No: 8 (Marks: 1) - Please choose one

ETOOLS-FREEMAIL.COM

Which of the following asset is **NOT** depreciated?

► Factory Buildings
► Office Equipment
► Plant & Machinery
ANS ► Land

Question No: 9 (Marks: 1) - Please choose one

The main goal of Bank Reconciliation Statement is to determine:

► If the discrepancy is due to error rather than timing
► If the discrepancy is due to timing rather than error
ANS► If the discrepancy is due to error rather than amount
► If the discrepancy is due to amount rather than timing

Question No: 10 (Marks: 1) - Please choose one

Sale proceeds of goods are an example of:

ANS ► Revenue expense
► Capital expense
► Capital receipt
► Revenue receipt

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
ANS ► They do not appear in the balance sheet

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
ans► Rs.320

FFROZEN.FIRE@GMAIL.COM

Question No: 13 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► Rs. 965
ans► Rs. 905

Question No: 14 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Rate of depreciation= 40%
The book value of machine after one years using diminishing balance method is ?

► Rs.86, 400
► Rs. 1, 44,000
ans► Rs. 2, 40,000
► Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
ans► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

FROZEN.FIRE@GMAIL.COM

Question No: 16 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

► Rs.25, 000 loss
► Rs. 75,000 loss
ans► Rs. 15,000 profit
► Rs. 1, 00,000 profit

Question No: 17 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

► Rs. 60,000 loss
ans► Rs. 75,000 profit
► Rs. 25,000 loss
► Rs. 1, 00,000 profit

Question No: 18 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► Conversion cost
► Sunk cost
ans► Opportunity cost

Question No: 19 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

FFROZEN.FIRE@GMAIL.COM

► Polish and finishing material for chair
ans► A piece of wood for the production of chair
► Production worker's wages
► Depreciation expenses

Question No: 20 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

► Rs. 5,000
ans ► Rs. 10,000
► Rs. 15,000
► Rs. 20,000

Question No: 21 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

► Interest expenses
► Wages and salaries
ans► Depreciation expenses
► Discount Allowed

Question No: 22 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability
ans► Owner's net worth
► Working capital
► Asset

Question No: 23 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

ans► Profit and loss account
► Balance sheet
► Statement of financial position
► All of the given options

Question No: 24 (Marks: 1) - Please choose one

If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

FFROZEN.FIRE@GMAIL.COM

► Rs. 5,000 Loss
ans► Rs. 5, 000 Profit
► Rs.1, 95,000 Profit
► Rs.1, 95,000 Loss

Question No: 25 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
ans► All of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
ans ► Cash account

Question No: 27 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

ans► Furniture account (Dr) and Bank account (Cr)
► Furniture account (Dr) and Profit & Loss account (Cr)
► Furniture account (Dr) and Cash account (Cr)
► Cash account (Dr) and Furniture account (Cr)

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statement is **CORRECT** about Long term liabilities?

► These are due within one year
ans► These are consist of all debts, payable after 12 months
► In working capital, these are deducted from current assets
► All of the given options

Question No: 29 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

ans► Selling Expenses
► General Expenses

FFROZEN.FIRE@GMAIL.COM

► Financial Expenses
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► Deficit
ans► Surplus
► Profit
► Loss

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

► Profit & Loss account
ans ► Income & Expenditure account
► Receipts & Payments account
► Balance Sheet

Question No: 32 (Marks: 1) - Please choose one

Which of the following financial statement summarizes the profitability of an organization for a particular period?

► Trading and Profit & Loss account
► Cash Flow Statement
ans► Statement of Retained Earnings
► Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

► 1st January to 31st December
► 1st June to 31st May
ans ► 1st July to 30th June
► 1st October to 30th September

Question No: 34 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity
► Increase in cash and increase in goods

FFROZEN.FIRE@GMAIL.COM

ans ► Increase in goods and decrease in cash
► Increase in equipment and increase in equity

Question No: 35 (Marks: 1) - Please choose one

Obligations to pay cash or un-earned incomes by the business are the:

ans ► Assets
► Liabilities
► Equities
► Expenses

Question No: 36 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping
ans► Double entry book keeping
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 37 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

ans ► Latin
► English
► French
► Chinese

Question No: 38 (Marks: 1) - Please choose one

The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

ans ► Separate Entity Concept
► Matching Concept
► Going Concern Concept
► Materiality Concept

Question No: 39 (Marks: 1) - Please choose one

Double entry accounting system includes:

► Accrual accounting only
► Cash accounting only
ans ► Both cash and accrual accounting

FEROZEN.FIRE@GMAIL.COM

► None of the given options

Question No: 40 (Marks: 1) - Please choose one

An accounting system is used by a business to:

► Analyze transactions
► Handle routine book-keeping tasks
► Structure information

ans ► All of the given options

1. If Accumulated profit brought forward has credit nature, what will be its treatment?

a. It will be added in net profit for the year

b. It will be subtracted from the net profit for the year

c. It will be deducted from current Assets

d. It will be added in current assets

2. Fixed Assets at WDV + working capital =?

a. Total shareholders equity

b. Net capital employed

c. Long term loan

d. Current liability

3. Keeping in view the following data, what will be Net Cash Flow from Investing Activities?

Particulars Rs.

Purchases from short term borrowing 45,000

Purchases of marketable securities (65,000)

Proceeds from marketable securities 40,000

Loans made to borrowers (17,000)

Cash paid acquire plant assets (160,000)

Proceeds from sales of sales of plant Assets 75,000

Collection on loans 12,000

a. Rs. (115,000)

b. Rs. 100,000

c. Rs. 55,000

d. None of the given options

4. Keeping in view the following data, what will be Net cash provided by operating activities?

Particulars Rs.

FFROZEN.FIRE@GMAIL.COM

Net income 65,000

Depreciation expenses 40,000

Decrease in accrued interest receivable 1,000

Increase in accounts payable 15,000

Increase in accrued liabilities 7,000

Non operating loss on sales of marketable securities 4,000

Increase in accounts receivable 30,000

Increase in inventory 10,000

Decrease in accrued liabilities 8,000

Increase in prepayments 3,000

Non operating gain on sales of plant assets 31,000

Net cash provided by operating activities **?**

a. Rs. 115,000

b. Rs. 100,000

c. Rs. 50,000

d. None of the given options

5. Advances from customers are shown in which of the following heads in Balance Sheet?

a. Current Assets

b. Current liabilities

c. Fixed Assets

d. Long term liabilities

6. While preparing cash flow statements, the repayments of a loan during the year should be included under the heading of:

a. Operating activities

b. Financing activities

c. Investing activities

d. None of the given options

7. Which of the following statement is also known as a source and use statements?

a. Income Statements

b. Statement of Cash Flows

c. Balance Sheet

d. Statement of Retained Earnings

FFROZEN.FIRE@GMAIL.COM

8. Calculate depreciation for the year =?

Building at cost = Rs. 1, 00,000

Depreciation rate = 10%

a. Rs. 10,000

b. Rs. 1,000

c. Rs. 500

d. Rs. 0

9. Mr. A, Mr. B and Mr. C are three partners of a partnership firm. The profit sharing ratio is2:3:5. If company has distributable profit of Rs. 4, 90,000, determine the profit of Mr. A.

a. Rs. 98,000

b. Rs. 1, 47,000

c. Rs. 2, 45,000

d. Rs. 3, 43,000

10. An example of financing activities in the context of cash flow statement is:

a. Fixed capital expenditure

b. Long-term deposit

c. Financial charges paid

d. Dividend paid

Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	3,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	9,000
closing written down value (WDV) of the Machine	?

- Rs. 3, 41,000
- Rs. 3, 50,000
- Rs. 3, 59,000
- Rs. 59,000

Question No: 2 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

FROZEN.FIRE@GMAIL.COM

► Rs. 2, 25,000
► Rs. 2, 50,000
► Rs. 2, 75,000
► Rs. 75,000

Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

► Rs. 49,000
► Rs. 55,000
► Rs. 1, 25,000
► Rs. 1, 03,000

Question No: 4 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 5 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities
► **Rs. 1, 11, 000 liabilities**

FROZEN.FIRE@GMAIL.COM

► Rs. 2, 90, 000 liabilities
► Rs. 2, 91, 000 liabilities

Question No: 6 (Marks: 1) - Please choose one

When the process of production is completed, all the costs must be charged to:

► Raw material account
► Work in process account
► **Finished goods account**
► Merchandise account

Question No: 7 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

► Current assets
► Liquid assets
► Floating assets
► **Fixed assets**

Question No: 8 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

► Factory Buildings
► Office Equipment
► Plant & Machinery
► **Land**

Question No: 9 (Marks: 1) - Please choose one

The main goal of Bank Reconciliation Statement is to determine:

► **If the discrepancy is due to error rather than timing**
► If the discrepancy is due to timing rather than error
► If the discrepancy is due to error rather than amount
► If the discrepancy is due to amount rather than timing

Question No: 10 (Marks: 1) - Please choose one

Sale proceeds of goods are an example of:

► Revenue expense
► Capital expense
► Capital receipt
► **Revenue receipt**

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

FROZENFIRE@GMAIL.COM

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
► **They do not appear in the balance sheet**

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
► **Rs.320**

Question No: 13 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► Rs. 965
► Rs. 905

Question No: 14 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Rate of depreciation= 40%
The book value of machine after one years using diminishing balance method is ?

FFROZEN.FIRE@GMAIL.COM

► Rs.86, 400
► Rs. 1, 44,000
► Rs. 2, 40,000
► Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► Rs.25, 000
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 16 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	?

► Rs.25, 000 loss
► Rs. 75,000 loss
► Rs. 15,000 profit
► Rs. 1, 00,000 profit

Question No: 17 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	?

► Rs. 60,000 loss
► Rs. 75,000 profit
► Rs. 25,000 loss
► Rs. 1, 00,000 profit

100% sure Question No: 1 (Marks: 1) - Please choose one(chapter # 30)

FFROZEN.FIRE@GMAIL.COM

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► **Reserve**

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

- ► Assets of old business will be revalued
- ► Liabilities of old business will be revalued
- ► Good will of business will be revalued
- ► **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- ► Rs. 215,000
- ► **Rs. 195,000**
- ► Rs. 200,000
- ► Rs. 205,000

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► Dividend issue in the current year
- ► **Money received as result of selling fixed assets**
- ► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► **Purchase of fixed asset**
- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

- ► It will be treated in Income Statement only
- ► It will be treated as current liability in balance sheet only
- ► It will be treated in profit and loss appropriation account only

FROZEN.FIRE@GMAIL.COM

► **it will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association
► Articles of Association
► **Prospectus**
► Statutory Declaration

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association
► **Articles of association**
► Statutory report
► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

FROZEN.FIRE@GMAIL.COM

Which of the following represents the partnership agreement in writing?

► Partnership registration
► Partnership-at-will
► **Partnership deed**
► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► **Accounts receivable arises when a company buys goods or services from another party on credit**
► Accounts receivable is a miscellaneous category that may include loans to employees
► **Accounts receivable are more formal than notes receivable**
► Accounts receivable are often called trade receivables

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet
► It is a reduction from assets
► It is prepared for specific purposes
► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

►A cash flow statement
► The bank statement for the business
► **A balance sheet**
► **A statement of retained earnings**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► **Purchasing operating equipment**
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

FROZEN.FIRE@GMAIL.COM

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year
► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► **Rs. 2,400**
► Rs. 3,080
► Rs. 5,480

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► **Rs. 2,600**

FFROZEN.FIRE@GMAIL.COM

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► Debtor's Account (Dr.) and Bank Account (Cr.)
- ► **Dishonored Cheque Account (Dr.) and Bank Account (Cr.)**
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ► **Both of Mr. P's & Mr.Q's Account**
- ► Only Cash Account
- ► Only P's account
- ► Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- ► Sales account
- ► Purchase account
- ► A's account and Sales account
- ► **Sales account, purchase account and A's account**

100%sure **Question No: 25 (Marks: 1) - Please choose one**(chapter # 28)

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

100%sure **Question No: 26 (Marks: 1) - Please choose one**(chapter # 28)

Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

FFROZEN.FIRE@GMAIL.COM

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

- ► Discount received from supplier
- ► Credit purchases
- ► Bills payable
- ► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

- ► **Cash sales**
- ► Credit sales
- ► Bills receivable
- ► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► **Debtors Ledger**
- ► All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► **Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)**
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

FFROZENFIRE@GMAIL.COM

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

- ► Bankruptcy of the debtor
- ► Disappearance of debtor's business
- ► Failure of repeated attempt to collect the debt
- ► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

- ► It is shown in balance sheet
- ► It is a definite loss to the business
- ► **It is not shown in balance sheet**
- ► No provision is necessary for it

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- ► Rs. 5 500 (Dr)
- ► Rs. 5 500 (Cr)
- ► Rs. 4 500 (Dr)
- ► **Rs. 4 500 (Cr)**

Question No: 35 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

- ► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**
- ► Correct errors in the Cash Book or errors in the Bank Statement
- ► Amend the balance of the Bank Statement of the firm
- ► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

FROZEN.FIRE@GMAIL.COM

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**

► It refers to the end life of an asset
► It refers to the increase in value of asset
► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities
► Rs. 11,000 liabilities
► Rs. 1, 10,000 liabilities
► **Rs. 1, 11,000 liabilities**

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?
(1) Ledger code
(2) Amount of Receipt
(3) Amount of payment

► (1) only
► (1) & (2) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284

FFROZEN.FIRE@GMAIL.COM

► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory
► Ending raw material inventory + Opening raw material inventory - Purchases
► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability
► **Owner's net worth**
► Working capital
► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► If current assets > current liabilities
► If current Assets < current Liabilities
► **If current assets = current liabilities**
► If current assets ≤ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► **Rs. 2,800**

FFROZEN.FIRE@GMAIL.COM

► Rs.18, 800

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

► Cash account
► **Capital account**
► Drawings account
► Proprietor account

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset
► **Current asset**
► Fixed asset
► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash & Capital Account**
► Cash & Expense Account
► Capital & Revenue Account
► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

Mr." A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**
► Net profit
► Gross profit
► Operating profit

Question No: 50 (Marks: 1) - Please choose one

FFROZEN.FIRE@GMAIL.COM

when income exceeds expenses in a specific time period is known as:

- ► Savings
- ► **Net profit**
- ► Gross profit
- ► Operating profit

FFROZEN.FIRE@GMAIL.COM

VIRTUAL Inspire! THE BEST LEADERS. TEAMS. ORGANISATIONS www.virtualinspire.com

MIDTERM EXAMINATION
MGT101- Financial Accounting (Session - 5)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Classify and summarize financial information
- ► All of the given options

Question No: 2 (Marks: 1) - Please choose one

The assets which have a limited useful life are termed as:

- ► Limited assets
- ► Depreciateable assets
- ► Unlimited assets
- ► None of the given options

Question No: 3 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- ► Book-keeping
- ► Accounting
- ► Auditing
- ► All of the given options

Question No: 4 (Marks: 1) - Please choose one

If a business pays rent in advance for 12 months, it will be treated as:

- ► Prepaid expenses of business
- ► Long term liability of business
- ► Fixed assets of business
- ► Current liability of business

Question No: 5 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

- ► Purchase of land on credit
- ► Dividends to stockholders
- ► Net loss

www.virtualinspire.com

► Investment in cash by stockholders

Question No: 6 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
► Capital account

Question No: 7 (Marks: 1) - Please choose one

If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

► Any cheque drawn to creditor but not paid by bank
► Interest credited by the bank in pass book
► Cheque deposited but not credited by the bank
► Dividend collected by bank on behalf of the customer

Question No: 8 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

► Revenue expense
► **Capital expense**
► Administrative expense
► Operating expense

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about Capital Expenditure?

► Creates future benefits
► Incurred to acquire fixed assets
► Incurred to increase the economic life of existing fixed assets
► Reduce the profit of the concern

Question No: 10 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit
Sold	10 units @ 10 35 units @ 11 40 units @ 12 Balance 20 units @ 13 = 260

www.virtualinspire.com

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► Rs.260
- ► Rs.232
- ► Rs.284
- ► Rs.268

Question No: 11 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225
	Opening Stock			100
	Add purchases			1125
	Total material available for sale			1225
	Less closing **			320
	Cost of good sold			905

Detail of 80 units sold

10 @ 10
35 @ 11
35 @ 12
now remaining are

5 units @ 12 = 60
20 units@ 13 =260
closing stock = 25 units and value = 320

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► Rs. 965
- ► Rs. 905

Question No: 12 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000

www.virtualinspire.com

The depreciation of machine per year using straight line method is?

= 400,000-25000 / 5 = 75000

- Rs. 160,000
- Rs. 96,000
- Rs. 75,000
- Rs. 57,600

Question No: 13 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

Asset year 1 = 100,000 - 15000 = 85000
Year 2 = 85000 - 15000 = 70000
Year 3 = 70000 – 15000 = 55000
Year 4 = 55000 – 15000 = 40000
Book value after year 5 = 40000 – 15000 = 25000

- Rs.25, 000
- Rs. 75,000
- Rs. 15,000
- Rs. 1, 00,000

Question No: 14 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

- Depreciation
- Accumulated Depreciation
- Appreciation
- Written Down Value

Question No: 15 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

- Cost price
- Market value
- Fair value
- Written down value (WDV)

Question No: 16 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

- Opening raw material inventory + Purchases – Ending raw material inventory
- Opening raw material inventory - Purchases + Ending raw material inventory
- Ending raw material inventory + Opening raw material inventory - Purchases
- Ending raw material inventory + Opening raw material inventory + Purchases

www.virtualinspire.com

Question No: 17 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost = dm + dl	**130000**

► Rs.1 Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 18 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► Rs. 5,500
► Rs. 8,000
► Rs. 4,500
► Rs. 8,500

Question No: 19 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► Merchandise inventory

Question No: 20 (Marks: 1) - Please choose one

If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► Rs. 5,000 Loss
► Rs. 5, 000 Profit
► Rs.1, 95,000 Profit
► Rs.1, 95,000 Loss

Question No: 21 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
► All of the given options

Question No: 22 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

www.virtualinspire.com

- Customer's account
- Sales return account
- Goods account
- Accounts receivable

Question No: 23 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

- Furniture account
- Cash account
- Business account
- Bank account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account will be credited, If Mr. "A" started business with cash Rs. 2, 00,000?

- Capital account
- Cash account
- Mr. A's account
- Business account

Question No: 25 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?

- Mr. "B" / Accounts Receivable account (Dr) and Sales account (Cr)
- Cash account (Dr) and sales account (Cr)
- Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)
- Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** an item of a Balance Sheet?

- Accounts Receivable
- Accounts Payable
- Sales Revenue
- Marketable Securities

Question No: 27 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

- Liquid assets
- Current assets
- Fixed assets
- Capital assets

www.virtualinspire.com

Question No: 28 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

- ► Profit & Loss Account
- ► Cash Flow Statement
- ► Balance Sheet
- ► Income & Expenditure Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

- ► Trading account
- ► Profit & Loss account
- ► Receipts & Payments account
- ► Balance Sheet

Question No: 30 (Marks: 1) - Please choose one

Which of the following financial statement summarizes the profitability of an organization for a particular period?

- ► Balance Sheet
- ► Trading and Profit & Loss account
- ► Cash Flow Statement
- ► Statement of Retained Earnings

Question No: 31 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

- ► Negative Balance
- ► Debit Balance
- ► Positive Balance
- ► Credit Balance

Question No: 32 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

www.virtualinspire.com

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► General Journal
► General Ledger
► Trial balance

Question No: 34 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account
► Left or debit side of the account
► Left or credit side of the account
► Right or credit side of the account

Question No: 35 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 36 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called:

► Expenses
► Assets
► Capital
► Liabilities

Question No: 37 (Marks: 1) - Please choose one

Assets total Rs.50, 000 and Liabilities total Rs.10, 000. What is the equity of the business?

► Rs. 40, 000
► Rs. 60, 000
► Rs. 10,000
► Rs. 50,000

Question No: 38 (Marks: 1) - Please choose one

An expense incurred by the business for the purchase of land & building is an example of:

www.virtualinspire.com

journal			
Date	**Particulars**	**(Dr.)**	**(Cr.)**
		Rs.	Rs.
2008 jan1	Cash account	50,000	
	Capital account		50,000
	(owner invested cash)		
jan.2	Furniture account	10,000	
	Cash account		10,000
	(purchased furniture for cash)		
Jan.3	Purchases account	30,000	
	Cash account		30,000
	(goods purchased for cash)		
Jan.5	Cash account	40,000	
	Sales account		40,000
	(sold goods for cash)		
Jan. 6	Salaries account	5,000	
	Cash account		5,000
	(Salaried paid)		

- Capital Expense
- Revenue Expense
- Deferred Expense

- Preliminary Expense

Question No: 39 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

- Sole proprietorship
- Partnership
- Limited company
- Trust

Question No: 40 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

- Cost Accounting
- Financial Accounting
- Management Accounting
- Tax Accounting

Question No: 41 (Marks: 10)

Prepare Cash and Capital Accounts with the help of given Journal entries.

www.virtualinspire.com

CASH A/C (IN STATEMENT FORM)

Date	V. No	Detail	Ref	Debit	Credit	Balance
01/01/08		CAPITAL A/C		50000	0	50000 DR
02/01/08		FURNITURE A/C		0	10000	40000 DR
03/01/08		PURCHASES A/C		0	30000	10000 DR
05/01/08		SALES A/C		40000	0	50000 DR
06/01/08		SALARIES A/C		0	5000	45000 DR
		TOTAL		90000	45000	45000 DR

MGT101- Financial Accounting (Session - 2)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	3,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	9,000
closing written down value (WDV) of the Machine	?

► Rs. 3, 41,000
► Rs. 3, 50,000
► Rs. 3, 59,000
► Rs. 59,000

http://groups.google.com/group/vuZs

Question No: 2 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

► Rs. 2, 25,000
► Rs. 2, 50,000
► Rs. 2, 75,000
► Rs. 75,000

Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

► Rs. 49,000
► Rs. 55,000
► Rs. 1, 25,000
► Rs. 1, 03,000

Question No: 4 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385

www.virtualinspire.com

Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

- ► Rs. 60,385 owner's equity
- ► Rs. 61,385 owner's equity
- ► Rs. 99,885 owner's equity
- ► Rs. 99,385 owner's equity

Question No: 5 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

- ► Rs. 2, 01,000 liabilities
- ► Rs. 1, 11, 000 liabilities
- ► Rs. 2, 90, 000 liabilities
- ► Rs. 2, 91, 000 liabilities

Question No: 6 (Marks: 1) - Please choose one

When the process of production is completed, all the costs must be charged to:

- ► Raw material account
- ► Work in process account
- ► Finished goods account
- ► Merchandise account

Question No: 7 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

- ► Current assets
- ► Liquid assets
- ► Floating assets
- ► Fixed assets

Question No: 8 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

- ► Factory Buildings
- ► Office Equipment
- ► Plant & Machinery
- ► Land

Question No: 9 (Marks: 1) - Please choose one

The main goal of Bank Reconciliation Statement is to determine:

- ► If the discrepancy is due to error rather than timing

www.virtualinspire.com

- If the discrepancy is due to timing rather than error
- If the discrepancy is due to error rather than amount
- If the discrepancy is due to amount rather than timing

Question No: 10 (Marks: 1) - Please choose one
Sale proceeds of goods are an example of:

- Revenue expense
- Capital expense
- Capital receipt
- Revenue receipt

Question No: 11 (Marks: 1) - Please choose one
Which one of the following is **NOT** true about revenue expenditure?

- These are the running expenses of the business
- They improve the financial position of the business
- They reduce the profit of the concern
- They do not appear in the balance sheet

Question No: 12 (Marks: 1) - Please choose one
Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- Rs.260
- Rs.232
- Rs.284
- Rs.320

Question No: 13 (Marks: 1) - Please choose one
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- Rs. 1,225

www.virtualmsoire.com

- Rs. 1,015
- Rs. 965
- Rs. 905

Question No: 14 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Rate of depreciation= 40%
The book value of machine after one years using diminishing balance method is ?

- Rs.86, 400
- Rs. 1, 44,000
- Rs. 2, 40,000
- Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

- Rs.25, 000
- Rs. 75,000
- Rs. 15,000
- Rs. 1, 00,000

Question No: 16 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

- Rs.25, 000 loss
- Rs. 75,000 loss
- Rs. 15,000 profit
- Rs. 1, 00,000 profit

Question No: 17 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

www.virtualinspire.com

► Rs. 60,000 loss
► Rs. 75,000 profit
► Rs. 25,000 loss
► Rs. 1, 00,000 profit

Question No: 18 (Marks: 1) - Please choose one
The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► Conversion cost
► Sunk cost
► Opportunity cost

Question No: 19 (Marks: 1) - Please choose one
Which of the following is an example of direct materials cost?

► Polish and finishing material for chair
► A piece of wood for the production of chair
► Production worker's wages
► Depreciation expenses

Question No: 27 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

► Furniture account (Dr) and Bank account (Cr)
► Furniture account (Dr) and Profit & Loss account (Cr)
► Furniture account (Dr) and Cash account (Cr)
► Cash account (Dr) and Furniture account (Cr)

Question No: 28 (Marks: 1) - Please choose one
Which one of the following statement is **CORRECT** about Long term liabilities?

► These are due within one year
► These are consist of all debts, payable after 12 months
► In working capital, these are deducted from current assets
► All of the given options

Question No: 29 (Marks: 1) - Please choose one
What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 30 (Marks: 1) - Please choose one
While making Income & Expenditure account, Excess of income over expenses in a

www.vulainspire.com

specified accounting period is called:

- ► Deficit
- ► Surplus
- ► Profit
- ► Loss

Question No: 31 (Marks: 1) - Please choose one
Which one of the following is **NOT** prepared by Non profit organizations?

- ► Profit & Loss account
- ► Income & Expenditure account
- ► Receipts & Payments account
- ► Balance Sheet

Question No: 32 (Marks: 1) - Please choose one
Which of the following financial statement summarizes the profitability of an organization for a particular period?

- ► Trading and Profit & Loss account
- ► Cash Flow Statement
- ► Statement of Retained Earnings
- ► Balance Sheet

Question No: 33 (Marks: 1) - Please choose one
Which of the following period is known as a fiscal Year of the Government of Pakistan?

- ► 1st January to 31st December
- ► 1st June to 31st May
- ► 1st July to 30th June
- ► 1st October to 30th September

Question No: 34 (Marks: 1) - Please choose one
What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► Increase in goods and decrease in cash
- ► Increase in equipment and increase in equity

Question No: 35 (Marks: 1) - Please choose one
Obligations to pay cash or un-earned incomes by the business are the:

- ► Assets
- ► Liabilities
- ► Equities
- ► Expenses

www.virtualinspire.com

Question No: 36 (Marks: 1) - Please choose one
Commercial Accounting is based on:

- ► Single entry book keeping
- ► Double entry book keeping
- ► Both single and double entry book keeping
- ► Cash basis of book keeping

Question No: 37 (Marks: 1) - Please choose one
Word "Credit" is derived from _____ language.

- ► Latin
- ► English
- ► French
- ► Chinese

Question No: 38 (Marks: 1) - Please choose one
The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

- ► Separate Entity Concept
- ► Matching Concept
- ► Going Concern Concept
- ► Materiality Concept

Question No: 39 (Marks: 1) - Please choose one
Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► Both cash and accrual accounting
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one
An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Structure information
- ► All of the given options

Question No: 41 (Marks: 10)
Record the following transactions in the General Journal.

Date:	Transactions
Jan 1, 2007	Mr. Asghar started business with cash Rs. 1, 00,000.
Jan 2, 2007	Opened bank account with amount Rs. 50,000.
Jan 4, 2007	Purchased goods for cash Rs. 15,000.
Jan 9, 2007	Payment made to Karachi store (Creditor) Rs. 15,000 by cheque.
Jan14, 2007	Goods returned to Karachi store worth Rs. 1,500.
Jan22, 2007	Goods sold for cash Rs. 2,000.

www.virtualinspire.com

DR
Bank account 50,000
Purchased goods for cash Rs. 15,000
Payment made to Karachi store (Creditor) Rs. 15,000 by cheque
Goods returned to Karachi store worth Rs. 1,500
Credit balance 20500

Cr
Mr. Asghar started business with cash Rs. 1, 00,000
Goods sold for cash Rs. 2,000.

www.VirtualInSpire.com

MIDTERM EXAMINATION
7th Dec 2009
MGT101- Financial Accounting

Question No: 1 (Marks: 1) - Please choose one
Income of the business includes:
- ► Cash sales only
- ► Credit sales only
- ► Credit purchases only
- ► **Both cash sales and credit sales**

Question No: 2 (Marks: 1) - Please choose one
Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?
- ► **Rs.260**
- ► Rs.232
- ► Rs.284
- ► Rs.320

Question No: 3 (Marks: 1) - Please choose one
Which of the following is **NOT** an example of Current Asset?
- ► **Bank Overdraft**
- ► Accounts Receivable
- ► Notes Receivable
- ► Prepaid Expenses

Question No: 4 (Marks: 1) - Please choose one
We can say that the business is in profit, when:

► Assets exceed Expenditure
► **Assets exceed Liabilities**
► Income exceeds Expenditure
► Income exceeds Liabilities

Question No: 5 (Marks: 1) - Please choose one
Which of the following essentials are shown in Cash Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number
► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 6 (Marks: 1) - Please choose one
Income of the business includes:

► Cash sales only
► Credit sales only
► Credit purchases only
► **Both cash sales and credit sales**

Question No: 7 (Marks: 1) - Please choose one
Economic resources owned by a business and expected to benefit for the future operations are called:
► Expenses
► **Assets**
► Capital
► Liabilities

Question No: 8 (Marks: 1) - Please choose one
Which of the following account will be credited, when the goods are purchased on cash?
► Stock account
► **Cash account**
► Supplier account
► Work in process account

Question No: 9 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?
► **Rs.15,000**
► Rs. 35,000
► Rs. 55,000
► Rs. 60,000

Question No: 10 (Marks: 1) - Please choose one
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).
► Capital account
► Sundry creditors account
► Accounts payable account
► **Cash account**

Question No: 11 (Marks: 1) - Please choose one
Which of the following account will be debited, if business bought goods on cash from Mr. Ali?

www.virtualinspire.com

► Purchases account
► Mr. Ali account
► Cash account
► Sales account

Question No: 12 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an ___.

► **Account**
► Voucher
► Journal
► Trial balance

Question No: 13 (Marks: 1) - Please choose one

When a assets is increased, it is recorded on the:

► Right or debit side of the account
► **Left or debit side of the account**
► Left or credit side of the account
► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

Cost incurred for the maintenance of shop is considered as _____.

► Deferred expense
► Capital expense
► **Revenue expense**
► Preliminary expense

Question No: 15 (Marks: 1) - Please choose one

Double entry accounting system includes:

► Accrual accounting only
► Cash accounting only
► **Both cash and accrual accounting**
► None of the given options

Question No: 16 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► ***Depreciation***
► Fluctuation
► None of the given options

Question No: 17 (Marks: 1) - Please choose one

Under the reducing balance method of depreciation:

► Amount of depreciation increases every year
► Amount of depreciation remains constant for every year
► ***Amount of depreciation decreases every year***
► None of the given options

Question No: 18 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

www.virtualinspire.com

► Rs.232
► Rs.284
► **Rs.320**

Question No: 19 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Profit or Loss	**?**

► **Rs.25, 000**
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 20 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

► Treated as a reserve
► Treated as a contra asset
► Treated as a surplus
► **Treated as an expense**

Question No: 21 (Marks: 1) - Please choose one

Cash book is a part of:

► Voucher
► General Journal
► **General Ledger**
► Trial Balance

Question No: 22 (Marks: 1) - Please choose one

Which of the following organization converts raw material into finished goods?

► Trading concern
► **Manufacturing concern**
► Merchandising concern
► Service concern

Question No: 23 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

www.virtualinspire.com

► Vehicle account
► ***Cash account***
► Business account
► Bank account

Question No: 24 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 25 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping
► **Double entry book keeping**
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 26 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► Pass Book
► **Cash Book**
► Purchase Book
► Sales Book

Question No: 27 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping
► **Double entry book keeping**
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

► Stock account
► **Cash account**
► Supplier account
► Work in process account

Question No: 29 (Marks: 1) - Please choose one

Following are the inventories of Trading Concern EXCEPT:

► Raw material
► Work in process
► Finished goods
► **Merchandise inventory**

Question No: 30 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

► ***Latin***
► English
► French
► Chinese

Question No: 31 (Marks: 1) - Please choose one

www.virtualinspire.com

"Mr. “A” collected cash from debtors", the journal entry for this transaction is:

- ► Mr. "A" a/c Dr. and debtors a/c Cr.
- ► Mr. "A" a/c Dr. and cash a/c Cr.
- **► Cash a/c Dr. and debtors a/c Cr.**
- ► None of the given options

Question No: 32 (Marks: 1) - Please choose one

The assets which have a limited useful life are termed as:

- ► Limited assets
- **► Depreciateable assets**
- ► Unlimited assets
- ► None of the given options

Question No: 33 (Marks: 1) - Please choose one

When Capital is increased by an amount, it is recorded on the:

- ► Left or credit side of the account
- ► Right or debit side of the account
- ► Left or debit side of the account
- **► Right or credit side of the account**

Question No: 34 (Marks: 1) - Please choose one

Depreciable value of an asset is equal to:

- ► Cost + scrap value
- ► Cost + market price
- **► Cost – scrap value**
- ► None of the given options

Question No: 35 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

- ► Cost Accounting
- **► Financial Accounting**
- ► Management Accounting
- ► Tax Accounting

Question No: 36 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

www.virtualinspire.com

► Increase in cash and decrease in equity
► Increase in cash and increase in goods
► **Increase in goods and decrease in cash**
► Increase in equipment and increase in equity

Question No: 41 (Marks: 10)
How you can distinguish between Sole proprietorship, Partnership and Joint Stock company?
Answer:-
Sole Proprietorship:-
A sole proprietorship also known as a sole trader, or simply proprietorship is a type of business entity which is owned and run by one individual and where there is no legal distinction between the owner and the business. All profits and all losses accrue to the owner (subject to taxation). All assets of the business are owned by the proprietor and all debts of the business are their debts and they must pay them from their personal resources. This means that the owner has unlimited liability. It is a "sole" proprietorship in the sense that the owner has no partners (partnership).
A sole proprietor may do business with a trade name other than his or her legal name. This also allows the proprietor to open a business account with banking institutions
Partnership:-
A partnership is a type of business entity in which partners (owners) share with each other the profits or losses of the business. Partnerships are often favored over corporations for taxation purposes, as the partnership structure does not generally incur a tax on profits before it is distributed to the partners (i.e. there is no dividend tax levied). However, depending on the partnership structure and the jurisdiction in which it operates, owners of a partnership may be exposed to greater personal liability than they would as shareholders of a corporation.
Joint Stock Company:-
A joint stock company (JSC) is a type of business entity: it is a type of corporation or partnership involving two or more legal persons. Certificates of ownership (or stocks) are issued by the company in return for each financial contribution, and the shareholders are free to transfer their ownership interest at any time by selling their stockholding to others. In most countries, a joint stock company offers the protection of limited liability; a shareholder is not liable for any of the company's debt beyond the face value of their shareholding.
There are two kinds of joint stock company : private and public companies. The shares of the former are usually only held by the directors and Company Secretary. The shares of the latter are bought and sold on the open market

www.virtualinspire.com

MIDTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 5)

Question No: 1 (Marks: 1) - Please choose one
Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► Physical wear and tear
► ***All of the given options***

-

Question No: 2 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► ***Rs.260***
► Rs.232
► Rs.284
► Rs.268

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

► ***Bank Overdraft***
► Accounts Receivable
► Notes Receivable
► Prepaid Expenses

Question No: 4 (Marks: 1) - Please choose one

Which of the following statement is **NOT TRUE** about Current liabilities?

► These are due within one year
► These are short-term loans
► ***These are consist of all debts, payable after 12 months***
► In working capital, these are deducted from current assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► ***(1), (2) & (3)***

Question No: 6 (Marks: 1) - Please choose one

Income of the business includes:

► Cash sales only
► Credit sales only
► Credit purchases only

www.vutualinsqire.com

► ***Both cash sales and credit sales***

Question No: 7 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

► Rs. 205,000
► Rs. 215,000
► ***Rs. 220,000***
► Rs. 225,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

► Stock account
► **Cash account**
► Supplier account
► Work in process account

Question No: 9 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► **Rs.15,000**
► Rs. 35,000
► Rs. 55,000
► Rs. 60,000

Question No: 10 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
► **Cash account**

Question No: 11 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account
► **Mr. Ali account**
► Cash account
► Sales account

Question No: 12 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called

www.virtualinspire.com

a/an _____.

- ► **Account**
- ► Voucher
- ► Journal
- ► Trial balance

Question No: 13 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► **Left or debit side of the account**
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one
Cost incurred for the maintenance of shop is considered as _____.

- ► Deferred expense
- ► Capital expense
- ► **Revenue expense**
- ► Preliminary expense

Question No: 15 (Marks: 1) - Please choose one
Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 16 (Marks: 1) - Please choose one
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► ***Depreciation***
- ► Fluctuation
- ► None of the given options

Question No: 17 (Marks: 1) - Please choose one
Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► ***Amount of depreciation decreases every year***
- ► None of the given options

Question No: 18 (Marks: 1) - Please chose one
Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method

www.virtualinspire.com

of inventory costing?

► ***Rs.260***
► Rs.232
► Rs.284
► Rs.320

Question No: 19 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► ***Rs. 75,000***
► Rs. 15,000
► Rs. 1, 00,000

Question No: 20 (Marks: 1) - Please choose one

In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► ***Cost of material consumed + Conversion cost***
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 21 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Cash Account
► Furniture Account
► Motor Account
► ***All of the above***

Question No: 22 (Marks: 1) - Please choose one

Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

► Cash account
► ***Sales account***
► Accounts receivable account
► Purchases account

Question No: 23 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

► Vehicle account
► ***Cash account***

www.virtualinspire.com

► Business account
► Bank account

Question No: 24 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?

(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► ***(1), (2) & (3)***

Question No: 25 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping
► ***Double entry book keeping***
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 26 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

► ***Rs. 2, 25,000***
► Rs. 2, 50,000
► Rs. 2, 75,000
► Rs. 75,000

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

► Polish and finishing material for chair
► ***A piece of wood for the production of chair***
► Production worker's wages
► Depreciation expenses

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

► Stock account
► ***Cash account***
► Supplier account
► Work in process account

Question No: 29 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern EXCEPT:

► Raw material
► Work in process

www.virtualmspire.com

► Finished goods
► ***Merchandise inventory***

Question No: 30 (Marks: 1) - Please choose one
Word “Credit” is derived from _____ language.

► ***Latin***
► English
► French
► Chinese

Question No: 31 (Marks: 1) - Please choose one
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► ***Rs. 965***
► Rs. 905

Question No: 32 (Marks: 1) - Please choose one
The assets which have a limited useful life are termed as:

► Limited assets
► ***Depreciateable assets***
► Unlimited assets
► None of the given options

The cost of moving plant and machinery to a new site will be treated as:

► ***Revenue expense***
► Capital expense
► Administrative expense
► Operating expense

Question No: 33 (Marks: 1) - Please choose one
A decrease in value of a fixed asset due to age, wear and tear is known as:

► ***Depreciation***
► Accumulated Depreciation
► Appreciation
► Written Down Value

Question No: 34 (Marks: 1) - Please choose one
What would be the value of 'cost of goods manufactured' if the total factory cost of the

www.virtualinsure.com

month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► ***Rs. 5,500***
► Rs. 8,000
► Rs. 4,500
► Rs. 8,500

Question No: 35 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

► Cost Accounting
► ***Financial Accounting***
► Management Accounting
► Tax Accounting

Question No: 36 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► ***Rs. 60,385 owner's equity***
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 41 (Marks: 10)

Show the effect of the following transactions upon the Accounting Equation.

2007 June1,	Mr. Salman started business with cash Rs. 1,00,000
5,	Purchased furniture for cash Rs. 4,000
6,	Purchased goods for cash Rs. 25,000
10,	Paid transportation on goods purchased Rs.1,000
12,	Sold goods for cash Rs. 15,000, costing 11,000
15,	Purchased goods on credit basis for Rs. 15,000
19,	Sold goods to Rashid on credit basis for Rs. 8,000, costing Rs. 6,500
25,	Received cash from Rashid Rs. 4,000
28,	Cash paid to creditor Rs. 9,000
30,	Paid rent and salaries for the month Rs. 4,000

MIDTERM EXAMINATION
Spring 2009
MGT101- Financial Accounting

www.virtualinsite.com

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one
Net Profit + Expenses= _____

- ► Liabilities
- ► Assets
- ► Capital
- ► ***Income***

Question No: 2 (Marks: 1) - Please choose one
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► Depreciation
- ► Fluctuation
- ► None of the given options

Question No: 3 (Marks: 1) - Please choose one
The basic purpose of depreciation is to achieve the:

- ► Matching principle
- ► Dual aspect principle

www.virtualinspire.com

- ► Separate entity concept
- ► ***Money measurement concept***

Question No: 4 (Marks: 1) - Please choose one
If a business pays rent in advance for 12 months, it will be treated as:

- ► ***Prepaid expenses of business***
- ► Long term liability of business
- ► Fixed assets of business
- ► Current liability of business

Question No: 5 (Marks: 1) - Please choose one
Cash book is a part of:

- ► Voucher
- ► General Journal
- ► ***General Ledger***
- ► Trial Balance

Question No: 6 (Marks: 1) - Please choose one
Bank Reconciliation Statement is:

- ► ***A memorandum statement***
- ► A ledger account
- ► A part of cash book
- ► A part of journal

Question No: 7 (Marks: 1) - Please choose one
If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

- ► Any cheque drawn to creditor but not paid by bank
- ► Interest credited by the bank in pass book
- ► ***Cheque deposited but not credited by the bank***
- ► Dividend collected by bank on behalf of the customer

Question No: 8 (Marks: 1) - Please choose one
The main goal of Bank Reconciliation Statement is to determine:

- ► ***If the discrepancy is due to error rather than timing***
- ► If the discrepancy is due to timing rather than error
- ► If the discrepancy is due to error rather than amount
- ► If the discrepancy is due to amount rather than timing

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is **NOT** true about revenue expenditure?

- ► ***These are the running expenses of the business***
- ► They improve the financial position of the business
- ► They reduce the profit of the concern
- ► They do not appear in the balance sheet

Question No: 10 (Marks: 1) - Please choose one
Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► ***Amount of depreciation decreases every year***

www.vuinspire.com

► None of the given options

Question No: 11 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► ***Rs.7, 500***
► Rs.7, 978
► Rs.8, 000
► Rs.8, 400

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► ***Rs.260***
► Rs.232
► Rs.284
► Rs.320

Question No: 13 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

► Rs. 205,000
► ***Rs. 215,000***
► Rs. 220,000
► Rs. 225,000

Question No: 14 (Marks: 1) - Please choose one

The amount of depreciation charged on machinery will be debited to:

► Machinery account

www.virtualinsoire.com

► ***Depreciation account***
► Cash account
► Capital account

Question No: 15 (Marks: 1) - Please choose one
Under the straight line method of depreciation:

► Amount of depreciation increases every year
► ***Amount of depreciation remains constant for every year***
► Amount of depreciation decreases every year
► None of the given options

Question No: 16 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► ***Rs. 75,000***
► Rs. 15,000
► Rs. 1, 00,000

Question No: 17 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

► ***Rs.25, 000 loss***
► Rs. 75,000 loss
► Rs. 15,000 profit
► Rs. 1, 00,000 profit

Question No: 18 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

► ***Rs. 60,000 loss***
► Rs. 75,000 profit
► Rs. 25,000 loss
► Rs. 1, 00,000 profit

www.virtualinspire.com

Question No: 19 (Marks: 1) - Please choose one
In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► ***Cost of material consumed + Conversion cost***
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 20 (Marks: 1) - Please choose one
Which of the following organization converts raw material into finished goods?

► Trading concern
► ***Manufacturing concern***
► Merchandising concern
► Service concern

Question No: 21 (Marks: 1) - Please choose one
Which of the following item appears in Trading Account of a business?

► Interest expenses
► ***Wages and salaries***
► Depreciation expenses
► Discount Allowed

Question No: 22 (Marks: 1) - Please choose one
Which of the following is an alternate term which can be used for "Capital"?

► Liability
► ***Owner's net worth***
► Working capital
► Asset

Question No: 23 (Marks: 1) - Please choose one
If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► ***Rs. 2,800***
► Rs.18, 800

Question No: 24 (Marks: 1) - Please choose one
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

www.virtualinspire.com

- ► Capital account
- ► Sundry creditors account
- ► Accounts payable account
- ► ***Cash account***

Question No: 25 (Marks: 1) - Please choose one
The amount brought by the proprietor in the business should be credited to:

- ► Cash account
- ► Capital account
- ► ***Drawings account***
- ► Proprietor account

Question No: 26 (Marks: 1) - Please choose one
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

- ► Cash account
- ► ***Sales account***
- ► Accounts receivable account
- ► Purchases account

Question No: 27 (Marks: 1) - Please choose one
Which of the following account will be credited, if business purchased a vehicle on cash?

- ► Vehicle account
- ► ***Cash account***
- ► Business account
- ► Bank account

Question No: 28 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?

- ► ***Mr. "B" / Accounts Receivable account (Dr) and Sales account (Cr)***
- ► Cash account (Dr) and sales account (Cr)
- ► Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)
- ► Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

Question No: 29 (Marks: 1) - Please choose one
Accrued expenses are the example of:

- ► ***Current liabilities***
- ► Long term liabilities
- ► Deferred costs
- ► Capital expenses

www.virtualinspire.com

Question No: 30 (Marks: 1) - Please choose one
Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► ***Balance Sheet***
► Income & Expenditure Account

Question No: 31 (Marks: 1) - Please choose one
What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► ***All of the given options***

Question No: 32 (Marks: 1) - Please choose one
An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

► Income Statement
► Balance Sheet
► ***Trial Balance***
► Cash Book

Question No: 33 (Marks: 1) - Please choose one
Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► ***(2) & (3) only***
► (1) & (3) only
► (1), (2) & (3)

Question No: 34 (Marks: 1) - Please choose one
Which of the following book(s) is(are) a part of General Ledger?

► Cash Book
► Purchase Return Book
► Purchase Book
► ***All of the given options***

Question No: 35 (Marks: 1) - Please choose one
A book, in which receipts and payments are recorded, is known as:

www.virtualinspire.com

► Pass Book
► **Cash Book**
► Purchase Book
► Sales Book

Question No: 36 (Marks: 1) - Please choose one
In an account, if credit side < debit side then the balance is known as:
► Negative Balance
► ***Debit Balance***
► Positive Balance
► Credit Balance

Question No: 37 (Marks: 1) - Please choose one
Commercial Accounting is based on:
► Single entry book keeping
► ***Double entry book keeping***
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 38 (Marks: 1) - Please choose one
According to the double entry system of accounting, an account that obtains benefit is:
► ***Debit***
► Credit
► Income
► No need to show as accounting record

Question No: 39 (Marks: 1) - Please choose one
Which of the following is non- profit organization?
► Sole proprietorship
► Partnership
► Limited company
► ***Trust***

Question No: 40 (Marks: 1) - Please choose one
Mr. "A" sold goods to Mr. "B" for Rs. 3,000 on October 8, 2008 and Mr. "B" paid at the same time. It will be case of _____ sales.

► ***Cash***
► Credit
► Accrual based
► None of the given options

Question No: 41 (Marks: 10)
State with reasons whether the following items of expenditure are capital or revenue in nature.
1. Wages paid on the purchase of goods.
2. Carriage paid on goods purchased.
3. Transportation paid on purchase of machinery.
4. Octroi duty paid on machinery.
5. Octori duty paid on goods.

www.virtualinspire.com

6. A second hand car was purchased for Rs. 7,000 and Rs, 5,000 were spent for its repair and overhauling.
7. Office building was whitewashed at a cost of Rs. 3,000.
8. A new machinery was purchased for Rs. 80,000 and a sum of Rs. 1,000 was spent on its installation and erection
9. Old furniture was repaired at a cost of Rs. 500.
10. Land was purchased for Rs. 1, 00,000 and Rs. 5,000 was paid for legal expenses.

MIDTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 3)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one
We can say that the business is in profit, when:

- ► Assets exceed Expenditure
- ► Assets exceed Liabilities
- ► **Income exceeds Expenditure**
- ► Income exceeds Liabilities

Question No: 2 (Marks: 1) - Please choose one
Cost incurred for the maintenance of shop is considered as _____.

- ► Deferred expense
- ► Capital expense
- ► **Revenue expense**
- ► Preliminary expense

Question No: 3 (Marks: 1) - Please choose one
If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► For the year 2008 only
- ► For the last day of 10th year only
- ► Over 10 years
- ► **Nothing can be said about it**

Question No: 4 (Marks: 1) - Please choose one
Word “Credit” is derived from _____ language.

- ► **Latin**
- ► English
- ► French
- ► Chinese

Question No: 5 (Marks: 1) - Please choose one

www.virtualinspire.com

According to the double entry system of accounting, an account that obtains benefit is:

- ► **Debit**
- ► Credit
- ► Income
- ► No need to show as accounting record

Question No: 6 (Marks: 1) - Please choose one

An Asset that is **NOT** physical in nature is called _____.

- ► **Intangible Asset**
- ► Liquid Asset
- ► Current Asset
- ► Fixed Asset

Question No: 7 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► **Increase in goods and decrease in cash**
- ► Increase in equipment and increase in equity

Question No: 8 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 9 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

- ► Negative Balance
- ► Debit Balance
- ► Positive Balance
- ► **Credit Balance**

Question No: 10 (Marks: 1) - Please choose one

Bank book is part of:

- ► Voucher
- ► General Journal

www.virtualinspire.com

► **General Ledger**
► Trial Balance

Question No: 11 (Marks: 1) - Please choose one
While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► **Profit**
► Loss
► Surplus
► Deficit

Question No: 12 (Marks: 1) - Please choose one
Gross Profit > Operating Expenses=?

► **Net Profit**
► Cost of Goods Sold
► Net Loss
► Gross Loss

Question No: 13 (Marks: 1) - Please choose one
Accrued expenses are the example of:
► **Current liabilities**
► Long term liabilities
► Deferred costs
► Capital expenses

Question No: 14 (Marks: 1) - Please choose one
The favorable balance of Profit and Loss account should be:
► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► **Added in capital**

Question No: 15 (Marks: 1) - Please choose one
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
► **Cash account**

Question No: 16 (Marks: 1) - Please choose one
Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

► **Profit and loss account**
► Balance sheet
► Statement of financial position

www.virtualinspire.com

► All of the given options

Question No: 17 (Marks: 1) - Please choose one
In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**
► If current Assets < current Liabilities
► If current assets = current liabilities
► If current assets ≤ current liabilities

Question No: 18 (Marks: 1) - Please choose one
Which of the following particular is **NOT** included in the specimen of a payment voucher?

► Name of organization
► Cash payment amount
► Date of transaction
► **Bank receipt**

Question No: 19 (Marks: 1) - Please choose one
The stock of manufacturing concern consists of:

► Work in Process Inventory
► Raw Materials Inventory
► Finished Goods Inventory
► **All of the given options**

Question No: 20 (Marks: 1) - Please choose one
Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► **Merchandise inventory**

Question No: 21 (Marks: 1) - Please choose one
The products that are ready for sale are known as:

► Raw material
► Work in process
► **Finished goods**
► Closing stock

Question No: 22 (Marks: 1) - Please choose one
Which of the following is an example of direct materials cost?

► Polish and finishing material for chair
► **A piece of wood for the production of chair**

www.virtualinspire.com

- ► Production worker's wages
- ► Depreciation expenses

Question No: 23 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► **Conversion cost**
- ► Sunk cost
- ► Opportunity cost

Question No: 24 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

- ► Cost price
- ► Market value
- ► Fair value
- ► **Written down value (WDV)**

Question No: 25 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

- ► **Depreciation**
- ► Accumulated Depreciation
- ► Appreciation
- ► Written Down Value

Question No: 26 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Written down value of asset at the end of 5th year	Rs.25,000
Profit or loss on disposal of fixed assets	**?**

- ► **Rs.25, 000 profit**
- ► Rs. 75,000 loss
- ► Rs. 15,000 profit
- ► Rs. 1, 00,000 profit

Question No: 27 (Marks: 1) - Please choose one

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

- ► Capital account
- ► Capital work in progress account
- ► **Relevant asset account**
- ► Owner's equity account

Question No: 28 (Marks: 1) - Please choose one

Consider the following inventory record:

www.vtualinspire.com

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► **Rs. 965**
- ► Rs. 905

Question No: 29 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

- ► **Rs.7, 500**
- ► Rs.7, 978
- ► Rs.8, 000
- ► Rs.8, 400

Question No: 30 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

- ► **A memorandum statement**
- ► A ledger account
- ► A part of cash book
- ► A part of journal

Question No: 31 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

- ► Factory Buildings
- ► Office Equipment
- ► Plant & Machinery
- ► **Land**

www.virtualinspire.com

Question No: 32 (Marks: 1) - Please choose one

The basic purpose of depreciation is to achieve the:

- ► **Matching principle**
- ► Dual aspect principle
- ► Separate entity concept
- ► Money measurement concept

Question No: 33 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

- ► **Rs. 82,385 owner's equity**
- ► Rs. 61,385 owner's equity
- ► Rs. 99,885 owner's equity
- ► Rs. 99,385 owner's equity

Question No: 34 (Marks: 1) - Please choose one

Firms charge depreciation each year:

- ► To ensure there is enough money in the firm to replace the asset
- ► **To spread the cost of the asset over its working life**
- ► To reduce the profit and thus reduce the dividends they can pay to share holders
- ► Because the law states they must be reduced

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

- ► Rs. 1, 98,000
- ► Rs. 49,000
- ► Rs. 55,000
- ► **Rs. 4, 40,000**

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is equal to the carrying cost of an asset?

- ► **Original cost minus Accumulated depreciation**

www.virtualinspire.com

- ► Original cost plus Accumulated depreciation
- ► Original cost minus Residual value
- ► Written down value minus Accumulated depreciation

Question No: 37 (Marks: 1) - Please choose one

An estimate of the income and expenses needed to carry out business plans for a fiscal year is known as:

- ► **Budgeting**
- ► Costing
- ► Management
- ► Auditing

Question No: 38 (Marks: 1) - Please choose one

Unfavorable balance of the cash book means:

- ► **Credit balance in cash book**
- ► Credit balance in pass book
- ► Debit balance in cash book
- ► All of the given options

Question No: 39 (Marks: 1) - Please choose one

Net Profit + Expenses= _____

- ► Liabilities
- ► Assets
- ► Capital
- ► **Income**

Question No: 40 (Marks: 1) - Please choose one

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

- ► Rs. 3,000
- ► **Rs. 8,000**
- ► Rs. 7,000
- ► Rs. 5,000

www.virtualinspire.com

Question No: 41 (Marks: 10)

The following are some of the causes of difference between the Cash Book and the Pass Book balances. If you start with the Cash Book (Dr.) balance in Bank Reconciliation Statement, will you add them or deduct?

Particulars	Add/Less
1. Cheques issued but yet not paid by bank.	less
2. Cheques deposited but not credited by bank.	less

3. Amount directly deposited into bank by a customer but not recorded in the Cash Book.	add
4. Dividend collected by bank but not entered in Cash Book.	add
5. Insurance premium paid by bank but not recorded in Cash Book.	less
6. Cheque deposited but no entry was made in Cash Book.	add
7. Bank charges debited by bank but not credited in the Cash Book	less
8. Interest on overdraft debited by bank but not recorded in Cash Book.	less
9. Cheque issued but wrongly debited in Cash Book	less
10. Interest credited by bank but not recorded in cash book	add

MIDTERM EXAMINATION
Spring 2009
MGT101- Financial Accounting

Question No: 1 (Marks: 1) - Please choose one
The expenses that give benefit for a period of more than twelve months are called _____ .

- **Capital expenses**
- Revenue expenses
- Preliminary expenses
- None of the given options

Question No: 2 (Marks: 1) - Please choose one
An expense incurred by the business for the purchase of land & building is an example of:

- **Capital Expense**
- Revenue Expense
- Deferred Expense
- Preliminary Expense

Question No: 3 (Marks: 1) - Please choose one

Income of the business includes:

- Cash sales only
- Credit sales only
- Credit purchases only
- **Both cash sales and credit sales**

Question No: 4 (Marks: 1) - Please choose one
The basic accounting principle/concept according to which Business is independent

www.virtualinspire.com

from its owner(s) is known as:

- ► **Separate Entity Concept**
- ► Matching Concept
- ► Going Concern Concept
- ► Materiality Concept

Question No: 5 (Marks: 1) - Please choose one
Commercial Accounting is based on:

- ► Single entry book keeping
- ► **Double entry book keeping**
- ► Both single and double entry book keeping
- ► Cash basis of book keeping

Question No: 6 (Marks: 1) - Please choose one
Obligations to pay cash or un-earned incomes by the business are the:

- ► Expenses
- ► Assets
- ► **Liabilities**
- ► Equities

Question No: 7 (Marks: 1) - Please choose one
What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► **Increase in goods and decrease in cash**
- ► Increase in equipment and increase in equity

Question No: 8 (Marks: 1) - Please choose one
When Capital is increased by an amount, it is recorded on the:

- ► Left or credit side of the account
- ► Right or debit side of the account
- ► Left or debit side of the account
- ► **Right or credit side of the account**

Question No: 9 (Marks: 1) - Please choose one
Which of the following is also called "The original book of entry"?

- ► **General Journal**
- ► General Ledger
- ► Trial Balance
- ► Profit and Loss Account

Question No: 10 (Marks: 1) - Please choose one
An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

www.virtualinspire.com

- Income Statement
- Balance Sheet
- **Trial Balance**
- Cash Book

Question No: 11 (Marks: 1) - Please choose one (not sure)
Which of the following is **CORRECT** for Trading account?

- It inculdes cost of goods sold and all the direct expenses related to sales
- It inculdes cost of goods sold and all the indirect expenses related to sales
- It inculdes cost of goods sold and all the direct and indirect expenses
- **It inculdes cost of goods sold and all the direct and selling, administrative expenses**

Question No: 12 (Marks: 1) - Please choose one
Which one of the following is **NOT** prepared by Non profit organizations?

- **Profit & Loss account**
- Income & Expenditure account
- Receipts & Payments account
- Balance Sheet

Question No: 13 (Marks: 1) - Please choose one
Which of the following is an example of a Current liability?

- Closing inventory
- Opening inventory
- Petty cash
- **Bank overdraft**

Question No: 14 (Marks: 1) - Please choose one
Identify the business transaction for given entry below.

Vehicle Account	XXX	(Dr.)
Bank Account	XXX	(Cr.)

- **Paid for vehicle through cheque**
- Paid for vehicle through cash
- Purchased vehicle on credit
- None of the given options

Question No: 15 (Marks: 1) - Please choose one
"Mr. “A” collected cash from debtors", the journal entry for this transaction is:

- Mr. "A" a/c Dr. and debtors a/c Cr.
- Mr. "A" a/c Dr. and cash a/c Cr.
- Cash a/c Dr. and debtors a/c Cr.
- **None of the given options**

Question No: 16 (Marks: 1) - Please choose one

www.virtualinspire.com

Which of the following is an alternate term which can be used for “Capital”?

- ► Liability
- ► **Owner’s net worth**
- ► Working capital
- ► Asset

Question No: 17 (Marks: 1) - Please choose one

Which of the following organization converts raw material into finished goods?

- ► Trading concern
- ► **Manufacturing concern**
- ► Merchandising concern
- ► Service concern

Question No: 18 (Marks: 1) - Please choose one

The stock of manufacturing concern consists of:

- ► Work in Process Inventory
- ► Raw Materials Inventory
- ► Finished Goods Inventory
- ► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	**?**

- ► Rs. 20,000
- ► Rs.40, 000
- ► Rs.90, 000
- ► Rs.160, 000

NOTE:- Conversion Cost = Direct Labor Cost + Manufacturing Overhead Cost

Question No: 20 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

- ► Cost price
- ► Market value
- ► Fair value
- ► **Written down value (WDV)**

NOTE:- Because WDV is a value of fixed asset after deducting the depriciation

Question No: 21 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000

www.virtualinspire.com

Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

- **Rs.25, 000 loss**
- Rs. 75,000 loss
- Rs. 15,000 profit
- Rs. 1, 00,000 profit

Question No: 22 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

- **Rs.25, 000**
- Rs. 75,000
- Rs. 15,000
- Rs. 1, 00,000

Question No: 23 (Marks: 1) - Please choose one

If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

- **Any cheque drawn to creditor but not paid by bank**
- Interest credited by the bank in pass book
- Cheque deposited but not credited by the bank
- Dividend collected by bank on behalf of the customer

Question No: 24 (Marks: 1) - Please choose one

If you start with cash book favorable balance in Bank Reconciliation Statement, which item will be added?

- Cheque deposited but not credited by the bank
- Cheques omitted to be deposited into bank
- **Any amount directly collected by bank on behalf of customer but not recorded in cash book**
- Debit side of cash book was overcast

Question No: 25 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

- **A memorandum statement**
- A ledger account
- A part of cash book
- A part of journal

Question No: 26 (Marks: 1) - Please choose one

Bank Reconciliation Statement is prepared by:

www.virtualinspire.com

- ► Bankers
- ► **Accountant of the business**
- ► Statutory auditor
- ► Manger

Question No: 27 (Marks: 1) - Please choose one
Stock of Trading concern consists of:

- ► Raw material
- ► Work in process
- ► Merchandise inventory
- ► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one
When the process of production is completed, all the costs must be charged to:

- ► Raw material account
- ► Work in process account
- ► **Finished goods account**
- ► Merchandise account

Question No: 29 (Marks: 1) - Please choose one
Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► **Capital account**

Question No: 30 (Marks: 1) - Please choose one
If a business pays rent in advance for 12 months, it will be treated as:

- ► **Prepaid expenses of business**
- ► Long term liability of business
- ► Fixed assets of business
- ► Current liability of business

Question No: 31 (Marks: 1) - Please choose one
Accountancy covers which of the following area(s):

- ► Book-keeping
- ► Accounting
- ► Auditing
- ► **All of the given options**

Question No: 32 (Marks: 1) - Please choose one
The assets which have a limited useful life are termed as:

- ► Limited assets
- ► **Depreciateable assets**

www.virtualinspire.com

► Unlimited assets
► None of the given options

Question No: 33 (Marks: 1) - Please choose one
Depreciable value of an asset is equal to:

► Cost + scrap value
► Cost + market price
► Cost – scrap value
► **None of the given options**

The **depreciable value of an asset is equal to** its **purchase price** minus **installation costs**

Question No: 34 (Marks: 1) - Please choose one
Which one of the following is equal to the carrying cost of an asset?

► **Original cost minus Accumulated depreciation**
► Original cost plus Accumulated depreciation
► Original cost minus Residual value
► Written down value minus Accumulated depreciation

Question No: 35 (Marks: 1) - Please choose one
Which one of the following is another name of carrying cost of an asset?

► **Book Value**
► Residual Value
► Fair Value
► Break up Value

Question No: 36 (Marks: 1) - Please choose one
Which of the following fixed asset is shown at cost rather than book value?

► Machinery
► Furniture
► Vehicles
► **Land**

Question No: 37 (Marks: 1) - Please choose one
Which of the following statement is the detail of transaction in one's account provided by the bank?

► Bank statement
► **Bank reconciliation statement**
► Income statement
► Financial statement

Question No: 38 (Marks: 1) - Please choose one
When income exceeds expenses in a specific time period is known as:

► Savings
► Net profit
► **Gross profit**
► Operating profit

Question No: 39 (Marks: 1) - Please choose one
javascript:void(0); An asset cost Rs. 50,000, has an estimated residual value of Rs.1,

www.virtualinspire.com

500, and an estimated useful life of 8 years. What is the depreciation rate under reducing balance method?

- ► 11.5%
- ► 20.0%
- ► 25.0%
- ► **35.5%**

To calculate depreciation rate under reducing balance method we use formula:

Depreciation rate= 1- (residual value/ cost) $^{1/n}$

Question No: 40 (Marks: 1) - Please choose one

Mr." A" sold goods for Rs. 300,000 to Mr. "B", Rs. 300,000 will be treated as _____ for business of Mr. "A".

- ► **Revenue**
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 41 (Marks: 10)

Differentiate between capital and revenue expenditure.

CAPITAL: -

The value invested in the business by the owner in whatever form is called capital. The owner may introduce a capital of Rs. 250,000 which may be in the form of Rs. 200,000 cash and a machinery of Rs. 50,000. The capital of Rs. 250,000 is shown in Balance sheet as credit balance whereas cash and machinery being assets are shown in balance sheet as debit balance.

CAPITAL EXPENDITURE:-

These are expenses whose benefits last for a longer period or the benefits are yet to be enjoyed by the business. For example when a vehicle is purchased by the business, it will benefit the business for the current period and for the years to come. Capital expenditure always results in increase in assets. Therefore amount expended on vehicle is our capital expenditure and vehicle is shown in the balance sheet as an asset.

REVENUE EXPENDITURE:-

These are expenses whose benefits do not last for longer period and are restricted to current period only and no more benefits are to be enjoyed by the business in the coming periods. For example Salaries, utility bills, fuel bills paid, against which the organization enjoyed benefits for only current period

www.virtualinspire.com

MIDTERM EXAMINATION
MGT101- Financial Accounting

Question No: 1 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► ***All of the given options***

-

Question No: 2 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ***Rs.260***
- Rs.232
- Rs.284
- Rs.268

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

- ***Bank Overdraft***
- Accounts Receivable
- Notes Receivable
- Prepaid Expenses

Question No: 4 (Marks: 1) - Please choose one

Which of the following statement is **NOT TRUE** about Current liabilities?

- These are due within one year
- These are short-term loans
- ***These are consist of all debts, payable after 12 months***
- In working capital, these are deducted from current assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

- (1) & (2) only
- (2) & (3) only
- (1) & (3) only
- ***(1), (2) & (3)***

Question No: 6 (Marks: 1) - Please choose one

Income of the business includes:

- Cash sales only
- Credit sales only
- Credit purchases only
- ***Both cash sales and credit sales***

Question No: 7 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000

www.virtualinspire.com

Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

- ► Rs. 205,000
- ► Rs. 215,000
- ► ***Rs. 220,000***
- ► Rs. 225,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

- ► Stock account
- ► **Cash account**
- ► Supplier account
- ► Work in process account

Question No: 9 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

- ► **Rs.15,000**
- ► Rs. 35,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 10 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

- ► Capital account
- ► Sundry creditors account
- ► Accounts payable account
- ► **Cash account**

Question No: 11 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

- ► Purchases account
- ► **Mr. Ali account**
- ► Cash account
- ► Sales account

Question No: 12 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

- ► **Account**
- ► Voucher

www.virtualinspire.com

- ► Journal
- ► Trial balance

Question No: 13 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► **Left or debit side of the account**
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

Cost incurred for the maintenance of shop is considered as _____.

- ► Deferred expense
- ► Capital expense
- ► **Revenue expense**
- ► Preliminary expense

Question No: 15 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 16 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► ***Depreciation***
- ► Fluctuation
- ► None of the given options

Question No: 17 (Marks: 1) - Please choose one

Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► ***Amount of depreciation decreases every year***
- ► None of the given options

Question No: 18 (Marks: 1) - Please chose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► ***Rs.260***
- ► Rs.232
- ► Rs.284

www.virtualinspire.com

► Rs.320

Question No: 19 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► ***Rs. 75,000***
► Rs. 15,000
► Rs. 1, 00,000

Question No: 20 (Marks: 1) - Please choose one

In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► ***Cost of material consumed + Conversion cost***
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 21 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Cash Account
► Furniture Account
► Motor Account
► ***All of the above***

Question No: 22 (Marks: 1) - Please choose one

Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

► Cash account
► ***Sales account***
► Accounts receivable account
► Purchases account

Question No: 23 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

► Vehicle account
► ***Cash account***
► Business account
► Bank account

Question No: 24 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction

www.virtualinspire.com

(2) Narration of transaction
(3) Cheque number

- ► (1) & (2) only
- ► (2) & (3) only
- ► (1) & (3) only
- ► ***(1), (2) & (3)***

Question No: 25 (Marks: 1) - Please choose one

Commercial Accounting is based on:

- ► Single entry book keeping
- ► ***Double entry book keeping***
- ► Both single and double entry book keeping
- ► Cash basis of book keeping

Question No: 26 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

- ► ***Rs. 2, 25,000***
- ► Rs. 2, 50,000
- ► Rs. 2, 75,000
- ► Rs. 75,000

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

- ► Polish and finishing material for chair
- ► ***A piece of wood for the production of chair***
- ► Production worker's wages
- ► Depreciation expenses

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

- ► Stock account
- ► ***Cash account***
- ► Supplier account
- ► Work in process account

Question No: 29 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern EXCEPT:

- ► Raw material
- ► Work in process
- ► Finished goods
- ► ***Merchandise inventory***

Question No: 30 (Marks: 1) - Please choose one

Word "Credit" is derived from _____ language.

www.virtualinspire.com

► ***Latin***
► English
► French
► Chinese

Question No: 31 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► ***Rs. 965***
► Rs. 905

Question No: 32 (Marks: 1) - Please choose one

The assets which have a limited useful life are termed as:

► Limited assets
► ***Depreciateable assets***
► Unlimited assets
► None of the given options

The cost of moving plant and machinery to a new site will be treated as:

► ***Revenue expense***
► Capital expense
► Administrative expense
► Operating expense

Question No: 33 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

► ***Depreciation***
► Accumulated Depreciation
► Appreciation
► Written Down Value

Question No: 34 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► ***Rs. 5,500***
► Rs. 8,000

www.virtualinspire.com

► Rs. 4,500
► Rs. 8,500

Question No: 35 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

► Cost Accounting
► ***Financial Accounting***
► Management Accounting
► Tax Accounting

Question No: 36 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► ***Rs. 60,385 owner's equity***
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 41 (Marks: 10)

Show the effect of the following transactions upon the Accounting Equation.

2007 June1,	Mr. Salman started business with cash Rs. 1,00,000
5,	Purchased furniture for cash Rs. 4,000
6,	Purchased goods for cash Rs. 25,000
10,	Paid transportation on goods purchased Rs.1,000
12,	Sold goods for cash Rs. 15,000, costing 11,000
15,	Purchased goods on credit basis for Rs. 15,000
19,	Sold goods to Rashid on credit basis for Rs. 8,000, costing Rs. 6,500
25,	Received cash from Rashid Rs. 4,000
28,	Cash paid to creditor Rs. 9,000
30,	Paid rent and salaries for the month Rs. 4,000

www.vulmspire.com

MGT101- Financial Accounting (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

► **Rs. 1, 29,000**
► Rs. 1, 50,000

- Rs. 1, 21,000
- Rs. 71,000

Question No: 2 (Marks: 1) - Please choose one
Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

- Rs. 1, 02,885 other assets
- Rs. 1, 02,885 other liabilities
- Rs. 99,885 current liabilities
- **Rs. 99,385 other assets**

Question No: 3 (Marks: 1) - Please choose one
Bank Reconciliation Statement is prepared by:

- Bankers
- **Accountant of the business**
- Statutory auditor
- Manger

Question No: 4 (Marks: 1) - Please choose one
Bank Reconciliation Statement is:

- **A memorandum statement**
- A ledger account
- A part of cash book
- A part of journal

Question No: 5 (Marks: 1) - Please choose one
Expenditures incurred anually on renewal of patent are known as:

- **Revenue Expenditures**
- Capital Expenditures
- Financial Expenditures
- Operating Expenditures

Question No: 6 (Marks: 1) - Please choose one

Particulars	**Rs.**
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

www.virtualinspire.com

- Rs. 205,000
- **Rs. 215,000**
- Rs. 220,000
- Rs. 225,000

Question No: 7 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

- **Rs. 60,000 loss**
- Rs. 75,000 profit
- Rs. 25,000 loss
- Rs. 1, 00,000 profit

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

- Stock account
- **Cash account**
- Supplier account
- Work in process account

Question No: 9 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- Rs. 15,000
- **Rs. 35,000**
- Rs. 55,000
- Rs. 60,000

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

- **Rs.15,000**
- Rs. 35,000
- Rs. 55,000
- Rs. 60,000

Question No: 11 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

www.virtualinspire.com

- ► Capital account
- ► Sundry creditors account
- ► Accounts payable account
- ► **Cash account**

Question No: 12 (Marks: 1) - Please choose one
The amount of salary paid to Mr. Sohail should be debited to:

- ► Mr. Sohail account
- ► **Salaries account**
- ► Cash account
- ► Drawings account

Question No: 13 (Marks: 1) - Please choose one
Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

- ► Purchases account
- ► **Mr. Ali account**
- ► Cash account
- ► Sales account

Question No: 14 (Marks: 1) - Please choose one
The unfavorable balance of Profit and Loss account should be:

- ► Added in liabilities
- ► Subtracted from current assets
- ► Subtracted from liabilities
- ► **Subtracted from capital**

Question No: 15 (Marks: 1) - Please choose one
Which of the following is **NOT** an example of Current Asset?

- ► **Bank Overdraft**
- ► Accounts Receivable
- ► Notes Receivable
- ► Prepaid Expenses

Question No: 16 (Marks: 1) - Please choose one
Which one of the following is **NOT** prepared by Non profit organizations?

- ► **Profit & Loss account**
- ► Income & Expenditure account
- ► Receipts & Payments account
- ► Balance Sheet

Question No: 17 (Marks: 1) - Please choose one
An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- ► Income Statement

www.virtualinspire.com

- ► Balance Sheet
- ► **Trial Balance**
- ► Cash Book

Question No: 18 (Marks: 1) - Please choose one

Documentary evidence, in a specific format used to record the details of a transaction is known as:

- ► Account
- ► **Voucher**
- ► Journal
- ► Ledger

Question No: 19 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

- ► **Account**
- ► Voucher
- ► Journal
- ► Trial balance

Question No: 20 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► **Left or debit side of the account**
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 21 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

- ► **Decrease in an asset, decrease in a liability**
- ► Increase in an asset, increase in a liability
- ► Decrease in an asset, decrease in owner's equity
- ► Increase in an asset, increase in owner's equity

Question No: 22 (Marks: 1) - Please choose one

Commercial Accounting is based on:

- ► Single entry book keeping
- ► **Double entry book keeping**
- ► Both single and double entry book keeping
- ► Cash basis of book keeping

Question No: 23 (Marks: 1) - Please choose one

Cost incurred for the maintenance of shop is considered as _____.

- ► Deferred expense

www.virtualinspire.com

- ► Capital expense
- ► **Revenue expense**
- ► Preliminary expense

Question No: 24 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 3, 00,000 to Mr. “B”, Rs. 3, 00,000 will be treated as _____ for business.

- ► **Revenue**
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 25 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following financial statement shows the financial health of an Organization at a stated period of time?

- ► Balance sheet
- ► **Trading and Profit & Loss account**
- ► Cash Flow statement
- ► Statement of retained earnings

Question No: 27 (Marks: 1) - Please choose one

The records that are kept for the individual asset, liability, equity, revenue, expense, and dividend components are known as:

- ► **Accounts**
- ► Vouchers
- ► Journals
- ► Statements

Question No: 28 (Marks: 1) - Please choose one

Revenue should be recognized or recorded when the goods are sold or services are rendered to the customer, this concept is known as:

- ► Consistency concept
- ► **Realization Concept**
- ► Materiality concept
- ► Matching concept

Question No: 29 (Marks: 1) - Please choose one

A record maintained which is measurable in the form of money, this concept of accounting is known as:

- ► Matching concept
- ► Consistency concept
- ► **Money measurement concept**

www.virtualinspire.com

► Materiality concept

Question No: 30 (Marks: 1) - Please choose one
The cost of goods and services used up in the process of obtaining revenue is known as:

► Revenue
► **Expense**
► Liability
► Expenditure

Question No: 31 (Marks: 1) - Please choose one
Which of the following is an accounting system in which events are recorded as and when they occur?

► Cash Accounting
► **Accrual Accounting**
► Both Accrual Accounting and Cash Accounting
► None of the above

Question No: 32 (Marks: 1) - Please choose one
Recording of all financial transactions undertaken by an individual or organization is known as:

► Summarizing
► **Book-keeping**
► Classification
► Interpreting

Question No: 33 (Marks: 1) - Please choose one
Any cheque drawn to creditor but not paid by bank will effect as follows:

► **Cash book will show less balance & bank book will show more**
► Cash book will show more balance & bank book will show less
► Cash book will show double balance
► Bank book will show double balance

Question No: 34 (Marks: 1) - Please choose one
If no distribution is made between capital and revenue expenditure then:

► The figure of debtors and creditors will be incorrect

► Cash or bank figure will be incorrect

► **Net profit will be incorrect**

► Balance sheet will not balance

Question No: 35 (Marks: 1) - Please choose one
The Policy for charging depreciation is selected by:

► Manufacturer
► Trader
► **Management**
► Accountant

www.vulinspire.com

Question No: 36 (Marks: 1) - Please choose one

The estimated value at which an asset is expected to be sold after the end of its useful life is called:

- ► Residual value
- ► Salvage Value
- ► Scrap Value
- ► **All of the given options**

Question No: 37 (Marks: 1) - Please choose one

Mr. "A" borrowed money from bank; this transaction involves which one of the following accounts:

- ► Cash & Mr. A
- ► Bank & Mr. A
- ► Drawing & Mr. A
- ► **Cash & Bank**

Question No: 38 (Marks: 1) - Please choose one

The beginning balance of Owner's Equity was Rs.7,500. The dividends paid to stockholders were Rs.1,500. The ending balance of Owner's Equity is Rs.5,000. What was the Net Income or Net Loss for the accounting period?

- ► Net Loss of Rs. 1,000
- ► **Net Income of Rs. 1,000**
- ► Net Loss of Rs. 3,000
- ► Net Income of Rs. 3,000

Question No: 39 (Marks: 1) - Please choose one

A company sold Rs. 400,000 of merchandise for cash and Rs.120,000 of merchandise to credit customers who will pay for the merchandise in a later time period. How much revenue should be reported on the income statement of the current time period under Cash Basis of Accounting?

- ► Rs. 280,000
- ► Rs. 520,000
- ► **Rs. 400,000**
- ► Rs. 120,000

Question No: 40 (Marks: 1) - Please choose one

Which one of the following statement is wrong about Current liabilities?

- ► These are due within one year
- ► These are short-term loans
- ► **A vague term for loans to be repaid by an enterprise after twelve months**
- ► In working capital, these are deducted from assets

Question No: 41 (Marks: 10)

Calculate depreciation of the asset for five years by using written down value method. Also show accumulated depreciation.

Cost of the asset	Rs. 1,20,000
Depreciation Rate	10%
Expected Life	5 years

www.virtualinspire.com

ANSWER

YR	Written down value method	RS	Accumulated depreciation
1	cost	120,000	
	Depreciation @ 10%... 10%*120,000	12,000	12,000
	WDV… 120,000-12,000	108,000	
2	Dep @ 10%... 10%*108000	10,800	22800
	WDV= 108,000-10,800	97,200	
3	Dep @ 10%... 10%*97,200	9,720	32520
	WDV= 97,200-9,720	87,480	
4	Dep @ 10%...10%*87,480	8,748	41,268
	WDV=87,480-8,748	78,732	
5	Dep @ 10%...10%*78,732	7873.2	49,141.2
	WDV=78,732-7873.2	70858.8	

www.virtualinspire.com

100% sure Question No: 1 (Marks: 1) - Please choose one(chapter # 30)

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► **Reserve**

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

- ► Assets of old business will be revalued
- ► Liabilities of old business will be revalued
- ► Good will of business will be revalued
- ► **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000
► **Rs. 195,000**
► Rs. 200,000
► Rs. 205,000

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan
► Dividend issue in the current year
► **Money received as result of selling fixed assets**
► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► **Purchase of fixed asset**
► Sale of fixed asset
► Issue of debentures
► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only
► **it will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association
► Articles of Association
► **Prospectus**
► Statutory Declaration

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

www.virtualinspire.com

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association
► **Articles of association**
► Statutory report
► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

► Partnership registration
► Partnership-at-will
► **Partnership deed**
► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► **Accounts receivable arises when a company buys goods or services from another party on credit**
► Accounts receivable is a miscellaneous category that may include loans to employees
► **Accounts receivable are more formal than notes receivable**
► Accounts receivable are often called trade receivables

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

www.virtualinspire.com

► It is a reduction from assets
► It is prepared for specific purposes
► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement
► The bank statement for the business
► **A balance sheet**
► **A statement of retained earnings**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► **Purchasing operating equipment**
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year
► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► **Rs. 2,400**
► Rs. 3,080

www.virtualinspire.com

► Rs. 5,480

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► **Rs. 2,600**

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)
► Debtor's Account (Dr.) and Bank Account (Cr.)
► **Dishonored Cheque Account (Dr.) and Bank Account (Cr.)**
► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► **Both of Mr. P's & Mr.Q's Account**
► Only Cash Account
► Only P's account
► Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

► Sales account
► Purchase account
► A's account and Sales account
► **Sales account, purchase account and A's account**

100%sure Question No: 25 (Marks: 1) - Please choose one(chapter # 28)

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle
► **Error of omission**
► Error of commission

www.virtualinspire.com

► Error of original entry

100%sure Question No: 26 (Marks: 1) - Please choose one(chapter # 28)

Transaction that has been completely forgotten to enter is called:

► Error of principle
► **Error of omission**
► Error of commission
► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**
► Credit sales
► Bills receivable
► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► **Debtors Ledger**
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► Subsidiary Ledgers
► Creditors Control Accounts
► Debtors Control Accounts
► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► **Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)**

www.virtualinspire.com

► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

► It is shown in balance sheet
► It is a definite loss to the business
► **It is not shown in balance sheet**
► No provision is necessary for it

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)
► Rs. 5 500 (Cr)
► Rs. 4 500 (Dr)
► **Rs. 4 500 (Cr)**

Question No: 35 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**
► Correct errors in the Cash Book or errors in the Bank Statement
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**

www.virtualinspire.com

► It refers to the end life of an asset
► It refers to the increase in value of asset
► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities
► Rs. 11,000 liabilities
► Rs. 1, 10,000 liabilities
► **Rs. 1, 11,000 liabilities**

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?
(1) Ledger code
(2) Amount of Receipt
(3) Amount of payment

► (1) only
► (1) & (2) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

www.virtualinspire.com

► Opening raw material inventory - Purchases + Ending raw material inventory
► Ending raw material inventory + Opening raw material inventory - Purchases
► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability
► **Owner's net worth**
► Working capital
► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► If current assets > current liabilities
► If current Assets < current Liabilities
► **If current assets = current liabilities**
► If current assets ≤ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► **Rs. 2,800**
► Rs.18, 800

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

► Cash account
► **Capital account**
► Drawings account
► Proprietor account

Question No: 46 (Marks: 1) - Please choose one

www.virtualinspire.com

An asset on the balance sheet which is expected to be sold or used within one year is known as:

- Tangible asset
- **Current asset**
- Fixed asset
- Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

- Book of original entry
- **'T' Account**
- Source document
- Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- **Cash & Capital Account**
- Cash & Expense Account
- Capital & Revenue Account
- Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

Mr." A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

- **Revenue**
- Net profit
- Gross profit
- Operating profit

Question No: 50 (Marks: 1) - Please choose one

when income exceeds expenses in a specific time period is known as:

- Savings
- **Net profit**
- Gross profit
- Operating profit

Question No: 51 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Capital = 1500000 mark up= 1500000
2nd capital= 10000 markup= 1000

www.virtualinspire.com

3rd capital= 500000 markup= 50000
4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

1. Balance as per Cash Book (Cr) is Rs. 19,000.
2. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
3. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
4. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
5. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
6. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
7. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book Cr 19000

www.virtualinspire.com

Unpresented cheques Dr 5000
Uncredited cheque Dr 10000
Interest by bank Dr. 1000

Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	3,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	9,000
closing written down value (WDV) of the Machine	?

Opening+expenditure – depreciation
3, 00,000+50,000 – 9,000 =

- ► Rs. 3, 41,000
- ► Rs. 3, 50,000
- ► Rs. 3, 59,000
- ► Rs. 59,000

Question No: 2 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

- ► **Rs. 2, 25,000**
- ► Rs. 2, 50,000
- ► Rs. 2, 75,000
- ► Rs. 75,000

100%Sure Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 1, 25,000
- ► Rs. 1, 03,000

Question No: 4 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385

www.virtualinspire.com

Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

- **Rs. 60,385 owner's equity**
- Rs. 61,385 owner's equity
- Rs. 99,885 owner's equity
- Rs. 99,385 owner's equity

Question No: 5 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

- Rs. 2, 01,000 liabilities
- **Rs. 1, 11, 000 liabilities**
- Rs. 2, 90, 000 liabilities
- Rs. 2, 91, 000 liabilities

Question No: 6 (Marks: 1) - Please choose one

When the process of production is completed, all the costs must be charged to:

- Raw material account
- Work in process account
- **Finished goods account**
- Merchandise account

Question No: 7 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

- Current assets
- Liquid assets
- Floating assets
- **Fixed assets**

Question No: 8 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

- Factory Buildings
- Office Equipment
- Plant & Machinery
- **Land**

Question No: 9 (Marks: 1) - Please choose one

The main goal of Bank Reconciliation Statement is to determine:

- **If the discrepancy is due to error rather than timing**

www.virtualinspire.com

► If the discrepancy is due to timing rather than error
► If the discrepancy is due to error rather than amount
► If the discrepancy is due to amount rather than timing

Question No: 10 (Marks: 1) - Please choose one

Sale proceeds of goods are an example of:

► Revenue expense
► Capital expense
► Capital receipt
► **Revenue receipt**

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
► **They do not appear in the balance sheet**

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
► **Rs.320**

Question No: 13 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

www.virtualinspire.com

- Rs. 1,225
- Rs. 1,015
- Rs. 965
- **Rs. 905**

Question No: 14 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Rate of depreciation= 40%
The book value of machine after one years using diminishing balance method is ?

- Rs.86, 400
- Rs. 1, 44,000
- **Rs. 2, 40,000**
- Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

- Rs.25, 000
- **Rs. 75,000**
- Rs. 15,000
- Rs. 1, 00,000

Question No: 16 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

- **Rs.25, 000 loss**
- Rs. 75,000 loss
- Rs. 15,000 profit
- Rs. 1, 00,000 profit

Question No: 17 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000

www.virtualinspire.com

Profit or loss on disposal of fixed asset	**?**

- **Rs. 60,000 loss**
- Rs. 75,000 profit
- Rs. 25,000 loss
- Rs. 1, 00,000 profit

Question No: 18 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- Prime cost
- **Conversion cost**
- Sunk cost
- Opportunity cost

Question No: 19 (Marks: 1) - Please choose one

WhicWhich of the following is an example of direct materials cost?

- Polish and finishing material for chair
- **A piece of wood for the production of chair**
- Production worker's wages
- Depreciation expenses

Question No: 20 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

- Rs. 5,000
- **Rs. 10,000**
- Rs. 15,000
- Rs. 20,000

Question No: 21 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

- Interest expenses
- **Wages and salaries**
- Depreciation expenses
- Discount Allowed

Question No: 22 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

- Liability
- **Owner's net worth**

www.virtualinspire.com

► Working capital
► Asset

Question No: 23 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

► **Profit and loss account**
► Balance sheet
► Statement of financial position
► All of the given options

Question No: 24 (Marks: 1) - Please choose one

If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► Rs. 5,000 Loss
► **Rs. 5, 000 Profit**
► Rs.1, 95,000 Profit
► Rs.1, 95,000 Loss

Question No: 25 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
► **All of the given options**

Question No: 26 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
► **Cash account**

Question No: 27 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

► **Furniture account (Dr) and Bank account (Cr)**
► Furniture account (Dr) and Profit & Loss account (Cr)
► Furniture account (Dr) and Cash account (Cr)
► Cash account (Dr) and Furniture account (Cr)

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statement is **CORRECT** about Long term liabilities?

www.virtualinspire.com

- These are due within one year
- **These are consist of all debts, payable after 12 months**
- In working capital, these are deducted from current assets
- All of the given options

Question No: 29 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

- Selling Expenses
- General Expenses
- Financial Expenses
- **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

- Deficit
- Surplus
- **Profit**
- Loss

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

- **Profit & Loss account**
- Income & Expenditure account
- Receipts & Payments account
- Balance Sheet

Question No: 32 (Marks: 1) - Please choose one

Which of the following financial statement summarizes the profitability of an organization for a particular period?

- Trading and Profit & Loss account
- Cash Flow Statement
- Statement of Retained Earnings
- Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

- 1st January to 31st December
- 1st June to 31st May
- **1st July to 30th June**
- 1st October to 30th September

www.virtualinspire.com

Question No: 34 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► **Increase in goods and decrease in cash**
- ► Increase in equipment and increase in equity

Question No: 35 (Marks: 1) - Please choose one

Obligations to pay cash or un-earned incomes by the business are the:

- ► Assets
- ► **Liabilities**
- ► Equities
- ► Expenses

Question No: 36 (Marks: 1) - Please choose one

Commercial Accounting is based on:

- ► Single entry book keeping
- ► **Double entry book keeping**
- ► Both single and double entry book keeping
- ► Cash basis of book keeping

Question No: 37 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

- ► **Latin**
- ► English
- ► French
- ► Chinese

Question No: 38 (Marks: 1) - Please choose one

The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

- ► **Separate Entity Concept**
- ► Matching Concept
- ► Going Concern Concept
- ► Materiality Concept

Question No: 39 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► Both cash and accrual accounting
- ► None of the given options

www.virtualinspire.com

Question No: 40 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Structure information
- ► All of the given options

Question No: 41 (Marks: 10)

Record the following transactions in the General Journal.

Date:	Transactions
Jan 1, 2007	Mr. Asghar started business with cash Rs. 1, 00,000.
Jan 2, 2007	Opened bank account with amount Rs. 50,000.
Jan 4, 2007	Purchased goods for cash Rs. 15,000.
Jan 9, 2007	Payment made to Karachi store (Creditor) Rs. 15,000 by cheque.
Jan14, 2007	Goods returned to Karachi store worth Rs. 1,500.
Jan22, 2007	Goods sold for cash Rs. 2,000.

DR
Bank account 50,000
Purchased goods for cash Rs. 15,000
Payment made to Karachi store (Creditor) Rs. 15,000 by cheque
Goods returned to Karachi store worth Rs. 1,500
Credit balance 20500

Cr
Mr. Asghar started business with cash Rs. 1, 00,000
Goods sold for cash Rs. 2,000.

www.virtualinspire.com

1. If Accumulated profit brought forward has credit nature, what will be its treatment?

a. It will be added in net profit for the year

b. It will be subtracted from the net profit for the year

c. It will be deducted from current Assets

d. It will be added in current assets

2. Fixed Assets at WDV + working capital =?

a. Total shareholders equity

b. Net capital employed

c. Long term loan

d. Current liability

3. Keeping in view the following data, what will be Net Cash Flow from Investing Activities?

Particulars Rs.

Purchases from short term borrowing 45,000

Purchases of marketable securities (65,000)

Proceeds from marketable securities 40,000

Loans made to borrowers (17,000)

Cash paid acquire plant assets (160,000)

Proceeds from sales of sales of plant Assets 75,000

Collection on loans 12,000

a. Rs. (115,000)

b. Rs. 100,000

c. Rs. 55,000

d. None of the given options

4. Keeping in view the following data, what will be Net cash provided by operating activities?

Particulars Rs.

Net income 65,000

Depreciation expenses 40,000

Decrease in accrued interest receivable 1,000

Increase in accounts payable 15,000

Increase in accrued liabilities 7,000

Non operating loss on sales of marketable securities 4,000

Increase in accounts receivable 30,000

Increase in inventory 10,000

Decrease in accrued liabilities 8,000

Increase in prepayments 3,000

www.virtualinspire.com

Non operating gain on sales of plant assets 31,000

Net cash provided by operating activities **?**

a. Rs. 115,000

b. Rs. 100,000

c. Rs. 50,000

d. None of the given options

5. Advances from customers are shown in which of the following heads in Balance Sheet?

a. Current Assets

b. Current liabilities

c. Fixed Assets

d. Long term liabilities

6. While preparing cash flow statements, the repayments of a loan during the year should be included under the heading of:

a. Operating activities

b. Financing activities

c. Investing activities

d. None of the given options

7. Which of the following statement is also known as a source and use statements?

a. Income Statements

b. Statement of Cash Flows

c. Balance Sheet

d. Statement of Retained Earnings

8. Calculate depreciation for the year =?

Building at cost = Rs. 1, 00,000

Depreciation rate = 10%

a. Rs. 10,000

b. Rs. 1,000

www.virtualinspire.com

ACCOUNTING

1 Which of the following statements is incorrect?

- Assets - Capital = Liabilities
- Liabilities + Assets = Capital
- Liabilities + Capital = Assets
- Assets - Liabilities = Capital

2 Which of the following is not an asset?

- Buildings
- Debtors
- Loan from K Harris
- Cash balance

3 Which of the following is a liability?

- Motor Vehicles
- Machinery
- Creditors for goods
- Cash at Bank

4 Which of the following is incorrect?

	Assets	*Liabilities*	*Capital*
	£	£	£
(A)	7,850	1,250	6,600
(B)	8,200	2,800	5,400
(C)	9,550	1,150	8,200
(D)	6,540	1,120	5,420

- (A)
- (B)
- (C)
- (D)

5 Which of the following statements is correct?

		Effect upon	
		Assets	*Liabilities*
(A)	We paid a creditor by cheque	-Bank	-Creditors
(B)	A debtor paid us £90 in cash	+Cash	+Debtors
(C)	J Hall lends us £500 by cheque	+Bank	-Loan from Hall
(D)	Bought goods on credit	+Stock	+Capital

- (A)

- (B)
- (C)
- (D)

6 Which of the following are correct?

	Accounts	*To record*	*Entry in the account*
(*i*)	Assets	an increase	Debit
		a decrease	Credit
(*ii*)	Capital	an increase	Debit
		a decrease	Credit
(*iii*)	Liabilities	an increase	Credit
		a decrease	Debit

- (i), (ii) and (ii)
- (i) and (ii)
- (i) and (iii)
- (ii) and (iii)

7 Which of the following are correct?

		Account to be debited	*Account to be credited*
(*i*)	Bought office furniture for cash	Office furniture	Cash
(*ii*)	A debtor, P Sangster, pays us by cheque	Bank	P Sangster
(*iii*)	Introduced capital by cheque	Capital	Bank
(*iv*)	Paid a creditor, B Lee, by cash	B Lee	Cash

- (i) and (iv) only
- (i), (ii) and (iii) only
- (i), (ii) and (iv) only
- (ii), (iii) and (iv) only

8 Which of the following are incorrect?

		Account to be debited	*Account to be credited*
(*i*)	Sold van for cash	Cash	Van
(*ii*)	Returned some of Office Equipment to Suppliers Ltd	Office Equipment	Suppliers Ltd
(*iii*)	Repaid part of loan from C Charles by cheque	Loan from C Charles	Bank
(*iv*)	Bought machinery on credit from Betterways Ltd	Betterways Ltd	Machinery

- (i) and (iii) only
- (ii) and (iv) only
- (iii) and (iv) only
- (ii) and (iii) only

9 Which of the following best describes the meaning of 'Purchases'?

- Goods bought on credit
- Goods paid for
- Goods bought for resale
- Items bought

10 Which of the following should not be called 'Sales'?

- Goods sold for cash
- Sale of item previously included in 'Purchases'
- Office fixtures sold
- Goods sold on credit

11 Of the following, which are correct?

		Account to be debited	*Account to be credited*
(*i*)	Goods sold on credit to R Williams	R Williams	Sales
(*ii*)	S Johnson returns goods to us	Returns inwards	S Johnson
(*iii*)	Goods bought for cash	Cash	Purchases
(*iv*)	We returned goods to A Henry	A Henry	Returns inwards

- (iii) and (iv) only
- (ii) and (iv) only
- (i) and (ii) only
- (i) and (iii) only

12 Which of the following are incorrect?

		Account to be debited	*Account to be credited*
(*i*)	Goods sold for cash	Cash	Sales
(*ii*)	Goods bought on credit from T Carter	Purchases	T Carter
(*iii*)	Goods returned by us to C Barry	C Barry	Returns outwards
(*iv*)	Van bought for cash	Purchases	Cash

- (ii) and (iv) only
- (iv) only
- (iii) only
- (i) and (iii) only

13 Given the following, what is the amount of Capital? Assets: Premises £20,000; Stock £8,500; Cash £100. Liabilities: Creditors £3,000; Loan from A Adams £4,000

- £21,100
- £21,400

- [ ] £21,600
- [ ] £32,400

14 Which of the following is correct?

- [ ] Profit reduces capital
- [ ] Profit increases capital
- [ ] Capital can only come from profit
- [ ] Profit does not alter capital

15 Which of the following are correct?

		Account to be debited	*Account to be credited*
(*i*)	Received commission by cheque	Bank	Commission received
(*ii*)	Paid rates by cash	Rates	Cash
(*iii*)	Paid motor expenses by cheque	Motor expenses	Bank
(*iv*)	Received refund of insurance by cheque	Insurance	Bank

- [ ] (i), (ii) and (iii) only
- [ ] (i) and (ii) only
- [ ] (i), (ii) and (iv) only
- [ ] (i), (iii) and (iv) only

16 Of the following, which are incorrect?

		Account to be debited	*Account to be credited*
(*i*)	Sold van for cash	Cash	Sales
(*ii*)	Bought stationery by cheque	Stationery	Bank
(*iii*)	Took cash out of business for private use	Cash	Drawings
(*iv*)	Paid general expenses by cheque	General expenses	Bank

- [ ] (ii) and (ii) only
- [ ] (ii) and (iv) only
- [ ] (i) and (iii) only
- [ ] (ii) and (iii) only

17 What is the balance on the following account on 31 May 20X5?

C De Freitas

20X5		£	20X5		£
May 1	Sales	205	May 17	Cash	300
" 14	Sales	360	" 28	Returns	50
" 30	Sales	180			

- [ ] A debit balance of £395
- [ ] A credit balance of £395

- There is a nil balance on the account
- A debit balance of £380

18 What would have been the balance on the account of C De Freitas in MC17 on 19 May 20X5?

- A credit balance of £445
- A credit balance of £95
- A credit balance of £265
- A debit balance of £265

19 Which of the following best describes a trial balance?

- Shows all the entries in the books
- It is a list of balances on the books
- Shows the financial position of a business
- It is a special account

20 Is it true that the trial balance totals should agree?

- No, there are sometimes good reasons why they differ
- Yes, always
- Yes, except where the trial balance is extracted at the year end
- No, because it is not a balance sheet

21 Gross profit is:

- Cost of goods sold + Opening stock
- Excess of sales over cost of goods sold
- Sales less Purchases
- Net profit less expenses of the period.

22 Net profit is calculated in the:

- Profit and loss account
- Balance sheet
- Trial balance
- Trading account

http://vustudents.ning.com

23 To find the value of closing stock at the end of a period we
- do this by stocktaking
- deduct cost of goods sold from sales
- deduct opening stock from cost of goods sold
- look in the stock account

24 The credit entry for net profit is on the credit side of:
- The trading account
- The drawings account
- The capital account
- The profit and loss account

25 Which of these best describes a balance sheet?
- A statement of assets
- A listing of balances
- An account proving the books balance
- A record of closing entries

26 The descending order in which current assets should be shown in the balance sheet is:
- Debtors, Stock, Bank, Cash
- Cash, Bank, Debtors, Stock
- Stock, Debtors, Cash, Bank
- Stock, Debtors, Bank, Cash

27 Which of these best describes fixed assets?
- Are bought to be used in the business
- Are expensive items bought for the business
- Are items which will not wear out quickly
- Are of long life and are not bought specifically for resale

28 Carriage inwards is charged to the trading account because:
- Carriage outwards goes in the profit and loss account
- It is an expense connected with buying goods
- It is not part of motor expenses

http://vustudents.ning.com

- It should not go in the balance sheet

29 Given figures showing: Sales £8,200; Opening stock £1,300; Closing stock £900; Purchases £6,400; Carriage inwards £200, the cost of goods sold figure is:

- Another figure
- £6,200
- £6,800
- £7,000

30 The costs of putting goods into a saleable condition should be charged to:

- Trading account
- Profit and loss account
- Balance sheet
- None of these

31 Suppliers' personal accounts are found in the:

- Sales ledger
- Nominal ledger
- Purchases ledger
- General ledger

32 The Sales Day Book is best described as:

- Containing customers' accounts
- Containing real accounts
- Part of the double entry system
- A list of credit sales

33 Which of the following are personal accounts?
(i) Buildings
(ii) Wages
(iii) Debtors
(iv) Creditors

- (ii) and (iii) only
- (i) and (iv) only
- (ii) and (iv) only
- (iii) and (iv) only

http://vustudents.ning.com

34 When Lee makes out a cheque for £50 and sends it to Young, then Lee is known as:

- The payee
- The banker
- The drawer
- The creditor

35 If you want to make sure that your money will be safe if Cheques sent are lost in the post, you should:

- Always pay by cash
- Cross your Cheques 'Account Payee only, Not Negotiable'
- Always take the money in person
- Not use the postal service in future

36 When banking money in to your current account you should always use:

- A general ledger
- A cheque book
- A cash book
- A paying-in slip

37 A debit balance of £100 in a cash account shows that:

- There was £100 cash in hand
- The total of cash received was less than £100
- £100 was the total of cash paid out
- Cash has been overspent by £100

38 £50 cash taken from the cash till and banked is entered:

- Debit cash column £50: Credit bank column £50
- Debit bank column £50: Credit bank column £50
- Debit bank column £50: Credit cash column £50
- Debit cash column £50: Credit cash column £50

39 A credit balance of £200 on the cash columns of the cash book would mean:

- We have £200 cash in hand
- Someone has stolen £200 cash
- We have spent £200 more than we have received

http://vustudents.ning.com

- The bookkeeper has made a mistake

40 'Posting' the transactions in bookkeeping means:

- Making the second entry of a double entry transaction
- Entering items in a cash book
- Making the first entry of a double entry transaction
- Something other than the above

41 A cash discount is best described as a reduction in the sum to be paid:

- If payment is made by cash, not cheque
- If purchases are made for cash, not on credit
- If payment is made either by cash or cheque
- If payment is made within a previously agreed period

42 Discounts received are:

- Deducted by us when we pay our accounts
- Deducted when we receive cash
- Given by us when we sell goods on credit
- None of these

43 The total of the 'Discounts Allowed' column in the Cash Book is posted to:

- The debit of the Discounts Received account
- The debit of the Discounts Allowed account
- The credit of the Discounts Allowed account
- The credit of the Discounts Received account

44 Sales invoices are first entered in:

- The Cash Book
- The Purchases Journal
- The Sales Journal
- The Sales Account

45 The total of the Sales Journal is entered on:

- The debit side of the Sales Account in the General Ledger
- The credit side of the General Account in the Sales Ledger

http://vustudents.ning.com

- The credit side of the Sales Account in the General Ledger
- The debit side of the Sales Day Book

46 Given a purchases invoice showing 5 items of £80 each, less trade discount of 25 per cent and cash discount of 5 per cent, if paid within the credit period, your cheque would be made out for:

- £260
- £280
- £285
- None of these

47 An alternative name for a Sales Journal is:

- Sales Day Book
- Sales Ledger
- Sales Invoice
- Daily Sales

48 Entered in the Purchases Journal are:

- Discounts received
- Purchases invoices
- Payments to suppliers
- Trade discounts

49 The total of the Purchases Journal is transferred to the:

- Credit side of the Purchases Account
- Credit side of the Purchases Book
- Debit side of the Purchases Account
- Debit side of the Purchases Day Book

50 Credit notes issued by us will be entered in our:

- Sales Account
- Returns Outwards Journal
- Returns Inwards Journal
- Returns Inwards Account

51 The total of the Returns Outwards Journal is transferred to:

http://vustudents.ning.com

- The debit side of the Returns Outwards Account
- The credit side of the Returns Outwards Book
- The credit side of the Returns Outwards Account
- The debit side of the Purchases Returns Book

52 We originally sold 25 items at £12 each, less 331/3 per cent trade discount. Our customer now returns 4 of them to us. What is the amount of credit note to be issued?

- £36
- £30
- £32
- £48

53 Depreciation is:

- The salvage value of a fixed asset
- The amount of money spent in replacing assets
- The part of the cost of the fixed asset consumed during its period of use by the firm
- The amount spent to buy a fixed asset

54 A firm bought a machine for £3,200. It is to be depreciated at a rate of 25 per cent using the Reducing Balance Method. What would be the remaining book value after 2 years?

- £2,400
- £1,800
- £1,600
- Some other figure

55 A firm bought a machine for £16,000. It is expected to be used for 5 years then sold for £1,000. What is the annual amount of depreciation if the straight line method is used?

- £3,750
- £3,100
- £3,200
- £3,000

56 At the balance sheet date the balance on the Accumulated Provision for Depreciation Account is:

- Transferred to Depreciation Account
- Transferred to the Asset Account

http://vustudents.ning.com

- Transferred to Profit and Loss Account
- Simply deducted from the asset in the Balance Sheet

57 In the trial balance the balance on the Provision for Depreciation Account is:

- Not shown, as it is part of depreciation
- Sometimes shown as a credit, sometimes as a debit
- Shown as a credit item
- Shown as a debit item

58 If an accumulated provision for depreciation account is in use then the entries for the year's depreciation would be:

- Credit Asset Account, debit Provision for Depreciation Account
- Debit Asset Account, credit Profit and Loss Account
- Credit Provision for Depreciation Account, debit Profit and Loss Account
- Credit Profit and Loss Account, debit Provision for Depreciation Account

59 When the final accounts are prepared, the Bad Debts Account is closed by a transfer to the:

- Trading Account
- Provision for Doubtful Debts Account
- Balance Sheet
- Profit and Loss Account

60 A Provision for Doubtful Debts is created:

- When debtors cease to be in business
- To provide for possible bad debts
- When debtors become bankrupt
- To write off bad debts

61 Working Capital is a term meaning:

- The total of Fixed Assets - Current Assets
- The capital less drawings
- The amount of capital invested by the proprietor
- The excess of the current assets over the current liabilities

62 A credit balance brought down on a Rent Account means:

http://vustudents.ning.com

- We have paid too little in rent
- We have paid too much rent
- We owe that rent at that date
- We have paid that rent in advance at that date

63 A debit balance brought down on a Packing Materials Account means:

- We have a stock of packing materials unused
- We are owed for packing materials
- We have lost money on packing materials
- We owe for packing materials

64 If we take goods for own use we should:

- Debit Drawings Account: Credit Purchases Account
- Debit Drawings Account: Credit Stock Account
- Debit Sales Account: Credit Stock Account
- Debit Purchases Account: Credit Drawings Account

65 Capital Expenditure is:

- The costs of running the business on a day-to-day basis
- Money spent on buying fixed assets or adding value to them
- Money spent on selling fixed assets
- The extra capital paid in by the proprietor

66 In the business of C Songster, who owns a clothing store, which of the following is Capital Expenditure?
(i) Shop fixtures bought
(ii) Wages of assistants
(iii) New van bought
(iv) Petrol for van

- (ii) and (iv)
- (i) and (iii)
- (i) and (ii)
- (ii) and (iii)

67 If £500 was shown added to Purchases instead of being added to a fixed asset:

- Net profit only would be overstated

http://vustudents.ning.com

- Both gross and net profits would be understated
- Net profit only would be understated
- It would not affect net profit

68 A cheque paid by you, but not yet passed through the banking system, is:

- A credit transfer
- A dishonored cheque
- An un-presented cheque
- A standing order

69 A Bank Reconciliation Statement is a statement:

- Sent by the bank when we have made an error
- Drawn up by the bank to verify the cash book
- Sent by the bank when the account is overdrawn
- Drawn up by us to verify our cash book balance with the bank statement balance

70 Which of the following are not true? A Bank Reconciliation Statement is
(i) Part of the double entry system
(ii) Not part of the double entry system
(iii) Sent by the firm to the bank
(iv) Posted to the ledger accounts.

- (i), (ii) and (iv)
- (i), (iii) and (iv)
- (i) and (ii)
- (ii), (iii) and (iv)

71 Which of the following should be entered in the Journal?
(i) Payment for cash purchases
(ii) Fixtures bought on credit
(iii) Credit sale of goods
(iv) Sale of surplus machinery.

- (i) and (iv)
- (ii) and (iv)
- (iii) and (iv)
- (ii) and (iii)

72 The Journal is:

http://vustudents.ning.com

- Used when other journals have been mislaid
- A supplement to the Cash Book
- Not part of the double entry system
- Part of the double entry system

73 Given desired cash float of £200, if £146 is spent in the period, how much will be reimbursed at the end of the period?

- £53
- £146
- £254
- £200

74 When a petty cash book is kept there will be:

- No entries made at all in the general ledger for items paid by petty cash
- The same number of entries in the general ledger
- Fewer entries made in the general ledger
- More entries made in the general ledger

75 Which of the following do not affect trial balance agreement?
(i) Sales £105 to A Henry entered in P Henry's account
(ii) Cheque payment of £134 for Motor expenses entered only in Cash Book
(iii) Purchases £440 from C Browne entered in both accounts as £404
(iv) Wages account added up incorrectly, being totaled £10 too much.

- (i) and (iii)
- (ii) and (iii)
- (i) and (iv)
- (iii) and (iv)

76 Which of the following are not errors of principle?
(i) Motor expenses entered in Motor Vehicles account
(ii) Purchases of machinery entered in Purchases account
(iii) Sale of £250 to C Phillips completely omitted from books
(iv) Sale to A Henriques entered in A Henry's account.

- (iii) and (iv)
- (ii) and (iii)
- (i) and (ii)
- (i) and (iv)

http://vustudents.ning.com

77 Errors are corrected via the Journal because:

- It saves the bookkeeper's time
- It provides a good record explaining the double entry records
- It saves entering them in the ledger
- It is much easier to do

78 Which of these errors would be disclosed by the trial balance?

- A purchase of £250 was omitted entirely from the books
- Credit sales of £300 entered in both double entry accounts as £30
- Selling expenses had been debited to Sales Account
- Cheque £95 from C Smith entered in Smith's account as £59

79 If a trial balance totals do not agree, the difference must be entered in:

- The Profit and Loss Account
- A Nominal Account
- The Capital Account
- A Suspense Account

80 What should happen if the balance on a Suspense Account is of a material amount?

- Write it off to Profit and Loss Account
- Should be written off to the balance sheet
- Carry forward the balance to the next period
- Find the error(s) before publishing the final accounts

81 Given opening debtors of £11,500, Sales £48,000 and receipts from debtors £45,000, the closing debtors should total:

- £14,500
- £83,500
- £18,500
- £8,500

82 In a Sales Ledger Control Account the Bad Debts written off should be shown in the account:

- As a credit
- As a debit

http://vustudents.ning.com

- As a balance carried down
- Both as a debit and as a credit

83 MC83 If cost price is £90 and selling price is £120, then:
(i) Mark-up is 25 per cent
(ii) Margin is 331/3 per cent
(iii) Margin is 25 per cent
(iv) Mark-up is 331/3 per cent

- (i) and (ii)
- (i) and (iii)
- (iii) and (iv)
- (ii) and (iv)

84 Given cost of goods sold £16,000 and margin of 20 per cent, then sales figure is:

- £21,000
- £20,000
- £13,600
- £20,160

85 If opening stock is £3,000, closing stock £5,000, sales £40,000 and margin 20 per cent, then stock turn is:

- 7 ½ times
- 8 times
- 5 times
- 6 times

86 If creditors at 1 January 20X3 were £2,500, creditors at 31 December 20X3 £4,200 and payments to creditors £32,000, then purchases for 20X3 are:

- £31,600
- £38,700
- £33,700
- £30,300

87 Given opening capital of £16,500, closing capital as £11,350 and drawings were £3,300, then:

- Profit for the year was £8,450
- Loss for the year was £8,450

http://vustudents.ning.com

- Profit for the year was £1,850
- Loss for the year was £1,850

88 A Receipts and Payments Account is one:

- In which the surplus of income over expenditure is calculated
- In which the opening and closing cash balances are shown
- Which is accompanied by a balance sheet
- In which the profit is calculated

89 Prime cost includes:
(i) Direct labour
(ii) Factory overhead expenses
(iii) Raw materials consumed
(iv) Direct expenses

- (i), (iii) and (iv)
- (i), (ii) and (iii)
- (ii), (iii) and (iv)
- (i), (ii) and (iv)

90 Which of the following should be charged in the Profit and Loss Account?

- Carriage on raw materials
- Work in progress
- Office rent
- Direct materials

91 In the Manufacturing Account is calculated:

- The production costs paid in the year
- The total cost of goods produced
- The gross profit on goods sold
- The production cost of goods completed in the period

92 The best method of departmental accounts is:

- To allocate expenses in proportion to purchases
- To allocate expenses in proportion to sales
- To charge against each department its uncontrollable costs
- To charge against each department its controllable costs

http://vustudents.ning.com

93 Where there is no partnership agreement then profits and losses:

- Must be shared equally
- Must be shared in same proportion as capitals
- Must be shared equally after adjusting for interest on capital
- None of these

94 If it is required to maintain fixed capitals then the partners' shares of profits must be:

- Credited to capital accounts
- Debited to capital accounts
- Debited to partners' current accounts
- Credited to partners' current accounts

95 You are to buy an existing business which has assets valued at buildings £50,000, Motor vehicles £15,000, Fixtures £5,000 and Stock £40,000. You are to pay £140,000 for the business. This means that:

- You have made an arithmetical mistake
- You are paying £40,000 for Goodwill
- Buildings are costing you £30,000 more than their value
- You are paying £30,000 for Goodwill

96 Assets can be revalued in a partnership change because:

- The depreciation charged on them needs to be reversed
- It helps prevent injustice to some partners
- The law insists upon it
- Inflation affects all values

97 Any loss on revaluation is:

- Debited to old partners in old profit-sharing ratios
- Credited to old partners in old profit-sharing ratios
- Credited to new partners in new profit-sharing ratios
- Debited to new partners in new profit-sharing ratios

98 In a limited company which of the following are shown in the Appropriation Account?
(i) Debenture interest
(ii) Proposed dividend
(iii) Transfers to reserves
(iv) Directors' remuneration

- (i) and (ii)
- (i) and (ii)
- (ii) and (iii)
- (ii) and (iv)

99 The Issued Capital of a company is:

- Always the same as the Authorized Capital
- The same as Preference Share Capital
- Equal to the reserves of the company
- None of the above

100 A company wishes to pay out all available profits as dividends. Net profit is £26,600. There are 20,000 8% Preference shares of £1 each, and 50,000 Ordinary shares of £1 each. £5,000 is to be transferred to General Reserve. What Ordinary dividends are to be paid, in percentage terms?

- 40 per cent
- 60 per cent
- 10 per cent
- 20 per cent

http://vustudents.ning.com